



**PRODUCT
DEVELOPMENT
ACADEMY**

REVISED
FOR 2021

THE

COMPLETE BOOK

OF PRODUCT DESIGN, DEVELOPMENT,
MANUFACTURING & SALES

Steven Selikoff
Kindle Edition

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ISBN 9798649134422

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This book is dedicated, with humble gratitude, to:

Tim Bush, Dave Vaillancourt, Bob Crimmins, Teresa Roberts, Richard Selikoff, Lou George, David Biernbaum, Allan Cobar, Amish Mistri, Alanis Crow, Amy Wees, Ana Maria Dinu, Ashley Long, Ashley Smith, Bill Curlee, Bronwyn Hosking, Callie Van der Merwe, Carol Paulton, Dan Harris, Daniel Burgess, Darren Hosking, Djamal Kouaou, Eduardo Matus, Evelyn Turbeville, Florian Loehr, Gay Jensen, Gintare Balseviciute, Isaac Epstein, Jacqueline Torr, Jane Demunck, John Sechrest, Juan Arango, Kevin Dickinson, Kylie Pennell, Lisa Moulden, Maddie Clare, Martin Gibbons, Maxine Stevenson, Meghla Bhardwaj, Mehdi Patwary, Michael Liao, Mitch Koch, Neil Pokharel, Oji Ordinario, Paresh Purohit, Pedro Baquero, Peter Aikins, Preeti Purohit, Rachelle Trotman, Raisa Derzhay, Randall Dickinson, Richard Zhang, Sergey Aleshin, Sonia Napolitano, Tanya Ksenic, Tarj Mavi, Ted Zhang, Teri Apple, Toni Ivey, Tracey Gomora, Travis Reese, Victor Tiscareno, William Turbeville, Zarghona Gull, and all the wonderful artists, designers, buyers, manufacturers, retailers, brokers, sales reps, entrepreneurs, angels, agents, clients, students, and friends who have supported me, helped me, trusted me, inspired me, taught me, invested in me, and guided me over the years.

Thank you.

And special acknowledgment to Megan Walker, the best assistant, and right-hand-person anyone could hope for.

Megan, may your venture as an entrepreneur be as amazing and extraordinary as you are.



**PRODUCT
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ACADEMY**_____

Do you have an invention and want to bring it to market?

Are you selling online and want to take your business to the next level?

Are you a fan of Shark Tank?

Please visit:

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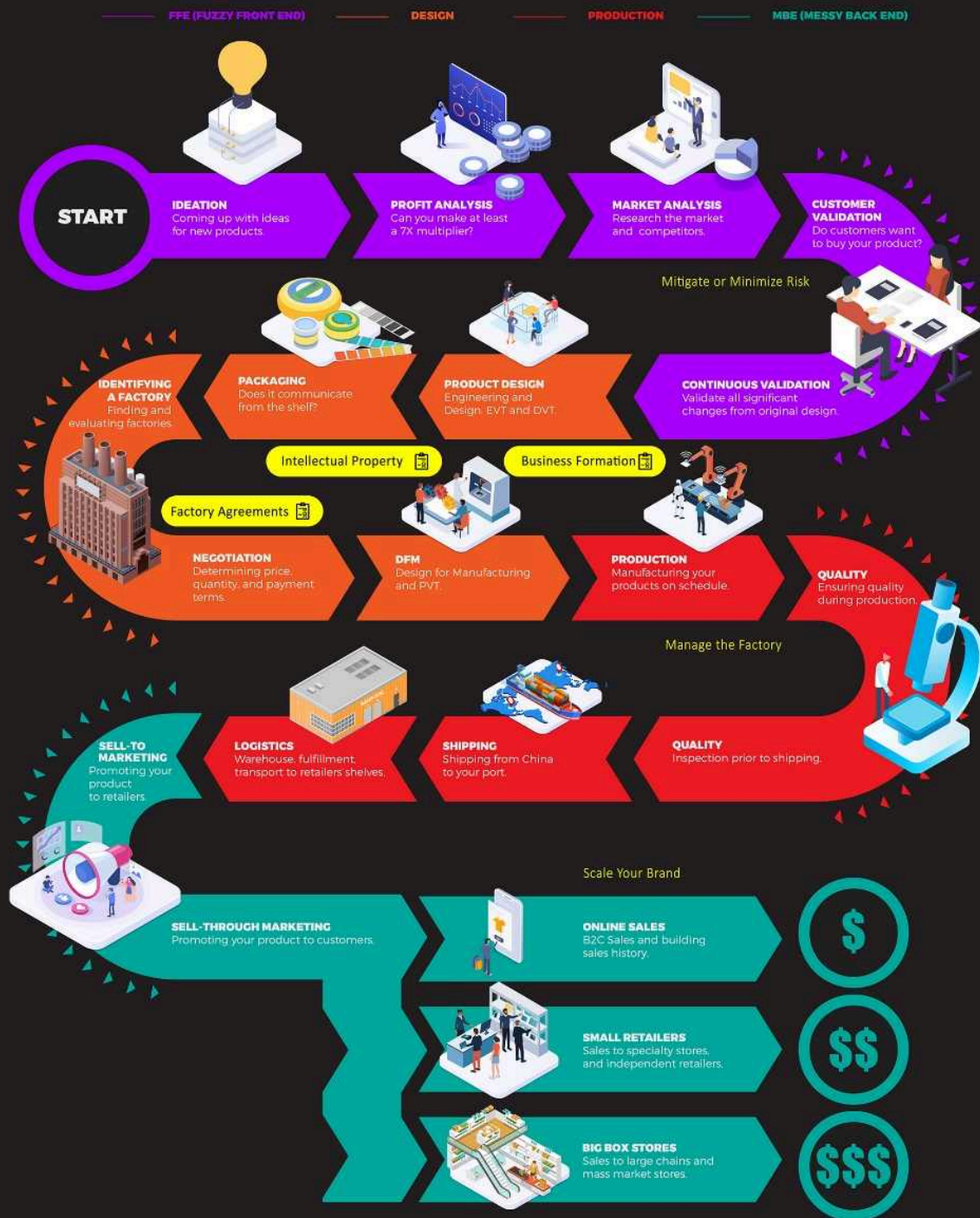
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- ✓ Real-life stories
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PRODUCT DEVELOPMENT ROADMAP

PRODUCT DEVELOPMENT ROADMAP



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PRODUCT DEVELOPMENT CHECKLIST

Download from: <https://productdevelopmentacademy.com/links/>

PRODUCT DEVELOPMENT CHECKLIST

FFE (FUZZY FRONT END) DESIGN PRODUCTION MBE (MESSY BACK END) BUSINESS PROCESSES

- Product Ideation - Unit 2
- Visualization - Unit 2
- Fuzzy Variations - Unit 2
- Market Analysis - Unit 3
- Competitive Analysis ✓ - Unit 3
- Product Evaluation ✓ - Unit 3
- Fuzzy Profit Analysis ✓ - Unit 3
- Rapid Prototyping | Illustration - Unit 3
- Build Fuzzy Customer Avatar - Unit 3
- Fuzzy Sales Channels - Unit 3
- Customer Demand Validation ✓ - Unit 3
- SWOT Analysis - Unit 4
- Product Requirements Document - Unit 4
- Engineering (Mechanical Design) - Unit 4
- Product Design (Industrial Design) - Unit 4
- Return To Customer Validation ✓ - Unit 3
- Form A Business Entity - Unit 14
- Name Your Business, Brand, and Product - Unit 8
- Domain - Unit 8
- Validate Brand & Logo ✓ - Unit 8
- Trademark in US and China - Unit 14
- Product Specs - Unit 4
- Patent - Unit 14
- Packaging - Unit 7
- Validate Packaging - Unit 7
- UPC Codes - Unit 14
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- Sample Review - Unit 5
- Factory Audit - Unit 9
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- Finalize Negotiations | Price & Terms - Unit 6
- Factory Agreements - Unit 9
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- Production Begins - Unit 9
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- 3PL - Unit 10
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- Awareness and Launch - Unit 13
- Online Sales - Unit 12
- Independent Retailers & Specialty Stores - Unit 11
- Online Wholesale Ordering - Unit 11
- Build a Sales Team - Unit 11
- Consider Shows | ECRM - Unit 13
- Finance Inventory - Unit 14
- Scale to Big Box Stores - Unit 12
- Set Up EDI - Unit 10
- Contact Buyers - Unit 12
- Vendor Number | Routing Guides - Unit 12
- Expansion - Unit 12
- Exit - Unit 14

VALIDATE:
**Will
Customers
Buy Your
Product?**

Why Be
UNIQUE ?
You Control Your Price
Exciting To Customers
Attractive to Retailers

Growth Comes
From Volume
Volume Comes
From Retailers

You Are A KING
NEGOTIATE
Like A KING



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www.ProductDevelopmentAcademy.com

NOTES ON CORONAVIRUS AND RETAIL

May 18, 2020

The focus of the Product Development Academy and this book is to help you launch new products that customers want and are willing to pay for. The goal is to help you sell the products across multiple channels, online of course, but most importantly, through brick & mortar retailers as well.

Success in a large brick & mortar retailer can be life changing. Imagine waking up one morning to find that you have received a purchase order from Target® for one and half million dollars. Imagine your family and friends walking into Bed Bath & Beyond® and seeing your product on the shelf. Imagine going on a first date, like I did, and having the person across from you turn around their phone with your product pinned on Pinterest.

When I began drafting this book, the world of brick & mortar retailers looked strong. Amazon was grabbing headlines with its online presence, but it had bought the brick & mortar chain “Whole Foods,” and was growing its brick & mortar chains, “Amazon Go,” “Amazon Books,” “Presented By Amazon,” and “Amazon 4-star.” Amazon was demonstrating to the whole world that brick & mortar retail is here to stay and is the place to grow.

Then Covid-19 hit.

Today as I finish this book, the world of retail is a different place. Across the U.S. major retailers are closed and locked shut. Plans are being made to reopen, but no one can predict the future with absolute certainty. We can, however, make thoughtful guesses and observations. Therefore, I will begin with this observation.

Retail is not dead.

U.S. retail sales reached 5.53 trillion in 2019.

The U.S. retail industry directly employs about 29 million people and supports more than 42 million jobs.

During the 2020 lockdown, customers still needed to purchase items. Retail buying slowed but did not stop. With a majority of retail stores closed, American consumers turned to online shopping to fill their buying needs.

Amazon stepped to the plate, ready to hit a home run out of the park. But Amazon stumbled. It showed that just like any other retailer, Amazon was dependent on humans. Frail, and unpredictable. People got sick. Deliveries were delayed. Inbound shipments were put on hold, and in some places, products weren’t fulfilled for weeks. All the challenges were met, but Amazon proved it wasn’t infallible. That was proven as it lost market share to Walmart’s online platform.

I do not have a crystal ball, but I don’t need one to know that once brick & mortar stores reopen, we will see some changes.

Many people will still be afraid of disease and viruses. Social distancing, even in a modified form, will be with us for a while. The economy and pocketbooks will take time to recover. Some people will buy things online that they had only bought in stores until now. Although it's a small behavior change, it is a significant one and I think Amazon will see the size of its average market basket increase. Will Amazon's market base increase? Perhaps a little, but not much. I can't imagine that there was a significant number of people unaware of Amazon that suddenly became new customers during lockdown.

Before the lockdown, eCommerce sale's rate of growth was faster than retail sales, and the lockdown increased the rate of growth even more. That is not the full story, however. In the U.S., in-store shopping is the channel of choice for consumers. Customers spend more money while shopping in-store as well.

According to a recent report, pre-lockdown, 71% of in-store shoppers spent \$50 or more, compared to 54% of respondents who shopped online.

There is a communal role in shopping behavior. Shopping is a social interaction. U.S. consumers crave social interactions. There is an emotional factor of in-store shopping. According to one survey, 40% of shoppers use 'retail therapy' to calm down, and 74% admit to having 'stress shopped' in the past. When given a choice, most U.S. shoppers choose to shop with a friend.

The economy will be bad — possibly for a while. Some stores and chains will never recover from months of zero revenue. Stalled inventory will be a challenge for all retailers. Shoppers may spend less.

Retail WILL return. It's part of our emotional fabric. People will still invite friends to go shopping with them. Customers will still get a thrill of finding a treasure in a small corner shop. People will still work on their cars, or their hobbies. They will still give birthday gifts, Christmas gifts, and 'just-because' gifts. Wandering a mall will become fun again. People will still find a new favorite blouse in their favorite boutique, and they will still refuse to come home from the pet store without just one more special toy for their four-legged fur baby.

If your product is unique, if you build your product with customer input and feedback, if customers want it and are willing to pay for it, if your packaging is compelling and communicative, if your product fills a need or solves a problem — if you are excited about your product and if you follow each of the steps herein — then move forward boldly. You will have a successful product.

UPDATE: March 15, 2021

WE CAN SEE THE LIGHT AT THE END OF THE TUNNEL

The revision of this book comes at a time when people are feeling more hopeful than ever. Vaccines are being distributed across the globe and rates of infections and deaths are trending downward.

Everyone is still cautious, as they should be, but optimism is everywhere.

Stores are gradually opening, and safe gatherings are starting.

We don't expect that life will return as it was before Covid-19, but most pundits agree that retailers who survived the challenges will soon become stronger. Some experts even predict that Christmas 2021 may be the strongest Christmas that retailers have ever seen. They also predict that the trend will repeat in 2022.

This is a great time to introduce new products!

1. THE ACCOUNTANT

I held my breath. In six days, we would present to a room full of angel investors. Four days later we had a meeting scheduled with retail buyers. Today we were reviewing final prep with our accountant.

She traced her pen across a row of calculations and drew a circle around a number in the final column. \$12,296,961. “This is how much cash you will have if you hit your targets,” she said. She was smiling, but she quickly changed that to a frown.

“It’s too much.” She said and crossed out the number. The investors won’t believe it. I’m dropping everything down to 10%.” She wrote in a new number. It was still over a million dollars.

“When you make this,” she said pointing to the new number, “Your investors will *love* you.” “When you make this,” she said pointing to the original number, “Your competitors will *buy* you.”

Both figures were huge. I tried to act professional, but I couldn’t stop grinning. I fell back in my chair. Wow!

I wanted to be fully prepared for the investors and the buyers. We had built up proof of sales and brand awareness. Our carefully chosen retailers were showing sales traction, and one of our products had just been included in the gift bags at the Oscars.

The forecast numbers were the capstone to my presentations. One presentation was to strangers who I had hoped would put their own money into my business. The other presentation was to strangers whom I’d hoped would put my product into their stores and in front of their customers. Both of them will be very glad they signed on, because I already knew that customers would purchase more products than either of them could possibly expect.

How do I know this?

Entrepreneurship is all about taking risks. I hate risks. I have never gambled. Although I have been in casinos, I have never put down my money. Gambling is just not in my DNA.

When it comes to products, I never gamble either. I check, double check, and verify every decision. I quantify intangibles as much as possible. I validate, verify, and calculate. I research the unknown. I use metrics and tools. Are there still risks? Absolutely. But I have mitigated as much risk as I can. The numbers are clear. This is my fourth brand launch, and this one looked to be the best one ever.

Would you like to know how I got here? That is what this book is about. I am going to teach you step-by-step how to come up with winning products, make them a reality, and get them onto retailer’s shelves.

Welcome to the world of being a Product Entrepreneur.

By the way... the meetings went well. We heard ‘Yes’ to a six-million-dollar pre-launch valuation, and ‘Yes’ from one of the largest retailers in the country.

I love this business.

2. ABOUT ME



Hello. My name is Steven Selikoff. I am a serial entrepreneur. I am passionate about creating products that people like, and I am equally passionate about making a profit by doing so.

I have created products that have sold online, in catalogs, and in retailers all over the world. I've lectured on Successful Negotiation and about Chinese Manufacturing. I co-founded The Canton Fair Experience program, and I am the author of *The Canton Fair Workbook*, available on Amazon

My journey started many years ago. In 1973, I was a vendor at the second ever Star Trek Convention. I sold framed photographs called 'stills.' They were images printed from discards of film shot from the Star Trek TV Show and left on the editing room floor. I did so well at selling the printed photographs that I set up a mail order business. I was 13 years old and making money. I had caught the entrepreneur bug.

Later, in my twenties, lived as a struggling artist (fashion and advertising photography) in New York City, Italy, and Brazil. That gave me behind the scenes access into the legendary advertising world of Madison Avenue in the eighties. Later in life I got 'real jobs' in the corporate world, including Sales Trainer, Corporate

Consultant, Product Manager, and twice as a Global Business Manager at Microsoft Corporation, managing multi-billion-dollar divisions and reporting to Corporate Vice-Presidents. While at the Worldwide Retail Sales & Marketing Division my experience at Microsoft included working on some of the most recognized products in the world. That should have been enough. But I never lost my love of being an entrepreneur. The flame was always burning inside me.

In 2001, I started selling my own products directly to small retailers. In 2005, I started sourcing from China and sold to my first supermarkets later the same year. In September 2006 Amazon launched a new fulfillment program called FBA. I was one of the very first people enrolled, and within weeks I was selling on the Amazon platform. By 2012, after thousands of emails and middle-of-the-night phone calls I realized that it was time to close the virtual gap between me and my suppliers. I boarded an airplane for Shanghai. Soon after, I began regular travel to China, meeting with factories in person, and attending the Canton Fair in Guangzhou.

During that time, I had a few exciting product successes and just as many humiliating product failures. My products were sold in retailers including small specialty shops and large big box stores and online. Others never made it into initial production because of stupid showstoppers I should have seen a mile away. I had products mentioned on TV shows and in magazines/newspapers across the globe. One day bloggers would call me a genius, and another day buyers would tell me I was an idiot. I received purchase orders from retailers that were for so much money I almost fainted, and I've also faced more rejections than I can count. It was, and continues to be, a journey that I love to this day.

In the last few years, I have seen the extraordinary growth of two phenomena — ordinary people achieving great success selling products on Amazon; and a plethora of information about selling on Amazon made broadly available on Facebook, YouTube, and at conferences. Some of that information is extremely helpful and accurate, some is very questionable, and some is rife with misinformation, exaggerations, and flat-out lies.

Regardless of the quality of information and the veracity of the presenter, the huge volume of Amazon content has overwhelmed everything else and has clearly illustrated a very large gap in information is for the rest of retail. Other than watching the TV show Shark Tank, there is almost no information on non-Amazon product development, almost no information on identifying products without research tools, almost no information about product sourcing without Alibaba, and almost no information about in-store retail.

Frankly, it is not surprising. The process of selling on Amazon is driven by tools, apps, and repeatable processes. The multitude of YouTube videos often feature a computer screen, spreadsheets and list. It is easily broken down and explained in bite sized chunks. Selling unique products to retailers is not nearly so digestible.

The information you will find in this book cannot be taught easily in a 20-minute YouTube video. Most of this information is not even available online.

You'll learn how to generate product ideas, to evaluate and identify products that will sell successfully, to develop those products cost-efficiently, to source them, to negotiate effectively, to avoid little mistakes upfront that might cause big problems later, to handle logistics, shipping, distribution, legal concerns, marketing and financing. To get products manufactured economically, to get the products onto store shelves — and to make money doing it.

I learned by listening to many experts over many years. Salesmen, brokers, developers, analysts, factory owners, graphic artists, engineers, designers, retailers, consultants, reps, agents, lawyers, corporate leaders, shop owners, investors, buyers, mentors, supply chain experts, freight forwarders, merchandisers, negotiators, importers, other entrepreneurs and hundreds upon hundreds of customers. All of them incredibly generous with advice, sharing knowledge, and stories.

My goal is to show you the same generosity they showed me.

I will share information, tips, successes and failures. I will introduce you to processes modified specifically for entrepreneurs.

My sincere wish is that within this book, you find the information you need to build a life that you love, as much as I love mine.

3. ABOUT YOU

The beauty of being a Product Entrepreneur is that no special gift or talent is needed.

Software engineers like Mark Cuban quickly become famous and get newspaper headlines when they sell their companies for billions of dollars. The reality, however, is that even among genius elite, there are very few Mark Cuban and Mark Zuckerberg successes. On the other hand, product development success happens every day and everywhere. It happens so often that ABC television, and other networks around the world, feature entrepreneurs with product success on weekly TV shows like Shark Tank and Dragons Den.

We all love these shows. The reason we love them is that each week we see proof that normal people, like you or me, armed with an innovative product or creative idea, can land a deal with investors worth hundreds of thousands of dollars, and sometimes even more.

Just as popular as the original Shark Tank episodes, are the special follow-up shows where we see what happened to our favorite product entrepreneurs. These shows feature snippets of products being made, shipped, and sold at stores we all recognize. Best of all, we see the entrepreneurs happy, in charge, and not spending the days working in a cube or at the whim of some angry boss. People who once lived the same life you did, are proving that anyone can escape — if they have the right new product.

It is a compelling story played out week after week on our TV screens. It is relatable, it is achievable, but it does takes five things:

- Hard Work
- Perseverance
- Courage
- Creativity
- Knowledge

Building a product-based business is **HARD WORK**. This is not a get-rich-quick scheme. In some cases, particularly when you start out, developing a product is your second job. That means long hours of work after you finish your ‘first’ job. It means careful thought and commitment. It means you and your family will sacrifice time and money. However, it is an investment worthwhile.

Being an entrepreneur also takes **PERSEVERANCE**. There will be ecstatic days and devastating days. There will be days you want to give up, days to celebrate, and days you can’t figure out how to take the next steps. Know what your dream is. Know what your vision for your own future is. Then cling to that on the tough days, and toast to that on the great ones.

COURAGE is critical. Entrepreneurship is full of risk. I will teach you how to mitigate risk, but there are no guarantees in business, just as there are no guarantees in life. This book will show you specific methods to lessen risk, but risk will always be a part of being an entrepreneur and starting your own business. If that frightens you too much, this path is not for you.

CREATIVITY is obviously essential to identifying new product ideas, but it is also important when you face problems and need novel solutions no one has done before.

The last key, and the most valuable, is **KNOWLEDGE**. Read this book. Use everything. Study it. People often think that a successful entrepreneur has to be the smartest person in the world. That is not true. The ones that think they ‘know everything’ are the ones that fail. The entrepreneurs who know enough to ask questions and seek answers are the ones who succeed. Give yourself plenty of opportunities to learn. Network. Connect with other entrepreneurs. Join masterminds. Surround yourself with people who have experience. Ask questions.

Is it all worth it? The answer depends on you, your goals and on your dreams.

For some people, this journey ends with a sustainable business they can pass on to their children. For others, the journey leads to a business they can manage from anywhere in the world; a laptop lifestyle that lets you run your business from a beach. For others, it’s the thrill of seeing their ideas become reality on store shelves and receiving life changing money.

For you it may be different. It may be as simple as being your own boss, or perhaps you desire a life that doesn’t force you to miss your child’s baseball games.

Sometimes it’s what Lori Greiner from Shark Tank said, “I can do *whatever* I want to do, *whenever* I want to do it.”

*“I roll out of bed in the morning, whenever I want, and I work right away because, to me, that’s the life. That’s freedom. The whole point for me is that I love the freedom of being an entrepreneur, that I can do **whatever** I want to do, **whenever** I want to do it.”*

Lori Greiner, one of the original Sharks

4. ABOUT THE BOOK

When I started writing this book, and launched my program, Product Development Academy, a friend showed me a list she had compiled from online research.

“These people are the biggest Amazon gurus on Facebook and YouTube. They are all influencers. You have to network and befriend all of them” she explained to me.

There were 181 names on it. I recognized a handful. Some were already friends. Others were names of people I was aware of, but never personally met. Most of the names, however, were people I had never heard of and would probably never meet.

I sat down and started sending messages to Amazon experts that I knew and respected. I told them about the program and the book and asked them to contribute. Then I stopped. I realized that I was about to do exactly what I advise others NOT to do. By creating the book and program, I was essentially creating a product. Yet I was about to do exactly what I advise against, and make it fit what everyone else was doing. I forgot about differentiation. I forgot about me.

In order for the book and the program to be unique, I needed to focus on my strengths, my passions, and my expertise. This was where I could bring the most value and benefit to the customer. I needed to be true to myself. Introducing people to the information that they are not getting from gurus, courses, videos, and groups.

I thought about my customers and their needs.

- Shark Tank fans who want to create products they can sell.
- Amazon Sellers looking to expand into unique products and retailers.
- Inventors and people with great product ideas, who need guidance about turning their ideas into reality.
- Every-day people who have dreams of building their own sustainable business.

I put my mind to what I can offer that you weren't getting anywhere else.

- ☐ Amazon is a great platform for selling products, but Amazon accounts for a small percentage of the retail market. - ***I am different because I focus on the rest of the world of retail.***
- ☐ Alibaba and similar sites offer easy access to Chinese suppliers, but according to industry professionals, more than 60% of the suppliers listed are trading companies, not factories. - ***I introduce you to other ways to source.***
- ☐ People with groundbreaking ideas and inventions have no clear path to manufacturing and sales. - ***I have years of experience, an expert team, and can provide instructions for every step of the way.***
- ☐ Amazon Product research tools provide amazing historical data on Amazon product sales, but they are not much use in generating new product ideas and predictive validation. - ***I am different because I show you how professionals***

and companies outside of the world of Amazon collect customer data and generate product ideas.

- Accurate information on the process of creating unique products and selling to retailers is hard to find. - *I am different because I teach a proven method of navigating the complex process using professional methods customized to entrepreneurs and accessible to everybody.*

With a clearer vision, I began writing. I compiled this book from stories I have shared over the years, lectures I have given, personal experiences I have had, experiences friends and other entrepreneurs have had, courses I have written, coaching I have given, and lessons I have learned along the way.

I structured the information around an amalgamation of professional product development models culled down and combined into an entrepreneur focused process that's easy to follow and built from real life experience.

I have tried to write this in a casual and conversational tone. As if we were sitting down, sharing a meal, and having a conversation. If you get overwhelmed, take a break and come back. If you have questions, reach out and ask. My contact information is on the last page of this book.

When Porsche developed their first SUV, they surveyed customers and sought for feedback for every feature. Whenever something was proposed, they asked customers. If customers wanted it, and were willing to pay, it was included. If the customers said no, it was discarded. No matter what. Despite engineers' objections, oversized cup holders were included, and despite the automotive media's outcry, the famous 6-speed manual transmission was left out.

What was the result?

The Porsche Cayenne became the most successful vehicle in its class, and singlehandedly generated half of Porsche's total profit.

Don't imagine your success based on a Facebook picture of a Lamborghini. That is a cliché fantasy. Instead, focus on the real life, true story of the Porsche Cayenne. That is what this book will teach you:

Build products that Customers want and are happy to pay for.



Business & Processes

5. YOUR BUSINESS MODEL

The year is 1440. You are a small blacksmith, and you are eager to get to the market in the town square. It's Sunday and the first warm day of Spring, which means the market will be more crowded than usual and people will be in a spending mood. You pack your cart with horseshoes and other items, hitch it to your horse, and head into town. Today will be a good day.

The principle behind trade hasn't changed in thousands of years. You get products (also called procurement) and you sell products. If done successfully, you end up with more in your pocket than when you began. In simple terms this is profit.

There are some basic guidelines to follow which can help make this transaction more profitable. These too have not changed since trade began. They apply whether you sell Wi-Fi extenders in big box stores or horseshoes in a town square in the year 1440.

- ✓ Acquire products at a low cost.
- ✓ Sell products at a high price.
- ✓ Fulfill customer's needs.
- ✓ Get lots of products, so that you can sell lots of products.
- ✓ Make your products different and better than anyone else. (This is called differentiation.)
- ✓ Be the only person selling your type of product.

Acquiring products, transporting them, storing them, and bringing them to market is called a Supply Chain. This applies whether you grow vegetables, create pottery, or manufacture self-levitating Bluetooth speakers. Sales is the process of presenting your product to customers who pay to own the product. The blacksmith in 1440 may sell horseshoes in town, but may also sell them from the porch of his house. Each method of presenting products to customers to make sales is called a Sales Channel. All of the types of products he sells, such as horseshoes, nails, and knives, are his product line. The methods he had to add products to his line in the year 1440 are similar to the ones available to today. However, today he would have many more sales channels besides the town square.

6. METHODS OF ACQUIRING PRODUCTS

CREATE PRODUCTS YOURSELF:

People often overlook the oldest process of acquiring products – make products yourself. Just like the blacksmith did in 1440.

Are you a potter? A photographer? A chef? An artist or craftsman? There are many products which you can create yourself and sell directly to consumers or to retailers. If you turn wood, you can sell bowls and vases to gift stores. If you make jams and jellies, you can sell at Farmer's Markets. If you crochet baby blankets you can sell on Etsy. When you first start out and want to dip your toe in the water of entrepreneurship, consider turning your hobby into a business.

My introduction to selling directly to retailers came from creating my own products. I live in the beautiful Pacific Northwest. Home of the inspirational glass artist Dale Chihuly. There are easily over a hundred glass studios sprinkled around Seattle and surrounding cities. I loved standing in glass studios and watching the artists create incredible pieces. Then, in 2001 I took a beginning glass blowing class and instantly fell in love. One of the first pieces they taught us was a simple blown glass sphere. We called them Christmas Tree Ornaments and us students made variations ranging from clear to brilliant swirling colors.

In contrast to Seattle, which has the reputation of being gray and rainy, there is a town on the Olympic Peninsula called Sequim, which is sunny, dry, and has a climate very similar to Provence, France. Because of the climate similarities, just like Provence, Sequim is filled with picture-perfect farms growing fields of lavender.

Each of the lavender farms have small gift shops for tourists. In my glass blowing classes I created piles of lavender colored, hand-made, glass globes. It was a perfect match for the gift shops. I sold the globes to the gift shops, who then sold them to tourists. Eventually I learned how to blow hummingbird feeders and I grew my product line.

If you blow glass, throw bowls, turn wood, create photographs, make scented oils, or any other craft, look around you. There might be opportunities for you to turn your craft into an income. These days you don't have to limit yourself to tiny shops on tiny farms. You can sell on Etsy and other handmade sites.

BUY PRODUCTS:

Buying, in this context, means purchasing a product as-is, and then selling it to a consumer or a business. It is rather simple to do. Even in large amounts. Going large scale is especially easy in China.

About three hours from Shanghai is the city of Yiwu. Within Yiwu is the world's largest product commodities market, selling over one billion dollars in goods each year.

You can walk through the unexpectantly huge complex, and purchase large cases of commodity products, such as cell phone covers, knee braces, or wall clocks. You could then ship the cell phone covers, braces, or clocks to the United States (or your home country,) repackage them into smaller boxes, and sell them to stores or online. This is an example of purchasing products as-is.

Some of the vendors in Yiwu will even repackage products to your specifications before shipping them to you. You don't make any changes to the product. Just add a logo and customized box. There are ways to automate the resale part of the business so that you don't even have to touch, or see, the product. This is a simple business, but because the products are not unique, the retail price is often low, and the profits are low as well.

7. INNOVATIVE DIFFERENTIATION

Your goal is to make money. I may not say that on every page of this book, but I want you to constantly think about it. It should enter every decision you make.

As described earlier, you are going to acquire a product and sell it at a higher price. To effectively sell, you must acquire products that customers, and retailers, want to buy. And they want to buy one thing more than anything else.

They want to buy something they haven't seen before.

I have had the privilege of talking to dozens of big box buyers and hundreds of buyers from small and medium sized stores.

Every single one of them without exception has asked the same basic question. It's always in the first third of the conversation and often it's the first thing they say.

"What do you have for me that I haven't seen before?"

New items build customer excitement. New items can cause customers to replace older versions of the same product. New items increase sales. And just like you, the retailer's goal is to make money.

IMPROVE:

Improving is taking an existing product and modifying it in a way that adds value. Improving a product is a great way to establish differentiation. Differentiation allows you to set yourself apart from the competition and possibly establish a brand. Profit potential is larger, but increased risk is introduced.

You can improve upon your own product the way cell phone companies regularly update their phones and call them upgrades. Or you can improve on an existing product that someone else introduced. Elon Musk improved upon gasoline powered cars by introducing electric cars. Steve Jobs improved upon the Nano Rio by creating the iPod.

Differentiation is critical to success and is a fundamental basis of the processes we cover in this book.

INVENT:

Inventing a product simply means creating a product that no one has seen before. An invented product might be simple like ReadeREST® eyeglass hooks, (invented by the inspirational, humble, and charming Rick Hopper) or complex, like anti-gravity sneakers.

However, invention doesn't always need to be so dramatic. Often, it is an innovative twist that takes an existing product and turns it into something new.

This was my experience with my first big product hit.

Case Study – REVITALIZING PILLOWCASES



A few years back had success with a product that gave a twist to an existing product. I introduced a brand called Dog SnorZ. The product was pillowcases for people who let the dog sleep on the human bed and featured with humorous sayings. I made a killing.

It was a unique product no one had ever seen before. It was new and groundbreaking and therefore could technically an invention.

EXPAND AN EXISTING PRODUCT LINE:

Once Dog SnorZ had success with dog themed pillowcases, we expanded into cat themed pillowcases. It was natural growth of our line and our retailers happily purchased the new designs from us. We then grew our product line into throw pillows and those also sold well under the Dog SnorZ brand. If you have a successful unique product, expanding your single product into a full line is much easier than starting from scratch.

IDEATE:

You might create an entire new product when none had existed before. The process of coming up with new concepts is called Ideation. It is not easy. It might seem like magic. Don't worry, we will cover some tips and techniques later in the book to improve your ideation skills.

Once you have your idea, bringing it to reality will require manufacturing. In the Production section, we will discuss factories from around the world. It is good to consider that China produces 30% of the world's retail products; usually less expensively than elsewhere.

Manufacturing in China may seem exotic or unattainable, but it is relatively straightforward and simple. Once again, I want to reassure you that this book will cover all the information you need to identify suppliers and manufacture in China with confidence.

8. SELLING PRODUCTS

Selling products is the second half of your business model. Just as it was for the blacksmith.

The blacksmith in 1440 could only sell directly to his customers, such as a local farmer. Today, thanks to advances in transportation, storage, and banking, there are multiple channel opportunities to sell products. They are broken into two categories: B2B and B2C. A business can either sell to other businesses, such as stores, or a business can sell directly to customers.

B2B means ‘Business to Business’ and it applies to situations where you sell to other businesses, who then in turn sell to the consumer. An example of B2B is selling to your local shop down the street. As a Product Entrepreneur, B2B is called selling ‘Wholesale’.

B2C means ‘Business to Consumer’ and it means that you sell your products directly to consumers. An example of B2C is selling products to consumers at a local fair or online. When you sell directly to consumers, you are engaging in ‘Retail.’

B2C selling is often easy to start with since it has low barriers to entry. However, B2B is the best choice for sustained growth, higher long-term revenues, and brand establishment.

B2B and B2C each have multiple methods of selling, referred to as ‘Channels’. You will often hear the term ‘channel’ mentioned in relation to product sales. Later, during Sales, we discuss ‘Channel Strategy’ which is individualized strategies for pricing, distribution, and marketing for products, each based on the channel they are sold through.

SIDENOTE: CONFUSION OVER 'WHOLESALE'

I want to establish how the term 'Wholesale' will be used in this book. This is important because the economic terms 'Wholesale' and 'Retail' have legal and tax ramifications.

Wholesale means selling products to retailers, who in turn sell to customers. Because wholesalers do not sell to customers directly, they do not collect sales tax (but there are other obligations.)

In the last few years, on Facebook and on YouTube, the term 'Wholesale' has been applied anecdotally to a method of buying retail items in stores and reselling them on Amazon. This can be misleading or worse. Since wholesalers are subject to various federal and state laws in the U.S., erroneously calling yourself a wholesaler outside of the Amazon vernacular can possibly lead to legal tax liabilities for the seller.

It can also lead to lost opportunities. In 2012 I was selling my products at the AmericasMart in Atlanta. A number of people came up to me during that week wanting to buy my products. They identified themselves as wholesalers, so I politely declined. Since I was selling to retailers, I was the wholesaler for my brand. Years later when I learned that Amazon Sellers were using the word Wholesaler in a completely new fashion, I realized that I had turned away potential customers. Do not assume that the rest of the world uses the word Wholesale the same way that Amazon gurus do. If you identify yourself as a wholesaler to a manufacturer who is selling wholesale, they may consider you competition and refuse you. If you sell on Amazon, technically you are an Online Retailer.

Lastly, the term Wholesaler can also be confusing because in some countries it is a form of selling in bulk directly to consumers. This too is different than the United States. To avoid confusion this book will use the U.S. economic definition of 'Wholesale' and 'Wholesaler' and define it as selling to retailers, and not to consumers.

9. B2C SALES CHANNELS

PERSONAL SALES:

The medieval model of creating a product and selling it in the town square still exists. Today, the town square market has been replaced by Fairs, Flea Markets, and Farmer's Markets. They offer great opportunities for sales, plus they allow you face-to-face interaction with your customers.

YOUR OWN SITE:

It is very easy set up your own online store. Great easy-to-use options abound. With just a few clicks and images you can quickly set up a professional looking online storefront using Shopify.com, Square.com, and similar sites. WooCommerce allows you to add an online store to your own website with simple plugins. Sites built with these tools allow customers visit your brand online and buy products directly from you.

ECOMMERCE:

Ecommerce accounts for 10% of retail sales in the U.S. Technically it means buying and selling goods using electronic means. Today most people recognize ecommerce as buying products through websites such as Amazon.com, Walmart.com, Wayfair.com, Wish.com and similar sites.

AMAZON:

Amazon is quite large and commands almost 50% of all online sales in the U.S.

Anyone from an authorized country can choose to start selling on Amazon. The power is in your hands — no one else's. As a Seller you sign up, follow a few simple processes, and you start selling immediately. There are no approval decisions by a corporate Buyer required. Plus, by adding the FBA fulfilment option, you can send your products to Amazon warehouses and let Amazon manage the storage and shipping.

The challenge of Amazon is clearly understanding the success rate, the level of required effort, and the challenges in learning from trusted sources. There is a lot of confusing and conflicting information online, and some outright mistruths about being a successful Seller. YouTube is filled with videos of self-styled experts offering advice that are often thinly disguised guaranteed get-rich-quick schemes.

Some of the Amazon gurus have been exposed for posting photoshopped images of inflated sales and lying about their success. Be cautious about whose advice you follow if you choose this path.

Success on Amazon requires hard work, and a lot of skill and often requires advanced knowledge of listing techniques, and advertising strategies. If you will sell on Amazon, you should invest the time and energy needed to learn these skills, or hire a

trusted expert. Recommendations for experts are listed at <https://productdevelopmentacademy.com/links/>

THE 'FBA METHOD':

There is a popular Amazon-based business model taught on YouTube, in classes and conferences all over the world commonly called Amazon FBA. The process is for you to identify hot selling products with an established market base, buy products similar to the successful ones, perhaps modify them slightly, and then for you to post them on Amazon and compete for a percentage of the market. That is **NOT** what this book is about.

- We do not cover the 'Amazon FBA' method.
- We do not cover methods of finding popular products already selling on Amazon. We focus on unique products.
- We do not cover methods of copying existing products and modifying them or creating knock-offs.
- We do not cover methods of optimizing listings, and price strategies for launching 'Amazon FBA' products.
- We do not cover software tools developed to identify Amazon sales rankings and identify good candidates for the Amazon FBA method.
- We do not cover Amazon advertising (PPC) strategies.

There are many courses and programs offering that. If you are looking for recommendations for coaches on the Amazon FBA method, you can find some listed here. <https://productdevelopmentacademy.com/links/>

If you are seeking Amazon FBA training and mistakenly purchased this book hoping for it, I will gladly refund what you paid. My email is on the last page of this book.

In contrast to the Amazon FBA method, in this book we will approach Amazon as a platform to sell unique products. We will treat Amazon as one among many sales channels and address the challenges of launching unique products that do not have a sales history and may not have keywords associated with them. Remember, nobody searched for fidget spinner, Fitbit, or GoPro before those products and brands launched.

Amazon is an exciting platform for unique products and is an excellent method to show proof of sales and build a strong revenue stream. As a bonus, with unique products you do not have competition.

EBAY:

EBay is still a strong contender in the ecommerce space and exists in some countries where Amazon does not yet have a presence.

B2C ADVANTAGES:

In my experience, it is best to have multiple sales channels, including both ecommerce and B2B sales. Ecommerce is the simplest channel to begin with and as you scale, you will have much larger and profitable opportunities in B2B channels.

10. B2B SALES CHANNELS

INDEPENDENT STORES AND SPECIALTY SHOPS:

The first entry into B2B sales for many product entrepreneurs is their local shop.

Within twenty miles from you are probably a local gift store, a bookstore, a mom & pop hardware store, a camera shop, a florist shop, an auto repair store, or a craft shop. Collectively these types of shops are called Specialty Stores. They are great places for you to sell your products and to learn about the priorities and needs of store owners.

Many people don't realize what a gold mine specialty stores can be. Retailers, from specialty stores to large big box stores buy per case pack, not per item. Sometimes even by the container load. Many retailers will buy multiple variations of a single product. Assume that you sell baby blankets. You have a pink version, a blue version, and a yellow version. Each case pack holds six blankets of a single color. In this example assume, you profit \$5.00/blanket, after you deduct expenses.

When you make a B2C sale online or at a market the result is one unit sold. Compare that to a B2B sale. The store owner, in one sale, will probably buy a case pack of each color, resulting in eighteen products in a single order. If customers like the blankets, the store owner will buy more case packs from you in order to keep them in stock.

The B2C customer purchased one blanket and may not be heard from again. The B2B store owner may re-purchase case packs ten times a year, or more.

Example:

The B2C sale netted you \$5.00 and they may not reorder the rest of the year.

The B2B sale netted you \$90.00 and if the owner re-orders ten times, the yearly net is \$900.00

Once you understand the amount of money you can make from a B2B sales compared to B2C sales, you quickly realize why so many product entrepreneurs love B2B sales. Want an example? Look at all the celebrities who launch their products through in-store retailers rather than direct to consumer sales.

In the Sales section, we discuss methods of expanding your sales efforts from one specialty store into hundreds of specialty stores. We also discuss methods of expanding into chain stores and big box stores.

CHAIN STORES:

Chain stores are multiple stores under a single owner or corporation. They are often larger than specialty stores and attract more foot traffic than specialty stores. They serve a single niche such as pet stores, hardware stores, drug stores, sports, and so on. The decision to purchase your product will be made at a corporate location away from the stores. The exciting thing is that a single decision maker can choose to place your product in stores throughout the chain. Chain stores can range from under twenty stores

such as All The Best pet care stores in Washington, to several hundred like JB Hi-Fi in Australia.

NATIONAL BIG BOX STORES:

Big Box stores take up a lot of space, at least 50,000 square feet, and offer a huge variety of products to consumers. Often, they have a paved parking lot and attract customers who are driving. Which makes sense, because customers fill shopping carts and bring them out to their cars.

In Big Box stores more people are looking at your product and therefore may buy it. There are basically two types of Big Box stores; mass merchandise such as Walmart and Target, and specialized such as Home Depot, or Bunnings.

Buying decisions for big box stores is like chain stores in that the purchasing decision is made by a corporate buyer.

DEPARTMENT STORES:

Department stores are chain stores that focus on apparel and occasionally home goods. Macys and Nordstrom are examples of department stores. Department stores have a unique distinction of appealing to specific household income levels. Nieman Marcus stores attract clientele who expect to pay more for luxury brands. If you create a luxury item, you should consider high end department stores within your channel strategy.

SUPERMARKETS:

Supermarkets can be independently owned or chain stores and sell primarily grocery and consumable items. Examples of supermarkets are Aldi, Albertsons-Safeway, and Woolworths. However, some larger supermarkets, such as Fred Meyer, sell so many non-grocery items, they blur the lines and may be considered Big Box stores. Whereas a customer may visit their favorite department store once a month, they may visit their favorite grocery store six times or more during the same period. If you sell a consumable item, you should add supermarkets to your channel strategy.

CATALOGS:

Catalogs pre-date the internet and online shopping, but they are still a viable channel for selling products. Orvis, Land's End, and LTD all sell a ton of products through their catalogs.

TV SHOPPING NETWORKS:

TV Shopping Networks are a growing sales channel. The top names are QVC, HSN, and ShopHQ (formerly eVine.) The advantage of appearing on a TV Shopping Network is not just sales, but also the exposure of your product and brand is unmatched.

DISTRIBUTORS:

Distributors could technically be called B2B2C. Business to Business to Consumer. You sell to a distributor, who in turn sells to stores, and the stores in turn sell to customers. Your margins are less because everyone wants to make a profit. However, the sheer volume of product sales resulting from so many stores more than outweigh the smaller margin you receive per item. Some stores, and some industries, require that you use a distributor. This is an impossibility if you do not have a strong margin. This is one more reason to ensure your product has a strong multiplier. (Later we will talk about profit margins and multipliers in depth.)

LICENSING:

An alternative to selling your product is to license your idea to product manufacturers. To do this you must first prove your product works and that your product has customer demand. You must also ensure no one else copies your concept through Intellectual Property protection (IP protection) such as a Patent. We will discuss patents and IP later in the book.

11. PRODUCT DEVELOPMENT PROCESS

There is always a risk of failure when launching a new product. There are factors you cannot control, but when you use the right processes, there are factors that you can control, and should.

Just like gambling at a casino (which I admit I do not do) the more you can turn risk factors back in your favor, the more often you will be successful. Fortunately, you do not have to figure it out on your own. Corporations have codified the processes and turned it into a science.

Successfully introducing new products can increase a company's revenue by millions, and sometimes billions of dollars. With so much money at stake, large companies and think-tanks studied every aspect of product success and failure and created a standardized product development process and multiple product development models, and strategies, to minimize risk. We will leverage those processes and apply them in a digestible form that you, the individual entrepreneur can use to minimize risk and turn some risk factors to your favor.

The four major steps in the product development process are:

- 1) Fuzzy Front End**
- 2) Design**
- 3) Production**
- 4) Messy Back End (Sales & Marketing)**

FUZZY FRONT END (FFE)

The Fuzzy Front End is the hardest part of product development. Often it takes the longest time as well. This process is called 'fuzzy' because there are no clean-cut perfect lines. There are a lot of guesses and assumptions involved. That's okay. Specifics will come later. For this step let yourself think freely, brainstorm, and make rough approximations. You have permission to. It's all part of being fuzzy.

At the end of the FFE stage you should be able to answer: the following:

- What is my product?
- What is my Unique Selling Proposition? (USP)
- What benefit does my product provide?
- Do customers want my product?
- How much will customers pay for my product?
- Who is my customer?

How will I sell or distribute my product?

What are the projected costs and revenues of my product?

What resources (team) will I need to make my product a reality?

One of the quirks of product development is that failure often occurs in the last stage of development, but the seeds of that failure can be traced back to errors during the Fuzzy Front End. This means, getting it right, at the beginning, can have huge impacts at the end.

Therefore, I have added multiple gates that require a 'Go /No-Go' decision. At each gate you will decide if you will continue product development, or if you will stop and work on another product. Apple uses phase gates when they develop products too, so you are in good company as you progress in your product journey.

Don't feel pressured by your own passions. Don't rush. Research. Make educated guesses but be flexible. If you neglect everything else, get customer input as often as possible. The more the better. This is called 'Customer Driven Design' and you will hear it repeated dozens of times throughout this book.

DESIGN

This step is where concept becomes reality. If you are selling stock or white label products, you will determine your label and logo requirements. If you are creating a new unique product you create product specifications, determine the shape, color, pattern, and texture, and decide product materials. This is also where you will make changes, make more changes, and then make changes again.

During this step you will probably augment your team with outside help or freelancers such as, (depending on your product) an industrial designer, graphic artist, electrical or mechanical engineer, or package designer.

When you finish the design stage you should have detailed specifications, product designs, perhaps CAD designs, and your concepts will have been translated into concrete deliverables. You'll identify manufacturers, negotiate cost, ensure your prototype fits your concepts, and make changes if needed. Once again, like the FFE, your goal is to have as much customer input as possible in your design decisions.

PRODUCTION

This is where manufacturing occurs and is often called the Implementation step. In addition to manufacturing your product, you will determine shipping and logistics needs, address IP protection, and establish Quality Assurance (QA.) During this stage your concept is produced into a real product.

This step begins with PVT and ends with shipping and logistics.

MESSY BACK END (MBE)

The term 'Messy' does not begin to describe what happens next. This step deals with product launch, sales, marketing, collateral, meetings, more meetings, dealing with customers, retailers, buyers, schedules, billing, payments, frustrations, more sales meetings, unanswered emails, frantic orders, and the unpredictable chaos of the real world. It's also when you finally, start making money.

Congratulations!

12. PRODUCT DEVELOPMENT METHODOLOGY AND MODELS

There are several product development models that large corporations use when developing new products. Their goal is to expedite the development process, assign the correct teams, monitor progress, efficiently use people/resources, respond to changes, adapt as needed, report through a chain of command, justify budgets, and ensure customer needs are met.

You don't have teams to assign. Frankly, most product entrepreneurs work as a department of one, (or a department of few) when they first start. You may not be the same as big corporations (and you certainly do not have multi-million-dollar budgets,) but as a team of one, you don't have to worry about performance reviews, team rivalries, office politics, management issues, and committee decisions. You can make decisions quickly. You can pivot as situations change. You can take calculated risks. You can add temporary virtual members to your team as needed, plus you can pick and choose the best product development tools the big corporations use.

THE BAH (BOOZ ALLEN HAMILTON) MODEL

The BAH product development model has been around for decades. It creates distinct steps to follow which was one of its strengths. These days, in the age of Agile 'Fail Fast' development, the discrete step-by-step process is now considered one of this model's weaknesses. However, for the new product entrepreneur, a step-by-step blueprint still works very well. Therefore, will follow a modified BAH model to keep development simple and to minimize risk.

THE PHASE GATE MODEL

This Phase Gate product development model is similar to the BAH model in that it is also a step-by-step process. However, in this model, each step is separated by a Go / No-Go decision called a Phase Gate. In software development the BAH model can be compared to the traditional Waterfall process and the Phase Gate model can be compared to a Gated Waterfall process. This book steals the review points from the Phase Gate model and inserts them into the BAH model to ensure you are comfortable with the risk assessment at each step before proceeding to the next. Students in the Product Development Academy program get to hear from a former lead designer at Apple, about how Apple uses the same phase gate method we have adapted here.

We also steal methodology such as a SWOT analysis, which we will discuss later in the book.

Over 80% of U.S. corporations use variations of the BAH and Phase Gate models so you are in good company, even if you are just starting out.

THE SCORECARD MARKOV MODEL

Markov is an advanced method of addressing randomness in predictive modeling systems. As AI (artificial intelligence) and supercomputers become more powerful, the Scorecard Markov model is growing in popularity. While we can't leverage complex computer modeling, we have taken the scorecard concept from this model and applied it in the in our process to give you a method of editing down your potential products to those with the best chances of success.

AGILE PROCESSES

To reduce risk, I have included aspects of the Agile Process methodology which focus on customer feedback and concurrent development into the validation and production processes.

13. WHAT MAKES A WINNING PRODUCT?

There are many ways to define a winning product. For the purpose of Product Development Academy and this book, the definition of a winning product is the following four characteristics:

- ✓ Unique or significantly differentiated
- ✓ High customer demand with large customer base
- ✓ Zero to low competition
- ✓ Profitable

It would be nice to say that a winning product is one that is guaranteed to bring loads of profits and praise from your peers. Unfortunately, there are no guarantees in product development or in entrepreneurship.

However, a product that is unique (or significantly differentiated,) which customers want, with little or no competition, and is profitable is much more likely to succeed than to fail.

The goal of every step in the processes described in this book, from product choice to product packaging has been designed to achieve the four characteristics of a winning product.

I mentioned earlier that I do not like to gamble. I do not play blackjack. I do not play poker. However, if I am forced to gamble, such as launching a product and brand, I do like to stack the deck in my favor and increase the odds of winning.

14. DIFFERENTIATION

“Differentiate or Die” is a book written by Jack Trout and is considered by many as the bible of marketing in today’s economy. Successful companies that follow the differentiation strategy include Apple, Lush, T-Mobile, Tesla, JetBlue, Dollar Shave Club, and Uber.

Your customer, whether online or in a store, is an enlightened consumer. They are educated and aware. When a customer finds your product on Amazon, or on a shelf in a store, they are just a few clicks away from finding your competitors, researching price, or reading reviews. To succeed, you must differentiate your product with unique features that add value. This is your Unique Selling Position (USP). For Apple, their USP is innovation, design, and a cachet brand. It adds so much value that Apple can charge a higher price because of it.

If your USP is only having a cheap price, you will find yourself in a race to the bottom. Your competitors will respond by lowering their price. Then you will lower yours, and they will lower their price in return. Supposedly the master of sales Jeffrey Gitomer, was once asked for his top three tips for product success. His answer was, “Differentiate. Differentiate. Differentiate.”

Products that are unique are memorable. They are talked about, posted, and shared. Customers seek them out by searching online and going to stores. When Fitbit launched, Best Buy customers asked staff at almost every store about buying them.

Two hundred fifty years ago Adam Smith penned “The Wealth Of Nations” and introduced the world to the law of supply and demand. He demonstrated how the intersection of the supply curve and the demand curve dictated product price, which he called the equilibrium point. As the sole owner of a unique product, you control the supply curve and therefore you control the price. There are no artificial forces pushing the price down, which means the price can stabilize at the fair market price determined by value. Not driven by an excess of suppliers dropping the price on each other.

Customers get excited when they discover something unique. They notice unique products whether it is on store shelves, online, or mentioned in an article. Seth Godin, famous entrepreneur, author, and member of the American Marketing Association's Marketing Hall of Fame, said it very well. “In a crowded marketplace, fitting in is a failure. In a busy marketplace, not standing out is the same as being invisible.” Nobody pays attention to another brown cow. It is the purple cow that everyone talks about and everyone wants. Differentiation is what makes your product into purple cow.

The unique selling point of your product is an engine for success. Marketing, packaging, and sales are all built around your USPs.

A good product package will inform customers about the uniqueness of your product. Marketing will build awareness and buzz. People want to see what they have never seen before. Marketing, packaging, and advertising tells people. “Hey, look here!”

Retailers love unique products too. If you look through industry magazines such as “Casual Living,” “Kitchenware News,” “Gifts & Decorative Accessories,” and “Smart Retailer” you will see a lot of the same types of products repeated over and over again. There will often be new designs and updated styles, but rarely will you find new unique products. When they appear, retailers get excited. New unique products are called Category Pioneers. There is nothing else like them on the shelves, so every purchase adds to the total sales of the store.

Legendary entrepreneur, Peter Theil, the founder of PayPal explains that differentiation allows you to become a monopoly since you will be the only player in your field. According to Theil, this should be the goal of every entrepreneur. Monopolies are not inherently evil. Anyone who has sold on Amazon understands how competitors drive down price. In the real-life marketplace monopolies prevent a race to the lowest price.

Jeff Bezos, founder of Amazon, said, “Your brand is what people say about you when you’re not in the room.” If people recognize your product, and talk about it, then your product becomes your de facto brand. It is your ambassador. That is the goal of differentiation. It becomes the thing people talk about. You can market a highly differentiated product visually because customers will know your product even if they forget the brand name. You can market it through word of mouth because people remember it.

A product with a strong USP is a complete game changer. I have seen retailers get giddy over exciting new products. I have seen customers send texts to their friends and post on Instagram. I have seen store owner boast about how my products fly off the shelves. I have even seen corporate buyers take selfies with my products.

15. RISKS AND REWARDS OF DIFFERENTIATION

Highly differentiated products command the highest prices on the shelf and are the most appealing to customers and retailers. However, differentiation plays a major role in procurement and development as well.

COST - Higher differentiation results in higher product development cost, and potentially higher per unit cost.

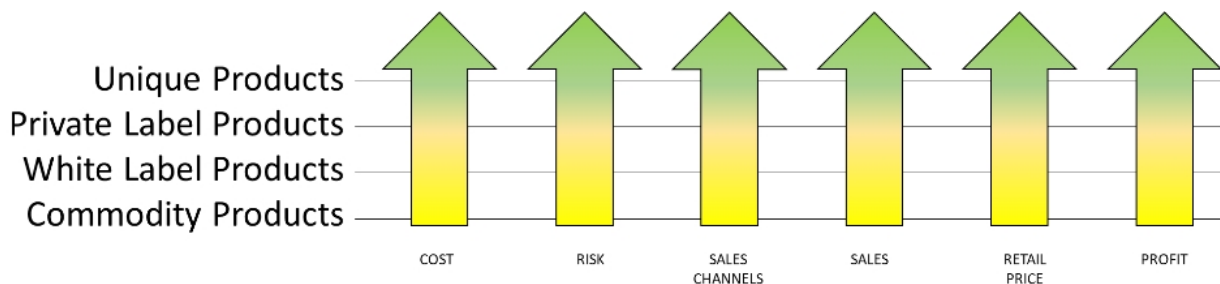
RISK - Because a unique product is not proven in the market, higher differentiation also carries higher risk of failure.

SALES CHANNELS – The more you differentiate your product the more attractive your product will be to retailers, which in turn increases the number of places customers can buy your product.

SALES - Higher differentiation results in losing less sales to competitors.

RETAIL PRICE – The more you set yourself apart from competition the more you have control over price. You won't be vulnerable to a race to the lowest price. Therefore, your price can be higher and more stable.

PROFITS – Higher differentiation allows a higher retail price, a higher number of sales, and a higher number of locations sold, which all combine to higher profits.



As you increase differentiation the type of products you procure shift from commodity to white label, to private label, and ultimately to a fully unique product. The price you pay for your products, and how you procure them, will also change.

However, the more you differentiate, the easier it will be to attain a profitable multiplier (the selling cost compared to the buying cost.)

As stated earlier (and as will be stated over and over again) your goal is to make money. The more you differentiate the stronger your chances to make money. Lots of money.

Let's look at commodity products, White label products, private label products, and unique products, to compare the advantages and disadvantages of each.

COMMODITY PRODUCTS

In economic terms, commodities are fungible, which is a fancy word that means each item is indistinguishable from one another and is interchangeable with another. The Commodities Exchange in Chicago trades agricultural products. One soybean, in a bag of soybeans, is no different than another soybean, from another bag of soybeans. Each soybean is fungible.

Similarly, Yiwu, in China is the home to the world's largest Product Commodities Market. The complex is 4 million square meters, holds 75,000 booths with 100,000 suppliers exhibiting over 400,000 kinds of products. Because it is a commodities market, the products are often indistinguishable and interchangeable from one another. One cell phone case is the same as another. One makeup sponge is the same as another. Just like one soybean is the same as another.

Commodity suppliers are usually trading companies that purchase their products from factories and sell to retailers and importers, like you. You can also find commodity item suppliers online at Alibaba.com, 1688.com, and other sites.

Typically, the commodities products business model works best for B2C and ecommerce sellers. Selling commodity products B2B to retailers is more difficult because retailers are more interested in new exciting products they are not selling already.

WHITE LABEL PRODUCTS

A White Label Product is an already manufactured product you can re-label to make it appear as if you had made it under your own brand. Think about the old routine on TV where the inept cook tries to impress dinner guests by buying a pie from the store shelves, putting it in the oven, then taking it out and pretending they baked it themselves. White label is the same concept. Anyone can buy the same pre-made pies from the shelves, and pass them off as made by Sam, Tom, Paul, Donna, or whomever they choose.

You frequently see large commercial examples of this in supermarkets, where the same cola is sold under five different brand names. Each is the same product from the same factory and merely packaged in different cans. Each cola tastes the same because there is nothing distinctive from one to another.

I recently visited a factory that created the exact same shelving product for one of the largest mass market stores in the U.S. and also one of the largest hardware chains in the U.S. Once the product came off the assembly line, it was split into two assembly lines, then put into a package with the appropriate retailer's name on it. Each package looked unique but both retailers sold the same interchangeable white label product created in the same factory.

As an entrepreneur, you may buy the same wine glass charms, or magnetic in-car cell phone holders, that are sold to hundreds of other entrepreneurs. However, since it is White Label, you can put your own brand name and logo on the carton, (and sometimes on the product) and thereby make it appear that the item is made by you.

An advantage of a White Label product is that the Minimum Order Quantity (MOQ) is often low since there are no product modifications besides the brand name and logo. White label is also advantageous if you have a strong recognizable brand and want to expand your product line. For example, if you have a recognized body-wash brand, you can add a body brush to your brand line quickly and inexpensively through buying white label.

The disadvantage of white label products is that other than the logo or brand name, each is the same as others. Retailers may not want to carry your product. If you sell online, you may find yourself competing solely on price, or worse, competing based on discounts or excessive ad spend.

PRIVATE LABEL PRODUCTS

Private Label Products are modified to make them unique and are sold exclusively to you. The definitions Private Label Products, and White Label products, are not the same, and are often incorrectly applied.

A manufacturer may offer white label versions of shampoo, with the fragrance of coconut. Each has the same formulation of water, surfactant, foaming agent, and coconut fragrance. However, a private label variation, unlike white label, may have a similar formulation of water, surfactant, and foaming agent, but include a lemon-bergamot-mint fragrance. The fragrance combination and formulation would be exclusive only to one purchaser, and not sold to anyone else. You may even consider a special bottle, or cap, which makes your product stand out even more. This makes the private label product, unique to you, and sold under only your brand. Only you can sell it, which gives you some important advantages; brand distinctiveness, exclusivity, and product differentiation – which has the potential to be protected through intellectual property protection.

Similarly, like white label, private label allows brand expansion without large financial or R&D risk. If you sell high end, men's apparel, you can introduce a cologne under your brand name without investing too much money. With proper marketing, a private label product can be highly profitable.

Some other examples of private label modifications include:

Beach sandals with the soles molded to leave imprints that say "I LOVE THE SUN" wherever you walk. The standard item was the beach sandals, and the modification is the imprint.

A sweeper/duster that extends 10 feet when all others only extend 8 feet. The standard item was the sweeper/duster and the modification is the extra-long extension.

A Bluetooth speaker and flashlight that includes a lockable carabiner to keep it from being stolen. The standard item was the speaker and flashlight, the modification was the addition of a lockable carabiner.

A lucrative version of private label differentiation is to add licensed characters onto an item. A diaper bag can be modified to include a power bank for your cell phone and

may sell very well. However, if you can also add an image of Disney's latest princess on the side, the sales could go through the roof. Licensing must be approved and can cost quite a bit of money, but the right name or character can completely transform the appeal of a product. Sports teams and movie characters are the most popular to license.

CHOOSING THE RIGHT MODIFICATIONS

When you choose to modify, you hold the success of your product in your hand. Always make sure that the modification adds perceived value to the product. Adding perceived value means that the customer feels that your product is more desirable, or is worth more, than other comparable products.

For example, the customer may see a dozen different beach sandals at a resort gift shop, but only your brand leaves a message in the sand. Your brand may cost slightly more than the competition, but if the customer feels it's worth the price, you have a winner.

Perhaps you notice that karate students buy a lot of cloth belts in white, yellow, gold, orange, purple, blue, green, red, brown, and black. If you knew nothing about karate you might consider offering a rainbow striped belt. Rainbow versions are not yet available, rainbows are popular, it would include all the other colors, and it would be unique. Yet if you tried selling rainbow colored karate belts, you would fail.

The colors of karate belts follow strict protocols and standards. They represent rank and must be earned. A rainbow-colored belt is not indicative of a karate rank. Therefore, although it is different than the currently available belts, in the eyes of karate students, it has no increased value and is certainly not an improvement.

How do you avoid mistakes like that? The answer is to always get customer input in your product decisions. Not knowing about karate belts is understandable. Once you talk to a customer who practices karate, you would quickly realize your modification is not adding perceived value and you can stop development before you lose money in a failed product.

UNIQUE PRODUCTS

Unique products can be extremely profitable. They are innovative, first-to-market, never-before-seen inventions. The most gratifying experience you will have as a product entrepreneur is seeing a concept in your mind transformed into a real product that customers buy. Nothing else feels quite like that. Warning: It's addictive.

Because you are first to market and unique, the competition is very low. Because you are the only person selling the product, you have control over the price. Retailers love new products. They may be wary at first, but if it shows sales traction, they will happily jump on board. They want to bring their customers something different and innovative. On the scale of differentiation, a unique product is at the very top. New, unique, popular products can be financially life changing. I know people who have received purchase orders (POs) over a million dollars.

Be aware, however, that launching a new groundbreaking product has unique challenges as well.

The initial costs, and cost per unit may be higher. Depending on the product and method of manufacturing there may be high costs for plate charges, mold charges, licensing fees, and so on.

The upside is that you will carve out a monopoly for yourself within your product space. That means you do not have to fight competitors, you get to control your pricing strategy, and you can grow a profit-making brand. Those are all major factors of success and absolutely worth the extra effort.

A NOTE ABOUT KEYWORDS AND UNIQUE PRODUCTS:

When people look up a product on Amazon, they already have a general idea of what they want to purchase. Marketers call this an end-of-the-funnel behavior.

Sellers on Amazon try to identify the words people would use to search for their product/ These are called keywords. Smart sellers leverage the keywords to put their product into a buyer's search results.

A new product, by the nature of being new and unknown, does not have customer awareness and therefore does not have a history of searches and keywords. New products should be considered top-of-the-funnel and need a different approach to launch, including retail stores.

Product entrepreneurs love to talk about fidget spinners. They were a very hot item just a few years ago. You have probably seen them yourself and may have even owned one. But before fidget spinners were ubiquitous in every store, nobody knew about them. Zero.

Since fidget spinners didn't exist people didn't know they wanted them and didn't search for them. As a result, 'Fidget Spinner' was not a prized keyword. No one asked about them in their local stores. There were no sidekicks filled with them at Walmart, and no POP displays at small retailers. (Sidekicks and POP are merchandising terms we will discuss later.)

Every keyword expert would have advised Allan Maman and Cooper Weiss, founders of Fidget 360, not to launch their products.

This is not a hypothetical. I have personally had clients who were told by 'Amazon FBA Experts' to "drop the price, sell them out, and get a product with better keywords."

Of course, there are no existing keywords. It is a new product. That advice would have been disastrous!

"Keyword Experts" have built careers on the methodology of copying existing products with established demand and keywords. They often have no experience with groundbreaking products.

The hard truth is that no new and unique product has heavy keyword results prior to launch. If you depend only on keywords you might mistakenly think you shouldn't launch. And you would miss an amazing opportunity.

That is not to say that launching a unique product is easy. It's not. The cliché "First through the wall gets all the bruises" is often true. The initial challenge, and hardest to overcome, is product awareness and education.

Therefore, for new and unique products, marketing becomes critical. Customers do not know what your product does, and what the benefits are ...yet.

Product launch, packaging, and marketing are critical to your success. All of them must be treated as opportunities to educate the customer. (We will talk about Launching, Go-To Market strategies, Sell-To Marketing, and Sell-Through Marketing in more detail in the MBE stage.)

The good news is that all of this has been done repeatedly by companies successfully introducing new products. The blueprint has already been developed for

you.

The great news is that a winning unique product can bring you life-changing money. Have any doubt? Launching profitable, unique products is the entire premise of Shark Tank.

KITTING AND BUNDLES

Bundling is both a strategy, and a product type. In many ways, bundling is the physical manifestation of the old saying, “The sum is greater than its parts.”

To bundle, you combine multiple items into a set that has greater value than the items on their own. If a customer looks at two offers for the same fancy DSLR Camera, they will often choose the one that comes with an extra strap, lens cleaning kit, and a second, albeit cheap, lens. The extra bundled items should not cost much and allow you to increase your price and perceived value compared to competitors. (We will discuss product pricing and component costs later.)

The components of the bundle may be Commodity stock items, White Label items, Private Label items, or unique products. The selling point is the innovative combination of products and the increased perceived value of the bundle.

One example is a gift theme, such as a Sweet Sixteen. Another bundle concept is convenience, such as cleaning products for a housewarming gift or back to school products.

A very effective method of bundling is to include a unique “anchor” product and add stock items around it. This makes your bundle different from any other. You may also want a customized bag, box, or container. If you have a niche brand, your bundle could be products from your niche such as cosmetics, or pets.

The economic and business term for bundling is ‘Kitting.’ When you look at warehouses and logistics suppliers (discussed later) you will probably hear the word ‘kitting.’ That’s just another way of saying bundling.



Fuzzy Front End (FFE)

16. PRODUCT IDEATION

"Build a better mousetrap, and the world will beat a path to your door" is a phrase attributed to [Ralph Waldo Emerson](#) in the late nineteenth century

The phrase has turned into a metaphor about the power of innovation. Interestingly, there are more than 4,400 patents issued by the United States Patent and Trademark Office for new mousetraps. This makes mousetraps the most frequently invented device in U.S. history.

...Yet we still have mice.

The lesson of this story is that not every product has to solve a problem. It's good if it does. But sometimes a product can just fill an emotional need.

Case Study – FOUR LEGGED INSPIRATION

Inspiration for products can come from anywhere. Dog SnorZ was inspired by my dog. More specifically, by my wife's service dog, Gabby. Gabby was amazing and changed our lives in uncountable incredible ways. She also led to the creation of an unforgettable product.

Our first night with Gabby started as usual. My wife climbed into bed, then I climbed into bed after her. Before I could get settled Gabby jumped up into the bed and squeezed in next to my wife. My wife slid over to give the dog more room and I was pushed to the very edge of the mattress.

I rolled over to say something, and my wife gave me the 'look.' Anyone who has ever been married knows what the 'look' means. Shut up. Don't say anything. Don't complain.

I was smart. I kept my mouth shut, and the new sleeping arrangement was confirmed.

I tend to look at life with a sense of humor. A few days later I was in a flower shop in Bellevue, Washington and noticed they had pillowcase sets that said, 'His Side' and 'Her Side.' I jokingly asked if they had a set that included the "Dog's Side. They laughed and said that if they did, they would sell out in minutes.

Light bulb moment! ❖❖

At the time I was working as a Business Manager at Microsoft Corporation, running a global division worth over a billion dollars. I was earning a very nice paycheck, but the entrepreneurial spirit was burning inside of me. I had knowledge from previous successes running and launching brands, and thanks to my connections across the world, I had friends in China.



I checked online and there were no similar products for dogs that slept on the bed. With just a few after-hours phone calls, I was connected to a pillowcase factory that supplied the Beverly Hills Hilton, and other high-profile hotels. They told me what I had to provide, and after talking with some graphic artists, I had the artwork I needed.

I had a lot more to learn about pillowcases, Chinese factories, and shipping, but eventually I ended up with samples in my hands. The pillowcase split the bed in two. Half went to the dog. The other half went to the wife. The husband (me) got the very edge.

I gave a dozen to the flower shop I had spoken to before. They put them on display and sold out in a few hours. Wow.

I had a hit on my hands.

A few months later I displayed the pillowcases at Global Pet Expo – the largest pet product tradeshow in the U.S. I was awarded second place as best new boutique product of the year. I was also awarded first place by Blog Paws, a consortium of pet bloggers.

Two weeks later I was surprised to learn that the Today Show included my pillowcases on a feature about pet products. The publicity and awards were fun, but more importantly, I made a ton of sales to retailers in a broad range of channels, from specialty stores to large chains, to Amazon Vendor, and to catalogs.

17. PRODUCT IDEATION METHODS

How do you find products that don't exist? How do you figure new ways to do things? How can you change a product so that it feels brand new and yet still recognizable?

- Some people have 51 ideas written on their white board.
- Some people know the product that they want to develop and may already be deep in the process.

But...some people are stuck, have not started, have no idea what product to pursue, and are scared they never will.

If that describes you, then read on. This section is for YOU.

ALLOWING YOURSELF TO COME UP WITH AN IDEA

Coming up with an idea for a new product or invention is not an easy task. Ideation is a creative activity requiring imagination and an open mind. These are traits that we all have as children, but we often lose as adults.

Science tells us that imagination and creative thought require coordination between parts of the brain that normally do not work together. To increase the occurrence of novel thoughts you must build and grow new pathways between areas of the brain not usually connected.

Art tells us that creativity sometimes flows easily, and at other times, creativity is blocked. Artists throughout the ages have dealt with creative blocks. Therefore, I have included techniques that artists have used to recognize creative blocks and overcome them.

I have broken the Ideation process into three sections.

1. What **Not** to Do
2. What **To** Do - Traditional Ideation
3. 7-Day Intensive Exercise

Take your time and go through each section. You may want to go through some sections multiple times. If you find yourself continually blocked, re-read the section on what NOT to do.

Even if you do not get a novel product idea on your first, second, or several attempts, do not stop. Continue the exercises.

Inside your brain new pathways are being formed. Every person is different, and every person's brain is physically different. Imagine the construction of a bridge. That is what's going on inside your brain. You won't be able to use the bridge until construction

is complete, and often that construction takes some time. In the same way the new ideas won't come easy until the pathways are built, but each time you run through these, particularly the 7-day routine, you are building the bridge making progress on the construction.

The great news is that after the pathways are built, each time you try to think of now innovative product concepts, the ideas will come to you easier.

As Ralph Waldo Emerson said, "The mind, once stretched by a new idea, never returns to its original dimension."

Scientists have proven that to be true in the physical sense as well as the metaphorical sense. So, it's time to stretch your mind.

18. WHAT NOT TO DO

Each of these steps begin with the words DO NOT.

DO NOT LET FEAR TAKE OVER

Fear, particularly the fear of not being able to identify a successful product, can be debilitating. It can frustrate you throughout the day and keep you from sleeping at night.

If you are in an entrepreneur group or mastermind, you may feel unworthy comparing yourself to other entrepreneurs with exciting ideas that you wish you had thought of.

Fear will make you doubt yourself, and fear blocks the creative juices. Fear of failure may cause depression, and depression adds more blocks. Suddenly you have failed before you have even begun this wonderful journey.

Try repeating what Frank Herbert wrote in *Dune*, “I must not fear. Fear is the mind-killer. Fear is the little-death that brings total obliteration.”

Recognize that it is fear talking, not rational thought. Fight back. Relax. Use calming techniques such as meditation, yoga, exercise, diaphragmatic breathing, or EMDR if they work for you.

If you need encouragement, I can personally assure you that many people who thought they could not think of new products followed each of the sections, and even if they had to repeat them, eventually came up with good concepts.

You CAN think of good ideas.

DO NOT QUIT

You are not alone. Every entrepreneur has thought about quitting at one point or another. EVERY. SINGLE. ONE. Even the famous ones. It’s part of the journey. So, pause, take a break, and step away from the struggle of thinking of a product.

You officially have permission to do nothing. You have permission to drink coffee, or make some tea, take a walk, jog, paint, smoke, call a friend, even hop on a plane. You have permission to give yourself some distance. It is not quitting. It’s simply resetting the board and allowing yourself clearer thoughts.

*“Every now and then go away,
have a little relaxation.
For when you come back to your work
your judgment will be surer.”*

— Leonardo Da Vinci

DO NOT FEEL YOU HAVE TO FIX THE WORLD

Many successful products solve problems. Band-aids, long lasting batteries, and biodegradable cutlery all solve problems. The key is not to limit yourself to ONLY problem-solving products. A Lionel Messi jersey does not keep someone warmer than any other jersey. A framed art photograph for a wall does not solve a problem. Sometimes successful products merely satisfy a person's desire. The biggest example of this is people's desire to connect and share their lives. Facebook didn't solve a problem; it fulfilled a desire.

DO NOT PLACE TIME LIMITS ON YOURSELF

Coming up with a new product idea takes time. It's based on creativity. As many artists will tell you, creative blocks will always occur, but will also always go away. The great thing is that product ideation is an art and is also a skill. The more you train yourself, and the more you practice, the easier it will be to think of new products. Just be patient. At first it may not happen quickly so don't put a stopwatch, or calendar on yourself to add pressure. Let it take its own time. Science has proven that you have to build new creative pathways, and sometimes that takes a while.

DO NOT BELIEVE THE NAYSAYERS

I have friends who love to repeat the myth that 'everything has already been invented.' It's simply not true. Just look on the shelves of any large store. You will see

products you didn't see a year ago, or two years ago, or ten years ago, and so on. New products are constantly being created.

Your product could be next. Everything has NOT already been invented.

DO NOT COMPARE YOURSELF TO OTHERS

Never compare yourself to other entrepreneurs and their ideas. They may think their idea is fabulous, when in fact their 'winning idea' may be impractical, unprofitable, or just plain bad. They don't know yet, and neither do you.

More importantly, thinking about their ideas distracts you from growing your own nascent ideas.

DO NOT PURCHASE A LIST OF PRODUCTS

Purchasing a list of products to develop may seem like an easy and fast way out of your slump. Especially when the people offering the list appear to be super successful and 'just giving back.' This is a scam. Product success depends on low competition. Since hundreds, and possibly thousands, of other people receive the same list, you will have hundreds, possibly thousands, of competitors. This also applies to online lists (for free), product clubs with idea lists, and subscriptions to monthly lists for 'hot product ideas.' I have two separate friends who each lost money trying to sell silicone BBQ gloves because an expensive subscription service advised them it was a hot product. Each one tried to sell the same product, and each thought they had secret information that only a few special people were privy to.

DO NOT HIRE SOMEONE TO RESEARCH

I am inundated in Facebook ads and posts from strangers who offer to research winning products for me. Many are Virtual Assistants (VAs.) A quick query on Fiverr will bring up dozens of people offering the same service. At best this is an exercise in finding products that fit the 'copy-a-product' method of FBA. At worst, this is a scam.

Do not pay someone to come up with a winning product for you. Identifying a product to develop and sell is the most critical aspect of being a successful Product Entrepreneur. It is also the most personal.

Consider this. If all these strangers truly had a winning product to develop, they would be doing it themselves, not selling the idea to you. Additionally, you won't have any passion for the product since it wasn't your idea and not something you believe in.

Having someone sell you an idea to develop into a product is another flavor of the same scam as above. Don't allow your fear or frustration let you fall for it.

DO NOT OVERTHINK

This just puts too much pressure on yourself.

You don't have to invent an anti-gravity car. My printed pillowcases were unique and a big hit. They weren't groundbreaking and included no new software or technology. Yet people had never seen anything like them and bought tons of them.

Don't think that a new product idea has to be a whiz-bang technological wonder. Sometimes it is just enough to make people smile.

DO NOT FALL IN LOVE WITH A SLOGAN OR WEBSITE NAME

It is very tempting to fall in love with a clever slogan, or a website name, and then try to build a product around it. This rarely works. It's like falling in love with a catchy title and then writing a movie around it. The product will feel forced and may not have strong customer demand. (Apologies to "Pirates of the Caribbean.")

DO NOT TALK YOURSELF OUT OF CREATIVITY

Get out of analysis paralysis. Your product idea doesn't have to be perfect, or even good at this point. Simply come up with an idea. Building creative pathways is your new goal. Besides, your 'bad' idea may actually be a good one and you don't realize it yet.

Spencer Silver of 3M was trying to solve an airplane adhesive issue by creating a new glue. Instead, he created a weak adhesive. 3M tried using it on a blackboard product. It was not successful.

A couple of years later, his coworker Art Fry, used the adhesive to keep bookmarks in place within a hymnal. Suddenly it became clear that the weak adhesive, when placed on paper, was a brilliant product. Thus, Post-It's® were born.

DO NOT LET YOUR PAST HAUNT YOU

This is the hardest one of all. Stop thinking that if you made a mistake in the past, that you are destined to make a mistake again.

First, remind yourself that you cannot learn without making mistakes. If you have a child, watch them learn to put on pants. They try. They fail. They try again. Be like your kids. Keep trying. If you gave up after a few mistakes, you would be walking around the rest of your life without pants.

Change your goal. This changes your perspective on failure.

Your new goal is to build new creativity pathways in your brain. To build new habits that lead to new ideas. Your goal is for your creative blocks and walls to be broken.

Don't try to evaluate your ideas. We will do that in the next section. Right now, let the bad ideas, and the good ones, flow into your consciousness. Even bad products will break through walls.

If success equals 1) following the exercises, and 2) building new pathways, then you won't fail.

Plus, eventually those new neural pathways will deliver creative ideas and new concepts.

DO NOT SAY 'NO' TO YOURSELF

Humans are gifted at talking themselves out of things. It's easy to tell yourself, "that won't work," "I can't make that," or "nobody would like my idea."

Now is not the time to self-edit or dismiss your ideas.

Whatever product concepts you come up with should be listed on your whiteboard. Editing will come later. We will walk through a number of objective criteria that will narrow down your list of potential products. If you get an idea, pat yourself on the back and congratulate yourself. You are building creative pathways in your mind. We will figure out later if your product is feasible.

19. TRADITIONAL IDEATION

There are several great methods of coming up with new product ideas. All have been time-tested, and all have generated successful product ideas.

Each of these steps begin with the word Do.

Try all of them.

DO FIND A SOLUTION TO A PROBLEM

Find a solution to a problem that you or other people are struggling with.

Krista Woods' son played lacrosse. His gloves stunk. She taped together air fresheners and drying sticks and put them inside the gloves. Bingo. She realized she had a product idea. Krista won the Today's Show Next-Big-Thing contest. She sold out on QVC. She was picked up by Lori Greiner on Shark Tank. Krista Woods is now selling thousands of GloveStix®

Rick Hopper is another great success. At age 40, Rick Hopper started needing reading glasses. He was frustrated finding places to put down his readers, or putting them down and losing them. As a solution he used magnets and paperclips to create a little hook he could attach to his shirt. He hung his readers from the hook and never had to look for his glasses or find a place to put them down again. It was useful, solved a problem, and people loved them. ReadeREST® eyeglass clips were born. Today ReadeREST clips are sold in Walmart and other big box stores.

Be aware of things that frustrate you or problems that you face. How can they be solved? Would this be a solution other people would find useful? Think about this as you go through your day. It can lead to great products.

DO FULFILL A DESIRE

Emotion and desire are almost as powerful drivers of product success. Sentimentality and humor are chief among these. All of my brands and products reflect my somewhat wry sense of humor. Often that becomes the point of differentiation. Retro designed products often evoke warm memories. Products that celebrate love and memories are strong drivers of sales as well.

As mentioned earlier, Facebook famously did not solve a problem. Nobody was screaming that they needed to post their status or share photos of their dinner before Facebook existed. The product didn't solve a problem. But it fed a need and provided an emotional reward that has made it one of the most valuable companies in the world.

DO IMPROVE AN EXISTING PRODUCT

What current products can be improved upon? A great place to start is by looking at your day-to-day life. Is there an item or tool you use that can be made better? For years at Christmas time, everyone knew the disappointment and mess of a shattered Christmas tree ornament. The sharp glass cut fingers, was a pain to clean up, and was dangerous to children and pets. The obvious solution was shatterproof ornaments. Today shatterproof ornaments are available at stores everywhere every holiday season.

DO REPURPOSE A PRODUCT

Is there something that is used for one thing, that could be used for something else? I have a product that is being developed for pets that can also be used for humans. Originally, I didn't think of it that way, but Retailers asked if I had a human version, so I am looking into different packaging options. Perhaps you like glamping and are using something in your tent or RV that was originally designed for something else but works perfectly as a camping accessory. Can you modify it slightly and make it a unique camping product? Repurposing something is also a great way of coming up with a new product.

DO FIND IDEAS IN OTHER COUNTRIES

Keep alert for products when you travel. Do you see things that are popular in a foreign country that are not yet known in your home country? Sudoku was very popular in the US, but it originally started in Switzerland. (Yup, not Japan.) If you join our program in China keep your eyes open for new product ideas. I have already found one product that is popular in China yet unknown in the US, and I'll be launching it soon. On one of our trips to the Canton Fair, a participant saw an umbrella product on the street which would be great for parents of young children.

DO WISH FOR THE IMPOSSIBLE

Make a wish list of impossible things that could make your life easier. Be as whimsical as you like. Then take the list and use it for inspiration of slightly more feasible products. Look at your new list and modify the idea to make it slightly more possible. Then modify it a little more. Remove things, change things, think of alternatives. Take small steps, and each time, make your 'impossible concept' more feasible. Continue this exercise until you have a product that might be possible to build, manufacture, and sell.

DO BE INSPIRED BY ONLINE SITES

Look on Etsy, Kickstarter, and other sites with new innovative ideas. Don't think about stealing their ideas, but let their ideas spark new ideas of your own.

DO LOOK AT PINTEREST

Pinterest has over 175 million active users. You can type in keywords and let Pinterest suggest categories. Find topics that have a lot of pins, but no associated products. When Dog SnorZ first launched there were tons of images of dogs sleeping on the human bed on the pillows. However, at that point, there were no pillowcases made just for dogs. If I hadn't been inspired by my own personal experience, perhaps the photos on Pinterest would have inspired me to come up with the same product.

DO LOOK AT ANSWER THE PUBLIC

When you type in a query on Google it tries to guess what you are looking for and autocomplete your search. It does this by trying to match your search to the millions of searches other people have done. AnswerThePublic.com does the same thing. It identifies what most people are searching for and displays it in a graphical presentation that can generate ideas and validate search interest.

Be cautious of allowing the amount of queries mislead you into a false confirmation of a product idea.

DO HACK YOUR WAY TO A NEW IDEA

Life Hacks sites such as 5-Minute Crafts, are another place to find good ideas. I recently saw a great hack, which used tension rods to keep plates stacked on their edge within a dish cabinet. I thought at the time that could be translated into a viable product.

I also saw a DIY head protector for blind dogs. Dogs are living longer these days. As they age, they often lose their eyesight. I have a senior pug that is blind, and I personally thought the concept was very useful.

Never copy the hack that you see online, but let it inspire you to recognize commonly experienced problems, and perhaps inspire you to a solution that no one has seen yet.

DO DO-IT-YOURSELF

DIY pages are also a good source of ideas. If people are solving problems, then you know the problem is an issue for at least one person. Do a google search for "DIY dog." You will see many ideas for solving dog problems. Perhaps some of these can be made into a pet product. My old pug is blind. I saw a DIY hack for a simple bumper to help blind dogs. Only a couple of versions are broadly available, and they are over \$70. Perhaps that will be a future product for me.

DO IDENTIFY A NICHE

Do Uber or Lyft drivers have a need that other drivers don't? Is there something tropical fish enthusiasts need that the rest of us wouldn't know about? What about weight loss. It's a niche, and it's huge. If you have knowledge about a specific niche, use that expertise.

DO LOOK FOR MARKET GAPS

Do you like research? Once you find a niche, subscribe to industry journals. Read industry blogs and articles. Look for gaps. As Sherlock Holmes might have said, "Look for what is not there." The movie 'Kinky Boots' is the fictionalized version of a real-life shoe factory that discovered an underserved niche market creating boots for the LGBTQ+ community.

DO NETWORK

If you have an existing brand, join your niche's Facebook Groups, Instagram Feeds, and Pinterest Pages. See what everyone is talking about. What is trending?

DO CHANGE LOCATIONS

When many people try to think of product ideas, they literally look around themselves for inspiration. Maybe you do the same thing. If so, get up and move. Put yourself in a new location. An unfamiliar one if possible. This way, when you look around yourself, you will see new things, unfamiliar things, and perhaps spark new unfamiliar product ideas.

DO COMBINE PRODUCTS

Look for opportunities to combine multiple products into one. A Bluetooth speaker is cool. So is a flashlight. You could combine the two, add a power bank, a carabiner and a hand-held security alarm. Suddenly you have a product that is unique, but quickly understood and easily manufactured.

DO FOLLOW YOUR PASSIONS

Do you love snowboarding? Or cats? Perhaps baking? People often splurge on their passions and are easy to market to. When you have a passion, you often have more detailed knowledge than other people. I once spent an afternoon with a group of car restorers from Europe. Again, and again, I heard them complain that auto paint in the U.S. is half as good as the paint from Germany, and the U.S. paint

costs much more. If I knew a lot about restoring cars, I would consider importing German auto paint.

DO PRETEND YOU ARE AN ALIEN

Imagine you are someone from a different planet who has never seen or heard of life on earth. View your everyday actions through the eyes of an alien. Why does your new Gillette® razor stand up by itself on a magnetic base while your toothbrush sits in a glass? Why is your silverware sorted and stored the way it is? Are there better solutions?

DO LOOK FOR TRENDS

Do you have kids? Are they always talking about something? Pay attention. If you can stay ahead of trends, you might find a path to success.

Do you like research? Most industries have publications which include industry statistics, analysis, and projections. For example, in 2018, Millennials overtook Boomers as the highest spenders on Pet Supplies. Coincidentally, it was within the same time frame that the tariffs went into effect. What can you deduce from this?

The largest population group, Boomers, have become more price aware. Therefore, perhaps there are opportunities for lower priced, unique, pet toys that appeal to an older generation. Maybe a lower priced dog toy reminiscent of their younger days would be a success. Based on that metric alone, I might consider introducing a squeaky toy shaped like a red 1964 Mustang.

DO ATTEND TRADESHOWS

Examples of great shows are the America's Mart show in Atlanta for gifts and housewares, Super Zoo and Global Pet Expo for pets, ASD for Consumer Goods, The International Housewares Show, the Toy Show in New York, and so on. Subscribe to industry publications, such as "Kitchenware News & Houseware Reviews."

Of course, the biggest tradeshow in the world, is The Canton Fair. If you attend the Canton Fair in China with us, in addition to seeing great new products, we will show you in person how to manage factories, negotiate great prices, overcome restrictive MOQs, and end up with winning products at a winning price.

DO CREATE PRODUCTS FOR EVENTS

Events create unique product needs. Special gifts are always needed for bar-mitzvahs, baby showers, and Mother's Day. Even Dog Mommies deserve gifts.

Think about your own life. Your culture. Things that you celebrate. Gift stores are eager for new items. Customers love to give gifts that people haven't seen

before. That is a perfect environment to introduce new products.

DO TALK TO YOUR CUSTOMERS

Do you have an established brand and customer base? Ask them what they would like to see. Communicate with them. Ask for their feedback as you design new products. Existing customers are a resource. They can provide valuable input as you expand your brand.

The most effective way to accomplish this for existing customers is to collect their email addresses. A method of doing this for potential customers is through social media and Facebook groups.

DO ASK YOUR FACTORY

Do you currently have a relationship with a factory in China? Ask what they are planning, and what is trending. They are great and often an overlooked source of information.

DO RECYCLE OLD IDEAS

Do you have a product idea from a few years ago that you never got to? Jack Dorsey had an app for short text communication with taxis. It never took off. A few years later he dusted it off and launched it again. This time he focused on individuals and renamed it Twitter. The rest is history.

DO ADD A LICENSED CHARACTER TO A PRODUCT

Licensing allows you to take a standard product and elevate it to be a unique, highly sought collector item or prized possession. A simple coffee mug becomes much more valuable with the New York Yankees logo on it. A sweatshirt becomes a collector's item with a limited-edition Disney Princess on it.

I was once at a press event with someone who imports toasters. He differentiated his product by customizing the plates to burn in the mascot, name, or symbol of college football teams. People love the toasters, and his business is incredibly successful.

These methods can lead you to success.

Spend time on each on every single one. They have all produced successful results for entrepreneurs. When you have ideas, add them on your white board, product list, or vision board. In the next section we will evaluate them and start to determine which have the greatest chance of success.

However, if these methods do not generate an idea for a unique product, the next technique should help. It is a 7-day intensive exercise to build creative pathways in your

mind.

KEYWORD BASED PRODUCT RESEARCH

Be very cautious about using keyword-based ideation method without other methods of validation.

Keyword research is a hot method touted by a lot of Amazon gurus teaching simplified product research methods.

Keyword based research can lead to fabulous new product ideas, however the nature of keywords increases the risk of deceptive data or confirmation bias.

Keyword based product research done improperly can give false confirmation of products that will fail. ALWAYS make sure to follow every step of product evaluation (described later in this book.)

20. SEVEN DAY EXERCISE IN IDEATION

The goal of this exercise is to create a mental environment conducive to spontaneous associations and novel thought. The exercise is built around journaling.

You may have to repeat this exercise multiple times. The goal is to build new pathways in between areas of your brain that are not usually connected.

The challenge you will face is that product ideation is a creative function. Creativity is rarely successful when approached head-on. If you sit down and force yourself to think of an innovative product idea, your results will probably be underwhelming...at best.

Good product ideas are like epiphanies and earthquakes. They strike without warning and when you least expect them.

Your great new product idea won't come waltzing in the front door of your brain. Creative ideas will come in through open windows, sneak in the back door, and slide up between cracks in the floor, or breaks in the wall. Instead of sitting down and 'working hard to get new ideas,' we will create an environment that allows these innovative wisps to slip into your consciousness and build triggers that help creative ideas to grow.

Y-Combinator is one of the best technology incubators in the world. Their successes include Airbnb, Stripe, Dropbox, Gusto, Reddit, Twitch, and many more. They've earned a reputation to know what it takes to create successful product ideas.

“What you need to do here is loosen up your own mind. It may be best not to make too much of a direct frontal attack on the problem – i.e. to sit down and try to think of ideas.

The best plan may be just to keep a background process running, looking for things that seem to be missing.

Work on hard problems, driven mainly by curiosity, but have a second self, watching over your shoulder, taking note of gaps and anomalies.”

Guidance from Y-Combinator

Y-Combinator describes the process of ideation like this:

The technique of allowing ideas to enter your brain while focusing on other tasks will be accomplished through your journaling.

Your task is to write. For the first four days you will do nothing else. Don't worry about products, or answers, or solutions. It is important to let the background processes do their thing.

Eventually, little seeds of ideas will form.

As you continue to journal, those seeds will germinate and grow.

You might even have an idea earthquake. Perhaps a few right after each other. Or not.

Either way, do not stop the exercise. Continue all seven days.

Let the process work.

DAYS ONE to DAY FOUR

Keep a written journal. A notebook is preferred, although it can also be an app. The critical element is to collect observations and thoughts. Writing allows part of your mind to digest whatever you see or observe in the background, while another part of your mind is focused on the motor and neurological skills of writing.

Fill your journal with whatever you see or do throughout the day – no matter how mundane. Then as you get into the habit of journaling, start adding WHY you did things you did.

I washed the breakfast dishes. The dishwasher was empty, but I didn't want to waste a whole cycle on a few dishes, so I did them by hand. Halfway through the baby started crying. I picked her up and she went right to sleep. I put the already dried dishes, washed last night, from the drying rack into the cabinet because I could do it one handed. Then I put the baby down and finished washing the dishes from this morning.

Your journal is your own, so don't worry about spelling. It's confidential and might look something like this.

Do not worry if it is not Hemmingway or if it's not Einstein. Do not expect great writing or brilliant ideas. The goal is just to observe and write. Perhaps at the end of the exercise you will have a product idea about dishwashing, or babies, or cabinets. Or not. The goal was just to journal. And you did it. Smile. You have succeeded.

ADDING TO THE JOURNAL – YOUR OWN LIFE:

As you progress through the day, observe problems that you have, and add them to your journal. Don't worry about figuring out solutions. Those ideas will sneak into your brain. Just focus on the problems and add them to your journal.

I drove to school to pick up Linda. No matter how much time I think I have I am always late. I hate this!

ADDING TO THE JOURNAL – OTHER PEOPLE'S LIVES:

People all around you are more than willing to share things that annoy them in their own lives. Write down what you observe.

I dropped Buster at the groomers and one of the customers complained for twenty minutes about the hair in her house from her dog.

If she didn't expect hair, she shouldn't have gotten a corgi.

TAKE IT UP A NOTCH

JOURNAL ABOUT YOUR HOBBIES:

Do you like to fix cars? Do you like to blow glass? Do you needlepoint? Or kite surf? Journal everything that you can think about your hobbies. Journal about aspects of your hobbies that irritate you. Join Facebook groups about your hobbies. Watch what people talk about, or better yet, what people complain about. Journal all of this.

FOCUS ON YOUR PASSIONS:

Do you love food? Or politics? Perhaps there is a social cause you fight for. Or maybe your passion is your children. Write in your journal. Remember, the goal is not to find a product...yet. It is just to open the pathways in your mind.

JOURNAL YOUR FRUSTRATIONS:

Are you pissed off? Good. Use it. What are you pissed off about? One thing? Many? This is a great time to list all the little things in life that irritate you. There's a good chance they irritate other people too.

AMPLIFY IT

USE DIFFERENT COLORED PENS:

The simple act of changing colors frees up creative thought and encourages new ideas.

Clip a few extra pens to your journal in different colors. Personally, I like using gel pens for this. Then as you write your observations, choose any color that appeals to you at that moment. The more colors the better. Choose colors purely on whim.

Observation and journaling are proven methods of breaking through blocks and germinating new ideas. You'll put these methods on steroids by using different colored pens. Tony Buzan, the father of mind mapping, used colored pens and markers in his creativity exercises for this very reason. Mind mapping is a well-studied and very effective process for opening up creative pathways.

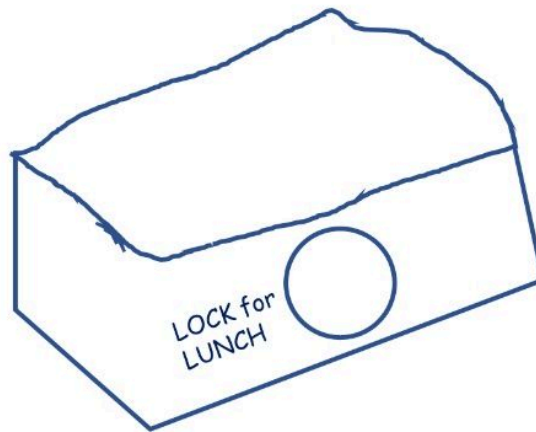
SKETCH AND DRAW:

Once you start using colors, we are going to pump up the Tony Buzan inspiration even further. As you observe and journal, start including sketches, as well as words. Nothing fancy. Stick figures are okay. No one will see the drawings but you.

Deadlines have been building up and Sheila keeps sending me to useless meeting. **BORING meetings**. I wish there was a way to get out of them.

This meeting is going on forever. My stomach is gurgling. Can anyone else hear it? *This is embarrassing.*

Five more minutes and I can eat. My lunch is in the break room refrigerator. I hope no one stole it. There needs to be a way I can lock my lunch when it's in the common fridge.



It may feel silly or childish, but there is a solid scientific foundation to this technique, based on whole brain thinking, but don't worry about that. Just journal, use multiple colors, draw when you can.

DAY FIVE

Your journal should be getting quite full by now. Time to move to the next step and start reading it.

Don't read your journal like a newspaper or a blog post. Don't read it only during a specific time. Instead, read it in bits and pieces. Read it while waiting to pick up your kids after school. Read it while on break at work. Read it while your neighbor is blasting music that you hate. Read it while you are on the treadmill. Read it whenever and wherever. Read tiny snippets or large chunks. As Y-Combinator advised, don't worry about making too much of a frontal assault. Let the background processes do their thing.

If you have distractions simply stop reading whenever you must, and then start reading again later.

This is your job for Day Five. All day. When you finish your journal, start reading your observations and notes again. Skip around. Read the parts that capture your attention. Do not write. Do not comment. Just read.

Read.

Read.

Read.

These are tiny seeds that we will let sprout on Day Six.

DAY SIX

Today has ONE HOUR devoted to product ideation. This is the minimum time necessary, and it is important you complete the full hour-long exercise.

However, if you have more time, there are additional activities listed after the structuralized hour.

The hour dedicated to ideation will take the form of three blocks, twenty minutes each.

First 20 Minutes:

Just you and a blank piece of paper.

Set a timer, then write on the piece of paper as many Product Solutions that you can. This portion is timed so write fast. Let the thoughts flow.

Don't worry about details. Don't worry about practicality. Just write solution after solution. Write other ideas too, as they pop into your brain. Perhaps something that makes you smile. Write it down. After all, people buy things that bring them pleasure or make them happy. Whatever happens, continue writing your list quickly.

If you are stumped, write about being stumped. Keep your hands moving and let the thoughts flow.

Let the time constraint force you to list solutions and ideas triggered by your journal quickly and without too much thought. Think about your journal and let your consciousness flow.

When the timer rings at 20 minutes, STOP.

Second 20 Minutes:

Get physical. Walk away from your list. Do something physical. Without distractions. Take a walk. Do yoga. Dance by yourself. Exercise. Take a shower. The goal is to quickly switch from impulsive thought processes to a changed physical and mental state.

When the timer rings at 20 minutes, go back to your list.

Third 20 Minutes:

Look at your list again. Add more solutions. Expand and add details. Do NOT discard ideas for any reason. You can expand your list, but do not discard anything.

When the timer rings, put away your list.

That's it. You are done for the day.

ADDITIONAL ACTIVITIES ON DAY SIX

There is a chance, that as you continue your day, more ideas may crawl into your consciousness. If this happens, grab your list and add a new line. Nothing wrong that at all. You are not breaking any rules. Expanding the list is good. Just don't remove anything today.

Take a bath. Let yourself soak as you think. According to myth, the mathematician Archimedes had inspiration for his law of buoyancy while lying in a bath. It could work for you.

Classical Music. Many people find classical music, particularly Mozart, helps creative thinking.

Walk along a beach. Often, staring into rhythmic water helps stir imagination. Many artists say that walking through nature, whether a beach or elsewhere, helps stimulate their creativity. Stepping away will help place your mind in a different reference.

People watch. Sit at an outdoor café or a busy food court. Watch strangers walk by. Observe them shop. These could be your future customers. See what they reach for in stores. See what they ignore. Observe what they are wearing, doing, and talking about. The new environment can spark new ideas.

Run. Exercise. Workout. Depression is the nemesis of creative thinking. Exercise and exertion help to fight depression. In addition, research has shown that physical activity leads to increased hippocampal volumes, possibly increased neurogenesis, increased brain plasticity, increased connections between neurons, and increase cognitive functions. So, get yourself sweaty. Then read your journal. You may get some inspiration along with your perspiration. Personally, I find the time on the treadmill an incredible generator of ideas.

Have a drink. Or a smoke. I'm not encouraging alcoholism, or drugs, but many people find that a few drinks or puffs help them clear their mind, and let new thoughts come in. If that's you, then use it to your advantage. Many artists swear by it.

DAY SEVEN

When you are ready, set aside an hour with no distractions. This is the time for rational thought.

Look at your list.

Are there solutions that make no sense at all? Okay, Remove them. (You may bring them back another day.)

Are there ideas that could work if changed a little? Good. These are seeds. Keep them. Circle them or underline them. Mark them somehow. Even smiley faces or stickers work, these are the seeds of new products. Let them grow.

Do you have some winners? Are there ideas that seem brilliant? Excellent. Keep these and mark them too.

Are there ideas that need to be researched? These are also keepers. Mark them.

Congratulations... Maybe.

If you do not like anything on your list, wait a week or two, and repeat the exercise. You are training your mind to think in new ways. It will take practice and repetition.

You may also want to talk with another entrepreneur. Perhaps you have a winner that you didn't notice. You may be too close to it to see it clearly.

If you have ideas you like, then it is time to celebrate and move forward. Write them all down on a new list. Use your white board or vision board if you like. Next, we will evaluate your ideas and identify the winners, with objective data and tools.

21. VISUALIZATION

Once you have your product idea, sketch it out. It doesn't have to be an accurate or realistic drawing. No need to be an artist. Just enough for you to understand what you are looking at. Sketching will help you treat your product as if it is real. It will also force you to begin analysis of your product and consider the details.

Does it need to stand up? What will it stand on? Legs? A solid base? You will address these questions as you sketch. There is no requirement to have definitive answers right now. After all, this is the Fuzzy Front End. Your product will go through many changes and iterations.

You can do this for just one of the products on your list, just a few, or all of them. It's the Fuzzy Front End, so it is all up to you.

Below your sketch, list the most important features and benefits.

Features are facts about your product. What it does, how it looks, how it functions, and so on.

Benefits are less tangible but equally important. In fact, some people would argue that benefits are even more important than features. Benefits are the reasons customers purchase products. What problems does your product solve? How does the product make your customer feel? What reasons would the customer buy? How does the product change the life of the customer?

The features of a suitcase might be hard sides, large capacity, lightweight, and four extra-large multi-directional wheels. The benefits would be that it protects whatever is inside, gives you confidence that your stuff is safe, and it rolls easily over rough surfaces and curbs.

Think about your customer. Who would need a large suitcase that can roll over curbs? Someone who travels a lot and brings a lot of stuff with them. Someone who checks their bag and perhaps lives in a city where curbs would be a problem for a bag with smaller wheels.

22. VARIATIONS

You are still at the imagination stage, so think about variations. Perhaps your suitcase can come in two sizes and three different colors; that would be six different products.

Perhaps your silverware tray can come in three different configurations.

You do not have to produce every variation right away, but having potential variations brings strength to your product idea.

23. WORKING NAME

Movie titles are a critical element of their success. Potential titles are tested with audiences and executives. It takes a long time and involves a lot of study. However, filming cannot be held up waiting for a decision on a title. Therefore, while the film is being developed, it is given a rough name, referred to as a ‘working title.’

Your product, your brand, and perhaps even your company will need names. We’ll discuss naming later, but for the moment your product concept needs something you can refer to it by. So, choose a name.

This is just for your internal organizing. It’s not for a website or trademark. Don’t worry about infringements, domains, or anything else. A descriptive name usually works best. For example, an extra-long burning candle could be called 48-hour-candle. Later on, you may change it to *Survivor Flame*, but at the moment you now have a fuzzy way of talking about your product.

24. PRODUCT EVALUATION

Time to edit.

You may have only two products on your list, or you may have two dozen. Either way, now is the time to prioritize your list and identify the true winners.

The first part of this process focuses on product research. The second part focuses on the customer. To enable you to bring your customer into the picture, you will start by building a (fuzzy) customer avatar. Later during Validation, you will gain insight from actual people. As you do so, you will get to know your customer much better.

Each step in the evaluation ends with a decision gate. Just like Apple Inc. At each decision gate you will have to make a decision about proceeding with your product, or not.

It might be frustrating to discard, but it is better to break your heart a little now, than to break your bank account later.

Of course, true validation will come when real customers pay real money for your product but by following each of these steps you will gain a much clearer path towards potential success and avoid pitfalls.

Again, I will state, your goal is to make money. There is no way to guarantee success, but critical evaluation will help you weed out products that will most probably lead to failure.

PRODUCT EVALUATION STEPS AND GOALS

Showstoppers – This will alert you to compelling reasons you should stop your product right at the beginning of the analysis process. Followed by a Decision Gate.

Market Analysis – This will give you an understanding of the market size and competitive landscape. You will refer to this when you do a SWOT analysis later. Followed by a Decision Gate.

Product Analysis – This scorecard will rate your product on potential success factors.

Profitability – Can your product meet a minimum 7X multiplier? Followed by a Decision Gate.

Customer Analysis (Fuzzy) – Build a primitive customer avatar that will be used when forecasting customer demand.

Sales Channels (Fuzzy) – This is your first run at identifying sales channels for your product.

Demand Validation – The most critical question during FFE. Do customers want your product? How much would they pay? Followed by a Decision Gate.

Financial Projections (Fuzzy) – If everything works, what revenue can you expect? Followed by a Decision Gate.

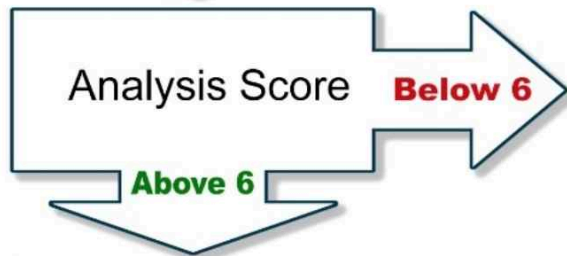
Product Strength Analysis Flow Chart



**DECISION
TIME**



**DECISION
TIME**



YES	NO



**DECISION
TIME**



**DECISION
TIME**



**DECISION
TIME**



✓ CONTINUE DEVELOPMENT

25. SHOWSTOPPERS

Before you invest time and money into product analysis, there are some basic questions you can research upfront which could be showstoppers for your product.

DON'T KILL YOUR DOG

Is your product safe? You wouldn't try to launch chainsaws for toddlers, but there are less obvious safety concerns. Research your product and its components for Consumer Product Safety Commission and FDA concerns. Also do online research. A friend started developing a product for dogs that included tea tree oil. Luckily, a quick Google search showed that tea tree oil has potential health issues for dogs. I was developing a train whistle product to be sold at a baseball stadium next to train tracks. My insurance agent alerted me to the potential to serious injury issues by an angry (and possibly drunk) fan throwing the aerodynamic, and heavy, wooden whistle from the top deck of the stadium. I terminated product development. Safety and potential harm is always a showstopper.

DON'T KILL YOUR BUSINESS

Are there regulations or practicalities that would kill your business? The legal cannabis industry is creating tons of opportunities, but as of the time of this writing, there is a lack of availability of financial and banking opportunities. Chinese bedroom furniture is enticing, but anti-dumping import duties make the business very difficult to start (as of 2020.) These challenges can be a showstopper.

DON'T INFRINGE ON INTELLECTUAL PROPERTY

Imagine that you have designed a drone that delivers medicine or a defibrillator to a person in an emergency. That would be an amazing groundbreaking product. However, check with the patent office (USPTO) to make sure your design does not infringe on existing patents. A quick patent search would show Google's Emergency Medical Response Drone U.S. Patent No. 8930044.

The best way to search for existing patents is with a patent attorney, but you can make a good search on your own using Google.

Open the URL: www.google.com/patents.

Type the name of the idea or description of the idea.

Click the SEARCH Icon

If you are passionate about a product and are not sure if an existing patent prohibits you from developing your idea, consult with a patent attorney. We delve deeper into patents and intellectual property later in the book.

26. DECISION GATE



Based on the showstoppers you will have to decide to continue with this product or choose another.

27. MARKET ANALYSIS

How many people want to buy your left-handed opera glasses? More specifically, how many left-handed people go to the opera, and of them, how many use opera glasses? Of that population, how often do they buy new opera glasses, and what would stimulate them to purchase new ones?

There are multiple methods of researching market size and understanding the demographics of your potential customers. Research both customers and retailers.

Start your basic search with [Google.com](https://www.google.com), and expand to industry and demographic studies.

[Wikipedia.com](https://www.wikipedia.com) is also a great resource for researching market size and potential retailers. You should also research your targeted retail outlets. Do you want to sell in Canadian Tire? Wikipedia tells you that they have 1,686 locations.

<https://www.alexa.com/siteinfo> allows you to enter a website and receive a report on the demographics of the people who regularly visit that website. [Free]

<https://www.statista.com/> Statista is one of the best sites for market research. The site includes datasets on topics in over 600 industries [\$59/month with limited free option.]

<https://www.census.gov/data/data-tools.html> U.S. Census data helps determine the potential reach of your product. The site has multiple online market research tools and free industry research reports.

[AnswerThePublic.com](https://www.answerthepublic.com) gives you concept connections based on Google autocomplete searches. It is a great way to understand if, and how, people are searching for solutions similar to your product.

Industry Organizations. The reference section of your local library is still a good resource. Although many industry organizations charge several hundred dollars for their annual industry surveys, many libraries receive the surveys for free, and give access to their patrons.

Combine Market Analysis and Competitive Research (next) to make a decision on your next Yes/No phase gate.

28. COMPETITIVE RESEARCH

There are three forms of competitors to research, Direct, Indirect, and Replacement.

Direct competitors offer similar products targeted at the same market with the same goals. A classic example is Coke and Pepsi. This is what people most often think of when they consider competitors.

Indirect competitors offer similar products but with different goals. If you create small toys for children, you may have indirect competition from McDonalds. McDonalds is a fast food producer, but if the toy in their Kid's Meals looks like the toy you are trying to sell to retailers, then suddenly McDonalds is your competitor.

Replacement competitors offer a product that provides the same benefit that your product does, even if it does not appear similar. The much talked about example of this is the webcam blocker pitch on Shark Tank. The product covered the webcam on a laptop and prevented hackers from using your camera to spy on you. One of the Sharks pointed out that they simply use a piece of tape over the lens and didn't need to pay for camera cover.

RESEARCH:

Basic competitive research can be done online and in stores. Look for similar products, and competitors, then chart out your competitive landscape.

Who are your competitors?

How many competitors are there?

How strong is their market share?

What is their social media presence?

What are their strengths?

What are their weaknesses?

Can your product be improved and provide better value in the eyes of the customer?

Where are your competitors purchasable? What is their distribution?

Amazon is unlike traditional retailers. On Amazon there can be 100 sellers offering the same in-dash car cell phone holder, differentiated only by a logo, a small detail, or a better listing. Retailers do not have more than one vendor selling the same item. If they did, it would result in one vendor's sales cannibalizing the other's sales, with no net increase to the profitability of the store. Therefore, the retailer is not going to remove an existing, dependable vendor and put you on the shelves if the products are similar to each other. You will be looking at distribution in retailers as a major profit-making channel. If you have a competitor that has a strong position with a major retailer, you should research alternative retailers and see if there is enough market available to you. Alternatively, can you modify your product significantly to create the perception that your product is not the same as the established product.

29. DECISION GATE

Based on what you know so far, can you achieve enough market share to produce revenue and enable growth? If not, stop the development of this product, change it, or move on to a different product. DO NOT enter a market that is saturated unless you can significantly differentiate your product in a way that customers feel adds value.



30. PRODUCT EVALUATION

SCORECARD FOR SUCCESS:

Review each product and try to answer YES to as many of these criteria as possible. Then refer to the matrix below the questions. If you can say YES to at least nine of these questions you are in a good position to succeed. If You cannot answer YES to at least six of the questions, it is time to redesign your product, or reconsider moving forward.

YES	NO
-----	----

1. Does the product solve a problem?

It is not required that your product solves a problem, and many products that don't solve problems are nevertheless successful.

However, an extremely high percentage of successful products do solve problems. Therefore, if your product provides a solution to a problem, you have a greater chance of success.

YES	NO
-----	----

2. Does the product fulfill a customer desire?

Imagine selling \$5 raffle tickets where the winner gets to spend the day with their favorite movie star or celebrity. People would go crazy and buy hundreds of tickets. Many people would consider that a successful product. Would spending a day with your favorite celebrity solve a problem? No, but it fulfills customer desire.

Many other products fulfill customer desires and are successful. Fashionable clothes are one of the obvious products that fall into this category, so are goods licensed with sports teams or Disney characters.

Is desire necessary? No. But if your product fulfills a desire, it will often be sought out by customers. That can drive customers to a store, which makes retailers, and you, happy.

YES	NO
-----	----

3. Is the product innovative?

Is your product new? Is it never-before-seen? Is your product significantly different than other products on the market? The more you differentiate your product, the fewer competitors you have.

Unique products are also more attractive to retailers since sales of your products are exciting, may draw customers into the store, add new sales to the bottom line, and do not cannibalize existing products they may already have on the shelf.

YES	NO
-----	----

4. Is the product trending or in a popular niche?

Weight loss is a strong niche. So are Pets, Shapewear, and Travel. There are lots of others trending niches.

Popular trends are talked about online, and at parties. If your product is in a trending niche, you may also get free press exposure.

Customers are looking for products in hot trends. Retailers are too.

Google Trends is a great way to identify hot and growing niches. As the popular saying goes, "The riches are in niches."

YES	NO
-----	----

5. Is the product IP protectable?

Can you protect your idea? We will discuss Intellectual Property protection later, but basically, does your product have a non-obvious and innovative trait, design, or functionality?

YES	NO
-----	----

6. Is the product a Consumable?

A consumable is a product that is used, eaten, or consumed, and then discarded. Examples would be hot dogs, air fresheners, cosmetics, paper towels, spray paint, potpourri, or dog food.

Consumables are great because customers buy them again and again. This leads to recurring sales and the possibility of a subscription model. (#15)

YES	NO
-----	----

7. Does it have a large addressable market?

When you start talking to investors, they will ask about your addressable market. The larger the market, the larger the potential profits. There are many resources to help you research market size besides Google. The granddaddy of demographic research is Census records.

Industry organizations also do research. Do you have a pet product? The American Pet Products Association (APPA) estimates that \$72.13 Billion dollars was spent on pets last year. According to APPA, people spent more money on pets than people spent on music, going to the movies, and on video games combined.

The market research you did earlier will aid you here. So will Wikipedia. List all the types of stores or names of chains that would sell your product and then search Wikipedia to compile a total number of potential stores.

YES	NO
-----	----

8. Is it Instagram worthy?

Does your product get people's attention? Do they talk about it? Will they post about it on Instagram or Facebook? Might someone post images of your product on Pinterest? Will they tell their friends about it? Will it show up on Tik Tok? These are the products that excite people.

YES	NO
-----	----

9. Is it simple to manufacture?

Complex manufacturing increases cost, increases risk of human error, and increasing risk of defects. If your product is simple to manufacture, you will have a lower risk of defects and lower labor cost.

YES	NO
-----	----

10. Are the product benefits and functionality easily understood?

Try explaining your product in fifteen words or less. The customer needs to understand the benefit and value of your product quickly. If the customer does not immediately understand what your product does and why it is important to them, they might walk right past it on store shelves.

In order to counter the difficulties of launching a product that is not quickly understood, you will have to spend more in marketing.

YES	NO
-----	----

11. Does the product have a discrete and marketable customer base?

Facebook Ads, Google Ads, Influencers, PPC and traditional marketing are all very powerful. Each of them can be targeted to specific lifestyles, preferences, and demographics.

The more you know about your product's customer, the easier it will be to sell to them. For example, if your product is made for a high-income international traveler, you can target your advertising specifically for your customer.

YES	NO
-----	----

12. Can it have variations?

Retailers, even Specialty Retailers, purchase by the case-pack. If you only have a yellow baby blanket, they might buy only one case-pack, and display only one item. However, if you sell yellow, blue, and pink baby blankets, the retailer will buy at least one case-pack of each color and will display all three colors. That gives you three items on the shelf, also known as three 'Facings.' If you have more facings on the shelf, your product will have more exposure to the customer, and result in more sales. Be cautious, however. Retailers will rarely want to buy more than three variations of a new product.

YES	NO
-----	----

13. Is it scalable into a full product line?

Can the product be built into a full line? Can your baby blankets be expanded into swaddles, plushies, or toddler items? Once you have a relationship with a retailer, your ability to expand becomes much easier. This allows you to build into a trusted brand and grow your business exponentially. An extension of this is the ability to add a holiday themed version of your product.

YES

NO

14. Is the product small sized and easily transportable?

Smaller sized products cost less to ship and transport. Smaller products are easier for retailers to put on the shelves. Also consider height; products taller than 10 inches may not easily fit on shelves. Oversize or overweight products cost more to ship. Inexpensive shipping can increase your ability to send product directly to retailers and consumers.

YES

NO

15. Does it have subscription potential?

A regularly replaced consumable product that can use a subscription model is a great product to develop. An example is tropical fish food. Not only do you get the initial sale, but you get repeat sales as the fish food is sent out to the customer every three weeks. This is a repeating revenue that increases your company value and your bottom line.

Review your results objectively. Be unemotional. This will be easier if you do not fall in love with any of your products. This is all about business, so be ruthless.

If you are having problems answering the list of questions objectively, think of yourself appearing on Shark Tank or Dragon's Den. What would Kevin O'Leary or Mark Cuban say about your product? How would they answer the list of questions about your product?

Count the number of YES's you have and compare it to the chart below.

SCORE	RESULTS
Less than 6	Consider redesign to increase score
6-8	May need additional marketing
9 -11	Go for It
12 - 15	Pop the champagne

31. PROFITABILITY

Welcome to the world of the 7X Multiplier.

This is an industry standard calculation.

It is simple to compute. Compare your Raw Cost (manufacturing cost prior to shipping) to your retail price (MSRP.) The retail price should be at least SEVEN TIMES higher than your raw cost.

Example:

If your product will sell on store shelves for \$49.00, your raw cost should be no more than \$7.00.

7X times \$7.00= \$49.00

Since this is the FFE stage you are not expected to have actual costs yet. Just a fuzzy estimation will do. For an **estimation of raw cost**, you can research similar products on GlobalSources.com, Alibaba.com, or similar sites. Then multiply what you find by 1.5 because these sites often have artificially low prices. This will give you a working figure to use in your analysis.

Take the Alibaba cost multiplied by 1.5 to adjust for true pricing and will have an estimate of raw cost.

For an **estimate of retail price** look for similar items in stores and online. This should give you a sense of the retail price.

Compare the two. Do you think you would be able to charge at least seven times more than your estimated raw cost? This is the fuzzy front end of the process, and your raw cost and MSRP are still guesses, but if a 7X Multiplier does not appear to be possible, then drop your product.

The product development road is littered with corpses of entrepreneurs who fell in love with products which were ultimately unprofitable.

By the way, multipliers even higher than 7X are possible and are of course much better. I know of someone who manufactures glamping equipment at \$40/unit and sells them at \$1,400/unit. That's a 35X Multiplier

2021 UPDATE:

During the trade war over the last few years, tariffs from China have increased for a large number of products.

Then Covid-19 hit and shipping costs escalated. This was further exacerbated by container shortages and slowdowns at ports.

By January 2021 shipping costs have almost tripled.

Therefore, at the time of this writing, instead of a 7X multiplier, I recommend seeking a **10X multiplier**.

10X may not be achievable on every product but if you get close you will be able to ride out storms like shipping and tariffs without taking as much damage as businesses with tighter margins.

32. WHY IS 7X IMPORTANT?

I did not invent the 7X standard, and it is not arbitrary. It has been around for many years. You've probably heard it mentioned on Shark Tank, The Profit, Dragons Den, and the On The Shelf podcast. It's also used as the standard for a healthy multiplier by investors and analysts.

Retailers typically keystone (double) the wholesale price. Large retailers may not exactly keystone but it's a good rough approximation. Plus, there are program costs which big box retailers may charge you. In addition, there are warehouse costs, shipping costs, employee costs and other typical business costs. When you add all these together you may find that you walk with only 1X profit. BUT it is still profit. And as I will state many times, we are doing this to make money.

Isn't 3X enough if I sell only on Amazon?

Oftentimes I see posts in Amazon Facebook groups suggesting that a 3X multiplier is enough to be successful. Maybe it was back in 2014. But not anymore.

Today Amazon has much higher fees for 3rd party Sellers than in 2014. The number of sponsored positions at the top of the listing has increased dramatically which means that PPC advertising is almost required to be the first products customers see. Both the fees, and the PPC costs build up rapidly. And shipping costs more. This is great news to Amazon since 3rd party fees and advertising are their number one revenue producer. It's bad news to 3rd party Sellers who see a lot of their expected profits drained away from them.

As a result, the costs of selling on Amazon are almost on par with selling in in-store retailers. Therefore, the 7X multiplier applies to both. Sorry. We don't live in 2014 anymore.

What can you do if you do not have a minimum 7X multiplier?

- 1) Modify your product without decreasing customer appeal.
- 2) Increase perceived value. I once added inexpensive rubber gloves to a cleaning product and customers were happy to pay a higher price.
- 3) Focus on products that are significantly differentiated and unique.
- 4) Negotiate with your supplier. Later in this book we discuss multiple techniques for effective negotiation with Chinese factories.
- 5) Increase your order quantity. Every supplier understands the economies of scale. The more you order, the lower the cost will be.

I had a client on Amazon who was approached by a major U.S. big box store. He had been selling on Amazon for barely more than 4X. He had to tell them no, because he could not afford to sell to the retailer and still make money.

He contacted me and contacted his supplier. The three of us talked together on WeChat video. We explained the growth potential of the large retailer and that we were limited by the supplier cost. Once the supplier understood that we could all make more money with a lower cost per unit, all of us worked together to find ways to lower their price without decreasing the value of the product.

One of the innovative solutions was to decrease the amount of plastic in the solid plastic handles by making them hollow. The difference was imperceptible to the user and we were able to lower the cost enough to achieve 7X. With the new price my client was able to accept the offer from the retailer and his sales are now almost six times higher than they were when he was selling only on Amazon.

Over the last few months, we have seen numerous times where having a large multiplier made the difference between being profitable and going out of business.

Here are some recent examples of where having a strong multiplier saved the day for smart manufacturers.

May 2020:

A large number of shipping containers were being cancelled from scheduled sailings and put on later ships. The steamship lines, who own the ships, asked for surcharges to ensure containers left port on their designated dates.

Manufacturers who had built in a 7X multiplier absorbed the costs and were unhappy but were still able to continue in business. Manufacturers with smaller multipliers were hit hard.

October 2020:

Ships were overcapacity, and a shortage of containers occurred. As a result, shipping costs skyrocketed. Again, manufacturers who had a healthy multiplier were unhappy but were able to weather the storm.

March 2021:

The strength of the RMB against the dollar resulted in some suppliers increasing their prices. Once again, if you had a healthy 7X multiplier, or more, you were able to absorb the cost.

MARGINS, MARKUPS & POINTS

You may have heard the terms margin and markup. These are different than the multiplier. Here are simple explanations from the retailer's perspective.

Margin is what percentage of the selling price is leftover in the retailer's hands after they pay for your product.

Example: If the selling price is \$100, and they pay you \$60, their margin is 40%

If the selling price is \$200, and they pay you \$80 for the product, their margin is 60%.

Markup is how much money they add onto the amount they paid you, in order to reach a retail price.

Example: If they pay you \$10, then they do a \$15 markup to reach a retail price of \$25.00

Technology makes everything easier today. My suggestion is not to worry about the math or specifics. Just download an app. There are lots of them. Personally, I use an android app called Margin Markup Calculator.

The important term that you should know is "Points." When a retailer talks about points, they are talking about margin percentage. If they say they need more points, it means they need a higher margin. This is most common among buyers of large retail chains.

As mentioned earlier, you may also hear the term 'keystoning.' That means the retailer is setting the retail price at double the price they paid you. If the retailer paid you \$30, they would keystone the product when they put it on the shelf and sell it at \$60. This term is most common among small retailers and specialty stores.

33. DECISION GATE

Do you think you can achieve a minimum 7X multiplier, (based on rough approximations?) If not, this is the time to consider choosing a different product.



34. FUZZY CUSTOMER AVATAR

The first three Go / No-Go decisions were product based. At this point you will change your focus to the customer.

In the MBE step you will build a marketing plan specifically for your customer(s). When you do that, you will build refined models of your customers called avatars. However, here in the FFE you will use a fuzzy customer avatar as you validate your product. The fuzzy avatar does not have to be perfect.

Imagine who will buy and use your product. This is your fuzzy avatar. Just like Porsche did with the Cayenne, Customer input should drive all critical decisions. Use customer input to confirm that the issue is widely accepted as a problem, and to confirm that your product provides a solution. Even decisions about the design, weight, variations, color, shape, texture, handles, and so on, should be based on customer appeal and feedback.

If your product is humorous Kitchen Towels your customer avatars might be:

- + Single person male, buying the product for himself
- + Single person female, buying the product for herself
- + Couple, buying the product together
- + Trend aware customer, buying the product as part of a unified kitchen décor theme
- + Family or friend, buying the product as a gift

Answering the questions below will help you build a fuzzy customer profile that you will add to, correct, and refine later during the MBE stage.

Age _____

Gender _____

Relationship _____

Location _____

Disposable Income _____

Why would they buy your product?

What problem does your product solve for them?

(And to personalize your avatar) Name

FUZZY SALES CHANNELS

Where would your customer find your products for sale? Sales Channels are categories or types of places where your product might be sold.

This is the early stage of your sales strategy. At this early point it can contain guesses, and assumptions. It is still fuzzy. As your concept solidifies and you gain more information, revisit and modify the sales strategy accordingly.

Just like having a customer avatar, you may face questions in development that are best answered with an understanding of sales and distribution. For example, packaging requirements would be different for a catalog than for a specialty store, which may be different than a big box store, and certainly different than an online platform.

Looking at each of the customer avatars you built earlier, answer the following questions:

Where would your customer expect to find your product?

Imagine your product is already for sale. If you asked your target customer to buy it, where would they look? Examples might be Amazon, a local baby shop, a boutique, a pharmacy, Bunnings, REI, or perhaps the pro shop on a golf course, or an auto shop.

Store 1: _____

Store 2: _____

Store 3: _____

Where do they shop?

This is subtly different than the prior question. This applies to all types of products, not just yours. Possible answers may include Nieman Marcus, Walmart, Online/Amazon, Beach Resort Gift Shop, Craft Store, Drug Store, or a Supermarket.

This question is different than the earlier because we are trying to uncover non-traditional sales channels. A customer may expect to find an electronic cell phone disinfectant machine at a computer store. However, the same product might be an interesting product addition at a health food or vitamin store.

Store 1: _____

Store 2: _____

Store 3: _____

How do you your customers learn about new products?

Is your customer on Instagram? Do they have favorite influencers on YouTube? Do they watch certain TV shows? Do they depend on word-of-mouth?

These answers will also help you market to your customer and will influence design and packaging decisions.

Product Information 1: _____

Product Information 2: _____

Product Information 3: _____

Later you will use this information when you build a marketing plan.

RAPID PROTOTYPING AND ITERATIVE FEEDBACK

The validation process will be easier and more accurate with rapid prototypes or illustrations. It can be expensive and time-consuming to create a fully complete prototype just to get customer feedback, plus modify the product according to the feedback, make a new fully realized prototype, get more feedback, make more modifications and so on.

Perhaps you are familiar with the Agile Software Development phrase “Fail Often and Fail Fast.” This philosophy was created for software development, and in most cases does not apply to physical product development. However, there are two facets of the Agile Development process we can borrow and use for our own.

- 1) The obsession with Customer Driven Design
- 2) The process of Iterate, Test, and Modify

In software development you can write a Minimally Viable Product (MVP,) which is a barely functioning snippet of an app that allows you to collect the maximum amount of customer feedback.

Creating an MVP is often not easy, nor economical in the world of physical products.

Customer feedback is extremely valuable but gaining it does not need to be expensive.

Instead of creating a physical prototype. I suggest using an illustration during validation. An illustration can be done quickly and easily by most graphic artists. Even a high-resolution image of what you imagine your product will look like can be very affordable.

If an illustration does not provide enough information or functionality for your particular product, you can produce a short animation, or build a physical prototype from a 3D printer. For most products and most budgets however, I strongly suggest at least starting with illustrations.

As you validate you will present the illustration to customers, collect their feedback, and make product decisions based on their input. After you make modifications based on customer feedback, you can then present the new illustration to customers, get their feedback, and perhaps change the design once more. The process of making tweaks and getting customer input is called ‘rapid iterative feedback’ and ‘rapid prototyping’.

Feedback has been proven again and again to increase chances at product success, so get as much customer input into decisions as possible.

PRODUCT ILLUSTRATIONS

The simplest way to get an illustration is to hire a graphic artist. You can hire graphic artists on marketplaces such as Fiverr.com, Upwork.com, Freelancer.com and similar sites. Once you have an illustration, tape it to your white board and look at it every day. Are you comfortable with your product? Are you still comfortable after a week? Do you want to make changes in your product? Changes are simple at this point since your product is just an illustration. You can move elements from one side to the other. You can change size, shape, texture, etc. Do not be surprised if you need to pay the graphic artist extra for modifications you make in the design, so check the prices for revisions before you begin. In the overall scope of your product journey, changes made at this point lead to greater chances of success later. No matter the charge, the price of making revisions now is just a tiny fraction of making changes when your product is ready for manufacturing.

Note: This is not your final design. This is still the FFE. During the Design step you will work with an Industrial Designer who will make the form of your product beautiful and compelling. Do not pressure yourself to have everything perfect. You are just looking for an illustration that you can show to people to explain your product, and that will perhaps motivate you if you get into a slump.

You should protect your idea. If you hire a graphic artist from an online marketplace, carefully read the terms and conditions. For example, these are the terms included in the TOS on Fiverr.com.

Sellers further confirm that whatever information they receive from the Buyer, which is not public domain, shall be kept confidential and shall not be shared or used for any purpose whatsoever other than for the delivery of the ordered work to the Buyer.

Furthermore, users (both Buyers and Sellers) agree that unless they explicitly indicate otherwise, the content users voluntarily create/upload to Fiverr, including Gig texts, photos, videos, usernames, user photos, user videos and any other information, including the display of delivered work, may be used by Fiverr for no consideration for marketing and/or other purposes.

In addition to the terms included in their TOS, always state clearly in your communication that the work is confidential and cannot be used, shared, communicated to others, or included in their portfolio.

If you hire a graphic artist directly ask them to sign an NDA and a Noncompete. Blanket forms can be found on numerous sites online.

ROUGH PROTOTYPES

Prototyping is a progressive process.

At the start, an illustration should be enough. We are still in the Fuzzy Front End so precision is not critical and an illustration is the most affordable way to model your idea.

If an illustration or animation does not communicate your concept, then consider a prototype.

There are different levels of prototypes ranging from do-it-yourself mockups to fully functional models that are almost indistinguishable from the actual product.

At this stage your goal is to collect feedback and make changes so a rough dirty prototype should suffice.

Here are some methods of building your initial prototype.

Textiles: If your product is made from textiles you can often find a list of sewers and seamstresses for hire at your local fabric store or on Craigslist. Or you can do it yourself if you have the skills.

Electrical: Electrical prototypes are more difficult. If you do not have the skills yourself, you may find an electrical engineer at a local college or university. Electrical engineers are also available on Upwork. Always have the engineer, or the seamstress, sign an NDA and non-compete agreement.

Laser Cut or Engraved: If your product requires laser cutting or engraving, look for a CNC company or local Glowforge User Group. You can also often find Glowforge or 3D printers at collaborative workspaces such as Maker Space and similar studios in your local city.

Printing: If your product requires printing on fabric, or some kinds of wood, try creating a heat transfer print on your computer, then placing it on the fabric or wood using an iron or a heat gun.

Crafting: Finally, if you are crafty, try creating a prototype yourself. It's amazing what you can create with materials from hardware stores and craft stores. Wood, Styrofoam, fabric, foamboard, and glue are your new best friends.

3D Model: If your prototype needs a 3D model you can look online for a local 3D designer. Again, always ask for a signed NDA and non-compete when you have prototypes made. The best choice for a 3D CAD artist will be one who has experience in a program called Solidworks. Since you may need your product formed using a plastic injection process, ask if they have experience creating plastic injection molds. When they create the CAD model, have them use an emulator (add-on for Solidworks such as Plastic or Moldex3D) to ensure it is accurate.

Instamorph: Instamorph is a moldable plastic that softens in hot water and can be shaped and formed as you desire. It can be purchased online and on Amazon.

35. CONFIRM DEMAND (VALIDATION)

At its core, confirming demand, also known as validation, is basically answering the question, “Will customers buy this product?” If this is neglected it can have disastrous consequences such as losing time and money on a product nobody wants to buy.



The structure of effective demand validation is a survey. It can take many different forms. Either by actions or words, you will gain insight and learn people’s opinions about your product. Of course, the best validation is when someone pays for your product, uses it, and is pleased; but we validate the best we can at this stage to avoid failures and to address modifications before money is invested.

There are three parts of validation. Most new product entrepreneurs don’t even address one of the parts. Very few address all three.

- 1) Customer
- 2) Buy
- 3) Product

UNDERSTANDING “CUSTOMERS”

The most important person in product development is the customer. Flesh out the customer avatar you built earlier. What are their demographics? Age? Gender? Lifestyle? Location? Desires? Needs? Dreams? And so on. Are there other aspects that would apply to your product? The more you know about your customer the better. This

is still the Fuzzy Front End so you can make guesses and assumptions. You will refine them later, but you must have a customer in mind.

Imagine that you are selling a high-end humidior. Believe it or not, some humidors cost \$10,000 or more. Let's assume that your humidior is not that expensive but is still targeted at the wealthy discerning customer. Where do they do most of their shopping?

Why is that important to know?

Still thinking about the humidior, imagine your customer's behaviors and interests? What sports do they play? What kinds of cars do they own?

Perhaps your product is a kid's bag for overnight play dates. What can you tell me about your customer? What is their budget like? Where do they shop?

Imagine your product is a prom dress or quinceañera gown. Does your customer shop alone, or with a group of friends? Who pays for the dress and therefore has the budget? Who makes the purchasing decision? You can easily imagine some mom and daughter compromises in the buying decision.

What about an all-natural organic dog treat? The customer who purchases them is not the end consumer; same applies to baby clothes. Who should you market to? Who makes the purchasing decision? In these cases, it seems obvious. But what about products such as office furniture or perfume?

Your product needs to please and satisfy the end consumer, but the purchasing decision is sometimes made by someone else. When you validate, you need to address the consumer, and the purchaser. Both are your customers.

UNDERSTANDING "BUY"

In a free market, price is determined by the intersection of supply and demand. This is what Adam Smith called the equilibrium point in his famous theory the Law of Supply & Demand. In practical terms however, price is also influenced by competitor's pricing, perceived value, market saturation, and scarcity.

Competition, competitor's prices, and market saturation should have been addressed during market research. If you have a unique product, scarcity will be determined by your ability to supply.

The Validation exercise we will go through in the next section includes determining how much customers will pay for your product. Surprisingly, it is sometimes higher than product developers assume. After completing demand validation, you will have a

price that fits your product that people feel is fair and that they are willing to pay. This is your market price.

Market price is most easily defined as what customers are willing to pay. Willing to Pay (WTP) is one of the driving principles that make companies like Proctor & Gamble so successful at launching new products. Whenever they seek to introduce a new product, or variation, they constantly test customers reactions. Is it a product that customers want, and are customers willing to pay for it?

Market price and WTP is a function of perceived value. Value isn't always a constant. It can vary based on trends, needs, timeliness, and other circumstantial factors. Fidget Spinners had a higher perceived value during the height of their popularity, as compared to a year later when their popularity was gone. A bottle of water has different value to a person sitting in an office than to a person crawling through a desert. When I was younger, I had a part time job doing outbound sales calls for a catalog company. I was selling tabletop Christmas Trees...in January. Not an easy sale. As you can imagine, the perceived value would have been a lot higher if I were making the calls three months earlier.

Another aspect of perceived value is design. Dated, clumsy, or ugly graphics may cause a decrease in perceived value. So does color. Unless it's sold as retro chic, a kitchen appliance in avocado green or hunter orange is not going to appear modern or sleek. A lightweight aluminum handled hammer may be as strong and efficient as a heavier wooden handled one, but to customers it may be perceived as a lesser value due to its lighter weight.

I once did a validation study on two versions of one of my products where the only difference was three ounces of weight. The heavier version was preferred by almost every person I surveyed, and they all felt the heavier product was worth a higher price.

Sometimes perceived value can be increased in ways that do not add much to the cost of the product. The perceived value of a high-end camera can be increased dramatically by including an extra camera filter, even if the filter is inexpensive and mediocre quality.

You also want to determine buying behavior. Is your product a destination item? In other words, will the customer get in their car and drive to the store specifically to buy your product? Retailers love these types of products because they bring more foot traffic into their store. Their expectation is that the customer will buy your product, and a few others, during the same trip. Even better is an item that customers want so much that they enter a store that's not one they usually shop at. These products not only bring in customers, but more importantly, they bring in NEW customers. This was one of the winning aspects of Dog SnorZ pillowcases.

Other products are impulse items. A customer may not necessarily intend to buy the product when they enter the store, but when they see it, they feel compelled to buy it on an impulse. The purchase is based on emotions, feelings, or humor. The price is often low. Many, but not all, impulse items are small. Impulse items are often displayed near the cash register.

Candy, gum, and tabloid magazines are often sold as impulse items, but other products can also be impulse items as well. A whimsical slotted spoon, with the slots curved to look like a cat's face, may sell like an impulse item at a kitchenware store. Adjacencies, strategically placing one item next to another, can encourage impulse purchasing behavior. Placing Maraschino cherries and waffle cones next to the ice cream freezer are an example of this.

Does your product have potential as an impulse purchase? Retailers like these items because they add to the total amount customers spend in the store.

In some cases, the store itself becomes part of the buying experience. People are a lot quicker to accept high price tags when they are in a boutique or exclusive store or having a great overall experience. The retail term for this is experiential retail. The store may have a café, live music, or even massage chairs. Apple stores are a great example of experiential retail. The décor is very white, minimalistic, and matches the Apple design theme. They offer onsite tech support, classes and even concerts. The products are presented in an accessible 'touch me and play with me' style. The entire environment makes a trip to the Apple Store a special occasion.

Urban Outfitters are also finding success in their 'Spaces' experiential retail stores, bringing together restaurants, and community meeting areas. Bass Pro Shops also offers an experiential retail experience.

UNDERSTANDING "PRODUCT"

The viability of your product is the most important question you answer with validation. Do people like your product? Do they understand what it is? Would they buy it?

These seem like simple questions, but you'd be surprised at how many times big companies, and individual entrepreneurs get this wrong. Think about "New Coke," "Google Glass," and one I was personally involved in, "Microsoft Zune."

Be cautious that you do not let yourself be fooled by Confirmation bias. Confirmation bias is a type of cognitive bias that favors information that confirms previously held beliefs, and a blindness to information that conflicts with those beliefs. One example is coconut oil. Some people strongly believe that coconut oil is healthy for you and others believe strongly that it is unhealthy for you. Those on both sides of the

debate will see any affirming article as proof of their position, and any article that conflicts with their beliefs, as negligible.

When validating your product, it's extremely easy to fall into the trap of confirmation bias. You love your product and have heavily invested time, energy and hopes into its success. Any minuit evidence confirming your belief that it is a winner can easily become inflated in your mind. Every person that says your product is a good idea becomes your own personal cheerleader. Every naysayer becomes easily dismissed or countered with arguments and excuses. It's natural to react this way. Some people say that unwavering faith in your product is a hallmark of an entrepreneur, and necessary for success. Frankly I agree, but not when it comes to validation.

Put aside your enthusiasm. This is the time to find the cracks in the wall. This is the time to determine if your excitement is an accurate assessment or just a crush. The more objective you are, the less chance you will fail due to confirmation bias.

When you complete demand validation, you should be able to answer the following questions:

- What is the product?

- What is the benefit(s) of the product?

- What are the features of the product?

- Do customers understand what the product is and how to use it?

- What makes your product unique in the eyes of the customer?

- Do customers have suggestions to make the product better?

- Is there a modification that would make customers more enthusiastic about buying it?

36. LEAN VALIDATION

THE FIVE STEPS OF LEAN PRODUCT VALIDATION

This technique is a variation of Lean Validation made popular in Eric Ries' great book, "The Lean Startup." His book focuses on tech startups, but validation is just as critical for physical products. Perhaps even more so. I have adapted his process slightly to be more audience specific, and to account for validation steps you have already done earlier in this process.

Step 1) Identify Your Target Audience – Understand who your customer is. Over time you may refine the avatar of your customer, add secondary and tertiary customers, or perhaps completely change your understanding of your customer. Whatever you decide about your customer right now is just an assumption. As you develop your product your assumptions may change. The important factor is to have your customer, assumptions and all, in your mind as you validate. As your customer changes, or your assumptions change, you can return to the validation process to test out new assumptions.

Once you know your customer, begin making guesses about where and how to find them. Is your customer budget conscious? Then perhaps you can approach people in the parking lot of a Walmart or Woolworths. Is your customer an audiophile? Perhaps you can find them in the parking lot of a stereo store. Is your customer a dog owner? Look for them at a dog park.

Another means of contacting potential customers is through mailing lists. We will cover email surveys in the next section, but I want to discuss mailing lists first.

I do not recommend buying a mailing list from a broker or unknown supplier. Many mailing lists advertised online might be full of people who chose to opt-out of solicitations. Contacting them may be illegal in some states. In addition, your response rate will probably be very low since your email will be treated as spam.

The exception to this is mailing lists from specific companies and publications relevant to your customers. Take a look at the privacy policy on sites that would interest your target customer. Perhaps your customer likes deep sea fishing. The privacy policy for a site for fishing charters might say:

We also use your Personal Information to contact you with newsletters, marketing or promotional materials and other information that may be of interest to you. If you decide at any time that you no longer wish to receive such

communications from us, please follow the unsubscribe instructions provided in any of the communications or update your "Notifications" information. We may also share the combined information without aggregating it to partners we feel may have material benefit to you or your use of the Site. Please note that we may also use your Personal Information to contact you with information related to your use of the Service, or services from Partners; you may not opt out of these notifications.

This is familiar standard language. You have probably seen it hundreds of times and haven't given it much thought. However, what it is really saying is, "we have information about you, and we may sell it to outside companies. We might even send you emails on the behalf of outside companies." To you, the product entrepreneur, this is music to your ears.

It may take some digging and a few emails, but somewhere inside that company is someone who may be able to sell you an email list and may possibly send out emails on your behalf. Some companies simply have that text included because it's boiler plate. But even then, you might be able to convince them to send emails and gain revenue they weren't expecting. It doesn't always work, but if it does, it's a great opportunity. We will discuss how to leverage that opportunity in a survey later in this section. None of it would be possible however, if you didn't fully understand your customer first.

Step 2) Qualify Your Survey Participants – The validation process entails capturing feedback from potential customers. In order for the feedback to be accurate, the people you survey should be qualified through two filters.

First, the respondents should not know you or be related to you. Someone who knows you cannot provide objective responses. Your spouse or parents might give you supportive feedback for a product that is terrible because they love you. Alternatively, they may give you terrible feedback to discourage you from the path of entrepreneurship. Either way, their responses are not objective and therefore have no value.

Second, the respondent must be someone who would potentially buy your product. You shouldn't ask questions about a baby stroller to someone who never had a child and never pushed a stroller. You wouldn't ask a non-diabetic about glucose meters.

Therefore, your first questions should always be qualifying questions. Examples would be, "Do you own a dog?" "Do you travel often?" "Do you wear mascara?" If they say yes, you can continue to your other questions.

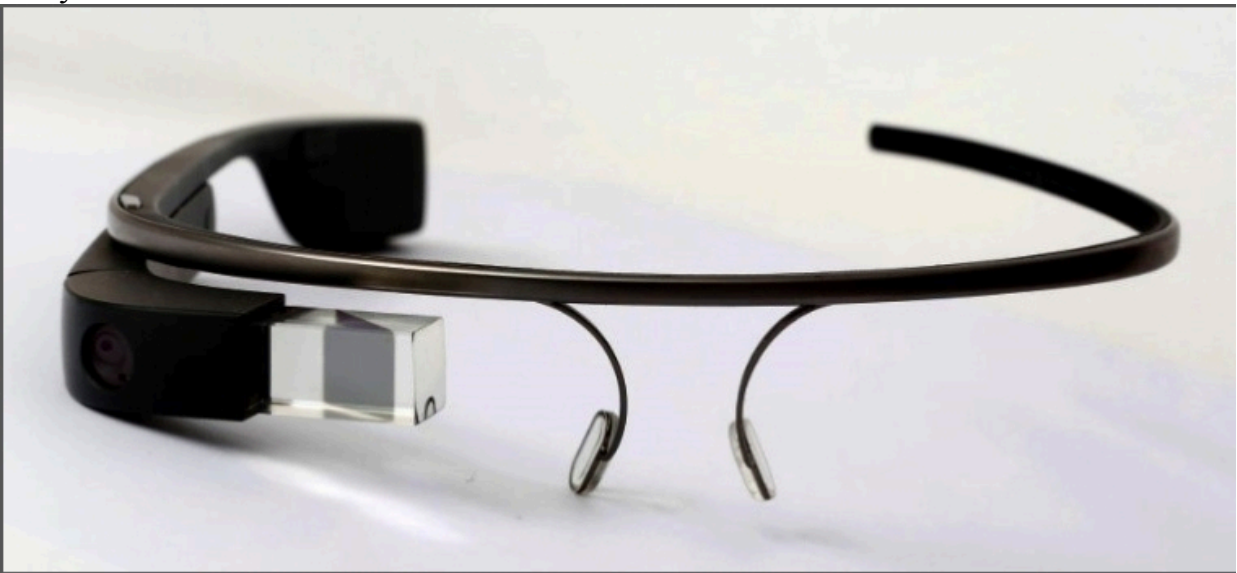
Step 3) Confirm the Market Size – You already looked at addressable market size during the product evaluation checklist. This is your chance to confirm it. The goal

during validation is to survey at least fifty qualified respondents. If you talk to two hundred strangers and only twelve qualify as potential customers, you may have a smaller than expected market. However, make sure that you are looking for qualified respondents in the right place before you jump to conclusions. Are you looking for respondents in a location where your potential customers would gather? You won't find many vegetarians standing outside of a steak house.

Step 4) Validate the Problem/Desire - Is this a problem worth solving? Is this something people would want? Is it really a problem?

An issue that happens way too often is that an entrepreneur falls in love with a product, and then tries to squeeze it into a problem. If users don't think your product solves a problem, or fills a desire, your solution won't be appealing.

In 2013 Google introduced the Google Glass. It had an always on camera that recorded everything the user saw. It gave instant access to the internet viewable out of the corner of your eye. It was very expensive at \$1,500 and was marketed as the coolest piece of wearable tech that was ever invented. Today it is a lesson in failure taught at every business school.



Bic Pens had a product failure in 2012. In that year, Bic introduced 'Lady Pens.' They were typical ball point pens, but in pink and slightly more 'shapely.' They were marketed with the tag line "*for her.*" Does that mean until 2012, females were uncomfortable using pens that were designed only '*for him?*' The gender specific Miss Bic pens were laughed at and failed. Big surprise. The lack of Gender agnostic pens was not a problem.

Google and Bic are not alone in this mistake. If you are bored you can go online and research the shoe umbrella, fur lined toilet seats, the DVD rewinder, and the goldfish

walker. Although not as outrageously funny, I have had clients who have made the same mistake, albeit on a smaller scale. Falling in love with an idea that doesn't actually solve a problem or fulfill a desire.

You will confirm the problem/desire exists during your survey. Open ended questions are best during validation, however, for this specific validation, a simple Yes or No will suffice. For example, "How important is it to people in general to have a camera on them to record everything they see 24/7?" Imagine how much money Google would have saved if they simply asked that question before launching Google Glass.

This also works for products that don't solve a problem but simply make people happy. "How popular do you think a teddy bear with a Lionel Messi jersey on it would be?"

Step 5) Validate the Product and Price – Begin with functionality. Once you have confirmed the problem, the next big question is, "does your product actually solve it?" Everyone agrees that wars and conflicts around the world is a serious problem. However, changing the flags of all nations to look alike, is not the solution. On a more practical note, if you sell a pet urine remover, it had better work. If you create a specialized camping stool, it should support someone sitting on it. If your solution does not function, then your product is a failure from the start.

Non-working solutions even happen in large companies. Theranos, a health care company, founded in 2003 by 19-year-old Elizabeth Holmes, raised \$700 Million based on an innovative blood testing machine that would provide accurate results with a fraction of the blood of traditional tests and a fraction of the cost. Since then, many medical journals and experts have questioned whether the test was possible, and California indicted Holmes on wire fraud and conspiracy. Trial was scheduled for June 2020.

Since you are in the Fuzzy Front End of the process, it may be too early to test the functionality of your product. However, once you have an MVP, start to test its functionality, and continue to test its functionality it until production. (We talk about functionality testing at a later stage.)

Go to a place where your target customers might gather. For example, if your product is a hammer, go to the parking lot of a Bunnings or Lowes. Bring along the illustrations of your product. Stop strangers and qualify them. Once you confirm that your product provides a solution to the identified problem, you can move onto the key questions. Do they want your product? What do they think the price should be? What do they suggest would make it better?

Ask these as open-ended questions. For example, you can ask, "Would you buy this? How much would you pay? What could I change to make it better?"

Write down their comments. Try to get at least 50 respondents. (It may take a few days.)

This sounds easy, and it is. Depending on your personality, it may also be awkward. The data you collect however, is priceless.

When you choose to differentiate you choose to take on risk. It is a risk worth taking, but it is still a risk. As Seth Godin says, "You can't know if your Purple Cow is guaranteed to work. You can't know if it's remarkable enough or too risky. That's the point. It's the very unpredictability of the outcome that makes it work. The lesson is simple - boring always leads to failure."

The goal of validation is to mitigate the risk by confirming that customers desire the product. As mentioned early in this book, I do not gamble. Launching a new product is like playing cards. You may win and you may lose. With skill you will hopefully win more times than you lose, but there is still a large amount of risk. If you combine skill with a stacked deck — all the kings and aces in your hand — you have a much higher chance of winning.

Customer validation is like stacking the deck. It is not a guarantee, but with skill and a stacked deck there is a much better chance of leaving the table with a lot of money in your pocket.

VALIDATION DONE WRONG

I want to start by describing the WRONG way to validate. Unfortunately, this is how most people do it, if they validate at all. As I describe the wrong way to validate, I want you to be honest with yourself. Have you, or anyone you have known, validated their product idea by making these mistakes?

Example of what NOT to do:

Suppose I want to sell a backpack that I designed myself. It's a backpack that looks like the face of Gus, my pug. I love my pug, and I assume everyone else loves pugs too. This assumption will be tested in my validation.

I sketch out my backpack design. Then I look for suppliers and figure I could probably have my pug backpacks made at \$5 each. The single prototype will cost \$3,000. It's expensive but I'm convinced I can sell tons of these. After all, in the USA, 85 million people own dogs. If I could sell my pug themed backpacks to 0.01% of dog owners, I would be rich!

Imagine that I pay for the prototype, four weeks later I receive it, and I put a fake \$25 price tag on it. I pretend that I bought it at a store, and I show it to my friends, my

spouse, and my mother. Everyone loves it. I bring the prototype with its fake price tag to my local pug owner's meeting and almost everyone says they would buy it. A couple people say no, but I explained all the reasons they should say yes, and eventually they agree.

I am excited and I'm already dreaming of the riches I will make. I am going to buy a fancy car for Gus my pug to ride in and visit dog friendly hotels on beaches across the globe. Life will be great.

Have I validated? **No.**

What did I do wrong?

Mistake 1: I asked people who know me and therefore have a biased opinion. To get accurate feedback, always ask strangers whose opinion will be more objective. Your spouse, family and friends will give you biased responses, and you need objective responses to make an informed decision.

Mistake 2: I love pugs, so I convinced myself that the entire world loves pugs. The sad truth is they don't. This common error of assuming that everyone feels the same way that you do is a form of the psychological phenomenon called naïve realism.

Mistake 3: I told and showed people the price tag, instead of letting them decide the value without any clues from me.

Mistake 4: In many cases the first step in gaining customer feedback can be done with photos and illustrations. I could have used photorealistic renderings instead of paying for a prototype.

Bonus: Did you notice that manufacturing the backpack at \$5, and selling at \$25, did not give me a 7X multiplier? At that price, my product would not have met the profitability standard.

There are two more mistakes that should be avoided. These landmines often lead to false validation.

Landmine 1: Do not argue your way into validation. Accept whatever feedback people give you graciously and move on. You may be able to convince someone of the value of your product, but their response won't be objective.

Landmine 2. Be wary of confirmation bias. Don't view every response as positive. If you ask someone if they would buy your product and they respond with, "Maybe, I might" don't treat that as a yes. Treat it as an opportunity to find out what benefit would

tip them towards buying. Perhaps it's something your product already does but is not apparent at first sight. The person you talk to about the pug backpack, might tell you they would buy it if it came with a cell phone pocket. Aha, it does! Now you know that when you create a hang tag, it should mention the cell phone pocket so people can see it and cement the purchase decision.

Another mistake of confirmation bias occurred during my fictional example when I showed my prototype to a group of pug owners. They all love pugs, so I skewed my results toward a positive result by assuming the opinion of pug owners was indicative of the opinion of dog owners across all breeds.

VALIDATION DONE CORRECTLY

Example of CORRECT validation:

Once again assume I have designed a pug themed backpack.

This time I do not pay for a prototype right away. Instead, I have a graphic designer create two or three photorealistic 3D renderings. I ask that they are high resolution and look like photos.

I take the photos to strangers. People I have never met. At the gym, or football game, or at the mall.

I'd introduce myself and explain that I am launching a new product for dog lovers.

First, I'd ask if they had a dog. Then I'd ask if they would look at some photos. (I carefully say photos, so I imply that this is a real, existing product, not an illustration.) Next, I ask for their opinion. I'd say, "What do you think of this?" (It is an open-ended question, and I do not say the price.)

I might get a wide variety of responses such as:

"I love it. Can I buy it?"

"How much is it?"

"Do you have one shaped like a Golden Retriever? (or other breed)"

"No, I don't think I would buy it."

"Where do they sell it?"

I write down their response and follow up with additional questions.

“I love it. Can I buy it?” – I follow up by asking them how much they think the price would be?

“How much is it?” – I follow up by asking them how much they would pay? Both of these follow up questions help me establish a market driven price based on customer perceived value.

“Do you have one shaped like a Golden Retriever?” – I follow up by asking them if they would buy a Golden Retriever shaped backpack, and how much they would pay?

“No, I don’t think I would buy it”. – *I follow up by asking them why not, and what I could modify to change their mind. You might get great suggestions this way. Maybe someone suggests adding a collapsible water bowl compartment. Or a flashing light for nighttime safety.*

“Where do they sell it?” – I follow up by telling them I’m just launching, and what they think I should charge for it? Again, gaining information on people’s opinion of a fair price. I end the conversation by asking, *“what would make this better?”* Not everyone will have an opinion but if they do, it can be valuable as I design my product.

I repeat this again and again until I have fifty responses. It seems like a lot of work, but the larger the number of results, the better chance of an accurate assessment.

From this poll I learn that most potential customers would pay at least \$50 for the backpack. That is great news. If I went with my original \$25 price, I would have missed out on a lot of money. At \$50 I achieve a 10X Multiplier and make more profits. I also learned that many customers would prefer a different breed. Lastly, I gained five useful ideas that add value to the product. Some of those features may not add any cost to my design while adding benefits and value to the consumer.

Total Amount of People Surveyed		50
Would buy As-Is		9
Want a different breed		32
Not Buy		9
Price Guess		
	\$70.00	1
	\$65.00	0
	\$60.00	4
	\$55.00	11
	\$50.00	13
	\$45.00	4
	\$40.00	1
	\$35.00	0
	\$30.00	2
	\$25.00	1
<u>Suggestions</u>		
Flashing Light		
Collapsible Bowl		
Phone Charger		
Leash Holder		
Treat Holder		

More Than 70% say
they would pay \$50
or more

Based on their responses I decide to adapt my original product to create a \$50 backpack with compartments for a bowl, treats, and a leash holder. There will be five designs, each shaped like a different dog breed. I am confident it will be a very good seller.

GOLDEN HIDDEN TREASURES OF VALIDATION

Every time you seek customer input, whether it is about your product idea. Or later when you validate product changes, packaging, or other things, always ask open ended questions. Do not ask Yes or No questions. Always ask their opinion, and then listen. Often, they will tell you the reasoning behind their choice or opinion. Use their response

to drive your product decisions. However, you should also write down and collect all of the other information they give you. This data will be invaluable insights into your customer when you start marketing your product.

37. ALTERNATIVE METHODS FOR VALIDATION

The core of Lean Product Validation is to make an assumption about a product, and test that assumption through interviews.

In-person interviews provide extremely useful information but are sometimes impractical. Here are some variations and alternatives to in-person surveys that also provide good information.

A/B VALIDATION TESTING

A/B Testing involves having two different designs. You could show both designs to a person and ask them which they prefer. Or you can show one design to 50 people, and the other design to a different set of 50 people. Then compare the survey results. If you show two designs, place them on the same sheet of paper so that people can view them side-by-side.

THE FAUX WEBSITE METHOD

In his book *The 4-Hour Workweek*, Tim Ferriss advocates setting up a fake sales page. You can do this easily with WordPress or Shopify. Create some ads to run on Google and Facebook, then evaluate the conversion rate for ad-clicks. The goal is to gather information, not make sales, so don't collect money.

Drop Box did something similar when they were in the development stage. Drew Houston, founder of Dropbox, set up a site with an order page. He had a product listing and a shopping cart. Once people got to the point of submitting their credit card, the site announced that the product was not ready for launch and offered to let them know when it was released. Overnight Dropbox went from 5,000 interested customers to 75,000 interested customers.

MAILCHIMP | EMAIL SERVICE

Do the same process as The Website Method but add an email option to the web page like Drew Houston did. Then contact the subscribers with a short survey to collect more data.

KICKSTARTER AND CROWDFUNDING

You can set up a Kickstarter campaign. Promote it with Google and Facebook ads. Collect conversion data, and also, perhaps get some initial funding. Even if it fails to qualify for funding, you still gain great customer feedback.

REVERSE EXPLANATION METHOD

This is a variation on the Lean Product Validation method originally described. In this variation, you show the product images to the stranger, and without any information, you ask them to explain the product to you.

This is extremely open ended. It is very powerful and **my personal favorite method for validating packaging.**

LEARN FROM SIMILAR PRODUCTS

Are there already products slightly similar to yours? Are you second to market? If they are sold on Amazon, you can use all the sales research tools to find out their sales data, and use it to form judgements about your product's potential sales. If the similar product is not on Amazon, but is on store shelves, you can buy data from Nielsen (yes, the TV ratings people) who collect sales data from UPC scans at checkout counters at most US Retailers.

FOCUS GROUPS

This is the granddaddy of product validation. Hire a marketing agency to do a focus group study. They will work with you to identify your customer, write survey questions and tabulate results. Most large cities have marketing agencies that do focus groups.

RETAILERS

Show your product, prototype, or photos to the manager of your local retail store. I've shown my product photos to managers of boutiques, pet stores, Home Depot, Bed Bath & Beyond, and Walmart. I've received great feedback from all of them. I have had a Walmart manager give me permission to use their name and endorsement when talking with buyers at Walmart headquarters.

GOOGLE OPINION

Want to know if customers really want a fur-lined sink? Google Opinion is a great tool to gauge consumer interest, and to dig down for more data. Users are compensated

for taking surveys, so they might as well take yours. Cost per question runs from \$0.10 to \$3.00, depending on complexity, audience filters, and whether you include an image. The audience however is skewed toward people who take online surveys.

COLD EMAIL FROM A WARM CONTACT

Email is not a great method of cold contact, however if you can get a narrowly focused site or magazine to send out emails on your behalf you can often get better cold open rate. Contact niche specific magazines and sites. Ask if they can send out an email to their members with your product question in it. Be prepared to pay a fee if they say yes. Keep your questions short and offer a reward for responses.

POP UP STORE

A pop-up shop is a temporary retail space completely designed and branded by you. A trunk show is also temporary, sometimes only a few hours, and has a less customized environment. High-end resorts, country clubs, and even condos might be open to a pop-up-shop or trunk show. It's a fabulous opportunity to get direct customer feedback on a short-run test of a product. Best of all, you can make some money too.

PICKFU

PickFu.com is an online survey tool designed to collect customer feedback remotely. It offers A|B testing, but also offers open ended questioning for single product choices. It collects respondents' written comments which are just as valuable as survey answers. PickFu allows you to choose or track demographics of your respondents which lets you to qualify respondents or match them to your avatar. The surveys cost around \$1/response. This is a great option for non-US natives who want to collect US customer feedback.

Caution: Do Not opt-in for public display of your poll. You might save \$5 but PickFu publishes your poll and Amazon Sellers are being advised to research PickFu's publicly posted polls to steal product ideas.

YOUR PRODUCT BROCHURE

When you sell at a tradeshow you will have a catalog to show and leave with customers. You can include items which do not yet exist, marked with a future availability date. If retailers show interest, you can invest in production. If no one shows interest, just let the product die.

You can do the same thing with an online catalog or wholesale website. Unlike the Faux Website Method, your target audience is retailers, not consumers.

GOOGLE TRENDS

Google trends is not technically a validation method, but it is very helpful to let you know if you are on the upward or downward side of a trend. Fidget Spinners anybody?

Treendly.com is another source to research.

HANDS-ON USABILITY TESTING

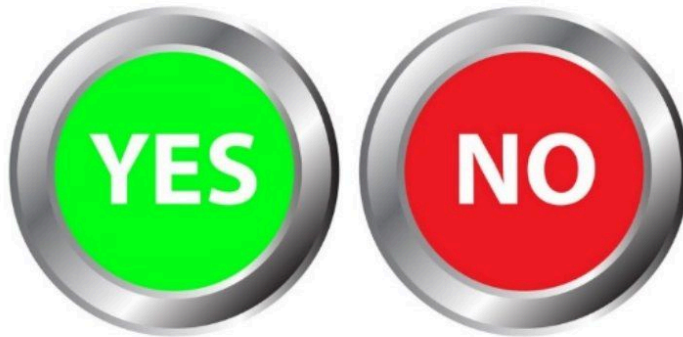
This can only be done with a working prototype or MVP, in-person, with a respondent. This is not technically validation, but a hands-on usability test will give you tons of valuable data about your product. Give the product and package to someone and ask them to figure out what your product does, and how to use it.

Like the previous validation tests, this is only effective if your subject is a stranger without any bias toward the product.

38. DECISION GATE

Based on Customer Demand Validation, you must now decide to continue with your product or stop. You may also decide to go back to the drawing board and modify your product to add value.

Whenever you make significant changes in the product, the design, the functionality, etc. you should always return to validation to ensure 1) the product is still profitable and 2) customers feel your assumptions increased demand



39. FUZZY FINANCIAL PROJECTION

List the three channels that you think will be the first and easiest opportunities for sales.

You should have already given this some thought when you considered your fuzzy sales strategy. We haven't addressed launch processes yet so the channels can be just a guess. For practical reasons, do not assume you will be able to get into big box stores immediately after launch.

SALES CHANNEL: Describe the sales channels. Examples are 'Hotel & Resort Gift Shops,' 'Florists,' 'Amazon,' 'Gyms.' If possible, try to be location specific. An example might be 'Dog Boutiques around Ontario.'

NUMBER OF LOCATIONS: How many florists do you think you can get into in six months?

SALES PER WEEK PER STORE: How many sales do you expect in each store per week? If you have multiple variations, such as three different colored baby blankets, choose a number that includes all variations.

RETAIL PRICE: You should have a good estimation of this from the demand validation exercise.

WHOLESALE PRICE: The fuzzy method of determining this is simply halve your retail price. (Divide Retail Price by two)

PRODUCT RAW COST: This is the guess you made when you calculated the 7X multiplier.

PRODUCT EXPENSES: The simplest way to estimate this is to set it equal your Raw Cost. I realize that this may seem too high. Truthfully, it is too high. However, I start with this high amount during FFE because I think it is better to be overly cautious about projecting expenses, than to estimate too low.

BUFFER: This is probably superstition, but I always include this because I mentioned, I am very cautious about making projections. This is just a little extra to cover unexpected expenses, even though at this point everything is Fuzzy. This equals 25% of your product Raw Cost.

FUZZY PER UNIT PROFIT = Wholesale Price – (Raw Cost + Product Expenses + Buffer)

$$[H=D - (E + F + G)]$$

FUZZY TOTAL PROFIT = Sales Per Week Per Store X Number of Locations X Per Unit Profit

$$[I = B \times A \times H]$$

	A	B	C	D	E	F	G	H	I	
	Sales Channel (description)	Number of Locations	Sales per week per store	Retail Price	Wholesale Price	Product Raw Cost	Product Expenses	Buffer	FUZZY PER UNIT PROFIT	FUZZY TOTAL PROFIT
1										
2										
3										
Weekly total										
Monthly total (Weekly x 4)										

Populate this chart with your best guesses. This uses single unit sales, not case-pack units, but it should give you a FUZZY projection of what your monthly revenue could be.

This spreadsheet with the calculations built in can be downloaded at

<https://productdevelopmentacademy.com/links/>

40. DECISION GATE

**DECISION
TIME**



Once again, looking at your potential revenue, decide if the product is worth developing or if you should stop.

41. SWOT MATRIX

	HELPFUL	HARMFUL
INTERNAL	What is good about the product or gives it advantages? (applies to you too) 1. _____ 2. _____ 3. _____ STRENGTHS	What places you, or the product, at a disadvantage? What must be overcome? What are you not good at? 1. _____ 2. _____ 3. _____ WEAKNESSES
EXTERNAL	What circumstances favor you? What situations can you leverage for success? What could the future of the product/brand be if everything goes right? 1. _____ 2. _____ 3. _____ OPPORTUNITIES	What torpedoes do you need to prepare for or avoid? How can you mitigate the risk? What creates your biggest risk of failure? 1. _____ 2. _____ 3. _____ THREATS

Product

The bullet points and questions are only guidelines. You are not limited to three bullet points to each section. Nor are you required to fill out three bullets. Use the questions within each quadrant of the matrix and listed below to generate thoughts. The goal of the exercise is to thoughtfully analyze your position and determine if there are changes to be made before you continue.

HOW TO FILL OUT THE SWOT QUADRANTS

Strengths:

- What is your product USPs?
- What are product benefits that customers value?
- What are your strengths or your team strengths?
- What are the market strengths?
- What other strengths can you think of?

Weaknesses:

- What can your product not do?
- What changes did customers suggest, which you choose not to do?
- What are the market frailties?
- What do you wish you personally could do better? Are there opportunities to find support or learn from others?
- What do you not have time or desire to do? How can you address those areas?
- What other weaknesses can you think of?
- Do you need freelance team members for help in the functionality and design of your product? Do you need outside help drafting legal agreements? Identify those needs here.

Opportunities:

- What is the current market for your product? Do you anticipate it changing?
- What would version two of your product include?
- Where do you think your product and brand could be in three years?
- Is there opportunity for expansion of your product line or brand?
- How do you think brand success would change your life?
- Is your story compelling for investors?
- Are there unique or timely launch opportunities?
- Is there possible celebrity interest?
- What would cause you to celebrate?

Threats:

- What is the competitive environment? How do you think it might change?
- What could negatively impact the sales market?
- How well can your IP be protected?
- Is your financial situation stable?
- What keeps you from falling asleep at night?
- What other threats do you worry about?

42. EXITING FFE STAGE

At this point you should be able to answer each of the following questions about your product.

What is my product? – *Describe your product in fifteen seconds or less.*

What is my USP? – *Unique Selling Points. How are you unique and differentiated?*

What benefits does my product provide? – *How does your differentiation improve a problem or fulfill a desire for the customer? How does your product make their life easier?*

Do customers want my product? – *This was determined in Demand Validation. You will constantly return to this question, and seek customer input, throughout the product development process.*

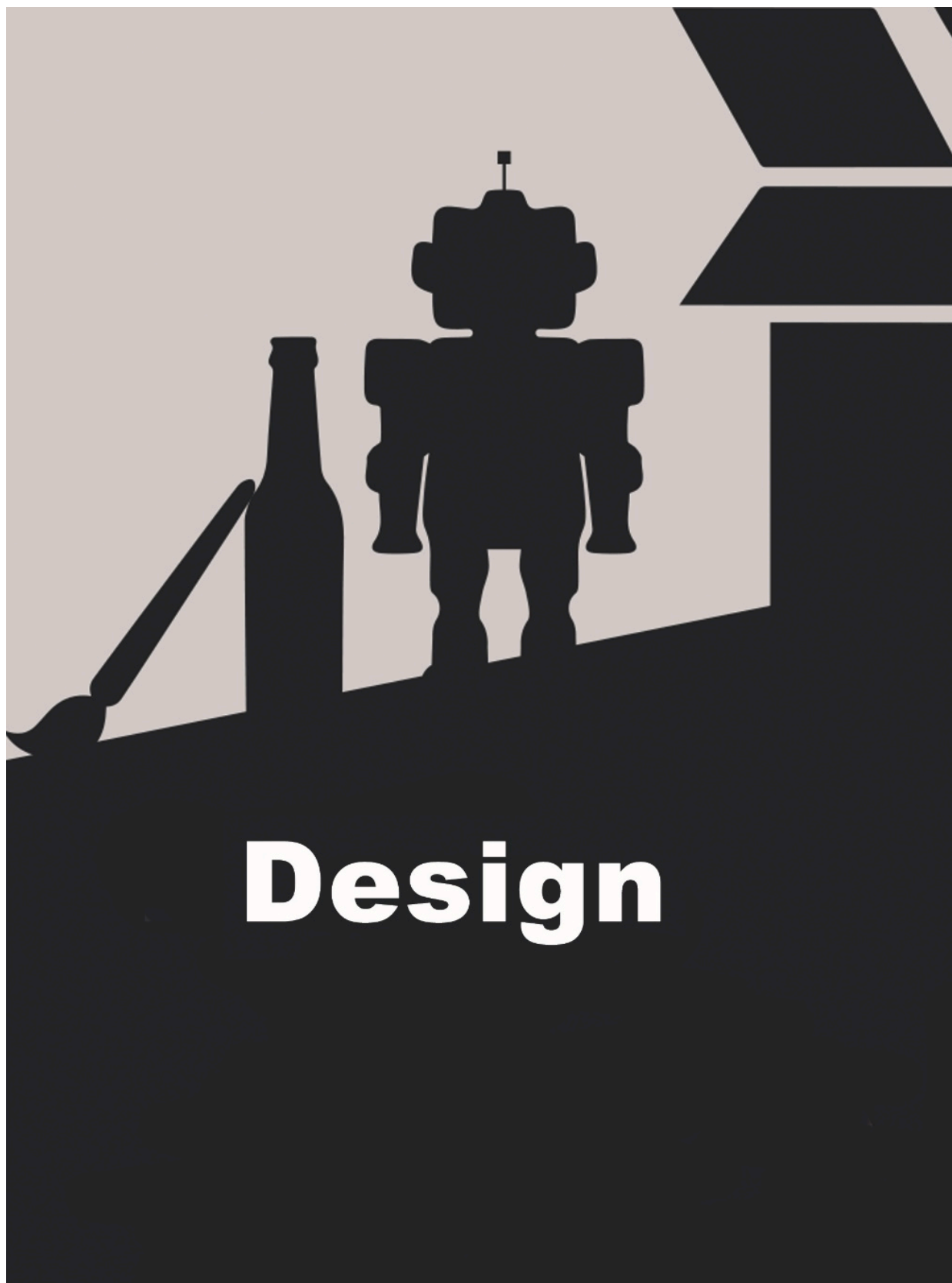
How much will customers pay for my product? – *This was determined during Demand Validation.*

Who is my customer? – *You defined your customer, considered their buying behaviors, and more importantly, you brought customer input to your product development.*

How will I sell or distribute my product? – *You addressed this during fuzzy sales strategy.*

What are the projected costs and revenues of my product? – *You have completed a fuzzy financial forecast.*

What resources (team) do I need? – *This came from your SWOT analysis. Do you need additional learning? Do you need a full-time team member? Do you need to bring on board a consultant, or do you need to outsource aspects of your product development?*



Design

43. ENTERING THE DESIGN STAGE

There is no hard-drawn border between the Fuzzy Front End stage and the Design stage of product development. In fact, all the borders between stages are amorphous, permeable, and ill defined. Some companies may include sections of the Design stage within FFE, and others may include sections of FFE within the Design stage.

For our purposes we will draw the transition line immediately after you perform your last FFE Decision Gate and perform your SWOT analysis. This is the point you commit to developing your product and dedicate yourself to the time and effort of in-depth design.

This choice should not be made lightly. This is where expenses begin to accrue. In other words, from this point forward you will be spending money without any revenue until you make sales.

Another important aspect of this stage is that you may bring on team members. This will be driven in part by the Weaknesses assessment of your SWOT analysis. Do you need a graphic artist? An electrical engineer? An industrial designer? A consultant? Add onto your team as needed. Some you may need on a regular basis, and others only temporarily. Mistakes in the Design stage are hard to mitigate once you pass into the Production stage, so bring in whatever help you need. There is no requirement that you must be a team of one.

At the end of the Design stage, you will have:

- A Product Requirements Document (PRD)

- Completed EVT

- Successfully Tested the functionality of your product.

- Completed DVT

- Understanding the certifications needed for your product and have initiated required certification processes.

- Successfully Tested your product for usage, durability, and environment.

- An understanding of the manufacturing process

- Initiated and filed appropriate Intellectual Property protection

- Have packaging designed.

- Chosen a factory.

- Negotiated with the factory(s)

- Confirmed overall costs

You will also perform customer validation and have sought customer input numerous times.

44. PROFESSIONAL PROTOTYPES

A professional prototype may cost from \$200 to \$5,000 depending on the size, complexity, and materials. To save money try to validate as much as possible using illustrations and self-made prototypes before paying for a professional prototype.

Be prepared with designs and specifications (which you will develop during this stage) to minimize guesswork.

There are many legitimate companies that will create a prototype for you. To find them you can search online, you can ask your 3D designer, you can ask at local universities, and you can ask your electrical engineer, industrial designer, or mechanical designer if you use one. Many US cities have local inventors' clubs that can also provide recommendations for legitimate trustworthy prototype creators.

Unfortunately, there are also a lot of companies that may be unethical and dishonest. They often call themselves Prototype Companies, Prototype Shops, and Invention Submission companies among other names.

I have seen a well-known prototype company outsource the customer's design to factories in China without any agreements in place to prevent them from copying the customer's confidential work.

I have seen the same companies promise that all work would be done in their U.S. facilities and then have the work completed in China and charging the customer four times the cost.

I have personally dealt with prototype companies and do-it-for-you companies which have charged customers over \$100,000 without providing promised products.

A quick perusal of invention groups on Facebook will lead you to many horror stories of prototype companies stealing patents, providing only a poorly written provisional patent and a sell sheet, and designs that look fabulous but are impossible to manufacture. Like the famous optical illusion sketches by M.C. Escher.

Many people complain that the prototype companies will promise one flat fee, but then return with more requests for money again and again. Most frustrating of all are invention and prototype companies that take your money and then don't return phone calls or emails for months at a time.

INVENTION COMPANY RED FLAGS:

Here are some tips for avoiding fraudulent companies.

- Ask how many inventors have made more money with their products than have spent with the prototype company. One very recognizable prototype company's success rate is 35 companies out of over 50,000 clients. That's less than 1%.
- Be wary of companies that seek you out, contact you first, and boast of the millions that you will make.

- Watch out for companies that have changed their name frequently or are in business less than six months.
- Watch out for grandiose promises with few details.
- Be very skeptical of discussions of a PPA (Provisional Patent) without a clear conversation about why your product qualifies for a utility patent rather than a design patent.
- Do not trust a prototype shop or invention submission company that promises to get you into retail but only refers to Amazon.

45. PRODUCT REQUIREMENTS DOCUMENT

The PRD is one of the most underrated and least used documents in product development, yet also one of the most critical for both design and budget.

In essence the PRD is your product, on paper. A verbal (text-based) description and formal list of requirements of your product, features, benefits, costs, and customer.

This is typically a Word document, although I have seen PRDs in PowerPoint and other innovative presentations. In fact, I once created a PRD for a product as an infographic. It was quite informative, but I fell in love with it so much I was reluctant to make changes. That is a failure point because this should be flexible and organic enough to change according to customer input.

The good news is that you have most of your PRD already figured out and completed from the FFE stage. You just enter it into one document.

[PRD TEMPLATE](#)

PRODUCT REQUIREMENTS DOCUMENT	
Product Name:	
Concept / Description:	
Functional Requirements:	
1 -	
2 -	
3 -	
4 -	
5 -	
5 -	
Customer Avatar(S):	
Use Case Scenario:	
Target Retail Price:	
Target Raw Cost:	
Scope:	

DESCRIPTIONS OF THE FIELDS IN THE PRD

Product Name: - Working Title (You completed this during FFE)

Concept Description: - High level description of your product (You completed this during FFE)

Functional list of requirements: (List all requirements. If a requirement is not listed here then do not expend time, money or energy ensuring the requirement is met.)

Note: It is helpful to designate the features as high priority, medium priority, or low priority, to help make judgement calls later if a tradeoff must be made between feature and budget.

Customer Avatar(s): You completed this during FFE

Use Case Scenario: This is NEW. List sample scenarios showing how, and why your customer would use your products.

Target Retail Price: You completed this during FFE

Target Raw Cost: You completed this during FFE

Scope: This is NEW. Scope is the limitations of this product run. It is very tempting to want to include the kitchen sink in your product. If you do not include Scope in your PRD you may find yourself adding new features without thoroughly vetting them for cost and customer demand validation. This is a pretty common point of failure and is known as “Scope Creep.”

What is Missing from a traditional PRD?

Often a corporate PRD will include a **Schedule** and **Projected Quantities**. I have found that for practical purposes it's best to wait toward the end of the Design stage before adding these. For that reason, I have also omitted a specific **Product Roadmap**. Although it is often included in corporate PRDs, I have found that product entrepreneurs, often working solo, will find things take longer than expected, or may need additional steps. Solo product entrepreneurs have the flexibility to adapt and have an ability to be agile that is difficult for large companies. Corporations are like the cliché about big ships taking a long time to turn in the ocean. That's not you. Product entrepreneurs are naturally nimble, so I have left out the roadmap.

EVT, DVT, and PVT

Time for some more product development acronyms. These are exit criteria for three often simultaneous phases of product design. In a large corporation such as Samsung® these would be owned and managed by separate departments. As a product entrepreneur you own each of these but consider bringing in experts to help you with each phase.

PRODUCT ENGINEERING

This is the technical side of creating a product that functions exactly as you imagine it would when you got your product idea. Perhaps your product is a Bluetooth speaker

that sits on a bookshelf and looks like a book.

(Example) Bluetooth Book Speaker Functional Requirements:

- Must pair to IOS and Android phones
- Micro USB cable for charging
- 4-hour battery
- Volume controls
- Charging and fully charged LED indicator
- Pairing and connected notification
- Loud enough to be heard 30 feet away from speaker
- Must work even if hidden between books

An engineer would take these requirements and translate them into technical specifications including LED pin settings, speaker size, impedance, amplifier size, and circuit diagrams. If you are an engineer, you would do all this yourself. If you are not an engineer you should hire one, even temporarily.

An alternative to consider is to buy the internal parts of the Book Speaker as stock components and have them installed in a housing that looks like a book. Earlier we talked about Commodity Products, White-label Products, Private Label Products (ODM), and Unique Products (OEM). The internal parts of your Book Speaker could easily be purchased as stock items. After all, just because you are inventing a car does not mean you have to invent the wheels. You would still need to ensure they met the requirements of your PRD. You would still probably want the help of an engineer or consultant, unless you had the expertise yourself. The advantage of buying stock is having reliable standard internal parts, less chance for errors in electrical and audio design, and standardized costs.

EVT

EVT is the final step in engineering design. EVT stands for Engineering Validation and Test. It ensures that your product functions as expected and meets all the requirements in the PRD. Does the Bluetooth pair to phones, does the battery last at least 4 hours, is the speaker loud enough?

This also applies to non-electrical items. Is your silicone spatula flexible enough yet also rigid enough to hold a half pound hamburger? Do your queen-sized sheets fit a queen-sized mattress? And so on.

This is the phase gate for engineering. The Go / No-Go decision. It seems like an obvious step, but it's not always followed. I have seen products that do not meet their basic assumed functionality. Apparently, they went to production without anyone testing whether the design worked.

46. PRODUCT DESIGN

Apple® product design is so distinctive people can recognize and Apple product from across the room. Some might consider the shape and design of Apple Products to be art. They are certainly beautiful. However, art has the luxury of existing for no other reason than to be enjoyed. Product design does not. It must also have function. As the often-repeated statement says, ‘form follows function.’

The combination of form and function has led to the rise of revered artists who design products. Charles Eames (furniture) Dieter Rams (Braun) and Jonathon Ive (Apple) are esteemed artists of the highest caliber. Sculptors who not only create beautiful forms but do it while serving function.

Product design is where you bring beauty, shape, color, style, size, weight, and texture to your product. The decisions you make here can define your product as much as the functionality. Whereas product engineering draws on the left side of the brain, product design draws on the right side of the brain. Again, unless you are Steven Jobs, you probably cannot do both equally well.

Product design often needs to wait until engineering is complete in order to meet the hardware requirements developed during product engineering. Perhaps a bed hidden in a wall needs track and rails to function so any bed design created without the necessary tracks and rails would be useless and the designer would have to start afresh. But there are some steps you can begin without waiting for engineering. You can begin by identifying a general design aesthetic or style. Do you want your Bluetooth Book Speaker to look like an antique leather book, or do you prefer a modern design? Do you want it to look like a crisp new book, or a weathered paperback? These stylistic choices give you, or your industrial designer, a starting point.

Swipe File:

You can also collect a ‘swipe file’ to help you develop your vision or to communicate to your industrial designer. A swipe file is a collection of images that show the general style or specific elements that you like. They are not meant to be copied, but rather to generate inspiration and to create a design theme.

Hiring an Industrial Designer:

You can hire an industrial designer online from Fiverr and Upwork and other sites just as you can hire a graphic artist. Some things to be aware of are:

In the US search for Industrial Design, not Product Design. In the US often ‘product designers’ work only on digital designs such as apps and web pages. In contrast, you need someone with physical product design. Be aware of UX designers too. It is a serious and demanding field, but it is digital design. You need someone with physical product experience. In other countries the terms Product Designer, Product Engineer, and Design Engineer still apply.

You want more than someone who does 3D renderings. You want someone who has experience creating products.

Expectations from Your Industrial Designer:

A good industrial designer will look for a lot of input from you, and possibly brainstorming sessions. They will welcome your swipe file. They will also want the engineering designs. If an industrial designer does not ask about engineering, it is an indication that they may be new or inexperienced.

Make sure your designer knows about materials. Red flags include your Industrial Designer talking about generic materials unaware of material specifics. An indication of this is to refer to materials as 'traditional' (as if they are the only choice.) For example, they may call a baby blanket 'standard blanket material,' or a plastic bottle 'typical plastic.' If they do that, ask for specifics about the materials choices, and the reasons for choosing them. Look for answers that are referred to by its actual designation such as 85 GSM Microfiber, or PP plastic or PA plastic. You may be dependent upon the designer to recommend materials, so you want to make sure they are knowledgeable. Whatever their responses are, always Google them so that you can use this as a learning opportunity. In addition, it may save you money. The difference between a 'rubber' handle, and a handle specified as TPR (Thermoplastic Rubber) is huge. Each may require a different type of mold and machinery. Possibly a different factory. If your designer simply says rubber, you may waste a lot of time and money until you get the correct type of rubber chosen.

Be sure to ask about revisions. You will probably go through a few.

Ask the industrial designer to sign an NDA and non-compete, just like a graphic artist, and stipulate that it cannot be used in their portfolio.

Start with rough designs and see which appeal to you. Then have a finer design created and perform Lean Product Validation again, with the new product design. The more customer input you get the better your chance for success. Just like in the FFE stage.

Based on customer feedback, make changes in the design, and get it in front of customers once more. Then do it again until you are completely satisfied.

Then comes the non-glamorous part of product design. Environment. Make sure that your waterproof product is waterproof. Apple got rid of the earphone jack because it allowed water into the case. Is your design durable? Does it survive wear and tear? Does it survive drops? What about thousands of button presses?

Think a little item like a button isn't important? Apple spent tons of time and expense testing the cords on their earbuds. It's not too sexy but Apple didn't want anybody unhappy with their \$700 phone because a penny part failed.

There is an elephant in the room at this point. But since you are a product entrepreneur and perhaps working solo, it is a very small elephant.

The form of the product design must work well with the engineering requirement. The Bluetooth Book Speaker must be large enough to hold all the components. It must have a way to dissipate heat buildup if it occurs. The power jack and buttons must be accessible. A great design is nothing if the functionality is not supported.

In big companies this can lead to infighting and political bickering. As a single product entrepreneur, it may lead to some internal discussions, long walks and a glass of wine or two, but at least no one is burning bridges or playing favoritism.

47. DVT

DVT stands for Design Engineering Validation and Test. This can be done in two parts.

DVT Part One:

Lean Product validation. Use the validation methods you practiced earlier to test the aesthetics, cosmetic, and ornamental appeal of your product. Collect customer feedback. Do they like it? Is there anything most people would change? If the majority of real, objective, potential customers find the design appealing then move to the next step.

At this point you may think to yourself that you want a design that is not too ornamental. Maybe something slim, sleek, and minimalistic like Apple. That is great, but it does not reflect why I chose the word 'ornamental.' The term 'ornamental' is a powerful one and is used in a legal sense as the foundation of a Design Patent. We will discuss patents during Intellectual Property protection, but the product design, form, shape, texture and so on that we are describing now is all referenced as ornamental properties when translated into patent legalese.

DVT Part Two:

Does the design hold up to rigorous use, accidents, dropping, rain, paint chipping, washing, compression, humidity, or whatever else your product can expect to endure? This is similar to the functional EVT testing but geared toward product handling rather than pure functionality. The Apple earbuds I referred to earlier were tested for wear against synthetic ear wax, rain and sweat. In my own experience, I once had a product where the paint cracked and peeled during the paint test. and the solution was to use marine paint. If we hadn't performed EVT we would have been unaware of the issue before launch and would not have had a solution in place before production.

Are you expected to stand in the rain holding your supercool outdoor non-slip staircase grippers? No. There are numerous companies set up to do testing for you. Even in China. We discuss testing and inspections later during Quality Assurance, and recommendations on how to choose an inspection company. They can test everything listed here and more. In fact, they traditionally have standardized testing templates for products. A pillowcase like Dog SnorZ might have 30 points of test, and the Bluetooth Book Speaker may have 72 points. They can test whatever they can at this pre-production stage, and then test again at PVT (which we will discuss in a moment.)

Regarding the option of standing in the rain with your non-slip staircase grippers, inspection companies have proper salinity and proper PH-level simulated rain, and 'environmental rooms' that will test your product through days' long downpours, humid afternoons, searing sun, high temperatures, ice, and all other elements. All while you sit home, inside, cozy at your desk.

48. DESIGN FOR MANUFACTURING

Your goal is a *fully functional* product with an *appealing design*, at a *low cost*. The combination of all three may seem impossible but Design For Manufacturing (DFM) is the process for bringing all of the elements together. DFM is a set of principles that help keep costs low while maintaining functionality and form. This may sound complex, but you probably already do it without knowing it had a name. (Actually, multiple names. You may hear about Design for Assembly, and Design for Excellence, but in this book, and for simplicity, we will just use the term Design For Manufacturing – and borrow principles from all methodologies.)

Two drivers of cost are materials and labor. Effective use of DFM keeps both low.

When your Mechanical Engineer / Electrical Engineer creates the functional aspect of your product, ask them to consider the following guidelines. Also ask your Industrial Designer to consider the guidelines.

Some of the guidelines apply only to the engineers, and some apply only to the Industrial Designer. But the easiest way to keep everyone on the same page is to give everyone the same list and let them work towards the ones that apply to them directly.

Minimize the number of individual components that go together. Assembly equals labor, and labor equals cost.

Use easily available commercial components whenever possible. There is no need to create custom components if they do not add significant value to your product. Use commercially available parts inside your Bluetooth Book Speaker. Use premade feet on the bottom of your globe. Use commercially available zippers on your ski parka. This saves time, decreases risk, and prices may be lower if the factory buys in bulk.

Have parts come out as finished as possible. I had a plastic piece that needed a small hole whose purpose was only to hold a hang tag for the price. The factory could have drilled the hole in each part. Instead that mold was modified to include the hole. A mold change costs time and money. So why would I want to change the mold?

By changing the mold, the finalized part came out almost completely finished and required no additional steps or labor. Drilling would have taken about 5 seconds. Placing the piece in position to drill would have taken 2 seconds. And removing it would take just 1 second. That is 8 seconds in total, and across 10,000 units that is more than 22 hours of labor. Plus, additional labor moving the plastic pieces to a drilling station. At those quantities, the cost savings of including the hole in the mold quickly becomes apparent.

Be reasonable with acceptable tolerances. A Rolls Royce® costs as much as it does, in part, because every detail is made to measured perfection. The workmanship is stunning. If you looked under the seats and counted the stitches, every Rolls Royce would have the same amount of hand stitches, and each would be the same size. That is very impressive, but if you want to keep a ski parker affordable, you will accept differing stitches on the pockets from jacket to jacket as long as the lines look neat, the pocket stays attached, and the customer won't notice the difference.

Make assembly easy and foolproof. If a handle needs to be twisted and faced in a specific direction, make the screw threads work to ensure the handle ends up in the right way. Then, to make it foolproof, add a little discrete mark that the worker who assembles it can look at to make sure his handle is aligned. The mark doesn't need to intrude upon the design, but anything that helps make assembly easy can save you money.

Consider overall size. If your product is large, can it be designed in parts that the customer can assemble themselves? The retailer wants to put your product on their shelves. Do not make it difficult for them. Consider a design that can be packaged and shipped as compactly as possible.

Customer ease of assembly. Make sure that the customer can EASILY assemble anything that has shipped in parts. Use embossed graphics or printing that clearly shows what parts go where. Assembly should be painless.

Keep your product as simple as possible. Complex designs cost more and are more prone to errors and breakage.

Use materials efficiently. Fabric needs to be cut out of giant rolls of cloth. If the design pattern on the cloth has a distinct up and down pattern, the fabric pieces must be aligned correctly and may leave empty spaces which are wasted cloth. If the pattern on the cloth is omni-directional, the fabric pieces can be arranged tighter together and cut with less wastage. Which means a lower cost to you. Another example is plastics. If a solid plastic piece can be made hollow without sacrificing the integrity of perceived value of the product, then make it hollow. This will save materials, which saves cost.

Design smartly. If a plastic piece is designed with two cavities, then two molds need to be made. This increases costs, production, materials, and labor. If only one cavity is designed, you can save materials and labor, and keep your cost down.

Make packaging for the product as simple as possible. Simple packaging costs less and requires less work to fill. It also makes packing into cartons easier.

Simple packaging can still be compelling and have shelf impact. Consider making the package as standard as possible (six sides) for shipping purposes.



49. TEN PLASTIC INJECTION DESIGN TIPS

- 1) Choose a Mechanical Engineer, 3D Designer, or Industrial Designer who has experience working with Plastic Injection process. Have them create the design in a standard #D program such as Solidworks.
- 2) Have the designer confirm the model using a plastic injection emulator such as Plastics[®] or Moldex3D[®]
- 3) Watch for short shots and warpage.
- 4) Do not have sharp squared off corners.
- 5) No undercutting
- 6) 'KISS' – Most people know this stands for 'Keep It Simple Stupid.'
- 7) Always have a draft. This is a technical term that means a slight angle for removal.
- 8) Always use datums. This is another technical term your designer should know.
- 9) Put ejection pin pads in inconspicuous places.
- 10) Adjust wall thickness nearest the gate. (Your designer knows what this means.)

And always Test, Test, Test.

50. THE FACTORY

At this point your product development you are ready to identify a factory.

You need a factory because you will use the factory's designer/engineer to continue DFM (Design For Manufacturing.) Their knowledge of the processes and their factory's machinery, combined with their hands-on experience, makes them an invaluable member of your team.

The goal is to have the factory give feedback on the functionality and form to ensure your final design can create hundreds, thousands, or hundreds of thousands of products consistently and economically. Each item meeting the same standards, in an affordable and repeatable way.

Their suggestions and expertise on the factory equipment can save money.

Therefore, the next step, which is one of the most critical and impactful decisions you will make, is to decide how, where, and with whom you will manufacture your product.

51. TYPES OF MANUFACTURING

The initial decision you will face when manufacturing is whether to manufacture your product yourself or to outsource it to a contract-manufacturer. Contract manufacturing means that you hire a factory to create your product.

The answer, except in extraordinary cases, is to outsource to a contract manufacturer. When you begin you do not have the scale, the expertise, the capital, or the labor to buy equipment and manufacture your products yourself. Neither do you have a crystal ball that can guarantee your product will be a success. There are no crystal balls and no guarantees as an entrepreneur.

These are some general types of manufacturing. The creation of the unique portions of your product, in general, will fall into one of the following methodologies. (If you join us in China, you will visit factories with us and get a behind the scenes experience in the factories).

Formed:

Forming is frequently done through injection mold, blow mold, compression mold, vacuum mold, glass blowing, forging, casting, and bending. If something is made in plastic, it is usually created in a form through plastic injection process. Plastic is melted, injected into a mold, cooled, and ejected. When a factory talks about a mold price this is often, but not always, what they are referring to.

Extruded:

This is your childhood Play-Doh machine all grown up. An extruded aluminum lamp casing may go into the machine as hot metal and come out like a long star-shaped pipe.

Machined:

This is a broad term. Manufacturing that is machined often includes cutting, punching, laser cutting, slicing (textiles, paper, etc.,) engraving, bending, and carving.

Assembled:

Products are assembled by joining two or more components together. Examples of assembling includes gluing, nailing, screening, welding, inserting, fusing, and sewing.

Printing:

Printing is usually combined with other manufacturing, but includes dying, painting, screen printing, transfer printing, digital printing, sublimation printing, offset, pad, and rollers. Sometimes paint or ink is applied through a stencil. When

Chinese factories talk about a stencil, they may refer to it in English as a mold. This can cause confusion because it is obviously not the same as an injection or casting mold.

Electronics and High-Tech:

High-tech factories are a world onto their own. These factories often have line upon line of automated production, circuit board printing, careful repetitive assembling, dust free zones or negative pressure-clean rooms, a lot of tiny work, and tons of testing. Many are located around the Shenzhen region. An interesting quirk of high-tech factories is that workers wear special sandals to minimize static electricity and grounded wrist bands to dissipate any static discharge.

Compounded:

Powders, liquids, cosmetics, supplements, and anything that is ground or mixed is compounded.

Filled:

Filled items are liquids and sprays put into bottles. At the Canton Fair, you will see many booths filled with an incredible assortment of bottles. A well selected bottle can convey luxury and beauty, even for a colorless liquid. This can distinguish you very quickly from your competition.

Milled:

This is how they make huge rolls of fabric, paper, plastic, and anything else that is run through giant rollers.

Hand-made:

A lot of the methods already listed include a lot of automation. However not all processes can be automated, and almost every factory has procedures done by hand. In some cases, almost no part of the production is done by automation. It is almost completely done by hand. This can be a factory that hand polishes objects, sews by hand or with a sewing machine, paints, does woodwork, or other assembling or finishing. Oftentimes handmade factories (or 'hand work') factories are smaller and produce fewer products – constrained by production limits.

It is extremely helpful to get to know the manufacturing process behind your product and it is quite easy. Watch YouTube videos and read industry websites. Thomasnet.com has an excellent selection of industry whitepapers.

The television series, "How's It made," is found on Youtube and gives fascinating insight into the manufacturing process of many easily recognized products.

The more you are familiar with processes, the more you will understand problems, and SOPs (Standard Operating Procedures.) Even to a small degree.

For example. Once you are familiar with injection molding, and you may hear that the production has stopped so that the mold can be removed and polished. You will already know that this is a normal part of the maintenance and that your factory is properly caring for your mold.

Knowing more about the manufacturing process will also enable you to communicate more clearly and negotiate more effectively.

52. WHERE TO MANUFACTURE

As a product entrepreneur you will choose where you want your product manufactured. There are a lot of positives to producing locally, (whether in the U.S., Australia, UK, Sweden, etc.) You are supporting the economic growth of your own country. There are also advantages in ease of travel, communicating through a common language, and factory oversight.

As a small business, and entrepreneur, you must also consider costs. Often the survival of your company and the ability to compete may depend on low production costs. Offshore manufacturing is a proven way to accomplish this. However, don't assume that offshoring will *always* save money. Calculate your total costs and compare them. Be sure to look at the total Landed Cost. Shipping adds cost, so does import duties. (We will cover shipping later in this book.) Once you do the calculations, you will find that in most cases, but not all, the total landed cost of offshore manufacturing will still be lower.

Whichever choice you make about offshoring, I'd like to make two personal points here.

I do not support the idea of starting locally for small production and then moving production offshore as quantities grow. My feelings come from my heart as a small businessman.

If you approach a local factory with a grand plan of large production, they will support you. They might make lower profits at the beginning of your relationship in order to enable you to start your business. If you abandon them as things get good for you then they would justifiably feel used and exploited. More importantly, local people assigned to your product or production line may end up with hours cut or jobs lost.

Therefore, if you choose to source locally, please commit to going all-in, and continue with your manufacturer when things get good. They deserve to share in your good fortune.

If your product is produced offshore you can and should still strive to hire people locally. As you grow you will still need local staff. Hiring locally will give people jobs and help the local economy – even though your factory is in a different country.

MANUFACTURING IN THE USA

According to the World Bank, the United States is second in global manufacturing output behind China. The U.S. has strong manufacturing opportunities in some sectors, but almost no factories and infrastructure in others. Before choosing to offshore I whole-heartedly recommend that you investigate whether your product can be produced in the United States. Furniture factories surround High Point North Carolina, which is sometimes called the 'Home Furnishings Capital of The World'. Biomedical manufacturing is also strong in the U.S. Many consumers and retailers make extra

efforts to display and to buy products ‘**Made In America.**’ Each year Walmart has a day set aside just to review American made products.

You can research USA contract-manufacturing factories on ThomasNet.com and MakersRow.com

This book will focus on production in China because of the unique challenges and opportunities, but the principles we cover apply to manufacturing in the U.S. and other parts of the world as well.

MANUFACTURING IN CHINA

China has unparalleled manufacturing capabilities and expertise. There is hardly anything that cannot be made in China. There is a reason that China is first in the world for product manufacturing. It has the investment, experience, machinery, skills, labor force, raw materials, resources, infrastructure, government support, economic support and ongoing commitment towards manufacturing as a way of life.

Manufacturing in China will enable you to have a lower product cost. China has very affordable labor, (although not as inexpensive as they were fifteen years ago.) China has a large labor pool, access to resources, and excellent infrastructure. Despite a perception of low quality, China has excellent high-quality production factories available, and China has consistent reliable shipping and excellent ports.

Challenges include distance. Factory visits include a long plane ride, and often a train as well. Visitors from some countries require a new Visa for each of their first few visits. Language is also a challenge, however most factories have at least one person on the sales staff who speaks English.

MANUFACTURING IN VIETNAM

Vietnam has lower labor costs than China and is a good country to consider for clothing and furniture. The challenge of Vietnam is lack of infrastructure and limited expertise. Vietnam imports some of its raw materials and components from China and this impacts potential cost savings on materials. There are also fewer factories with speakers that are fluent English, so communication can sometimes be challenging.

Here are some comments by Jim Kennemer about sourcing in Vietnam. Jim is the Founder and Managing Director of Cosmo Sourcing.

“The most common issue in sourcing from Vietnam is slower response times, we usually budget two more weeks for responses than we did when working with China. Private/ White Label products are much more difficult and often impossible to find. Suppliers can make your product but expect you to have all design files made in advance before they will quote you, and very few factories have in house designers.”

In addition, many components, parts, and raw materials are still made in China, so you need to factor in shipping time. There are often difficulties getting low MOQs. Apparel for instance, does not take projects that are less than 2,000 units. For

information on sourcing from Vietnam click here:
<https://productdevelopmentacademy.com/links>

MANUFACTURING IN INDIA

Communication is easier in India since they will speak English. India is the second largest English-speaking population in the world. Labor costs are lower in India than in China and the labor force includes tech savvy engineers.

Meghla Bardwaj runs India sourcing trips, and points out that there is no single major supplier directory that hosts the majority of companies.

To source in India you need to use multiple ways to find suppliers including supplier directories, trade shows, agents and the like.

There are a large number of big enterprises in India, mostly in industries such as apparel, textiles, chemicals, pharmaceuticals, machinery, electronic components, auto & parts and the like. The strength of India however is also in its SMB factories and artisans. Handcrafted products from India are unparalleled in the world.

India is an excellent source for small factory production of items made from wood and natural materials. Also consider India for products made from natural fibers such as cotton and leather. One of the positives about India is that suppliers often have lower MOQ. However, India does have a reputation of longer delivery times.

Twice a year India has the Delhi Fair, which occurs just prior to the Canton Fair in China. For information about India and India sourcing trips click here:
<https://productdevelopmentacademy.com/links>

MANUFACTURING IN MEXICO

Mexico has a lower labor cost compared to the United States. It does not have the natural resources and infrastructure of China. One of the positives is that transportation is relatively simple and affordable. A negative is that there are concerns about safety and corruption so please research this carefully.

53. SOURCING METHODS

If you choose to manufacture in your local country, finding a factory is relatively easy. Contract manufacturers can be found online. You can visit the factory in person, review it, and form a manufacturing agreement. Finding and evaluating a factory in China is more complicated but when you find a good one, you can produce products at a very affordable price.

China accounts for 28% of all manufacturing in the world. Its ports are some of the busiest in the world. It is no surprise that China is often called The World's Factory. The rise of online portals such as alibaba.com, globalsources.com, and dhgate.com has made finding Chinese suppliers as simple as a search on an online app. The challenge is that you are looking for a factory and most of the suppliers listed in the online portals are trading companies selling pre-manufactured goods at wholesale prices.

Determining if a supplier is a factory instead of a trading company, and then ensuring that they can produce the quality goods that you need, can be difficult. There are steps to do this, and to manage your factory. First you must understand the differences between types of suppliers.

54. TYPES OF SUPPLIERS

There are many types of suppliers in China. There are two major types you will encounter most frequently, and two more types of suppliers that you will personally encounter less often but are nonetheless important to your product.

FACTORY

A factory, also known as a contract-manufacturer, has production lines, machinery, and workers producing your product. Because they work on contract, one line may work on your product, and another line may work on a different product.

For example, you may contract with the factory to produce dust bins in the shape of a panda. At the same time, the factory may be producing traditionally shaped dust bins for its own sales.

When you create unique products, the only type of supplier you should be dealing with is a factory. They do the actual manufacturing, they are the corporate entity that you will make legally binding agreements with, and they have the expertise you need to create your products correctly. Very importantly, the factory will always be the most economical choice and have the lowest price point for creating unique products.

The challenge is that oftentimes they may struggle with English. Unlike trading companies, they are not a sales focused organization, and therefore English fluency skills are not prioritized when hiring staff. Despite the communication challenges, when you make a contract with a supplier to create a unique product for you it should always be with a factory.

TRADING COMPANY

If you look for products on Alibaba.com or GlobalSources.com many of the suppliers listed are trading companies. They are great partners for first-time buyers who are looking for low order quantities and high-touch customer service.

A trading company buys products from a factory, and sells them to retailers, wholesalers, and resellers. The trading company has no production lines or machinery. Occasionally a trading company may have labeling equipment and printing equipment so that they can provide customized labels and printing on products they are selling. While the factory's focus (and revenue) is based on production, the trading company's focus (and revenue) is based on sales. Therefore, their language skills are often higher.

The trading company will offer products at a higher cost than the factory. It makes sense when you think about their business model. They have to cover their costs of purchasing the product and sell those items for profit.

There is a dark side to trading companies. Dishonest trading companies will lie and tell you that they are a factory. Obviously, you do not want to do business with a

supplier who is deceptive.

In the 5-Step method described below, I will show you how to determine if a supplier is masquerading as a factory. It is not a clear-cut line. The factory that makes, and sells dust bins, may also sell hand vacuums. Although they do not manufacture the hand vacuum, BY offering additional products related to their core product they provide convenience for their best customers, and extra income for the factory. When a large retailer comes to china it is easier for them to have only a few meetings in just a couple of cities, rather than many meetings spread out across different locations. In this case the factory is manufacturing one item yet acting as a trading company for another item.

Since you will be making unique products and asking the supplier to be bound by agreements that will protect your IP, you should always deal with the factory, not a trading company.

RAW MATERIALS SUPPLIERS

Raw materials suppliers provide the raw materials for factories. At this point in your journey, you will probably have no contact with raw materials suppliers. However, as you scale and have multiple factories producing your product, you may have to deal with a raw material supplier to ensure consistent supplies are delivered to each factory.

COMPONENT SUPPLIERS

The factory that creates ski parkas for you does not manufacture the zippers or the buttons. The factory that creates a miniature radio-controlled car does not produce the LEDs that go inside the headlights. These are provided by component suppliers. These are arranged, purchased, and negotiated by your primary factory. Because they buy in bulk and have relationships, they should be getting good prices for components.

FREELANCE SUPPLIER

In the last few years, a new type of supplier has popped up online in the U.S. and other countries. An individual or small team offering a one-stop-shop. They mostly market themselves to Amazon Sellers and offer ‘hot’ products, shipping, inspections, photography, packaging, etc.

They are not trading companies. They are an additional middleman between the trading companies and you, which means they will cost more. On the positive side they speak English well and are knowledgeable about the Amazon selling processes. On the negative side, their business is not registered as a trading company so if they represent themselves as a trading company, they are being dishonest. The same is true if they represent themselves as an inspection company since legitimate licensed inspection companies cannot provide sourcing services, photography, or shipping.

Regardless, since they are not a factory, they cannot be bound by legal agreements you need to have with factories and are not in position to create unique products for

you.

55. MAKING A CHOICE

The journey of a product entrepreneur is frequently compared to a rollercoaster. Until now you have been slowly climbing up the initial hill through the FFE stage, including ideation, evaluation, and validation; through the Design stage and its iterations, until you are tottering at the top of the tower. Paused. Choosing a factory is your first frightening plunge. It can be very scary.

How many factories should you be considering? Some YouTube videos recommend comparing twenty or more suppliers. I have even seen recommendations of fifty suppliers. Those suggestions do not apply to your situation. The videos that recommend comparing dozens of suppliers are referring to sourcing commodity products, not unique products. The suppliers they are referring to are trading companies, even if they use the word ‘factory.’

An item that is offered by fifty suppliers is not unique. Worse, that product is already in high competition. If every supplier is already selling to just four Amazon Sellers in the U.S., then the moment you launch your product you will already have 200 competitors, each with a head start on you.

Instead, we will introduce you to a 5-Step method for identifying and evaluating factories. If you follow the 5-Steps diligently you will end up with just a handful or candidates, possibly just one, without giving away the secrets of your product in the process.

You will then make a choice based on three criteria: Confidence. Cost. Concerns.

Are you confident that they have the knowledge and expertise required, that the product will meet your quality standards, that they have the capability to produce your product, and that they will not steal your idea or intellectual property?

Cost starts with the question of price, but also includes MOQ, production time, mold costs, screen fees, payment terms, and production capacity.

Additional concerns address the methods that the factory works, as well as some intangibles. How well do they communicate and respond to you? Are their facilities clean and organized? How does your gut ‘feel’ about them? Do they treat you as important?

56. FINDING A FACTORY WITHOUT TRAVELING TO CHINA

To find a legitimate factory with the capability of producing your product with high quality and low price is not simple. China is full of great factories, but the internet is full of deceptive people looking to take advantage of the distance, language barriers, and naivete of entrepreneurs looking to create products.

This has worsened since selling on Amazon skyrocketed. There are trading companies masquerading as factories, there are inexperienced Chinese students posing as sourcing agents, and there are one-stop-shops with impressive looking websites offering to source products, perform inspections, and arrange shipping all under one roof (never use these.)

To complicate things further, there are well-meaning people in Facebook groups unknowingly recommending dishonest suppliers and agents with the same sincere praise of a food critic recommending a steak restaurant when they have only ever eaten hamburger. The food critic thinks the restaurant is great, but since he has never had steak, his recommendation is limited by his lack of experience. Be cautious. Even if a supplier or agent is recommended by people online, you should still be diligent about vetting them.

The factory is the most critical part of your supply chain. Mistakes made here, can cause disaster later. Finding a good factory takes strategy, and intelligent planning. There are also some expenses involved.

There are four typical ways to begin your search, depending on your circumstances.

- Attend The Canton Fair
- Leverage your current factory
- Use online sites such as Alibaba, Global Sources, and 1688
- Consult a Sourcing Agent

Whichever way you begin, you will then follow our 5-step process to evaluate your factory candidate.

Before starting your search, however, you should:

- 1) Create a decoy product (which allows you to communicate without disclosing your unique product)
- 2) Install WeChat (Not WhatsApp or Skype.)
- 3) Create an email with a professional sounding .com domain. (Not Gmail)

DECOY PRODUCTS

Your goal is to identify factories who have the expertise, skill, and equipment needed to produce your products, WITHOUT telling them what your product is.

If you are an engineer it is relatively simple to describe the engineering requirements, components, materials, and equipment needed. But most of us are not engineers. Therefore, I introduced sourcing using a Decoy Product.

Your goal is to give each candidate factory the same information and requirements so that their costs/bids can be compared equally to each other. In addition you do not want to reject a candidate and leave them with your product secrets since they may be tempted to create your product for themselves.

The decoy product will enable you to approach potential factories and discuss a product without giving away any intellectual property secrets. Use the decoy product when interviewing the factory and negotiating.

Begin by identifying the basic requirements of your product, then apply the requirements to something different. The decoy should have the same requirements as your product but does not give away your secrets.

- Same general size

- Same 'look and feel' as your product

- Same materials requirements

- Same number of colors

- Same printing style (example screen printing)

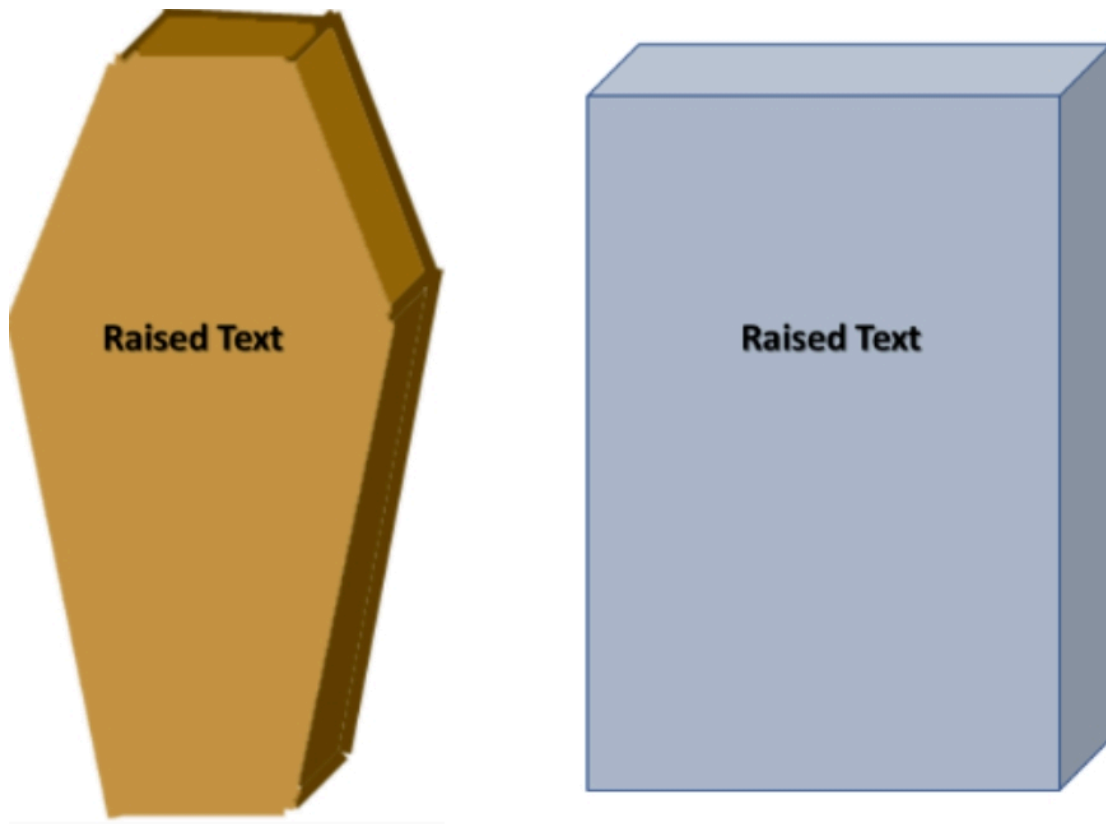
- Same technical requirements

- Same components requirements

- Same challenges that your product may have.

The decoy does not need to be a viable product. It is okay if the factory thinks your product is foolish. If they express skepticism about your product, or ask for extra details, it is acceptable for you to tell them that it is a decoy product to compare factory's quotes with one another.

If you are sourcing a Bluetooth speaker shaped like a book, you could create a decoy Bluetooth speaker that looks like a miniature coffin. The coffin should be the same general size and shape of the book (coffin shaped rather than book shaped.) The unique aspect – shaped like a book – is different, but, the components, materials and design are the same or very similar.



- ✓ Same internal components
- ✓ Same functional requirements
- ✓ Different housing (the unique aspect of the Bluetooth Book Speaker)

Some of the factories that you will approach will not meet your criteria, and you will not proceed to the next steps of evaluation. By using the decoy product, you remove risk that a rejected factory will choose to build your product without your knowledge and then go into competition with you.

Talk to your industrial designer. They help create a product description and renderings for your decoy product.

Examples of products and their decoys.

Real Product	Decoy Product
Whiteboard with an embedded clock. 11" x 14" Wood frame 1" wide.	Printed image of the ocean, with an embedded clock. 11" x 14" Wood frame 1" wide.
Llama shaped Tea Set made of porcelain with iridescent glaze	Chicken Tea Set made of porcelain with iridescent glaze
6 inch Shoe inserts shaped like a tube. Embedded with 8 UV LED lights that will kill bacteria in sneakers	6 inch wand. Embedded with UV LED lights that will kill bacteria on a cell phone

WECHAT

WeChat is the most ubiquitous chat platform in China. Everyone in China uses WeChat. This includes the sales rep at factories. Many people online might point out that their supplier uses WhatsApp or Skype as well as WeChat. This is correct, they do. The sales reps use Skype and WhatsApp because inexperienced buyers do not understand China and its culture. If you want to appear knowledgeable and experienced, you should use WeChat.

When you download and install WeChat you might face a security authorization. WeChat might require that you to be authorized by an existing WeChat member. I recommend using Fiverr to find someone who will authorize you on WeChat for a small fee. It's simple and it's quick.

Once you are registered on WeChat, you can communicate with people by giving them your WeChat ID, or by sending them your WeChat QR code.

57. SOURCING EMAIL

Set up an email with a professional sounding domain. You can do this through GoDaddy, Bluehost, or any other domain provider. It should cost relatively little. A Gmail email or other popular free domain lessens your credibility. You do not need a site to go with your email domain, you simply need a domain that appears professional.

Once you have your decoy product, WeChat installed, and a professional email address, you can begin connecting to candidate factories.

58. WORKING HOURS

Communicate with factories during Chinese business hours. It shows respect, and it indicates that you understand Chinese business. It also allows you to communicate more easily on WeChat, which you will use to your advantage as you progress through the 5-Steps.

Note: All of China is on a single time zone. The time in Beijing is the same as the time in Guangzhou, and Hainan.

59. CHINESE HOLIDAYS

The Factory will appreciate that you are aware and respect Chinese holidays.

Holiday Name	2020 Date	2020 Days Off	2021 Date	2021 Days Off	2022 Date	2022 Days Off
New Year's Day	Jan. 1	Jan. 1, 2020	Jan. 1	TBA	Jan. 1	TBA
Chinese New Year (Spring Festival)	Jan. 25	Jan. 24-30	Feb. 12	Feb. 11-27	Feb. 1	Jan. 31-Feb. 6
Qingming Festival (Tomb Sweeping)	Apr. 4	Apr. 4-6	Apr. 4	TBA	Apr. 4	TBA
Labor Day (May Day)	1-May	May 1-5	1-May	TBA	1-May	TBA
The Dragon Boat Festival	25-Jun	June 25-27	14-Jun	TBA	3-Jun	TBA
The Mid-Autumn Festival	Oct. 1	Oct. 1-8	Sep. 21	TBA	Sep. 10	TBA
National Day	Oct. 1	Oct. 1-8	Oct. 1	Oct. 1-7	Oct. 1	Oct. 1-7

60. CONNECTING TO A FACTORY

USE YOUR EXISTING FACTORY

If you have an existing factory already producing products similar to what you want, then start your search by talking to the factory that you already use. This is a natural step when you are expanding your product line.

For example, if you make sleeping bags and you want to expand to a new design with a cell phone pocket, first talk to your current factory. They know you, you have a relationship, and you trust them.

If you are use your existing factory, you can bypass the 5-Step process and proceed to an NNN and negotiation.

NETWORKING REFERRAL

Networking is one of the most “Chinese” ways of finding suppliers. When you have a good relationship with a factory, and if they cannot produce your new product, ask them to recommend other factories for your new product. This immediately gives you credibility with the new factory and builds good-will with your current factory.

For example, if you are already making sleeping bags with the first factory, and you want to make cast iron cooking utensils, the sleeping bag factory would not be able to produce it for you. They may however have a friend or relative with a cast iron factory, and they become your connection and can introduce you to the new factory.

If you are referred to a factory by your existing factory, and can visit in person, use the factory review sheets discussed later in this book, and then start the 5-Step process with the estimate for the decoy product in Step 3, and continue through Step 4 and 5.



If you cannot visit in person, start with the virtual visit in Step 3, and continue through Step 4 and 5.

THE CANTON FAIR IN CHINA

The best way of finding a factory is to attend the semiannual Canton Fair in China. The Fair occurs in Guangzhou each April and October. The Canton Fair, officially known as The China Import and Export Exposition, is the world's largest gathering of factories and suppliers exhibiting in one location. If you want to buy something, or manufacture something, the Canton Fair is the place to be.

The scale of the Canton Fair is huge! There are over 60,000 booths. Almost a half a square mile of exhibitors. Imagine walking through an entire football field of exhibitors right next to each other. Then walk into another football field filed with exhibitors. Then another. Do that again until you have walked through 217 football fields. That's the Canton Fair.

At the Canton Fair you can see, touch, and examine samples in person. You also get to see a variety of different options, so you can compare the quality of your specific product compared to different factories. And of course, engaging with your supplier face-to-face also builds trust and rapport, which makes the entire sourcing process simpler and smoother.

Product Development Academy has a program twice a year which includes a trip the Canton Fair with us at your side to guide you, teach you, and support you. For information visit <https://productdevelopmentacademy.com/>

If you are serious about increasing your profit margins, understanding your supply chain, finding a factory, and building a relationship with them, there is nothing comparable to attending the Canton Fair.

If you are with us in China at the Canton Fair, we will take you through all the steps, help you in your initial negotiations, and if you desire, visit the factory with you.

If you have found a potential factory at the Canton Fair but are not part of our program, you should follow up after the Fair by visiting the factories. Use the factory review sheets discussed later in this book, and then start the 5-Step process with the estimate for the decoy product in step 3 and continue through Step 4 and 5.

ONLINE SITES

You can find suppliers online through sites such as Alibaba.com, DHGate.com, MadeInChina.com, 1688.com, Globalsources.com, and others. Register with your professional email address.

These sites are an excellent source of information when you are researching fuzzy price estimations, but they are imperfect as a resource to find factories. The challenge is that a majority of the listings are from trading companies, and some of the trading companies falsely claim to be factories.

You need a contract manufacturer, and therefore you need to work directly with a factory, not a trading company. A trading company does not have the ability to manufacture custom products, nor are they subject to the legal agreements that protect your IP and your business.

Start with the sites to initiate your search, then continue through the full 5-Step process.

A Note About Alibaba Trade Assurance:

Alibaba Trade Assurance is an escrow-based payment system available to people making purchases from Alibaba registered suppliers. There is a great debate about whether trade assurance truly provides protection for buyers, or if it is weighted toward the supplier. After all, Alibaba makes money by keeping suppliers happy, not buyers. The answer, and the debate, will not matter to you. Trade assurance is just a method of ensuring that your supplier provides a good product and a method of resolving disputes if they don't.

The processes we will cover gives you even better protection and higher confidence in your product, so trade assurance is not a requirement.

In addition, relying on Alibaba trade assurance marks you as an inexperienced buyer. It is okay to be new, but there is no reason to call yourself out for it. That is like using training wheels at your first bike rally.

Alternatives To Alibaba Trade Assurance:

Some people recommend paying factories through PayPal. People who recommend this have good intentions. After all, PayPal has a good refund policy. However, PayPal

too will mark you as inexperienced. Using PayPal will make suppliers question your credibility and professionalism. They will respond by treating you as naïve and inexperienced. Using PayPal will harm your ability to effectively negotiate and be treated seriously.

1688

1688.com is a portal owned by Alibaba. It is in Chinese but can be translated to English through your browser. It is focused on the Chinese domestic market as compared to Alibaba which is focused on overseas markets. 1688 is a good source of finding factories but like Alibaba there is a high risk of trading companies posing as a factory.

With 1688 there is an additional concern that the supplier only sells domestically within China. Be aware that the quality expectations of Chinese consumers are not the same as Western consumers. There is a risk that the quality of the products may be lower.

Just as with Alibaba, you can use 1688 to start a search then continue with the full 5-Step process.

61. METHODS TO AVOID

- Shipping Records
- All-In-One Sourcing companies

DO NOT USE SHIPPING RECORDS

There has been a recent trend of identifying Chinese suppliers by backtracking shipping records. You can find shipping records through a number of tools, and through databases sold by Chinese shipping sources. These lists and tools can sometimes successfully identify the factory of well-known goods. However, what do you do then?

There is no guarantee the factory will copy their client's product and sell it to you just because you were able to sleuth them down. Furthermore, by producing a copy of a product, or a similar product with differentiation, they risk raising the ire of their current client. Why should they be motivated to lose an established client in order to get an order from an unknown buyer like you. Instead they may simply suggest your differentiations to their existing client and suggest that the client produce what you had suggested. If they are willing to go behind the back of their existing client, what will prevent them from going behind your back in the future?

There are too many risks in engaging a potential competitor's factory and asking them to produce your product too. I do not recommend using this method to find factories.

TIP: If you are afraid of people sleuthing out your factory through shipping records, ship using FAS instead of FOB. No factory will be listed. (we will discuss shipping later.)

DO NOT USE ALL-IN-ONE SHOPS

Finding, vetting, and evaluating a factory is hard work. It may be tempting to put it all in the hands of someone promising to find a factory, review them, manage your order, arrange inspection and provide shipping services, but it puts your business in the hands of someone you do not know, whom you have no reason to trust, leaves you with no legal recourse if they or the factory steals your idea and competes against you.

No matter how impressive their website is, no matter how many well-meaning people recommend them, and no matter how tempting it may be, do not use a one-stop-shop.

62. THE 5 STEPS TO FINDING YOUR FACTORY

IMPORTANT NOTE ABOUT AMAZON

Do not mention Amazon in your conversations with the factory. Identifying yourself as an Amazon Seller to Chinese suppliers can be self-sabotaging. Many suppliers treat Amazon Sellers in low regard. They consider Amazon Sellers as inexperienced, unprofessional, and as possible credit risks.

When a supplier asks where you sell, tell them you sell in the US, to retailers. If they ask which retailers, respond that you cannot tell them until after the NNN is signed.

If they ask if you sell on Amazon, tell them that some of your retailers might sell online, on their own sites, and on Amazon, but it is not your business and you do not restrict them.

Do not have your FNSKU label applied by the factory. Have it applied by Amazon, and arrange shipping yourself.

Step 1 – Introduction:

Begin your search on Alibaba, Global Sources, (or if you speak Chinese, on 1688) using your professional email domain.

Look for factories that produce products similar to yours. For example. If your product is a tubular insert with UV emitting LEDs that go inside sneakers to kill bacteria, search for suppliers of UV LED disinfecting apparatus. You could start your search by looking for “UV LED Sterilize.”

Look under Company Profile. Narrow down your search by removing any candidates that self-identify as a Trading Company. Only consider suppliers that self-identify as Manufacturer. You can also filter by ‘Verified.’

Contact them, during Chinese working hours, using the following script:

I am interested in manufacturing a unique ODM product, according to my own design, similar to [enter the similar product from their listing.]

Quantities will be 5,000 – 20,000 at a time.

You will have to agree to factory audit and NNN before I can share product details.

Are you able to provide this?

Their response will be: yes, no, have no reply, or ask for more information.

- If they say *Yes*, move on to the next step – WeChat and a Sample
- If they say *No*, cross them off your list and move on.
- If they do not respond, cross them off your list and move on.
- If they request more information about the product, repeat your initial query.

I am interested in manufacturing a unique ODM product, according to my own design, similar to [enter the similar product from their listing.]

Quantities will be 5,000 – 20,000 at a time.

You will have to agree to factory audit and NNN before I can share product details.

Are you able to provide this?

If they ask about you or your company say:

I am based in [your country.] I sell to the U.S. market through major retailers.

I will provide more information after you pass the audit and sign NNN.

This should give them enough information to decide if they want to take you seriously.

If they ask your position in the company, you tell them that you are the owner. If they ask for more information than that, reply:

I will provide more information after you pass the audit and sign NNN.

Hello Dear

A NOTE ABOUT AN AWKWARD WORD

Whoever you communicate with when you are sending emails or texts, wants to make you feel respected and valued. Therefore, they may call you '*Dear*' during the conversations.

This is a cultural term. It is not meant to be condescending, and it is not meant as a romantic come-on. It may seem awkward at first, but the word is meant as a professional courtesy, and not as something demeaning or inappropriate.

If they remain difficult, or give you a bad vibe, cross them off your list and move on.

Step 2 – WeChat:

Tell them you prefer to communicate through WeChat and give them your WeChat ID or QR code. This might surprise them.

By proactively moving off the Alibaba platform you will establish yourself as different than all the other people contacting the factory. It's like moving away from the edges of the swimming pool and into the center deep water. It indicates that you understand how communication and business is done in China.

You are probably communicating with a sales account rep.

The move onto WeChat will create curiosity at their end. They will ask questions about you and try to find out if they need to take you more seriously.

There is a chance that upon shifting to WeChat they may transfer you to a different person. That is okay. It simply means that they are moving you up to a higher-level person. It does not happen frequently but as they take you more seriously, they will try to align you to the person who speaks English fluently, yet is also a decision maker.

Feel free to share small talk about topics like your city, the weather, family, etc. They are genuinely curious, and it will help build a relationship. Do not talk about your business too deeply. If you are an Amazon Seller, do not mention Amazon. Unfortunately, identifying as an Amazon Seller will decrease your credibility.

Engage in conversation. Have the conversation using WeChat video. This is important as you will see later. Questions you should ask include:

- *Are you a factory or trading company?* - If they say trading company, be polite, but drop them. You are seeking a factory. Be polite because one day you may need them, but at this point they are not what you are looking for.
- *Is it your factory or a sister factory?* – Some trading companies will refer their associated factories as ‘our’ factory as a way of hiding that they are a trading company. However, if you ask if it is their ‘sister factory’ they will often say yes, indicating that they are a trading company. Be polite but drop them. You are seeking a factory.
- *What other types of products do you manufacture?* – You want to hear that they create multiple products that require similar equipment and expertise. For example, a factory that does bristles for a vacuum cleaner may also do brooms, and toothbrushes. If they tell you, “We can do anything,” be polite but drop them. That phrase is an immediate indication that they are a trading company.
- *Where do you export most of your products?* – American consumers, Japanese consumers, and German consumers have higher quality expectations than Chinese consumers, Indian Consumers, South American consumers, and African consumers. This is reflected in the import regulations of the countries. Therefore, if the factory exports to Japan or the U.S. you can expect a higher quality level. In addition, there are export regulations, If they only sell domestically to Chinese consumers you should drop them. There is probably an underlying export issue or license issue that may prevent them from exporting your product.
- *How long have you been in business?* - You want a factory that has been around for at least six years. Compare their answer to the information on Alibaba for the number of years they are in business. It should be the same. Then do a Google search on the factory. Finally, if they have a website, research Whois.com and see if the length of time in business matches the length of time they have a website.
- *How many workers do you have?* – You want a factory that has a minimum of 100 workers.
- *What port do you export from?* – This information will be used later as you consider shipping.

A NOTE ABOUT THE WORD *YES*.

When you talk with people from China they will often say ‘Yes’ as an acknowledgement of what you are saying, as encouragement for you to keep talking, or as simply a word to say. It may not mean ‘YES’ as an agreement or confirmation.

Therefore, when you ask a question, such as, “Can you provide this product in the color blue?” they may answer, “yes,” but not mean that they can provide a blue product.

Always rephrase important questions two or three times and ask them again differently. This will not eliminate all potential miscommunications, but it will help lessen them.

Samples:

Tell them that you would like to see a sample of their work. The sample should be overrun from a production of an item similar to your product.

Do not ask them to modify it in any way. No logo or name or color or any other change. You are not asking for a prototype. You want to examine a product exactly as they made it. Discuss this with the factory. It should be relatively easy, and since it is a product they already have on hand, it should probably cost nothing except the shipping fee. (Exception if it is an expensive item.) If you already have a FedEx or DHL account, you can give them your account number.

If you are planning to sell a room scent diffuser, ask for a sample that is approximately the same size. If you are planning to sell a child’s plush sloth, ask for a plush bear the same size and material. If you do not know the material yet, ask them for two or three samples in different fabrics. If you will make a jigsaw puzzle, then ask for a puzzle with the same size and number of pieces. This way, you will know what their quality is on a product that is similar to what your will be.

When you receive the sample, evaluate it, including detail work, and functionality. I once received a sample from a factory that produced IKEA products with paint that was

so sloppily applied that I immediately removed the factory from consideration.

If the quality and their responsiveness meet your expectations, it is time to give them a surprise.

Step 3 – A Virtual Visit:

Have another video conversation. Confirm that you have received and reviewed the sample. Tell them that you would like to send them the details of a product for them to give you a quote on. But first, tell them you would like to see the factory – on video. Ask the sales rep to walk over to the production floor and show you what it looks like.

If the supplier is a factory, the production floor should be close. Perhaps in the same building, or in one next door.

When the rep shows the factory look for three things.

- 1) Confirm that it's a full factory with equipment and machinery.
- 2) Look for manufacturing activity. Some machines may be idle, but multiple fully idle, closed inactive production lines with the factory is a bad sign.
- 3) Look for general cleanliness. An active factory is going to be hectic and messy, but too much material on the floor, standing water, or excessively dirty machinery are bad signs.

The surprise factory tour is a further method of weeding out trading companies pretending to be factories. If they are a trading company and have been deceiving you, they will make up an excuse to delay showing you the factory for a day or two. If you ask to see the factory floor and they delay you more than just a few minutes, then be polite but drop them.

At this point you should only have a handful of factories under consideration. Possibly just one or two. If you have more than six factories, review everything you have learned so far, evaluate them, and decrease your candidate factories. As you evaluate them, it is fair to consider intangible factors such as the respect they show you, how fast they respond to you, and their ability to communicate. All of these factors will impact the ease of business so do not disregard them.

If you haven't sent them the details of the decoy product before the virtual factory tour, send them the details now.

Explain to them that it is not the final product. Explain that this is only so that you can compare manufacturers equally without giving away all the details of your actual product. Tell them that you are evaluating multiple factories and giving everyone the same product specs so that you can compare each factory equally against each other.

Let them know that you will share with them the real product specifications after the factory is evaluated and they sign an NNN. (NNN is discussed later.)

They may push back that their price quote won't be correct without the actual product specifications. Reassure them that you understand the estimate will not be correct. Reassure them that you will not depend on the accuracy of the quote.

Step 4 – Review The Sample And Estimate:

Review the decoy product estimate:

Compare your candidates on cost, materials, mold cost if applicable, lead time (how long does production take) MOQ and additional fees.

If one factory is dramatically lower than the others, consider this an outlier. Communicate with them. Do not tell them that their prices are lower. Simply ask them to explain their pricing. They may have misunderstood. They may have been planning to substitute cheaper materials without you knowing. Perhaps they can get raw materials cheaper. You won't know unless you ask.

Do not pit one factory against another. That's amateurish, ineffectual, and disrespectful. However, if there is a factory you prefer over others, and their price is higher than everyone else, you certainly can inform them that everyone else is lower and give prices (but not factory names.)

Review the sample:

Examine the workmanship. Look for mistakes and sloppiness. Look at how it was sent. Was it packaged with care? Does it have the look and feel you expected? Examine the functionality.

If there are things wrong with the sample, you should record them and compare to similar samples from other factories. Also look for elements that might enhance your product. Perhaps each factory sent a plastic panda bear to you, but one factory's bear glows-in-the-dark.

Be sure to try all the functions. I have a Bluetooth speaker in my shower that makes a polite announcement when the battery is low. Unfortunately, the woman who recorded the announcement has a heavily accented voice and she is barely understandable.

Test the mechanics. Be rough. Put the samples under water if appropriate. Try rubbing and scratching paint. Your goal is to find out which factory's products have the highest quality and durability.

Chart each of the factories and compare them based on sample and estimate.

You should now have a winner. Or at least a top two. Inform the other factories politely and with respect. You may eventually choose a factory that belongs to their friend or their cousins. If you are rude to the rejected factory you can count on the primary factory hearing about it.

Step 5 - Audit Or Visit:

Time to get boots on the ground. The final step in choosing your factory is an onsite visit. I always try to visit my factories before finalizing my choice. However, if you cannot visit in person, you can visit by proxy in the form of an audit from a licensed inspection company.

After the audit or after you personally visit the factory, you will be able to make a choice of your contract manufacturer with confidence.

This is a major milestone. Knowing that the factory has the ability, skills, and expertise to produce your new product changes the entire tone of negotiation. Knowing that your factory is legitimate and has been reviewed impacts your trust when sending large amounts of money across the globe. Acting professionally when reviewing and

approving a factory changes the factory's perception of you, and establishes you are a legitimate client that needs to be taken seriously.

Whether you visit in person, or if you have an audit done, you will notice a significant change in the relationship between you and the factory. You will now be considered a serious client.

63. FACTORY AUDIT DETAILS

If you cannot visit in person, an inspection agency can be your representative on the ground. Instead of walking through a factory yourself, they can provide an audit. They will visit the factory and do an in-depth review of the business, the production line, production capacity, workers and HR, quality control, R&D, and any special requirements you may add. A sample of a factory audit is in the appendix. The report is 33 pages long. It is full of factory photos, and analysis by an inspection company. A link to the inspection company that provided the audit, V-Trust, is at <https://productdevelopmentacademy.com/links>.

If you have never seen a factory audit report, review the sample included in the appendix.

If the factory has less than 500 workers, the audit should take just a day. Unlike product inspection, the result of an audit is a ratings score, not a pass or fail. In general, factories with scores above 75 are normally without critical or major weakness in terms of production capability and their internal quality control system. An audit below 75 or even 60, indicates that there may be some major weakness. The inspection company will list their weakness in the report and then you can consider if it's acceptable to work with the factory or not. After all, a weakness in R&D may not matter to you since you are doing your own design and development. If you are comparing two or more factories, chart the weaknesses and strengths against each other to come to a final factory selection.

64. VISITING YOUR FACTORY

Nothing compares to the experience of an in-person visit to your factory.

It saves hours and hours of back-and-forth DFM discussions with the factory designer. It cuts down on miscommunications, and it elevates you above every other client the factory has that has never visited. Visiting the factory is also the best way to be taken seriously, to negotiate the price, to learn about your product, and to learn about your supplier.

Take advantage of your visit to observe, ask questions, and learn. Look at the machines. Explore. Ask questions. Find what parts of your product they make themselves, and what they outsource. The portions they control are the parts they will have the most flexibility with when they negotiate price.

Have fun, and at the same time, keep your eyes open.

This is also where you can, and should, make evaluations about your factory. An unclean or sloppy factory may make sloppy products. Be realistic, however. A Chinese factory may be more primitive than factories you have seen portrayed in movies. It is a working environment, often noisy, and frequently crowded. There are four areas you should review on any factory visit.

1) **Office and showroom.** Are there variations on products that you have not seen yet? Your competitors have probably not seen these either. Are there new products that you can launch to expand your brand?

2) **Warehouse of products waiting to be shipped.** Is it clean? Who else are they selling to?

3) **Factory floor.** Tour the factory, learn their process and capability. Are people working or are the production lines idle?

4) Tour their **QC (Quality Control)** section. How do they ensure quality?

WHAT TO WILL HAPPEN ON YOUR VISIT

Once you get to China, you will probably have additional travel to wherever the factory is located. The factory should help you arrange train tickets if needed and arrange pick up when you arrive. If you are staying overnight, they may help you find accommodations. This is traditional business courtesy.

Assume an entire day for your visit. The first part of the day will be spent getting to know each other. Then will build an opinion of your seriousness and capability. You should do the same. However, do not neglect the opportunity to get to know them. The factory owners and managers are people, and the more you build a person-to-person relationship, the better your business relationship will be.

Chinese business and food go together. You will often be provided lunch. It is not unusual for price negotiations not to begin until after lunch. Be patient. Let them make

the first move.

Details count. Make sure that when you complete negotiations, that everything you have agreed upon is written into your agreement and that the agreement is signed by their company stamp. The company stamp is equivalent to a 'signature' made by a company.

FACTORY OUTSOURCING

It is important to properly set your expectation of what you will see regarding production.

Many people may imagine a factory as a large building with smokestacks and multiple production floors. Or perhaps a version of Santa's workshop, with all parts and pieces made within the factory then assembled on a gigantic assembly line before going out the door. Occasionally this is true, but more likely, especially in China, parts of your product will be produced in multiple factories all managed and sourced by the primary contract manufacturer.

If your product is a globe with famous cities that light-up at night and a clock base, it is probable that the product is created in multiple factories.

Main factory produces the sphere, the armature that holds it, and the base without clock.

Outsource factory 1 produces brightly printed labels that are stuck to the globe to show counties, mountains, and oceans.

Outsource factory 2 produces the LED lights for famous cities, the internal wiring and battery case.

Outsource factory 3 paints the armature and the base.

Outsource factory 4 produces the clock which is attached to the battery holder from factory 2.

Outsource factory 5 produces the cardboard box the globe is packed in.

This model of multiple outsourced factories is very common, but the multiple dependencies on components that may not be in stock might impact production times, production cost, MOQ, and quality.

Since your product is unique, the main factory, which you will negotiate and work with, will be the one that produces most of the unique aspects of your product.

However, some unique parts of your product may be produced in other factories. When we cover legal agreements you will see that the agreement signed by the main factory also covers their source factories and suppliers.

As you negotiate with your factory ask them about the components. It is an effective way of reducing costs, but sometimes also a way to increase value.

For example, if your product is a tool belt with zippered compartments, you do not need to re-invent the zipper. Stock zippers are easily available, affordable and functional.

YKK® zippers are respected for quality and durability. However, there are some generic zippers which are comparable at a lower cost. You can choose to use high quality stock zippers, instead of brand name zippers to achieve a high-quality product at an affordable price.

On the other hand, you can use a brand name zipper to increase the perceived value of your product. If you ask your factory to buy YKK stock zippers, recognized for the durability, you may be able to raise the retail price.

How do you know if you can raise the price with a brand name component? If you make significant changes that will impact the retail price, always confirm your assumptions through customer feedback. If you have chosen wisely the customer impact of using stock components will be minimal, non-existent, or in case of YKK zippers, sometimes positive.

Should you use a less expensive component, or a more expensive brand name component? Survey your customers to get the answer.

WORKSHEETS FOR FACTORY VISITS

Are you visiting the factory yourself?

Here are worksheets that are part of my book: THE CANTON FAIR WORKBOOK. These worksheets can be used to give structure to your visit and guide you towards what to look for and ask.

Blank Worksheets are in the appendix and can be downloaded here. <https://productdevelopmentacademy.com/links>

Worksheet Page 1 focuses on prep, and first impressions. Make sure to tour all four sections listed. The Office/Showroom. The Warehouse. The Factory floor. And the QC area.

Worksheet Page 2 is general review. It includes a SWOT analysis (Strengths, Weaknesses, Opportunities, and Threats/Risks.) There are also checkboxes for forms and documents you should review. If you are not familiar with these terms or documents, such as ISO 9001, they can be researched online.

You should also research the factory prior to arriving. Are the photos that they show on their website the same as the factory that you see in front of you? Have people posted concerns or complaints that you should be aware of?

Worksheet Page 3 is your negotiation checklist. Even though you received preliminary answers at the Canton Fair or online, be prepared to revisit the same questions again. Everything is negotiable, and often prices drop when you are on site at the factory. Until they sign an NNN, this discussion will be about the decoy product.

Worksheet Page 4 is a list of what to include in your final quote. When they submit the quote to you, make sure it is signed by their company stamp/seal in order to make it official.

FACTORY VISIT:



FACTORY



TRADING COMPANY

Factory Name: Daffodil

Date: May 9 Time: 10:00AM

Contact: Joy WeChat: Joydaff

Factory Address: 28 Hubin Rd, HuBin ShangQuan, Hangzhou

Prep for Visit:

Has address been received in Chinese (for taxi)? Yes (just in case)

Transportation method to City (train/plane/car)? Train from Shanghai

Has transportation to factory been arranged? Joy will meet me at train

Will visit be overnight? No

Has accommodations been arranged (if applicable)? _____

Expectations:

Product to be reviewed: Dog Toy

Who will attend? Joy and the owner

Will NNN be required? No. (White Label)

On Site:



Tour Office



Tour QC



Tour Warehouse



Tour Factory

Certifications and Awards: Alibaba Gold

How large is their Product Selection? Huge 4 walls of display

Factory History / Year established: 2004

Primary products / niche: Rubbery toys

Primary export markets / countries: Japan USA

Negotiations:

Title of product you are considering buying:

HAPPY SOCKS

SKU/Identifier: *HS02251*

Product Description: *Chew toys in shape of sock*

Price per unit: *\$3.50/ 8-PK* MOQ: *1000*

Price Breaks For High Quantities: *10,000 50,000*

Surcharge if < MOQ: *\$0.75/unit*

Can surcharge be applied to future order? *YES*

Milestones / Deadlines: *2 Weeks*

Qty for 40ft container: _____ Lead time: _____

Differentiators: *Can put my logo on the dog toy*

Sizes: _____ Colors: _____ Other Options: _____

Packaging: *Poly Bag with paper strip on top*

Can it be White Label? *Yes*

Tech Specs: *Material is TPR*

Mold: _____ Electronics: _____

Printing: *Digital Printing* Filling: _____

Other details: _____

Product certifications: _____

Production capability per month: *80,000*



Sample Requested



Sample Received

Similar Products / SKUs: _____

Analytics: (If purchasing As Amazon Seller) _____

Additional Notes:

Will email me when new designs released

You Provide the Factory:

- ☐ NNN
- ☐ Prototype
- ☐ Specs

SWOT Analysis

Factory Strengths: Big selection, can white label,
can meet MOQ with multiple SKUs

Factory Weaknesses: No policy to destroy defects

Opportunities: (Brand growth, Niche growth, Competitive advantage.) _____
Lots of models they do not show on Alibaba

Threats/Risks of using Factory: None at the moment

Risk Mitigations: _____

Overall Impression: Friendly, clean, busy

Confirm

- | | |
|---|---|
| ☐ Business License | ☐ Google Factory (Prior to visit) |
| ☒ ISO 9001 | ☐ Corp Registry (Prior to visit) |
| ☒ Social Compliance | ☐ ISO 14001 (Environmental - optional) |

Logistics

Port for Export: Ningbo

- ☒ Does Factory have Export license?
- ☐ Does product require special export license? (for restricted items)?

Include in Agreement:

Define Unit:

Which products are in the final package? sock and shoe
How many of each product is included in the package? 2, total 4

Details:

Quantity of units in order: 500
Price per unit: \$1.09
Payment Terms: 15% dep, balance on FOB, telex release

Plus:

Additional items: (example, plates, molds) Plate for printing
Price per additional item: \$45 Terms: 100%
Product Ownership: Factory

QC

- ☒ Tech Specs / Product Specs agreed upon
- ☒ Agree to use 3P Inspection Company

Packaging

Package details: Poly with paper label. Sample signed
Required labels? (example Law Label)? _____
How many units in Inner carton? 24
How many inner cartons in Master carton? 4

Dates, Docs, and Deadlines

Milestone dates: (example: molds completion date) July 1 ship date
Deadlines: (including review deadlines) Label review in 24 hours
Delivery type / INCOTERM: (example: FOB) FOB Ningbo
Certifications: (if needed) _____

You provide factory:

- ☒ 12 digit UPC - Printed on Package (or FNSKU)
- ☐ 14 digit GTIN – optional (Printed on shipping carton)
- Other: Factory provided dieline for package

Payment information:

Future price breaks: 10,000 50,000
Payment methods: T/T
How long is quote valid? 6 months

☒ Quote Received (with Factory Stamp)?

65. ADDITIONAL AUDIT OPTIONS

VISUAL AUDIT:

A visual audit, also called a light audit, is informal and can verify that your factory is indeed a factory and not a deceptive trading company. This can be done by a friend, a sourcing agent, or an inspection company.

They will go onsite, verify that the location is the same as the registered address, that it is an active factory, and that they are producing your primary type of product.

SOCIAL AUDIT:

A social audit can also be done by an inspection company. This ensures compliance to international social standards against child labor and compliance to fair labor practices. The most widely implemented international standards is SA 8000 and SEDEX. The certifications issued are SMETA and BSCI. Both cover child labor, forced labor, safety, discrimination, discipline, compensation, and working hours. You can ask your factory if they have SMETA or BSCI certification. During the Canton Fair you can see certifications posted by factories in their booths.

66. NNN

[Note: I am not an attorney, and nothing written about Chinese agreements should be considered legal advice.]

One of the biggest fears about doing business with Chinese factories is the concern that they will steal your idea and produce it for themselves.

First, theft of ideas does happen occasionally, although not as frequently as in the past. Most factories won't act badly and yours probably won't. But that doesn't change the fact that you should protect yourself anyway. The document you need is called an NNN agreement. It stands for Non-Use, Non-Disclose, and Non-Circumvent. Chinese courts have regularly enforced properly agreed upon NNN contracts, and factories know that if they break an NNN agreement they can be held liable.

Many people mistakenly believe that a typical Western Non-Disclosure Agreement (NDA) will protect their business in China. It will not, primarily for the following reasons.

An NDA prohibits someone from disclosing trade secrets until those secrets become public information.

For example, in 2019 Disney released a Star Wars TV series titled The Mandalorian, and kept secret the existence of the most popular character in decades – baby Yoda. Everyone who knew about the character signed an NDA and his appearance was a complete surprise.

The moment he appeared on screen however, the NDA was no longer in effect because baby Yoda was known to the general public. The same applies to your product. As soon as you start marketing it, posting it online, displaying it on Instagram, or making posts on Facebook, your product is in the sphere of public knowledge. Therefore, any NDA agreement is useless.

Your goal is to have people not compete with you. That is why, earlier, I suggested that you have your graphic artist, industrial designer, and others sign a non-compete agreement as well as an NDA.

In China, things get more complex.

Enforceable agreements must be written in Chinese. An English copy is permissible, but it is for convenience only, not for enforcement. Do not make English a dual official language. That risks invalidating the entire agreement. (Technically English is allowed but the document would have to be translated by a court appointed translator and both sides get to argue the translation and it becomes a mess.)

The agreement must have the Chinese name of your factory, written in Chinese language. The English name listed on Alibaba or printed on their business cards is just a name for Westerners to use. It is not the legal name and is not the name that should be included on the agreement.

The governing law must be Chinese.

The jurisdiction must be in China and the right court must be indicated.

The agreement should include damages and the damages must be in line with acceptable amounts.

The agreement must cover subcontractors, suppliers and all related parties.

The agreement must be 'signed' by the company stamp.

Non-use means that the factory cannot use your product or idea in a way that competes with you. This includes selling your product to other buyers. Non-disclose in a Chinese NNN includes non-disclosure to member of business groups or family groups. It also holds the factory liable for any use by other members of that group. Non-circumvent means that your factory cannot contact your retailers and offer your product for less.

A quick search of the internet will show lots of pre-written NNN agreements for download. However, I strongly recommend that you do not use these. Most are not enforceable and may give a dishonest factory a sense of freedom to steal from you knowing that you were foolish enough to depend on an unenforceable agreement.

Product Development Academy has an NNN template you can use for reference. <https://productdevelopmentacademy.com/links> . Be aware that this is offered as an example only. Information must be in Chinese with the registered Chinese Company name, correct jurisdiction, damages, and so on.

67. DECISION GATE

Time to choose a factory.



68. EFFECTIVE NEGOTIATION

Supplier negotiations, especially when the complexities of differing cultures is involved, can either be intimidating, uncomfortable, and frightening, or be one of the most fun, exciting, and profitable aspects of sourcing products in China. Follow these steps and guidelines and it will become a lot less scary, and a lot more fun.

I often refer to negotiation with Chinese suppliers as ‘The Long Dance.’ A term I came up with while I was at Microsoft. Like any dance, it begins with an introduction, whether it be a nod of the head, a glance, an extended hand, or a conversation.

If you find your factory online, the introduction begins with your query and initial conversations. If you meet a supplier in person or at The Canton Fair, it begins with an in-person conversation. Relax. This part is just the hellos and get-to-know-you stage.

As you follow the 5-Step method for finding and evaluating a factory, you will vet the factory, discuss the decoy product, have a general discussion about a price based on the decoy product, and have them sign an NNN, all before serious negotiations begin. As a result of these conversations, you already have the beginning of a relationship, and you have a lot of knowledge about the factory.

Now, with the NNN signed, you can share the actual details about your product and company. This is where the actual pricing can be determined based on your actual product (not decoy product).

Do not approach this as a battle and thinking of the factory as your enemy. Set in your mind that the factory is your partner and together you will bring your product to life at the price you need and the quality that customers deserve. Always frame your thoughts around ways of working together and solving price issues as partners.

But... you are not equal partners. You own the company. You gave birth to the product and the brand. You are the person taking the risks, and you have the final say on going forward with the product and the factory, or not.

Therefore, even as partners, albeit unequal partners, there are useful tactics you can and should employ to get results that will make your business as successful as possible.

NEGOTIATION TACTICS

BE PREPARED:

Be familiar with your product, required technology, materials, processes, and components. Know your customer, your distribution, your business plan (including growth), know your projected retail price, and know your budget. It also helps to know what other suppliers are available. Know what is important to you, besides price. Lastly, know what your showstoppers are. What will make you abandon the negotiations or the factory – and be prepared to walk away if showstoppers cannot be resolved.

HAVE A STRATEGY:

Try not to be the first person to mention price. Deflect direct requests for price. If they ask what price you want, you can answer, “a price that will make my customers happy, make me happy, and make you happy.” If forced to offer a price, start with a lowball. When you negotiate with a supplier you can always go up in price, but never down. If you do not lowball your first offer, it is difficult to pay less.

If you do not know where to start, divide your projected retail price by 12. For example, if your projected retail price will be \$40, your maximum (7X) raw cost is \$5.71, and your target cost (10X) is \$4.00, then begin your negotiation at (12X) \$3.33.

NEVER SHARE YOUR PROJECTED RETAIL PRICE:

Product raw cost is based on time, material, and labor. It is not impacted by the retail cost. If they ask why you have such a low target cost, tell them that the retailers and customers demand it, and say no more.

NEGOTIATE MORE THAN PRICE:

The placement of your logo, or a long-life battery, can differentiate your product but can strategically be given up during negotiation. Be prepared with a list of features you can trade away.

FOB:

Always negotiate based on FOB shipping from the nearest port. You can change the shipping later, but shipping methods should not be part of the discussion. FOB establishes where the responsibility of the factory ends which in this case means the port.

Some people prefer to negotiate on EXW terms. Just be consistent from factory to factory.

WATCH FOR CLUES:

Sometimes body language or side conversations tells more than words. Do they turn their eyes up to the corner and stare into space before quoting a price? That may indicate they are making up a price based on their assessment of you. Do they use a calculator or refer to a price sheet? That price may be more objective.

BE RESOLUTE:

You know your target price. Do not agree to prices above your target price. Stay firm. Let them come down to you.

Only when they say that the price is impossible, or use similar words, have they come to their lowest price.

Then break the unit down to components and discuss the price for each one. You might be able to find ways to lower the price on individual components and lower the total price further.

ASK ABOUT DETAILS:

Don't be afraid to ask for details on how they reach their price. Each of those details can be negotiated separately. If you seem stuck, ask your supplier what other options exist for specific details.

NEGOTIATE COMPONENTS:

Some components and processes are done within the factory, and others are outsourced. Components and processes the factory creates in-house often have more price flexibility than components that are outsourced. In my experience, discussing components is one of the best ways of lowering price.

USE DFM TO YOUR ADVANTAGE:

Cost is driven by materials, labor, and time. As you discuss the product, see if 'Design For Manufacturing' changes might lower the price of materials, or decrease labor.

BE QUIET:

Don't be afraid of silence. Listen more than talk. And listen as carefully and intently as possible.

SAVE FACE:

Respect, honor, and dignity are very important in China. Do not insult the person you are negotiating with, and do not insult or joke about anyone at the factory. You are important too. If you feel the factory has insulted you, feel free to walk away to save face. Do not expect to resurrect that relationship after you walk.

PRICE BREAKS:

Quantity thresholds like MOQ works both ways. For example, after you agree on a price for 2,000 units, ask what the price break will be when you order 10,000 units, 25,000 units, 50,000 units, and so on.

MOLD COSTS (Tooling costs):

Molds can be very expensive, and the price does not have much flexibility without lowering the quality of the steel. Some people recommend using aluminum molds but I highly suggest against that. Your greatest success may come from negotiating payment terms. 50% upfront and 50% in 60 days after the first order. However, do not be disappointed if they push back.

They may offer to reimburse you the cost of the mold after a threshold of items have been produced. It will be in your favor to decline that offer and instead suggest an additional 5% reduction on per unit price after the threshold is met.

If you do choose to take the reimbursement, make sure that the mold ownership is clearly stated in the Conditions Agreement.

SCREEN PRINT CHARGES:

If you are having screens made for printing, there will be a charge for each screen. Usually these are less than \$50 per screen. These are a minor element of cost. Personally, I never spend time on negotiations for screens.

FOCUS ON A WIN/WIN AGREEMENT:

The factory sincerely wants you to be successful. Their goal is to make money today but keep you in business so that they can make more money tomorrow and every order after that.

FUTURE ORDERS:

It is perfectly acceptable to discuss future orders regarding terms and credit for upcharges. However, never PROMISE future orders. The negotiation is a basis for a contract. That promise for a future order might end up being enforced against you. This happened to me. I once had someone not authorized to make assurances promise a factory a future order while I was out of the room as a negotiation ploy to bring down current prices. After I paid for the current order, they refused to release it until I put down a deposit on the future order. A future order I was unaware of, was not included in the contract, and I had no plan to make. We had to resolve the issue with lawyers.

PACKAGING (for negotiation discussion):

As you negotiate price with your factory expect them to ask about packaging, inner cartons (case packs) and master cartons. For estimation purposes, unless your product is unusually large, tell the factory that you want a case pack of six units, and that you want 4 case packs per master carton.

You can alert them that packaging may charge but for negotiating, the product packaging will be a folded carton, sometimes called a color box, in 4C printing. You can bring up the topic of packaging first, which shows knowledge and increases your credibility.

We will discuss packaging in detail later.

BE SPECIFIC:

DO NOT close the deal until all product specifications have been agreed upon. Then they should be properly documented in a product specifications sheet, BOM, tech-pack or similar document based on your product, its components and complexity. We will discuss product specs and documents later.

In addition to product specs, you should have agreement on price, quantity, deadlines (including review deadlines), delivery type, certifications (if needed), terms, and future concessions (if applicable.)

You should write everything down. Have them send you the agreement in email. Once you have specifications, have the agreement signed by their company stamp (sometimes called a company seal.) Then have them send it to you and make sure that what they have sent you matches what you have written down.

69. PAYMENT TERMS

ALWAYS discuss payment terms for the current order and future orders before finalizing the deal.

You may have heard on YouTube that payment terms of 30% upfront and 70% upon completion is mandatory. This has been repeated by tens of thousands of people and many think it is gospel. It is wrong. The 30% upfront 70% balance is not mandatory. Payment terms should be negotiated like any other aspect of your agreement. My suggestion for a starting point when negotiating depends upon how you initially connected with the factory.

If They Were Recommended By Existing Factory:

If you were recommended by an existing factory, your previous factory affords you greater credibility. Therefore, begin negotiations for payment terms at:

Order 1 and Order 2: 15% upfront, balance upon Bill of Lading (BOL)

Order 3 and Order 4: 15% upfront, balance 30 days after Bill of Lading (BOL)

Order 5 and onward: 15% upfront, balance 60 days after Bill of Lading (BOL)

If You Found The Factory In Person (At Canton Fair) Or Online:

If you found the factory in person or online, then you and the factory are still unknown to each other. You must build credit. Therefore, begin negotiations for payment terms at:

Order 1 and Order 2: 25% upfront, balance upon Bill of Lading (BOL)

Order 3 and Order 4: 25% upfront, balance 30 days after Bill of Lading (BOL)

Order 5 and Order 6: 15% upfront, balance 30 days after Bill of Lading (BOL)

Order 7 and onward: 15% upfront, balance 60 days after Bill of Lading (BOL)

The factory may respond with different terms, but at least the conversation has started. The goal is to be on payment terms by the 5th order or sooner. All orders referenced here are container sized.

70. MOQ

Don't ask directly about MOQ. Eventually they will mention it as they discuss price. They will say something such as \$4/unit for 5,000 units. Even if they do not mention it, they have a number in mind. Quantity drives price.

When they ask you about quantity, respond by asking how many units fit in a 40 ft container. This will be the number that you negotiate for. Let them tell you how many, based on their calculations. For your own sense of size however, you can visualize that if your product is around the size of a loaf of bread a 40 ft container will hold around 10,000 units.

Whatever the quantity they determine fills a container is the quantity that you will use during negotiation. You may not place your first order for that amount, but for the moment focus on a price per unit per full container.

Does that number seem unreasonable to you? Let's look at real life scenarios when you sell to retailers.

If your case pack (inner carton) holds six units and you have three variations, each small retailer would order 18 units to start. Assume that they sell out in 30 days and need to reorder at the end of each month. If you are selling to 150 independent stores, you would sell (150 x one case pack per color x three months) 8,100 units in 90 days.

If you did some marketing to increase sales 25%, or if you added 35 stores, or if you did a tradeshow, or started selling online, you would sell out an entire container in 90 days.

What if you got into a chain store or a big box store? Bed bath & Beyond has much more foot traffic than small retailers, therefore they sell more than 6 per week. If you sold ten units a week in 1,000 stores, you would be filling an entire container every seven days.

Of course, a major retailer will not happen overnight, but as you can see, whether a combination of small retailers, or just one big retail chain, a full container of products is not an unobtainable number.

MOQ OF YOUR FIRST ORDER

After everything is agreed to and negotiations are complete, and you are ready to place your first order, you probably won't want a full container. Be open with them and tell them that you need to test the market and your first order will be less than a full container.

From experience and practice, I suggest that your first order be no less than 500 units. Of course, the higher the better for the factory. But you want to be cautious. You have proven customer demand, but you still need proven customer sales. Personally, I start with 1000 units on new products.

Since it is less than a container load they will push back at the small amount. Have a conversation. Ask why there is a problem? What is causing the higher MOQ? Is it just policy? Do they not think you are serious? Is there an outsourced component, such as customized packaging, or a customized electrical element, that requires the factory to purchase at a 10,000 unit minimum? Perhaps you can negotiate to pay for those full 10,000 of only that component, and have the factory hold it for future orders.

Perhaps they are balking on principle. They expected a full container and now you are changing the game. That is understandable. Respond by asking what the surcharge will be per unit for the smaller order. This is a very reasonable request. If they agree to a surcharge, follow up by asking that the surcharge to be applied to a future order of a full container. This is very common, and they will probably say yes. By agreeing to the refund of the surcharge, your total costs per unit between the first order and the follow up order comes out to the original negotiated price. You haven't lost a penny.

In this example the MOQ is 5,000 units, negotiated price is \$4.00/unit.

You request to produce only 1,000 units, and the factory asks for a \$1/unit surcharge.

After the second order you have spent \$24,000 for a total of 6,000 units. Which means that your per unit cost is exactly what you negotiated.

<i>First Order</i>	Quantity	Cost/unit	Total
Units	1000	\$4	\$4,000
Surcharge (\$1/unit)	1000	\$1	\$1,000
Total			\$5,000
<i>Second Order</i>			
Units	5000	\$4	\$20,000
Refund of surcharge			(\$1,000)
Total			\$19,000
<i>First and Second order combined</i>			
Total Units	6000		
Total amount paid to factory			\$24,000
Average cost per unit			\$

Example:

If they refuse the surcharge and refuse to do an order for less than a full container load, then return to the negotiation conversation. If you and the factory cannot come to an agreement, thank them, and walk away. There are other factories in China. You will

be protected from them creating your product by the NNN. You will have lost some time, but it is better to lose time now than to lose money every time you sell your product.

In some cases, once you discuss a surcharge, they may realize that you are serious and professional, and may simply drop the MOQ requirement.

I have had this happen to me personally, and some of my students have had it happen quite a few times. It is not guaranteed but it's a nice surprise when it occurs.

71. CULTURAL ASPECTS OF NEGOTIATING

KINGS NEGOTIATE WITH KINGS

In Asian culture it is expected that you will negotiate agreements with your peer. Why is this important? Some YouTube gurus recommend that you identify yourself as a purchasing agent for a mega-company, and that all offers need to be approved by your boss. That advice is wrong. It may work when haggling for a car, but negotiating is not the same as haggling.

You are the founder, CEO, or President of your company. Own it. You are a decision maker, so therefore you should deal with your peer, the head of the factory or whomever is your equal as a decision maker. The owner may delegate the negotiations to a salesperson, but the final agreement should always be with the owner. Even if you delegate the details to a sourcing agent, the final agreement is always between the owner and you. King to King.

An additional reason not to lie and claim to be a purchasing agent is integrity. Beginning your relationship with your factory with a lie and deception is poor business. There is a good chance that they have heard of the YouTube tactic, and it paints you as weak and dishonest. They will certainly talk to you when you pose as a lowly buying agent. They will never turn away a potential customer, but their opinion will be that you are unknowledgeable. Plus, now that you have shown yourself to be dishonest, all deceptions by the supplier are now fair play.

FACE-TO-FACE NEGOTIATIONS

The most effective way to negotiate is face-to-face in person. Not everyone can travel to China, so the next best method is face to face on video.

WeChat has a very robust video feature. Use it as often as possible when communicating with your factory. To do so, it means being awake during China's business hours, but the late night / early morning hours are worth it based on the better communication. The goal of using it often is to add clarity to communication, and to also establish precedent that you will be using video. Then when it is time to negotiate with the actual product, being on video is a natural extension of what you are already doing.

Negotiating via video is not as effective as negotiating in person, but it is much better than by email or text.

Three things to remember: 1) Make sure there are no distractions on your end of the video, 2) China is all on one time zone, and 3) You can install WeChat on your computer, which makes video negotiating much easier.

As mentioned earlier, the choice of communication is WeChat, not Skype or WhatsApp.

THE LONG DANCE

Initial negotiations in China will probably be a day-long affair.

At first, they will show you the factory, and perhaps make a fancy presentation about themselves and their history. This is a great way to learn about them, and to learn what principles guide their business. They will offer food and make small talk. Their goal is to learn about you. They want to understand your business. Sincere factories do this in order to build a relationship. Factories will also use this to build opinions about you, your business, and your integrity. Allow them to see that you are decisive, humble, and professional. Always show respect and courtesy.

A large lunch will probably be offered, which they pay for. Be respectful and gracious for their outlay. Do not discuss price during lunch. Sometimes they may order food that you are unfamiliar with. At times it is quite good, and at times it may be terrible. I will often take a few bites, be thankful, and focus on the dishes that I enjoy more. Over the years I have tried many unique foods during factory lunches including geoduck, sea cucumber, snake, testicles, donkey, cordyceps, and jellyfish. Surprisingly, many of them were good.

Tea and or drinks may be included with lunch or throughout your visit. Chinese are big beer drinkers. Do not get drunk. They will take advantage of that.

After lunch you will return to the factory. They may show you more samples. Be patient. Discussion of price may seem to never come. When it does, negotiate professionally. Successful negotiation will conclude the day and may be followed by an offer of dinner or drinks. Again, do not get drunk. It will not lead to anything positive.

YOUR INVISIBLE PARTNER:

Sometimes you need extra time to think, or you want to put off a decision. If you feel backed into a corner, it helps to have a partner or a key person that is not travelling with you, even if that partner is fictitious.

At times I have delayed decisions by saying that I have to clear things with my partner or finance person. I always make it clear that I have a partner, and then make up a name or use the name of my dog; Gus. If I need to escape from a negotiating situation, I can always claim that Gus has asked for something else or has turned down the agreement. (No one except me has to know that Gus has four legs and a tail.)

However, don't be afraid to be honest if something is awkward. For example, if you are looking at three factories, it is okay to tell them that you are looking at other

factories too. To make things more comfortable, you should say that you will have a final decision by [insert date.]

72. NEGOTIATING AS A WOMAN IN CHINA

Almost every country you visit throughout the world will have its own cultures and history. China is no different and experiencing its rich culture and history is part of the pleasure of visiting China. Because of its unique history and culture, China has also developed an interesting quirk that applies to negotiating as a woman.

As you will notice as a woman visiting China, the Chinese culture has an inherent built-in sexism and tends to treat men as leaders, and women, unfairly, as secondary to men. You will see this throughout all levels of society and business in China. There is, however, an exception.

In the late 1970's and early 80's the central government of China initiated a controversial One-Child policy. Its purpose was to reduce the growth rate of China's exploding population. An unintended result of this policy was that business owners that had only a daughter raised her to run the business.

Recently a lot of those original business owners are reaching retirement age (60 for men) and their daughters are stepping into their roles and leading the companies. These include factories.

The woman heading businesses have created a small, but unique social class. They are powerful, intelligent, and respected.

As a female business owner, your role as a leader has been pioneered by the extraordinary women leading companies in China. Watch them and emulate their business demeanor. They are unapologetic and proud of their role. They often take strong positions when negotiating. Behavior that may be considered inappropriately intimidating or un-womanly in a Western business meeting is more accepted by female leaders in China.

Use this to your advantage. Put a stoic expression on your face and confidently push back on price. You may get more concessions from the factory than your male counterparts.

73. SOURCING AGENTS

Whether you are searching for a trading company or a factory, a good sourcing agent can be extremely useful. At the basic level, an agent will identify a supplier for you and research the product price. Many agents do much more. Saying ‘sourcing agent’ is like saying ‘dinner’ or ‘car. There are many flavors and types.

A full-service sourcing agent may manage the factory and production for you, they communicate on your behalf, provide some quality assurance, aid in design, oversee product compliance and certifications. Alternatively, an agent can identify a supplier, make an introduction, and leave the rest of the process in your hands. The choice is yours.



Since Sourcing Agents can provide a spectrum of services, it is important to first know what your own needs, your expectations, and your involvement will be. The more involved you are, the more time you must commit. If you have not yet left your 9-5 job, you might choose to delegate more tasks to your agent. The sourcing agent becomes your partner in China. And like any partner you should choose one that has both the skills and experience that you lack, and the character and principles that match yours. Make a list for yourself of things that are important to you. Choose an agent that fits your profile and needs.

TIPS ON CHOOSING A SOURCING AGENT

Location:

China has many development zones across the country. Factories for a certain industry are often clumped within those zones. For example, most textile factories are in the same area of China, near Shanghai. Porcelain factories are located in the

same area of China. Electronics manufacturing are famously centered in Shenzhen. And so on. Do you want your agents located in that zone? Or does that not matter to you?

Experience:

Experience is important. Do you want someone who is large and has a lot of years of experience? Or do you want a smaller more Boutique agent who is less experienced yet more hungry and personal? Do you have expertise in your product and its manufacturing, or do you require an agent with product and industry knowledge?

Registered:

A sourcing agent should be registered as a sourcing agent business. I have met many unregistered sourcing agents just getting started, but when your business is on the line, I recommend working with an agent who is registered.

English Skills:

How important is perfect English (or your native language) to you? How important is email responsiveness to you?

Style:

Are you a Boy Scout? Or are you a shark? Do you want your agent to be a Boy Scout? Or a shark? Each negotiates and manages differently.

Nationality:

Do you want your agents to be Chinese? An American expat? Someone from your own country? Does nationality even matter?

Small Sized Orders:

Do you want an agent that requires a minimum 1,000 MOQ or willing to work with you for small quantity?

All of these are questions to consider. On top of everything else, you need to discuss and be comfortable with their fees.

I chose my first agent after meeting him on a transfer bus to the Canton Fair. I thought he was good, but when I had a problem with a factory, he was an absolute failure. In contrast, I love my current agent. He has the same priorities and perspective that I do. He has a staff, yet he has a personal touch that I enjoy. One time I was in China, I walked away from an ATM machine without realizing I had left my card in it. He came to the rescue, met with me at the bank to explain what happened. And then returned with me the next morning at 8 a.m. in order to help me retrieve the card. To me, those personal touches make him the perfect agent.

WARNING ABOUT AGENTS

For every good sourcing agent, like mine, there are just as many agents who take client's money and don't pay factories, sourcing agents that misquote factory estimates, and agents that close shop and disappear overnight. Until you have a strong relationship

with your sourcing agent, always do a factory audit, and always ask the factory for a copy of the proforma invoice (PI) and commercial Invoice (CI).

PAYING YOUR AGENT

In general, sourcing agents are paid a commission on your manufacturing costs, or you pay a flat fee plus expenses, or, you pay a flat fee plus commission.

I prefer the commission method. I think it's win/win. My agent works hard, and his reward is commensurate with his effort. To be transparent, I like products that I can order by the container load.

Whichever method you choose, I suggest that you pay the factory directly. Don't pay through the sourcing agent.

AGENT INTERVIEW QUESTIONS

- Do they speak Mandarin?
- How do they find suppliers?
- How will they get paid, and by whom?
- Do they have a staff? How large, and where are they located?
- Do they have a business license?
- Will you be able to visit the factories before/during production?
- Can they provide referrals or testimonials from satisfied customers who are using their services and who buy the same type of product as you? Make sure to contact at least two of them and get confirmations.
- Do they do quality inspections by themselves? Or do they use a specialized third-party? Will you get a report every time?
- Will you get a regular update on the production status?
- Can they share their management system with you? You need to make sure they have processes in place. Many newer agents don't follow any established procedures and manage by the seat of their pants.
- What guarantee do they offer in case a supplier scams you? If shipments are behind schedule? Or if you receive junk product in your warehouse?
- Are they located in the area where your products will be sourced?
- If you keep re-ordering the same products from the same sources, will you pay less for their services after the first order?

SOURCING AGENT RED FLAGS

Paid by the factory – Your sourcing agent works for you. Do not hire a sourcing agent that is paid by the factory. Their allegiance should be to you. If they are paid by the factory, then their loyalty will be to the factory, not you.

Doesn't speak Chinese – Unless you are hiring a sourcing agent because of their specific product expertise, such as anti-gravity moon boots, always make sure that they

speaking Mandarin. Communication is one of the premiere advantages of having a sourcing agent. If they can't communicate, their value decreases.

Dishonest – If your agent is dishonest with a factory, they will be dishonest with you. Don't hire an agent who brags to you about how they can deceive or cheat a factory. Also, do not hire an agent who spews anti-Chinese hate. If they despise their factory, they will not be able to support the positive relationship that you will try to build.

SURPRISING TRUTHS ABOUT SOURCING AGENTS

One surprising truth is that you may be able to negotiate a lower price than a sourcing agent. Sourcing agents do not have the time to spend hours negotiating with suppliers. Price is often agreed to during a single phone conversation.

In contrast, you have passion about your product, you know what aspects can be traded off for a lower price, and you have the time to dig down into each component. Don't depend on a sourcing agent to get the best possible price for you.

The other surprising truth is that very frequently the sourcing agent is receiving payments from the factory behind your back. The factory will frequently pay the agent as much as 5% commission on all orders that you place. It may be even more if the agent favors a particular factory and directs a lot of clients to them.

In a quirk of Chinese business culture, this kickback (often called a red envelope) is not considered the same as having the agent paid by the factory. You are still the person paying the agent. The red envelope is just a bonus.

Things get really tricky when you combine the goal of having your agent negotiate the lowest price possible with the factory, while at the same time getting a percentage back. If they truly get the lowest price possible, then the factory does not have an additional 4% to give the agent. To make the situation worse, the more effectively the agent negotiates a lower the price, the less he gets in his red envelope.

Order quantities make the situation even more ugly. Your goal may be to lower the MOQ. However, if the agent convinces the factory to lower the MOQ, then the agent gets paid less in kickback commissions.

For all of these reasons, it benefits the agent to get a price that is tolerable to you, but not so low that they lose money. It is also to the agent's benefit to keep the MOQ high.

The last and most obvious piece to this puzzle is that by keeping the price slightly higher, and keeping the quantity higher, they make more money in the fees to you as well.

In this light, the reputation of agents magically lowering product costs and MOQ starts to fall apart. And their repeated requests for you to increase quantity makes more sense.

74. PACKAGING - THINKING 'INSIDE THE BOX'

Product packaging primarily serves two purposes.

- 1) Protect the product.
- 2) Sell the product.

Your factory knows what is needed for protection. The second function – creating packaging that leads to sales – is up to you.

Your factory will know the recommended packaging format and internal structure required to protect for your product during transport.

The graphic design of the package is more complicated.

In a fraction of a second, your package must tell a customer what your product does, educate them on why it's unique, communicate its benefits to the consumer, and convince them to buy. At the same time, it should help establish your brand, without your brand taking over the message. That is a lot to ask from a simple container, with very little real estate facing the customer.

It is not a job for beginners or amateurs. If you do not know what you are doing, I advise hiring a Package Designer. You can find them on Upwork and similar sites or search for them online. Make sure that you thoroughly review their work. Now is not the time for someone to learn on the job.

Do not use someone new or inexperienced. I have two indicators that someone is new to package design.

First is that they design for a product label, not an entire package. A label is only one side of a full box. Often art schools focus on the label, and inexperienced package designers can often transfer good label design to wine bottles and ecommerce packages but fail at a six-sided box with a primary facing.

Second is placing too high priority on your brand name or logo. It may impress your mom and your friends, but unless your brand is already well known, your logo or brand name is not going to sell your product. Emphasis should be on creating product interest and a productive conversation with the customer, resulting in a sale.

I also have two indicators that the package designer is good. I look for these things from every package designer, regardless of their experience and reputation.

The first thing I look for is a package designer that asks questions. A good package designer wants to know about your product, about your brand, about your vision, your customer avatar, your likes, and so on. They may even build a creative brief. Good designers are eager to learn, and that starts with questions. Then they will give you roughs and go through multiple revisions. If a package designer, even

a well-known one, does not ask you questions and *listen* to your responses, then find a new designer.

A great packaging designer will work with you to build a brand image. You may also have a brand consultant who works across multiple avenues from graphical design to publicity, endorsements, and marketing. An example of a brand that excels at multiple marketing platforms is Yeezy® brand. If you have a brand consultant be sure to have them communicate with your package designer to ensure consistent messaging.

The second thing I look for, and expect, are the proper deliverables. They should deliver you both print ready files and raw files. You may need to revisit your packaging two years from now and if your designer is no longer working, you will need the raw files to give to someone else.

At a minimum you should receive vector based (ai) file or a hi-res (300dpi) pdf. They should also include a zip file of all fonts used and a map of PMS colors if appropriate.

Note: You will eventually be sending graphic files to your factory. This might be a challenge. Google, including Google Drive is blocked in China. Since some of these files may be quite large consider transferring large files to China using www.wetransfer.com.

75. TALKING ABOUT YOUR PACKAGING

You will find it easier to talk with your factory and designer if you are familiar with the following terms and processes.

PACKAGING DIELINE

A dieline is a template or blueprint that your designer will use to create the package for your product. The factory should provide a dieline for you to give to your designer.

PACKAGE STRENGTH

The factory can perform drop tests and crush tests. A third-party inspection company do perform packaging tests as well.

PSYCHOLOGY OF COLOR

Color can communicate as effectively, and abstractly, as music. Talk about a color palette with your package designer and Industrial Designer. Have them work together. Make sure that the color palette of your brand communicates the psychological message that you wish to convey.

PACKAGING SUPPLIERS

Let your factory source packaging and manage the packaging provider. This way, if anything goes wrong, if the packages are delivered late, or are misprinted, it is your factory's responsibility to resolve it. Not yours. Plus, the packaging company will be in direct contact with the factory and can ask questions about dimensions, weight, etc. Additionally, the factory has established relationships with packaging providers, and can get the best price, and already knows who delivers the best product.

UNIQUE PACKAGING

Your packaging DESIGNER may recommend a packaging format that is different than the format suggested by your factory. Discuss the recommendation with your factory. Changing the packaging format may impact cost, product protection, or MOQ. Just like Design For Manufacturing, packaging design requires coordination between you, your factory, and your product designer.

However, good packaging design, including the format, may lead to increased sales.

RETAILER REQUESTS

Big box stores may have their own requests and recommendations for packaging changes. You won't be having those conversations until you are ready to sell in big box stores, but it's good to know upfront that at times you may have to change packaging.

76. PRINCIPLES OF GOOD PACKAGE DESIGN

Good package design should accomplish the following:

- Communicate to the customer what the product is, what it does, and why the customer would want it (benefits.)

- Promote the product unique selling points.

- Express the personality of the product. Is it organic? Clean? Fun? The packaging style and color palette should communicate that.

- Have maximum shelf impact. Your package should get the customer's attention. This is quite easy to say, but very hard to accomplish. That is one more reason to hire a professional.

- Be scalable. The packaging design should be extensible to other products as you expand your brand's product line.

- Be unique, original, yet have similar dimensions of other products in the same category so that retailers can easily put you on the shelf.

- Appeal to your customer avatar. A roughhewn lumberjack style would not work on baby blanket packaging.

77. RETAIL PACKAGE FORMATS

Paperboard Box / Folded Carton / Color Box – This is the classic, simple, cardboard box that is folded and closed.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

Clamshell – This is that nightmare hard plastic container that everyone hates.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

Blister pack –
A raised plastic
glued or staples to
a cardboard
backer. This is a
great way to
introduce
customers to a
new product if
seeing the product
helps explain it.



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Bottles –
bottle come in
glass, plastic and
other materials.
Can be
transparent and
like a pill bottle,
may be inserted
in a paperboard
box.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

Tub – Can be
plastic or
cardboard/paper



(All images are copyright of their original owners. They are used for illustrative purposes only.)

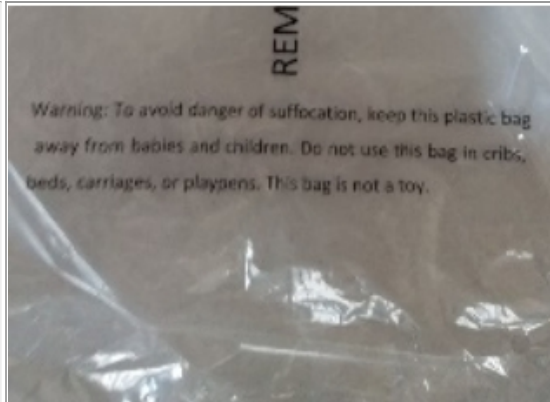
Shrink wrap – shrink wrap protects against dirt but doesn't provide any structural protection.

Skin packages are very similar but are often attached to rigid cardboard.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

Polypropylene (PP) bag – The common plastic bag. Requires a suffocation warning.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

Rigid box – These are the gorgeous high end think boxes that house expensive items, like the iPhone.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

Clear acrylic
– Often used in
makeup and
cosmetics.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

Pouch/Bag –
Trending for
food. Often
plastic or foil
with a resalable
top.



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Fabric – eco-
friendly. Cloth
packaging is
trending in the
bedding sector. A
luxurious cloth
bag can impart
elegance. A rough
bag can impart
rustic charm.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

Cellophane –
Like candies. But
can be large.



(All images are copyright of their original owners. They are used for illustrative purposes only.)

None (just
and attached
label) Often used
on apparel



(All images are copyright of their original owners. They are used for illustrative purposes only.)

78. PACKAGING NICE-TO-HAVES

HANGING PACKAGING

If your product is appropriate size and weight to hang from a hook be sure to include a hang tag or other method to allow your product to be displayed on a hook in a retail store.

STAND-UP PACKAGING

Whether your product can hang or not, try to design the package so that it can stand up on its own on a shelf. This will increase the ease of display by retailers and result in more sales. There is nothing more disappointing than to have a strong front image on a hanging product and then see it stacked flat on a retailer's shelf without any facing toward customers.

STANDARDIZED DIMENSIONS

Look for products similar to yours on store shelves. Is your product a puzzle? Is it a pair of sneakers? Is it a unique tea set? Look for packaging of similar products. Most of them are on the same shelves next to each other. Make sure that your product has similar dimensions so that you product can fit on similar shelves with similar heights.

As discussed in Design For Manufacturing, oversized packages are difficult for retailers to display. If your product is oversized, try to design it in a way that allows it to be packaged in parts that the customer can put together at home. Efficient packaging will save you money in production and shipping, and also enable retailers to display you more easily.

ITEM NUMBER

Include your product's item number on your package. You assign an item number to your product for internal tracking and organization purposes. It is made up of whatever numbers and digits that you desire. Sometimes it is referred to as a manufacturer's product ID number, Item #, or SKU. Since retailers will assign their own SKU to your product you will avoid confusion later if you call your own identifier an Item Number.

Having the Item # printed on your package will make reordering simple. If the retailer runs out of your Medium Sized Purple Stuffed Llama With A Happy Birthday Sign, they can simply identify it by the item number, example Item # PL002. This way

they do not have to describe the item, and you will have less errors such as sending the Pink Llama instead of the purple one.

WEBSITE

There are many advantages of having a website that customers can go to and learn about your product. My advice for having the site is much more practical. When you sell to independent retailers and they suddenly realize that they need to reorder, you want to make that as easy as possible for them. If you include your website, they can look you up online and begin the re-order process. Otherwise they may have to look up your records first or identify who their local sales rep is. My philosophy is that when someone wants to send you money, make it as easy as possible.

79. PACKAGING MUST-HAVES

Retail packaging **MUST** have the following elements:

Country of Origin labeling, which means “MADE IN CHINA

Suffocation Warning if you use plastic bags.

UPC code – bought through your membership in GS1.

COUNTRY OF ORIGIN - MADE IN CHINA

All goods imported into the United States (with a few exceptions) and many other countries require a Country Of Origin statement. Goods produced in China should say MADE IN CHINA or PRODUCT OF CHINA.

This should appear on the product if feasible and on the package. It must be clearly visible and permanent.

This requirement is included in multiple laws, treaties, regulations, trade agreements, USDA and Customs rules. Make sure that Country Of Origin labeling is on your package.

SUFFOCATION WARNING

Any plastic bag that could provide a risk of suffocation should include a suffocation warning. Six states and cities in The U.S. require it and each have their own specifics. Best practice is to include the strictest warning and the largest font size requirement so that it meets all current requirements and any new requirements that may be enacted. On the practical side, it shouldn't take much thought. Just do it. You may save a child's life.

What products are covered under suffocation warning label requirements? Plastic bags with the thickness of less than one mil (1/1000in) have an opening size of 5 inches or more are required to carry suffocation warning label.

What warning information is required? The following warning statement should meet requirements of all state and local laws:

WARNING To avoid danger of suffocation, keep this plastic bag away from babies and children. Do not use this bag in cribs, beds, carriage, or playpens. This bag is not a toy.

What is the required size type? The minimum size type varies based on the size of the plastic bag as indicated in the following table that satisfies most state and local requirements

Total length and width of bag	Minimum type size
-------------------------------	-------------------

<25"	10 point
25" - 39"	14 point
40" - 59"	18 point
60" or more	24 point

(I am not an attorney and I do not represent that these requirements are legal interpretations of requirements.)

UPC BARCODE

GS1 is an international non-profit organization that provides and manages product barcodes. Your package must have a barcode for your product to be sold at retailers. To get a barcode you must first join GS1. www.GS1.org. Your membership level and fees will be based on the projected number of products you will sell. This is variations, not units for sale.

Example:

You sell three variations of a baby blanket in pink, blue, and yellow. You sell 165,000 of the blue version, 62,000 of the pink version, and 188,000 of the yellow version. You will need three barcodes, because you are selling three products, regardless of how many individual units are sold.

If you add a purple version, you will have to add another barcode. Even if you sell only one unit the entire year.

In the US, the barcode has 12 digits and is referred to as a UPC code. In Europe the barcode has 13 digits and is called an EAN-13.

Many people on YouTube recommend buying barcodes from third party suppliers. Do not follow their advice. Always buy your barcode from GS1. Many retailers, including all large chains and big box stores will check the digital prefix of the barcode against the GS1 database to ensure that you are the barcode owner. If the registered prefix does not match your company, they will not buy your goods. Only buy GS1 barcodes through the GS1 organization.

80. CASE STUDY – DISRUPTIVE PACKAGING

When I met with Walgreens at their headquarters outside of Chicago, they shared a story about packaging that completely changed my understanding of its power.

A new upstart product in the cold & flu section had a test market in Walgreens stores. This is an extremely competitive category, and nobody had high expectations. The product was homeopathic, and it lacked any of the active ingredients of its competitors. Yet sales results far exceeded expectations. Customer after customer walked up to the shelves, picked up the product, read its package, and bought it. Sales figures exceeded some of the most popular established brands. And today it is still selling as a category leader. Why?

Prior to launch the package designers visited Walgreens stores, Rite-Aid stores, CVS stores, Walmart stores, and every other mass merchandiser of cold and flu medicine. They studied the wall of little boxes holding little bottles and realized that every box in the wall of boxes in every store looked almost exactly the same. They all had similar designs in the same small selection of colors.

The package designers developed a revolutionary strategy. Make a package that fit the same small space just as every other product, yet graphically be as completely opposite of every other product as possible. The resultant package immediately stood out from its adjacent competitors.

Customers' eyes were drawn to the one product that didn't look like everything else. Upon examination the differences continued. Instead of orderly text, a medicinal design, and a feel-healthy image; they saw a crudely drawn cartoon and humor.

Customers bought the product. A lot of it. They blew away the competition. And they rewrote the rules of medicinal packaging.

81. OPTIMIZED NAMING

Your package will sell your product by communicating to the customer. For people familiar with selling on Amazon, the product package is the equivalent of your product listing.

You will need a brand name and a product name which is like the listing title.

You will also need a company name for your business entity. Your company name might never appear anywhere other than corporate papers so you can name your company something that doesn't apply to your products. If you are a fan of old movies you might name your company Ruby Slippers.

The bigger challenge is the product name, and a brand name.

I have been through this a number of times, and I have taught many students. I know what is in your head. At this point in the process, you probably already have a name, or a few names, that you have been thinking about. It's fun. Regardless if you have some ideas already or not, now is the time to figure out what your product will be called.

You will need a BRAND name and a PRODUCT name.

YOUR BRAND NAME

The brand encompasses all the products in your line. It might be a single product, or it might be a line of 200 products.

Imagine you are producing a line of quick set-up camera tripods. At the start you only have tripods. As the product line grows you might include fast to open camera bags, and lighting equipment. All of the products are photography related and made for rapid deployment, so your brand might be called "Shoot Fast Photography" in reference to shooting photos. A good brand name communicates the personality of the company and is usually accompanied by a logo.

Shoot Fast Photography would appear on all your packaging and marketing so that customers associate your products with your brand.

Some examples of well-known brand names are Sony®, McDonalds®, Nintendo®, and my old employer, Microsoft®. Marketing companies and brand consultants make a very good living coming up with brand names. Exxon® spent one hundred million dollars on their name. (Most of it on customer validation.) If you are stumped, you don't have to pay as much as Exxon. There are online naming sites such as Squad Help, Business Name Generator NameLix, and Word Lab. Your packaging designer and your industrial designer might also be able to help.

Each site will give you a plethora of brand name ideas. Narrowing them down can be daunting.

Choose a name that:

Is not being used by someone else

Is available to trademark (particularly for brand name)

Has an available .com domain (particularly for brand name)

In addition, consider the following criteria:

- Is descriptive (especially for product names)

- Is a verb or action (personal preference)

- Rolls off the tongue.

- Is easy to spell.

- Has personality.

- Is less than 25 letters (so that it fits on email subject lines)

- Is memorable.

- Does not limit growth.

- Looks good when written.

- Sounds cool when spoken.

- Be aware of gender and stereotypes.

- Research your brand name in other languages and countries (Puffs tissues learned that lesson in Germany where Puff is slang for brothel)

- If you are making up a non-word name, use repeating sounds and rhymes.

- If making up a non-word name for children research sound symbolism

The most important elements on the list are the first three; 1) not being used by someone else, 2) is available to trademark, and 3) has an available domain name. Although you can have a brand name that is the same as another company, it must be in a distinctly different category. We will discuss categories (known as classes for trademarks) later but for right now, just try to avoid copycat names. It will make your life easier.

The simple way to check if a name is in use is to start with a Google search. Then research USPTO.gov and choose Trademark to search for your name under word marks.

If the trademark is available, then see if the .com domain is available. You can search domain brokers like GoDaddy.com to check availability.

I looked up the trademark and the domain of ShootFastPhotography.com. Both were available. I immediately bought the domain to hold it while I pursued the trademark.

Trademarks are not as simple as they may appear. Before I finalize my choice of name, I would hire an IP attorney to review the trademark potential for me. It may seem wasteful to spend money on something that you could do yourself. However, this is a situation where you could easily be a penny wise and a pound foolish. There could be a legal reason not to use your brand name, and it can be a very costly mistake to manufacture your products and packaging with a name you cannot use. Don't take a chance. The trademark process is exceedingly long, but at this point you can at least get a general assessment from an attorney that would let you know if you have a good chance at success, or if it is foolish to proceed and you need a different name.

YOUR PRODUCT NAME

The purpose of your product name is to identify your product to the consumer. Until your unique product has strong recognition, it is best to have a descriptive name. Today people know what FitBit® is, but until FitBit was well known it was simply referred to as an activity tracker. You may invent antigravity sneakers called Antigravs, but until they are well known they will be called sneakers and the name on the box should emphasize that. Your brand name should support your product name, but the product name is what should be emphasized on packaging.

The automobile was called a 'Horseless Carriage' when launched.

Keep your product name simple and descriptive. Most people know what Ibuprofen is, but the package for almost every Ibuprofen product proclaims PAIN RELIVER in big bold letters.

The goal of the package, and therefore the product name, is to make every sale as easy as possible. If a customer does not immediately understand what your product is, then you are going to lose sales before you even start.

Case Study - EASY DIET LABELS



at home
FOOD LABELS
www.easydietlabels.com

New weight loss system described as "Genius in its Simplicity."

Easy Diet Labels is a system of stickers that consumers place onto the food in their own home to identify good and bad food choices. The red, yellow, green stickers use the science of behavioral modification to help build healthier eating habits.

Years ago, I launched a product called Easy Diet Labels™. They were a set of Red/Yellow/Green stickers that you put on the food in your own cabinets. Each label included a printed encouraging phrase or saying. I figured that many people, just like me, would stand in front of the refrigerator or cabinet clueless about dinner. We would stare and wait for inspiration. While we stood there the stickers helped guide people like us into making good healthy choices. They worked incredibly well. Whenever people tried it, they loved it.

The reviews were great. The packaging looked cool (I paid a lot to a professional packaging designer.)

- Use Easy Diet Labels to help your family make wise food choices! This is one of the most exciting, innovative weight loss strategies I've seen in a long time! Just affix the appropriate labels to the food products in your refrigerator and cupboards.

It was 2006 and I signed up for a brand-new service from Amazon called FBA. My listing explained the product in detail. People understood the labels and bought them. My product was new and innovative. Easy Diet Labels were featured in women's magazines like Women's Day, and by bloggers like Lisa Lillien who wrote about them on her blog, "Hungry Girl®."

I was given a test in supermarkets by a company called ATA Retail. They were a form of distributors that provided merchandise sold on hanging plastic 'clip strips' in 7000 supermarkets and convenience stores. I am sure you have seen them hanging in stores.

ATA put me in fifty stores. I sold a few per store. At the time I was unaware of multipliers and after all costs, my profit from each store totaled \$4 per month. That may not seem like much, but \$4 per month in 7000 stores equaled \$28,000 a month. That would total \$336,000 for the year! I was in thrilled, but ATA was not. In their eyes, my sales were not strong enough for them to carry me. They said thank you, but no thank you. Goodbye.

Bloggers loved my product. Amazon customers loved my product. Why wasn't I selling more in supermarkets? I learned the answer to that question about two months later in meetings with Walgreens, one of the largest drug store chains in the U.S.

I was invited to an open call to present products. There were about thirty vendors like me with innovative products and big hopes. Walgreens had two days of seminars and taught everyone about Walgreens stores, culture, about retailers, buyers, and getting products onto shelves.

I met Manufacturer's Reps, Distributors, and Master Brokers. At the start of the second day all the potential vendors placed our products on blind display for buyers and their staffs to review. We left the room and they looked at our products without us. There was a buzz about my products from other manufacturers, so I figured I was due for a big success. That afternoon, after more seminars, I met with my assigned buyer. My excitement quickly died as she said that Walgreens was not interested and wished me well. Goodbye.

I tried to find out why but didn't get more information from her. I was puzzled and frustrated. I didn't understand why things were going so badly until late that afternoon when I was educated in the most uncomfortable way ever.

I stepped into an elevator filled with four men who were joking about a product from the blind review. I realized very quickly that it was my product and that they had no idea who I was. I listened as much as I could. My heart was racing, and I was probably white as a ghost. I stayed on the elevator past my floor. It was humiliating but

I had to hear what they were saying. Frankly, their words left me angry and depressed, but also enlightened.

They liked the product but since it was groundbreaking, they felt it required a strong educational style marketing campaign. However, they hated the package. I lost the sale because of poor packaging. They were heartless. They thought my packaging was designed by a naïve idiot. Correction. The actual phrase they used was “asshole.” I was crushed, but I stayed to make sure I heard every bit of criticism.

This is what I learned. My package was amateurish. It was a blister pack and almost 30% of the printable space was used up by my logo. The logo was the most eye-catching element on the package. It had contrasting colors and the largest letters on the package. The product name was vague and confusing.

At the time I was angry and blamed my packaging designer. Upon reflection I realized that although he was partially to blame, the fault was mostly mine. I had treated my brand name as the most important element, and completely forgot to put a clear Product on my package.

I had thought that *Easy Diet Labels* and *At Home Food Labels* was explanatory enough for customers to understand the products. I did not realize that “Food Labels” could mean many things to many people.

For many people ‘at home food labels’ often mean write-on labels for eat-by dates for stuff you put in your freezer, canning labels for pickles, and a label used for the name of the cook who brought muffins to the potluck dinner.

I was naïve. I figured if someone were interested, they would pick up the product and read the back. Both of those assumptions were wrong. I should have said ‘Weight Loss System’.

It was a hard lesson to learn, but since that day, all my packages for all my products feature clear Product Names which are simple, descriptive, and clearly communicate what my product is.

Please gain from my failure. Never let your excitement over your logo take over the package design. A descriptive product name is much more important than brand name.



AT HOME FOOD LABELS

TAKE CONTROL OVER THE FOOD IN YOUR HOME
PERFECT FOR YOUR WHOLE FAMILY!

120
STICKERS

Win the fight over temptation!



HELPS BUILD HEALTHY EATING HABITS

82. CONTROLLING THE CUSTOMER'S EYES

Effective package design communicates what the product is, what makes it unique, and why the customer should buy it. This cannot be emphasized enough.

Often the easiest and most compelling way to communicate what a product is, is to use a photograph. Some packages look best with a clean product shot against a white background. This is called a hero shot. My preference is to use a lifestyle shot whenever possible. This is a photograph of the product being used or displayed in the home. A lifestyle shot prompts the customer to self-identify with the product which encourages sales.

However, there is a risk of using a lifestyle shot on the cover. Sometimes the product may be lost if the image is too confusing. Therefore, keep the photograph simple, and make sure that the product is featured prominently.

Regardless of the image, the text on your package is the primary and most critical element of communication. This is where the eye will travel to, and you want to control it. You want your most important elements to get the customer's attention and lead to a sale.

A simple method of making sure that the text is effective is to assign priority levels to each of the text elements in your package design.

The highest priority is a descriptive product name. Consider this Level One.

The next highest priority is the USP (Unique Selling Points) and the benefits. These are the elements that make the customer want to buy. Consider these Level Two priorities.

Next down are the features and product information. These answer customer questions. Consider these to be Level Three.

Lastly, your logo, brand name, website, etc., are Level Four priority. They are nice to know but unless your brand name is broadly recognized they do not drive the customer purchase choice.

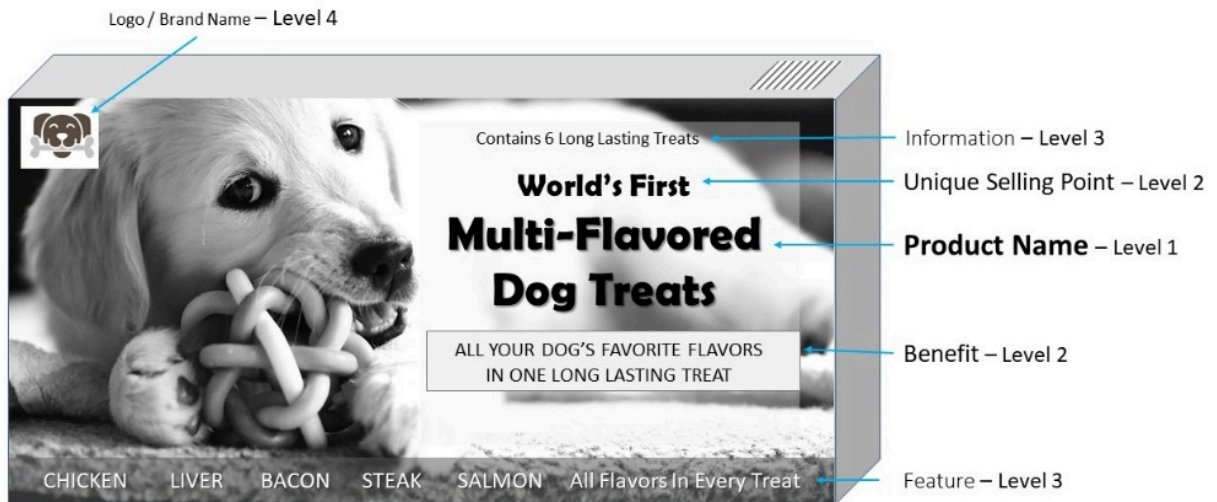
Once you have chosen the text for each level, your package designer can use font, color, and design to draw the customers eyes to each element in order of priority.

First the customer should see the product name, followed by the USP and benefits, followed by features and information.

Look at this package for dog treats. With a quick glance your eyes will immediately be drawn to the product name, and then through the rest of the elements in priority order.

A fun trick to use is to turn the image upside down. Your eyes should be drawn to Level One priority text first, followed by level Two and so on.

Try it.



83. PACKAGING VALIDATION

Regardless of how much you love your package design, always validate package design with your customers. Neither you nor your package designer are objective judges of the packaging or its effectiveness.

My personal favorite method of validation is to put the package in front of the customer with zero explanation of the product. Ask them to look at the package and explain to you what the product is.

Then ask them if they would buy the product, why they would buy the product, and what they would expect to pay. You may even find that excellent packaging design increases customer perceived value.

However, you may find that the package is not effectively communicating to customers. Share all the feedback, good and bad, with your designer.

Good package designers love getting feedback from customers. Don't be surprised if they tell you that very few of their clients have brought them customer feedback before. You are a professional and you understand the importance of customer input. So, drink in the praise, you deserve it. Your package designer is a professional too. The more customer feedback you can provide to them the happier they will be.

84. DECISION GATE



Based on customer response to your packaging you must choose to proceed, or to stop and modify your packaging design.

85. YOUR LOGO

Your logo is a symbol or image that represents your brand. It can contain stylishly displayed words, just a symbol, or both. You can protect your brand logo through trademark just like you would protect your brand name. A logo is called a Design Mark, and the name is called a Word Mark.

Here are some examples of logos that use words, symbols, or both.



(Copyright and trademark for each of these logos are owned by their respective brands.):

Some of the logo designs contain a reference to their products. Burger King's logo includes an abstract hamburger bun, the NFL logo contains a football, the Toyota symbol contains all of the letters in the word Toyota stylistically placed on top of each other, and the Target logo is a target. On the other hand, the Starbucks logo of a siren seems to have nothing to do with coffee. (According to Starbucks Corporation, the siren is a reference to the distance coffee has to travel, and a nod to my hometown of Seattle Washington as well as its seafaring history. Both connect to the name Starbuck, a character from Moby Dick.)

Your logo represents your brand. Be unique. Research competitors and other products in your niche. You want to make sure that your brand logo is distinctive from everyone else. You do not want your customers seeking your product and picking up someone else's because they got confused by similar logos.

Your logo talks for you. The image that you choose to represent your brand should communicate your company's principles, vision, style, purpose and unique qualities.

A successful logo should be:

- Memorable
- Simple
- Applicable in multiple uses from packaging to promotional items
- Have a limited palette

- Should not use clipart or copied images.



The logo for Product Development Academy tries to capture a product and include learning, innovation, and ‘thinking outside the box.’



The logo for Dog SnorZ represents a dog asleep in the human bed and recognizes that the product began with pillowcases.

CREATING A LOGO

The first people you should talk to about designing your logo are your graphic artist, package designer, and industrial designer, if you have them on your team. They are experts and are already familiar with your products.

You can also seek help online. Fiverr, 99Designs, Upwork, Freelancer, and DesignCrowd are each full of logo designers. Some offer competitions which allow you to see multiple logo designs and pick from the best.

Wherever you get your logo designed I advise strongly that you always research the images online. There are many logo design apps and some of the ‘artists’ offering logos are students merely putting your information into a logo design app and posting it as original work.

A clear indication of people using logo apps is when multiple logo submissions look similar. Each of these ‘artists’ used a similar app, and then may, or may not, have changed a small element. Using one of the app-designed logos will probably result in a logo that resembles many others in the market. Your product is unique. You want your logo unique too.



Here are six examples of logos done for a client through Freelancer. Each came from a different artist.

The similarities are quite apparent and there were many more submissions that looked like this. My disappointment turned to anger however when I discovered a matching image on Shutterstock depicting a satirical logo in the same style.



Here is another example of a logo that is cliché and often copied. It is supposed to represent business knowledge and growth but may unintentionally represent ‘same-as-everyone-else.’



The lesson from this is that crowdsource logo sites can provide great results, but there is also a risk of a copycat logo or style. Whenever you use one of the crowdsource logo sites always do a reverse image search on your favorites before awarding a winner.

TRADEMARK YOUR LOGO

You can also register your brand logo as a trademark just as you can register your brand name. I highly recommend that you use an attorney to file for your logo trademark just as I recommended for your brand name. An additional benefit is that one of the first things the attorney will do is search for similar design marks. We will discuss trademarks later.

86. BRAND AND LOGO VALIDATION

Time for a personal confession. Every time I launch a new brand with a new logo, I treat myself to cool swag and merchandise such as polo shirts and bags with my logo on them. I am like a little kid. I wear stuff with my logo and I give logo stuff to my friends and my family. I love seeing it become real and they love wearing them. However, this is not validation.

Once again, you must validate brand name and logo design with real, objective, customers.

Put your brand name, and logo symbol if you have one, in front of customers. Ask the customers to describe the brand both in specific terms (what type of products d they think it represents) and emotional terms (what feelings does the brand or logo convey?)

You can do it in person with strangers, or you can use an online tool like PickFu for this. A link with a discount is provided here: <https://productdevelopmentacademy.com/links>.

87. DECISION GATE

If your brand name and logo does not elicit the response you are looking for, stop, and redo your brand or logo.



88. PUTTING IT ALL TOGETHER

Congratulations!

- ✓ You have an exciting product.
- ✓ You have completed competitive analysis and market analysis.
- ✓ You ensured that your product works well and looks great.
- ✓ You have created a (fuzzy) customer avatar and identified (fuzzy) distribution.
- ✓ You have forecast your (fuzzy) projected returns.
- ✓ You placed your product in front of customers and collected their input.
- ✓ You incorporated their feedback into your product.
- ✓ Perhaps you have had prototypes and gathered feedback from customers based on them too.
- ✓ Customers have told you what they feel a fair price would be.
- ✓ You have a compelling brand name.
- ✓ Your logo communicates who your brand is and what your brand signifies.
- ✓ You have identified a factory that will manufacture your product.
- ✓ You have verified the factory.
- ✓ You have packaging that communicates the benefits of your product, works for your customer avatar, and has shelf impact.
- ✓ You have negotiated a raw cost that gives you a minimum 7X or 10X multiplier.
- ✓ You have protected your IP with an NNN.
- ✓ You have confidence in your factory, examined sample work, and are ready to place your order.

This is the transition from the Design stage to the Production stage. Once again it is a vague border between the stages, but from this point forward your focus will shift from creating your product, to manufacturing your product.



89. PLACING YOUR ORDER

You will need certain documents when you place your order. These documents may be new to people who until this point have only been familiar ordering products from Alibaba. With unique products and the goal of a full business, and the potential of million-dollar purchase orders, the process of ordering becomes a bit more structured.

The documents you need are:

- General Conditions Agreement
- Proforma Invoice
- Purchase Order (Purchase Agreement)

GENERAL CONDITIONS AGREEMENT

The General Conditions Agreement is an umbrella agreement that applied to all purchase orders (purchase agreements / PI) contracted between the Buyer and the Seller throughout the term of the agreement.

It should be prepared by an attorney, and should be:

1. Specific to your product (not a template)
2. Written in Chinese (with English for convenience)
3. Signed by Seller's company stamp
4. Signed by Buyer's signature

Traditional sections to include are:

1. Identify the companies by name (in Chinese)
2. Identify the product(s)
3. Seller agrees that the quality, specifications, and materials will be as specified
4. Seller will not make unilateral changes to quality, specifications, and materials
5. Buyer is entitled to full refund if not delivered within 4 weeks of agreed date
6. Buyer is entitled to (fee TBD) for every day late, up to the 4 weeks
7. Buyer is entitled to 3rd Party inspection.
8. Seller will accommodate 3rd Party inspection
9. If inspection fails Seller will reimburse Buyer the cost of second inspection
10. Defective products will be destroyed
11. Subcontracting not allowed without Buyer permission
12. Remedies (specified)

13. Required testing will be conducted if needed and Buyer informed of results
14. Terms (length of time) of agreement

In addition, depending on your product, the General Conditions agreement may also include:

- Exclusivity
- Payment terms
- Mold Ownership
- IP and patent information

You should not use a downloaded template. The agreement should be specific to your factory and should be written by an attorney. The attorney can also do any contract negotiation on your behalf. The General Conditions Agreement should be signed by the company stamp, and by you.

PROFORMA INVOICE

The Proforma Invoice (PI) is provided to you by the factory. You will receive a separate PI for each order.

It indicates the price per unit, the port, and the incoterm if different than the General Conditions Agreement and the delivery date. It also includes payment terms if different than the General Conditions Agreement.

Company Name Address Tel:						
PROFORMA INVOICE						
Seller Company Contact Email				Buyer Company Contact Email		
Item #	Description	Unit Price	Qty	Amount	CTN	CBM
XXX	Blue Widget L	\$5.76	5000	\$28,800.00	XXX	XXX
XXX	Green Widget S	\$4.11	5000	\$20,550.00	XXX	XXX
Total			10000	\$49,350.00	XXX	XXX
Say total is USD \$49,350 only						
Terms & Conditions as per General Conditions agreement						
Bank Information XXX XXX XXX						
Company Stamp						

The PI will include the official name of the factory, often in English, the payment method and the bank wire transfer instructions including beneficiary.

It will include the carton instructions, number of cartons, and the gross weight. The PI will have the company stamp on the bottom.

PURCHASE ORDER

The Purchase Order (PO) is at times referred to as a Purchase Agreement.

This is what you give the factory for each order. It applies to a single order and is subject to the terms of the General Conditions Agreement unless otherwise stated.

This should be detailed but does not replace a technical specifications sheet, artwork, tech pack, BOM, or Gerber file if applicable. We will discuss of these documents later.

The price on the PO and other details should be the same price as provided to you by the factory on the PI.

You sign the PO with your signature, but the Factory will stamp it with the company stamp, also called the company seal or chop. (sometimes a signed PI can be used in lieu of the PO)

Your Company Name					
Company Address					
Contact Information					
PO #			Date:		
Description	Material	SIZE	Qty	FOB Shanghai Price per Piece	Packing
Fitted sheet and flat sheet with tag Panton 496 U Printed with: My Khaleesi (artwork attached)	80*80/200*183, 100% cotton	QUEEN:60*80+15"/92*108"-- 1PC sheet +1pc bed cover	5,000	\$5.89	1PC sheet + 1pc bed cover in a pvc bag, 1 insert card 12 per Inner carton 4 inner per master carton marks attached
		KING:76*80+15"/110*114"-- 1PC sheet +1pc bed cover	5,000	\$6.33	
Total			10,000	\$ 61,100	Delivery Due: October 31, 2020
Must pass AQL inspection. Failed inspection will result in destroyed product and new production with 5% discount					
Terms: 60 days after receipt of Bol					
[Your name]			Factory Name		
signed			Factory Stamp		
Date			Date		

90. COMMUNICATING WITH CLARITY

“If things *can* go wrong, they *will* go wrong. And it’s probably your fault.” My manager at Microsoft repeated this to me, and my colleagues, at the start of every new software project.

It’s not that he felt we were incapable. Quite the opposite. He knew that our team were some of the best Solution Delivery Managers he had ever worked with. Our job was to work between the engineers and our customers – the business units. We collected business requirements, learned business processes and needs, translated problems into solutions, ensured the solutions being built by the engineers solved the issues faced by the business, and managed the teams to ensure on-time delivery.

Critical to success was communication, and nine times out of ten, if there was a problem, it was communication breakdown. Either we did not understand the business needs and process correctly, or we didn’t communicate it to the engineers correctly. Often it was because we didn’t ask the right questions. Since communication was our responsibility, any breakdown, if it occurred, was due to us.

Clear communication is also critical to manufacturing. It can be difficult to communicate when everyone speaks the same language, but add translation issues, and things can go downhill extremely fast.

Like many Eastern cultures, Chinese people will say “Yes” but not mean they agree to what you are asking. It is merely a respectful acknowledgment, or a ‘go-to’ response when they do not understand you.

In addition, the Chinese culture of trying to please you, often makes things worse. If they do not understand something, or are missing information, they will assume answers, based on their own experience, or previous customer’s requests. If you ask for a ‘standard’ dog blanket, they will think about their own dog blanket at home, or the typical dog blankets that their other customers have bought. In your mind you may be imagining something completely different, but miscommunication and assumptions cause errors.

Be specific when you ask for items. ‘Standard’ is not specific enough. Try to communicate in person whenever possible. At the Canton Fair, or face-to-face with the factory, you can look at fabric options, run your hands over each one, point out the seams you like, choose colors and get exactly what you want.

Example, flannel fleece with a sherpa reverse, fold over seams, 80cm X 80cm, with a designated PMS color (We will discuss PMS colors later). If you cannot communicate in person, then follow up every conversation with email summarizing the agreement.

Note to all Americans. China uses the metric system. Be sure to communicate size in the metric system. Not feet and inches.

Although documents may be created in Google Docs, MS Word, or Excel, always send pdf format documents. The computers in China may not have the same software that you use, and a pdf format document will be easily opened with predictable results in China.

PRODUCT SPECIFICATIONS

Detailed product specifications can be a lifesaver to you and your manufacturer. Product specs ensure consistency and remove ambiguity from the production process.

In practical application, most Chinese factories will try hard to please you, the customer. If you do not have detailed product specifications and if they have a question about the product, they will give it a ‘best guess’ hoping to please you. However, if they have detailed specifications, they can refer to your documents and they will be able to please you without making guesses.

Just as importantly, at times, some factories may choose to substitute one component for another or change materials. Perhaps by neglect, by nefarious intent, or by honest error. In these cases, having detailed product specs serve a reference guide to check against purposeful and accidental changes.

At the end of every production prior to shipping, you will have an inspection by an inspection company. Here too, having detailed product specs will ensure your products were manufactured correctly, consistently, and as you ordered.

The more detail you provide the better, and the amount of detail is dependent on the complexity of the product.

- A simple product, such as a modification on an existing plastic jar used for dog treats might only require a simple description of the material, size, dimensions, colors, printing, and lid.

- A more complex product will need a Component Data Form.

- Clothing and soft goods require an ‘apparel tech pack.’

- A mold needs a 3D file, and rendering.

- A product with technical components should have a full tech pack. Details of the components are listed in the Bill Of Materials. (BOM)

- Circuit boards require Gerber files.

SIMPLE SPEC SHEET

This includes the product description, materials, dimensions, graphics, printing, and dieline. The packaging dieline and any required graphics files should be attached. Your packaging designer should provide the dieline for you.

Here is an example of a simple spec sheet for a plastic jar for dog treats.

Product Specifications	
PRODUCT NAME	Pug Treat Jar
Description	Clear Plastic Bottle
Material Bottle	Food Grade PET
Material Cap	Cap Material PP Plastic
Color of Cap	PMS C 442
Dimensions	Size 85mm x110mm
Dimensions	Capacity 500ml
Dimensions	Net Weight37g
Dimensions	Bottleneck85mm
Package	Folded Carton
Printing on Bottle	Screen printing
Artwork Attached	Bottle Design Print
Artwork Attached	Folded Carton Dieline

COMPONENT DATA FORM

The Component Data Form is usually used for simple electronics with standardized components. It includes a more detailed spec sheet, details on the electronics, and possibly renderings and CAD files.

APPAREL AND SOFT GOODS TECH PACK

An Apparel Tech Pack is specific to clothing products, and other soft products such as bags. It includes the garment design, size chart, placement of artwork, care label instructions, fabric, packing instructions, and required graphics.

It should illustrate every detail from multiple angles. Your garment factory will expect a tech pack from you. If you are an experienced fashion designer, you can provide the tech pack yourself. If you cannot create one there are numerous services online that can create the tech pack for you.

MOLD FILES

Producing a mold (often spelled mould when communicating with China) requires a 3D Cad file. The most trouble-free file type when working with Chinese factories is a STEP, or STP file.

Your tech pack should include the STP files, and also renderings that show the finished piece. Your industrial designer or mechanical designer can provide the STP file.

PRODUCT TECH PACK

The product tech pack may include a vendor brief, CAD drawings, 3D renderings, product graphics, dieline, and/or a BOM.

BOM

Think of the BOM as a recipe for your product. It includes all the ingredients and measurements. In some cases, it also includes the cooking instructions. The ingredients include everything needed for a shippable product, which is why it includes packaging information and the dieline. The cooking instructions would be the processes or finishes required after production.

Your industrial designer and your mechanical/electrical engineer should collaborate and provide the BOM for you. Discuss that when you hire them.

Radio Controlled Toys LTD PRELIMINARY BOM							
MODEL NO.:		RC DOG-100 with lights			DATE: 2020.05.17		
REVISION:		1					
ITEM	PARTNO	DESCRIPTION	MATERIAL	NAME	QTY	LOCN/DRG	VEN
电子部分							
		DOG 100 Electronic part					
1		HW-100-1PCB FR4 G/58REV01 600X1.2mm		电路板	1		
2		HW-100-2PCB 94V0 G/5 REV01 600X1.2mm		电路板	1		
3		标准品 PCB 94V0 G/5 REV01 15*13*1.2mm		电路板	1		
4		SMD CAP 2.2nF 0805 ±10%		贴片电容	1	C11	
5		SMD CAP 0.1uF 0805 ±10%		贴片电容	4	C2, C12, C14, C17	
6		SMD CAP 10uF 0805 ±10%		贴片电容	9	C3, C3C4C5, C6C7, C8, C9C13	
7		SMD RES 10K 0805 1/4W ±5%		贴片电阻	22	R6, R10	
8		SMD RES 0.01Ω 0805 1/4W ±5%		贴片电阻	1	R8	
9		SMD RES 10K 0805 1/4W ±5%		贴片电阻	1	R7	
10		SMD RES 14K 0805 1/4W ±5%		贴片电阻	1	R12	
11		SMD RES 43K 0805 1/4W ±5%		贴片电阻	1	R1	
12		SMD RES 150K 0805 1/4W ±5%		贴片电阻	22	R3, R11	
13		SMD RES 300K 0805 1/4W ±5%		贴片电阻	3	R2, R4, R9	
14		ECAP 470uF/16V ±20% Size: 6.0x8mm		铝电解电容	3	C15, C18, C19	
15		SMD CODE 1N5817		二极管	8	D1, D2, D3, D4, D5, D6, D7, D8	
16		SMD Light Touch Switch 0.4"Size 1.6x6x6mm		触摸开关	1	SW1	
塑胶与五金部分							
		DOG 100 Structure Part					
17		DOG HEAD	ABS	狗头	1		
18		DOG BODY	ABS	狗身	1		
19		尼龙+15%玻纤	尼龙+15%玻纤	狗鼻子	1		
20		尼龙+15%玻纤	尼龙+15%玻纤	狗耳朵	3		
21		尼龙+15%玻纤	尼龙+15%玻纤	狗眼睛	1		

Here is an example of a BOM for a RC controlled dog with LED lights:

GERBER FILE

A Gerber File is used for Printed Circuit Board (PCB). It is in ASCII format and looks like computer code.

The current format is Extended Gerber, but here is an example of a snippet from the prior Gerber format for illustration purposes only.

The engineer who creates your circuit board should provide you with a Gerber File in format RS-274X.

D11*

X1785260Y1193970D02*

X1796550Y2277770D01*

X1785240Y2181680D01*

X1796720Y2184330D01*

D12*

X3420995Y1404208D03*

X1785230Y3843980D03*

M02*

91. MAKING THINGS LOOK RIGHT

FONTS

The fonts and styles that you take for granted on your Western computer are not the same as the fonts included on computers in other parts of the world. Including China.

Most of the fonts you use on your computer, phone, or tablet were loaded by the manufacturer or may have been loaded as part of some programs such as MS Word or Adobe Acrobat. Your graphic artist's computer or your package designer's computer has many more additional fonts to use.

There is no guarantee that the factory or their packaging supplier will have the same fonts loaded on their computers that you or your graphic artist used to make your logo or package. Therefore, always have your graphic artist or packaging designer provide a file of the fonts used in your design.

SENDING LARGE FILES TO CHINA

China does not have easy access to Dropbox or Google Drive. The most effective way to transfer large files to China is through WeTransfer.com

92. THE PANTONE SYSTEM

In order to avoid errors in colors, the best way to communicate colors is to identify it using the Pantone PMS Color system. You can say “Lavender”, and everyone will think of a slightly different shade. However, Pantone 2583 C is reproducible throughout the world, and will always appear the same shade of purple.

When someone opens a PMS color book in Helsinki, the colors look exactly the same as a book opened in Shanghai, Sydney, or New York.

For shiny objects, you will choose a PMS C (coated) Number.

For most other applications, except textiles, you choose a PMS U (uncoated) Number



For Textiles, choose PMS TCX or TPG Number.

93. PVT

During the Design stage we completed EVT and DVT. Now we can proceed to PVT. (Production Validation Test)

This is the final test before production line begins. It ensures that everything is coming off the machines, and odd assembly lines in finished condition.

If your product is created using plastic injection, PVT takes places after the mold is polished and mounted. The factory will run small batches of your product to test the mold, the seams, the temperature, and other variables. Once the tests run true and the product is assembled it will be reviewed and test samples are done.

Some factories can send the sample to you via courier (such as FedEx or DHL) for you to approve. If you use a sourcing agent, they can arrange sending it. You can also give your sourcing agent authority of approval; however, I prefer to have approval in my own hands.

94. MANAGING YOUR FACTORY REMOTELY

Just like the factory audit, the inspection company can be your proxy in China to manage the factory for you.

Arrange an inspection with your inspection company (inspection companies will be discussed next) to occur approximately 5-10% into production. By then the machines and processes should be running smoothly. This is different than a pre-shipment inspection.

Perform this inspection to catch errors and defects early in the process. It is the same as if you were onsite and walked onto the factory floor when production began. If any product problems occur, you want to identify them early before your production run is complete.

Hopefully there won't be any, but if there are, catching them now can save thousands of dollars in wasted product, wasted raw materials, and unexpected delays.

If you are doing hand made products, or soft goods such as home textiles or garments, you can also have a short run. A short run is a limited number of products which you examine before authorizing a full run. A short run is not practical for products manufactured with large machinery but are a great option to consider for products manufactured with manual labor.

95. QUALITY MANAGEMENT

There are two areas in the manufacturing process where quality is reviewed and ensured. One is during production, Quality Assurance; and the other is after production but before product is shipped, Quality Control.

Be aware that in China, and within the factory, the terms QA and QC might be used interchangeably. That is okay. You may ask to see the QA section in a factory, and they call it QC. The importance is that they have a quality process and adhere to it. Not what they call the quality process.

You have begun to address quality with an in-production inspection. Any defects and errors caught should be included into the factory's QA process.

QUALITY ASSURANCE

Quality assurance (QA) occurs while your product is being manufactured. It is run by factory staff during production.

There are undeniable realities of mass production that might cause quality issues. Equipment wears out or fails. Employees get distracted or get sick and are replaced by new employees. There are a multitude of causes that can result in defects. All of these causes can fall into one of two general categories. Systemic and Isolated.

Systemic problems often impact a large number of items being produced and are caused by something that effects the entire production run. Some examples might be a faulty piece of machinery, a component or raw materials supplier delivering the wrong or faulty components, process errors, lack of skills or oversight of workers, or in the case of plastic injection, a mistake within the mold. All of these, except for machinery breakdown, should be caught by doing an inspection 10% into the production. Over the years, I have personally experienced almost every one of these issues, and each time I worked with the factory at the time and resolved them. The goal is to identify the root cause of the repeating problem and to correct it.

Isolated quality issues occur on an item-per-item basis. One plastic piece may be slightly misshapen. Two pieces touch and paint is smeared. A finish or coating isn't applied evenly. An LED doesn't light up on a string of Christmas lights. These are mistakes and happenstance. The goal for isolated defects is to catch them and remove/fix them before they complete the production run.

When you visited the factory, one of the four sections you reviewed was QA. You asked the factory how they managed QA and what their QA processes are.

One common method of QA is to test random items from the production line. Participants in my China trips have seen random products tested in a QA laboratory for LED burnout, electrostatic discharge, weight, rigidity, and many other quality standards. Another common method is to have QA personnel on the assembly line inspect and review each piece as it passes them. Some machines have QA built into them. The

machines test, measure, or weigh items. Some processes include QA. Workers may attach an element to a circuit board and then test it before passing it along. In some factories QA is in the hands of supervisors. In a cut-and-sew factory it is common to see a supervisor stroll among the employees and visually evaluate their work.

The QA process for your item may include some of these methods, or others. Whichever methodology is used is not important, as long as the results are effective and isolated defects are identified and removed or fixed.

QUALITY CONTROL

The most effective quality control (QC) process is to have an independent licensed third-party inspection company arrive at the factory and test your products.

Quality control occurs after items are manufactured and are ready to ship. The product is complete, placed within its individual package, placed inside inner cartons, and then inside master cartons. (we will talk about inner and master cartons later.) The factory has finished touching the product, and if no inspection were occurring, the goods would be shipped off. The exception to this is certain categories of products that require 100% inspection such as safety equipment. Most other items do not need or require 100% inspection and will benefit by inspecting a random sample instead.

96. INSPECTIONS

Only use a licensed inspection company.

There are many people popping up online and on Facebook and Reddit offering to perform inspections. Be cautious.

The inspection process is historically rife with bribery and scams. An unscrupulous agent will take bribes from suppliers to authorize and successful inspection without ever seeing your products. China has tried to control bad apples by requiring inspection agencies be licensed. However, many Westerners do not know inspection agencies require licensing. Further, Westerners do not know that licensed inspection agencies are prohibited from offering other services such as shipping, photography, prep services, or sourcing.

Since unlicensed inspection agencies cannot promote themselves in China, they inundate Western-friendly platforms like Facebook and Reddit searching for naïve customers who mistakenly think a one-stop-shop is convenient and safe. Never use an inspection agency that offers sourcing or shipping. They are financially motivated to pass defective products as acceptable, and therefore allow defective products into your supply chain and eventually into the hands of your customers.

I have heard story after story of naïve online sellers, who hire an unknown ‘agent’ in China to help them source a product. The agent contacts a supplier, agrees to a price, secretly adds 20% onto the price and arranges the work between the supplier and the seller for a small commission. The agent collects payment from the seller and pays the supplier the original agreed-upon price. When the product is ready, the agent charges the seller another fee to inspect the products before shipment. At this point, the agent visits the supplier, the supplier gives the agent a bribe and the agent declares that the product has successfully passed inspection. The agent may have even convinced the seller to let the agent arrange shipping, photography, or other services, and once again the agent adds fees onto the price and collects the difference.

In this scenario, the seller thought they were smart by using a one-stop-shop but in reality, the seller was cheated and overpaid. Worse, the seller took possession of products that have never passed inspection. Not only is the seller losing money, but customers may receive poor quality products and either return the product or post bad reviews online, which hurts the seller’s future business.

You do not want an inspector who accepts kickbacks from a factory in agreement to let bad products pass. You do not want an inspector who claims expertise when they are clueless. For example, if you are importing textile products you do not want an inspector who scratches their head and does not know the difference between a warp and a weft thread.

- Make sure your inspection company is LICENSED as an inspection company.

- Do AQL inspection in China prior to shipment. AQL is a statistical random sampling and acceptable quality level, program.
- Stipulate with your factory that your product must pass inspection before shipping, and before payment.
- Make sure your inspection company has an anti-bribery policy.
- Make sure your inspection company rotates inspectors, so that the 3rd party inspector does not build a relationship with the factory boss.
- Make sure your inspection company does not do shipping, photography, sourcing, prepping, etc. It may appear simpler to use an all-in-one shop, but it can lead to problems. Inspection companies that do those things are financially motivated (will make more money) if they approve products of questionable quality. By law, licensed inspection companies are not allowed to be sourcing companies, photography companies, and freight forwarders. Companies that offer more than inspections cannot be licensed as an independent inspection company.
- Make sure your inspection company has labs and knows what certifications are needed for products.
- Ask to see the standard inspection template for your product. For example, pajamas may have a standard 50-point inspection. A cell phone case may have a standard 30-point inspection. An electronic drum kit may have a 100-point standard inspection. All reputable inspection companies have thousands of these templates. They simply add your own specific needs on top of these.

Reputable licensed inspection companies include SGS, Intertek, V-Trust, and QIMA. You can Google these. There are other good ones, but I personally have experience with each of these companies and they have strong global reputations, integrity, and credibility. A link to inspection agencies is here: <https://productdevelopmentacademy.com/links>

An example of a pre-shipment inspection is included in the appendix. If you have never seen a complete detailed inspection report you should review the sample in the back of this book.

The process is straightforward. You contact the inspection company who then arranges an inspection date with the factory. They arrive and will pick random cartons from your production, and then pick random products from within the cartons.

They will test the product using the tools that they have brought with them, onsite tools, and if need be, send some to their laboratory. They will then provide a report to you and to the factory. Some inspection companies will also provide you with photographs or video.

Some one-time-use products might be ruined by inspection, such as balloons. If your product would be made unsellable by the inspection process, make sure to inform the factory prior to production so that they can increase the production quantity by enough units to survive inspection and still ship your required amount.

97. AQL TESTING

AQL stands for 'Acceptance Quality Limit', which represents the lowest number of defects tolerable within the standards set by ISO 2859-1. The threshold represents the maximum number of defective units acceptable. If the defects exceed the AQL level, the entire production run is rejected. The defects are classified as Minor, Major, and Critical. Your Chinese factories are familiar with AQL standards.

A standard Level II inspection allows ZERO critical defects, 2.5% Major defects, and 6% minor defects.

Critical defects can cause harm or injury or invalidate certifications. Even a single unit with a critical defect will cause the entire production to fail inspection.

Major defects are defects that materially lessen the value of a product such as dents in a cutting board or headlights on an RC car that do not light up.

Minor defects are mostly cosmetic.

The “**AQL tables**” are statistical tools that help determine two key elements:

- 1) How many samples are statistically proven to be the correct amount to be tested based on the number of units produced?
- 2) What is the objective point limit between acceptable and unacceptable number of defects?

The inspector will refer to two tables. The first table will give a letter based on the size of your production run (lot size) and the level of inspection. There are three levels of inspection. For most products (other than food,) Level II is the most widely used.

 www.v-trust.com	AQL (Acceptance Quality Limits) Table A							
	SAMPLE SIZE CODE LETTERS							
	Lot or batch size	General inspection levels			Special inspection levels			
		I	II	III	S-1	S-2	S-3	S-4
2 to 8	A	A	B	A	A	A	A	A
9 to 15	A	B	C	A	A	A	A	A
16 to 25	B	C	D	A	A	B	B	
26 to 50	C	D	E	A	B	B	C	
51 to 90	C	E	F	B	B	C	C	
91 to 150	D	F	G	B	B	C	D	
151 to 280	E	G	H	B	C	D	E	
281 to 500	F	H	J	B	C	D	E	
501 to 1200	G	J	K	C	C	E	F	
1201 to 3200	H	K	L	C	D	E	G	
3201 to 10000	J	L	M	C	D	F	G	
10001 to 35000	K	M	N	C	D	F	H	
35001 to 150000	L	N	P	D	E	G	J	
150001 to 500000	M	P	Q	D	E	G	J	
500001 and over	N	Q	R	D	E	H	K	

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(These cards and example reports are available for download at www.ProductDevelopmentAcademy.com/Links)

The second table will give the number of random items to be inspected, and what is the maximum number of Major and Minor defects are acceptable. Normally under Level II, this would be 2.5% for major defects and 4% for minor defects.

AQL (Acceptance Quality Limits)												Table B
SINGLE SAMPLING PLANS FOR NORMAL INSPECTION												
Sample size code letter	Sample size	Acceptance Quality Limits (Normal Inspection)										
		0.065	0.10	0.15	0.25	0.40	0.65	1.0	1.5	2.5	4.0	6.5
		Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re
A	2											0 1
B	3										0 1	0 1
C	5									0 1	0 1	0 1
D	8								0 1	0 1	1 2	1 2
E	13						0 1	0 1	0 1	1 2	2 3	2 3
F	20					0 1	0 1	1 2	1 2	2 3	3 4	3 4
G	32				0 1	0 1	1 2	2 3	2 3	3 4	5 6	5 6
H	50			0 1	0 1	1 2	1 2	2 3	2 3	3 4	5 6	7 8
J	80		0 1	0 1	1 2	1 2	2 3	2 3	3 4	5 6	7 8	10 11
K	125	0 1	0 1	1 2	1 2	2 3	2 3	3 4	5 6	7 8	10 11	14 15
L	200	0 1	1 2	1 2	2 3	2 3	3 4	5 6	7 8	10 11	14 15	21 22
M	315	1 2	2 3	2 3	3 4	3 4	5 6	7 8	10 11	14 15	21 22	21 22
N	500	2 3	3 4	3 4	5 6	5 6	7 8	10 11	14 15	21 22		
P	800	3 4	5 6	5 6	7 8	7 8	10 11	14 15	21 22			
Q	1250	5 6	7 8	7 8	10 11	10 11	14 15	21 22				
R	2000	7 8	10 11	10 11	14 15	14 15	21 22					

↓ = Use the first sampling plan below the arrow. If sample size equals, or exceeds, lot size, carry out 100% inspection.
 ↑ = Use the first sampling plan above the arrow.
 Ac = Acceptance number.
 Re = Rejection number.

ANSI / ASQ Z1.4 (ISO 2859-1)

As an example, assume that you are making 5,000 bamboo cutting boards.

First you would refer to Table A and find the letter corresponding to 5,000 units and Level II inspection. The result is letter L.

On table B, you look for row L, and slide over to 2.5% (major) and 4% (minor) defects.

According to the table, if there are 11 or more MAJOR defects out of 200, the inspection fails. If there are 15 or more MINOR defects out of 200 the inspection fails.

AQL (Acceptance Quality Limits)

Table A

SAMPLE SIZE CODE LETTERS							
Lot or batch size	General inspection levels			Special inspection levels			
	I	II	III	S-1	S-2	S-3	S-4
2 to 8	A	A	B	A	A	A	A
9 to 15	A	B	C	A	A	A	A
16 to 25	B	C	D	A	A	B	B
26 to 50	C	D	E	A	B	B	C
51 to 90	C	E	F	B	B	C	C
91 to 150	D	F	G	B	B	C	D
151 to 280	E	G	H	B	C	D	E
281 to 500	F	H	J	B	C	D	E
501 to 1200	G	J	K	C	C	E	F
1201 to 3200	H	K	L	C	D	E	G
3201 to 10000	J	L	M	C	D	F	G
10001 to 35000	K	M	N	C	D	F	H
35001 to 150000	L	N	P	D	E	G	J
150001 to 500000	M	P	Q	D	E	G	J
500001 and over	N	Q	R	D	E	H	K

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AQL (Acceptance Quality Limits)

Table B

SINGLE SAMPLING PLANS FOR NORMAL INSPECTION																							
Sample size code letter	Sample size	Acceptance Quality Limits (Normal Inspection)																					
		0.065		0.10		0.15		0.25		0.40		0.65		1.0		1.5		2.5		4.0		6.5	
		Ac	Re	Ac	Re	Ac	Re	Ac	Re	Ac	Re	Ac	Re	Ac	Re	Ac	Re	Ac	Re	Ac	Re	Ac	Re
A	2																						
B	3																						
C	5																						
D	8																						
E	13																						
F	20																						
G	32																						
H	50																						
J	80																						
K	125																						
L	200	0	1	1	2	2	3	3	4	5	6	7	8	10	11	14	15	21	22				
M	315	1	2	2	3	3	4	5	6	7	8	10	11	14	15	21	22						
N	500	2	3	3	4	5	6	7	8	10	11	14	15	21	22								
P	800	3	4	4	5	6	7	8	10	11	14	15	21	22									
Q	1250	4	5	5	6	7	8	10	11	14	15	21	22										
R	2000	5	6	6	7	8	10	11	14	15	21	22											

↓ = Use the first sampling plan below the arrow. If sample size equals, or exceeds, lot size, carry out 100% inspection.

↑ = Use the first sampling plan above the arrow.

Ac = Acceptance number.

Re = Rejection number.

↓ = Use the first sampling plan below the arrow. If sample size equals, or exceeds, lot size, carry out 100% inspection.
 ↑ = Use the first sampling plan above the arrow.
 Ac = Acceptance number.
 Re = Rejection number.

ANSI / ASQ Z1.4 (ISO 2859-1)

Legitimate inspection companies already have a long list of defects to search for depending on your product. You can specify more, or less, stringent requirements to your inspection company, and you can identify additional defects that you feel are major

or minor. The tables ensure that the sample quantities and thresholds the inspector uses are always statistically accurate.

IS 100% INSPECTION BETTER?

No. (Unless you have a very small number of units, and they won't be destroyed by testing.)

When an inspector tests 100% of units on a large order human error takes effect. Fatigue becomes a factor, monotony can cause defects to be missed, and the time of the inspection may delay your shipment.

Imagine you have 8,000 units, each of which take 4 minutes to inspect. If I had 100% inspection, at 4 minutes per unit, inspection would take 533 hours. Working 8 hrs/day your inspection would take 67 days. Even a staff of ten inspectors would take around six days, would be awfully expensive, and would have added risk of human error.

LABORATORIES

Some testing may require laboratory testing. If your factory is using specific chemical additives from a raw materials supplier, such as Micro-Ban® the raw materials supplier can provide the laboratory analysis to check if the factory applied the compound correctly.

You can arrange laboratory testing yourself, your factory can arrange it, and as another option, any licensed inspection company can arrange laboratory testing with one of the globally recognized laboratories.

A laboratory can also create a Safety Data Sheet (SDS or MSDS) and provide testing for certifications, Prop 65, and many other regulations.

WHAT IF IT FAILS INSPECTION?

If your production run fails inspection you can choose to have products reviewed, fixed, inspected again, or you can choose, to reject the entire run.

Your decision should be based on the part that has the defect and the severity. For example, if the failure is occurring on the fork included in a lunch box, perhaps the fork can be replaced in all the lunch boxes and your product can be inspected again.

The practical reality is that when a product fails inspection you may feel frustrated, angry, panicked, distrustful, and other strong emotions. Often it is difficult to have a calm conversation, and more difficult to have a last-minute negotiation.

Therefore, include resolution options for failed inspections into your general conditions agreement. It should include resolution options such as fixing defects within a predetermined time frame, manufacturing replacements, price discounts, and the destruction of failed items.

Also consider the cost of the second inspection.

NEVER have the factory pay the inspection company directly for the second inspection (despite what many YouTube videos tell you.) The inspection should always be paid for by you. Otherwise you are paying the fox to guard the chickens.

Instead, stipulate in the general conditions agreement that the cost of a second inspection, if required, will be deducted from the balance of the order. If you do not have a general conditions agreement, discuss the payment of a second inspection, if necessary, when you negotiate the details of your purchase.

The factory should also determine what the root cause of the defects is, and take whatever steps are necessary to correct or prevent future occurrences.

IS INSPECTION NEEDED EVERY TIME?

Yes.

Employees sometimes have a bad day. Employees leave a factory and new ones come in. Machinery breaks down. New supervisors arrive. Raw materials may have impurities. Ownership may change. All of this may occur at your factory and may also occur at component suppliers or raw material suppliers. There are too many risks involved in manufacturing. Always include pre-shipment inspection on all production runs. It is an investment in quality.

98. PAYING YOUR FACTORY

Sending a large amount of money halfway across the world is one of the most frightening aspects of product development. I have been doing this for years and never seems to get easy.

The most efficient method of sending money is through international wire transfer. The PI should have transfer instructions. Make sure that your bank carefully includes the correct information and review everything before it is sent.

You may be familiar with Alibaba and their escrow system called Trade Assurance. Since you are not identifying a supplier from Alibaba, trade assurance is not an option. However, your bank may have a similar escrow option. This is sometimes in the form of a LOC. Ask your bank if they offer an escrow-based payment system.

By the time you need to send money, you should already have had a lot of communication with your factory. You should have a sense of who they are across many conversations. You should have an audit. Do not send money if you do not have confidence in the factory or do not trust them. Trust and confidence is critical and if you feel they are dishonest do not begin the production process at all. Stop and find a different factory.

Upon completion of your production, do not send money until pre-shipment inspection is completed and passed successfully.

Do not use PayPal as a method for sending money. Some Chinese banks will hold up funds for days or weeks, and some banks do not even know what Paypal is. I know people in China who have Hong Kong bank accounts just to receive PayPal more efficiently. Hopefully, things will change, but as of this writing, I recommend that you do not count on it as a reliable method of sending money.

99. SHIPPING

This book began with the story of a blacksmith in 1440. He loaded his goods into a cart and transported them to market. Transportation is still a critical part of the supply chain, and when you produce goods in China, this includes shipping.

You won't use a cart and a horse, but your concerns are still the same as the blacksmith.

- Protect your products during transportation and when on sale
- Transport your products quickly and efficiently
- Transport your products at a low cost
- Transport your products safely.

Therefore, effective shipping begins during production, at the product level, with smart packaging choices.

100. PUTTING YOUR BOX INTO A BOX (AND MAYBE ANOTHER BOX)

Protecting your products starts before leaving the factory. Your products need to be put into a carton, and often that carton needs to be put into another carton.

The first carton is your inner carton. The outside carton is your Master Carton.



Inner Carton:

The inner carton not only protects your product, but also serves as the case pack for retailers. The number of units in an inner carton is dependent on the size of your product. Smaller sized products will fit more per inner carton. Try to keep the number of units under twelve and aim for six if possible.

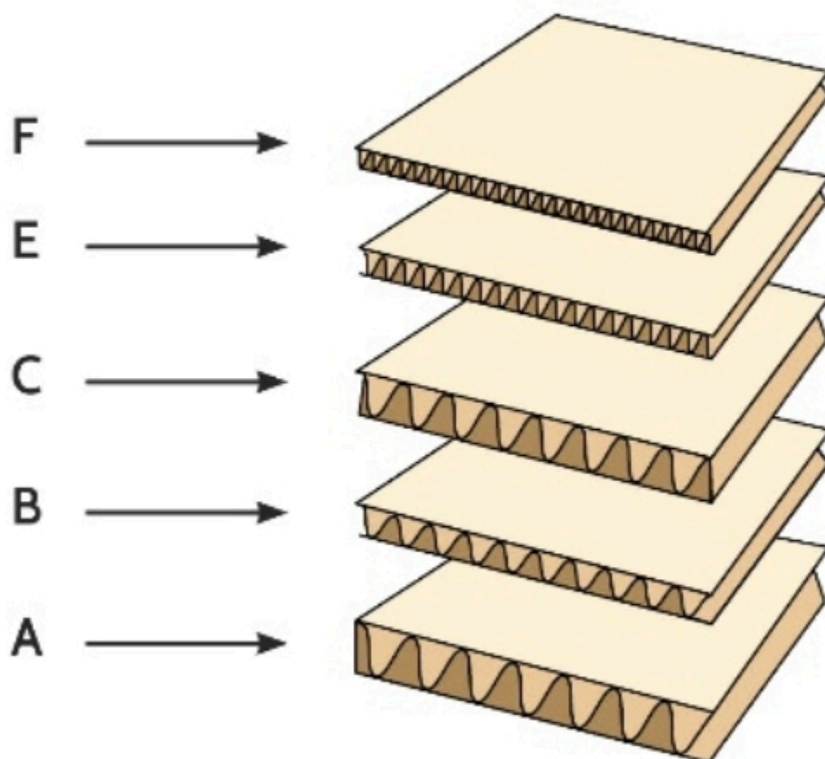
Once your products leave the factory, the case pack should not need to be opened again until it arrives at the retailer. Therefore, all products inside the inner carton should be the same Item #, unless the case pack holds an assortment.

For example, if you sell baby blankets in pink, yellow, and blue, you will offer them in your catalog or online in sets of six each. At the factory you would create a case pack of six pink blankets, a case pack of yellow, and a case pack of blue. You might create a fourth option in your catalog offering a mixed assortment, and in turn, at the factory create a case pack of two pinks, two yellows, and two blues.

Corrugate:

To start its journey the inner carton will be inside a master carton, and inside a shipping container. On the last leg of the journey to store shelves, it may be sent, on its own. The inner carton should be strong enough to protect your product through individual shipment by the postal service or courier. Be sure to choose a corrugate strong enough to protect your products.

Corrugate identified by the size of the flute, which is the wavy inner layer. Large flutes are called A, smaller are B, and so on.



The size most often used for shipping cartons is C. Corrugate can be double layered, so sometimes a C and an E are bonded together for a more durable carton. Other combinations are also available.

Ask your factory for recommendations. They have experience shipping your type of product and knows what has protected it in the past.

Master Carton:

The master carton surrounds the inner cartons. Since the primary protection of your products is provided by the inner carton, the size of the flute of the master carton is important but not as critical. Often a master carton is C flute.

Choose the number of inner cartons to ensure the combined weight and size of the master carton is manageable. Try to keep the combined weight under 25 pounds, and any individual side of the master carton under 25 inches. This is not a requirement, but it is a useful guideline if possible.

Carton Marks:

The Master Carton has a Shipping Mark (also known as Case Mark or Cargo Mark) stenciled on the side. The Shipping Mark includes:

- Brand Name or Consignee Name
- Dimensions and weight

Made in China (Country of Origin)

The shipping mark may also include:

Product Name (Optional but useful)

Item # (Optional but useful)

Destination Port (Optional but useful)

GS1 14-digit shipping barcode (Optional but useful)

Carton # out of Total # (Optional but useful)

Brand logo (Optional but useful)

Handling Marks such as 'Fragile' (If appropriate)

You can see examples of carton marks in the pre-shipping inspection report in the appendix of this book.

101. METHODS OF SHIPPING

There are three forms of shipping to consider. Air Courier (also known as Air Express,) Air Freight (also known as Air Cargo,) and Ocean Freight.

Air courier is the fastest and the most expensive. Courier companies include FedEx and DHL. You might save money by using your own account and paying the courier fees yourself. You can also ask your factory to arrange it which in some cases, may cost less. Frankly, I always ask the factory for their cost and compare it to using my own account, and frequently the factory gets a better rate.

Air cargo is sent in containers within the belly of commercial flights. It may take a circuitous route to get to you over a few days but dependent on the availability of flights, it is usually faster than ocean freight. It is also more expensive than ocean freight but less expensive than courier.

Ocean Freight means putting your products into a shipping container, and then putting that container onto a boat. At both ends of the journey it must pass through a port and Customs.

There are a lot of fees that are attached to ocean freight, such as ISF fees and port fees that do not apply to air cargo. Therefore, for small orders always check the rates of each. Surprisingly, sometime air cargo costs less than ocean freight for small orders.

102. ARRANGING SHIPPING

Freight Forwarder

Arranging shipping is usually done through an NVOCC and Freight Forwarder. There are slight differences but for practical purposes you can treat them as the same. Your factory can recommend a freight forwarder that they have history with and trust. You can also arrange shipping on your own with a freight forwarder of your choosing. Your 3PL logistics provider may also offer shipping services.

After a few issues with shipments as they arrived in the U.S. my preference for shipping now is to use a freight forwarder that has U.S. offices. A link to trusted freight forwarders is here: <https://productdevelopmentacademy.com/links>

Customs Broker

The person responsible for filing your shipment with customs is the Customs Broker. They are licensed and trained. A secret that not many people know, is that a properly shipped container in the hands of an experienced Customs Broker can pass customs four or five days before even landing in port. The Freight Forwarder will have a Customs Broker on staff or outsourced, however if you need to contact one directly, a link is here. <https://productdevelopmentacademy.com/links>

103. SHIPPING TERMINOLOGY

Container sizes: There are the four most common sized shipping containers.



40 ft Container – 8 ft wide, 8.5 ft high, 40 ft long

40 ft HQ Container – 8 ft wide, 9.5 ft high, 40 ft long

20 ft Container – 8 ft wide, 8.5 ft high, 20 ft long

20 ft HQ Container – 8 ft wide, 9.5 ft high, 40 ft long

FCL (Full Container Load) means all the contents of the container belong to you.

LCL – (Less Than Container Load) means that your goods only partially fill the container and you share the remaining space with products from other companies.

Container Quantity Shortcut

A rough way to determine how many products fit into a container is to compare the size of your product to a loaf of bread. Approximately 10,000 loaves of bread fit into a

40 ft container.

Flat Loaded, also called Floor Loaded – Products are loaded directly onto the floor of the container. This allows more product to be included on the container.

Pallet Loaded – Products are loaded onto pallets, and the pallets are loaded onto the container. Approximately 20 pallets fit into a 40 ft a container.

Wood Pallets generally require fumigation or other ISPM-15 approved treatment to ensure no pests have bored into the wood. It is then stamped with a “Wheat Stamp.” Plastic and paper pallets have a slightly higher cost, but no Wheat Stamp is required. If you choose wood pallets, be aware of potential fumigation fees.

104. INCOTERMS

Incoterms are definitions of international shipping and contracts of sale. They identify cargo ownership, responsibility for insurance, when ownership transfers from seller to buyer, and identifies export and import clearance.

Note: Even though a lot of so-called “freight forwarders” in Facebook groups offer DDU service, it was removed as a service in the 2010 update of terms. (Although it’s still frequently mentioned as a transportation description, a legitimate FF won’t designate an order as DDU)

	Factory	China Transport	Departure Port	On Ship	Off Ship	Destination Port	Domestic Transport	Destination
EXW	Blue	Yellow	Yellow	Yellow	Yellow	Yellow	Yellow	Yellow
FCA	Blue	Blue	Yellow	Yellow	Yellow	Yellow	Yellow	Yellow
CPT	Blue	Blue	Blue	Yellow	Yellow	Yellow	Yellow	Yellow
CIP	Blue	Blue	Blue	Blue	Yellow	Yellow	Yellow	Yellow
DAT	Blue	Blue	Blue	Blue	Blue	Yellow	Yellow	Yellow
DAP	Blue	Blue	Blue	Blue	Blue	Blue	Blue	Blue
DDP	Blue	Blue	Blue	Blue	Blue	Blue	Blue	Blue
FAS	Blue	Blue	Blue	Yellow	Yellow	Yellow	Yellow	Yellow
FOB	Blue	Blue	Blue	Blue	Yellow	Yellow	Yellow	Yellow
CFR	Blue	Blue	Blue	Blue	Blue	Yellow	Yellow	Yellow
CIF	Blue	Blue	Blue	Blue	Blue	Blue	Yellow	Yellow

(In January 2020 the incoterm DPU replaced DAT)

The terms you should consider are FOB and EXW (called ExWorks.)

EXW means that your FF picks up the cargo at the factory. Ownership and responsibility is transferred once the cargo leaves the factory.

FOB means the factory delivers the cargo to the port. Ownership and responsibility are transferred once the cargo is on board.

Neither FOB nor EXW include insurance so always agree to the additional insurance fee offered by your freight forwarder.

DDP

At first, DDP often sounds like a very tempting and easy way for beginners to ship products. Pay one fee and your product shows up at its destination. This is a simple

shipping method for your first order or two when you are starting out. The simplicity of DDP allows you to focus on other aspects of your product, including sales.

However, as you gain experience you will want to move into other shipping methods.

The problem with DDP is twofold.

First, you have no legal ownership until it is delivered to the final destination. Therefore, if anything goes wrong, or if the shipment goes missing, you do not own the product even if you paid for it.

Second, you have no visibility to actual shipping costs and fees. The shipper can add on charges, can misrepresent duties, or do multiple other deceptive acts and you cannot tell. That is too much risk for my taste.

Here are some other misperceptions about DDP.

If you ship DDP you do not pay duties. NOT TRUE. They are included in the flat shipping cost.

People say that DDP is the only way to get to a warehouse. NOT TRUE. Every freight forwarder offers inland shipping and delivery.

BOL

Bill of Lading (Shortened as BOL, or B/L) is one of the most important documents in the whole shipping and supply chain.

It acknowledges that cargo has been put on board a ship, the manufacturer has completed their obligation and the ship has left dock. It designates title and ownership. The BOL will be sent to the seller and then they will send it to you upon payment, or based on payment terms.

You may hear the phrase, 'BOL sent by Telex.' This is a throwback term. Do not worry. Today the BOL is most often sent over the internet.

- Basic elements that must be included in a B/L.
- Name of the shipping company
- Shipper's name
- Notification party (you)
- Description of goods
- Gross/net/ weight
- Total weight and volume of the goods

If shipping by Air Cargo (Air Freight) the equivalent of a BOL is referred to as an AWB. Airway Bill.

Commercial Invoice (CI)

The CI is the commercial invoice. This indicates the amount due, based on the actual number of products delivered in your order. Since a production run goes through QA, the total amount of products may end up slightly higher or lower than originally requested. Of course, you only want to pay for the actual amount delivered. The CI shows the actual amount.

105. TARIFFS

Tariffs/Duty/Taxes are the payment that you, the importer, pay to the government of the country into which you are importing. The Tariff amount is determined by your HTS (Harmonized Tariff Schedule) classification multiplied by the shipment value based on the CI.

SHIPPING COSTS

Ocean freight is based on volume and weight. Any freight forwarder you talk to can give you a close approximation of freight charges. However, that is not where most people get into problems.

Shipping by ocean can get very expensive because of the fees in addition to freight charges.

Fees can add up extremely fast and surprise you. One of my first coaching clients came to me because he was quoted \$110.00 for LCL ocean freight from Shenzhen and received a bill for \$936.02.

Luckily, I was able to help reduce his bill a bit. More importantly I was able to help him understand the total cost of shipping so that he was more prepared for the future. Here are the items that appeared on his bill from the freight forwarder:

SHIPPING BILL	
Ocean Freight Charges	\$110.00
Duties Fees & Taxes	\$276.23
Single Entry Bond Fee	\$65.00
ISF Bond	\$50.00
Customs Clearance Entry Fee	\$125.00
Messenger Fee	\$35.00
Documentation Handling	\$50.00
Carrier Manifest Validation Fee	\$35.00
ISF Filing Fee	\$35.00
C-TPAT Management Fee	\$10.00
Express Courier Fee	\$25.00
Trucking Charges	\$119.79
TOTAL	\$936.02

This client was fortunate. There are many other fees that could be applied and often are. Here is a list of fees that might impact your shipping cost. When you get a shipping quote, always ask the shipper about every one of these items individually. Then ask if there are additional fees that might occur.

Note: Not every one of these fees will apply in your case but asking about each one will avoid most surprises.

- Transportation (Ocean freight charge)
- Destination Country Taxes/Duties

Destination port/terminal handling fee (THC)
Destination agent service fee (D/O)
Transportation to Port of Loading
Export customs declaration
Loading port fees
ISF Filing Fee
C-TAT Management Fee
Express Courier Fee
Insurance
Destination port fees
Import customs clearance Fee
Transportation from the Port of Destination (Drayage)
Chassis Rental
Bond Fee
ISF Bond
Messenger Fee
Documentation Handling
Courier Manifest Handling Fee
Clean truck fee
Demurrage
Fuel charge
Truck waiting fee
Harbor maintenance fee
Domestic courier (FedEx or UPS)
Intermodal fees

OCEAN TRANSPORT TIMES

This is a rough approximation of times that you can use to make estimates. The assumed port of embarkation, (departure) is Ningbo China. Other Chinese ports should be similar.

This does not include the lengthy delays due to port congestion that occurred in early 2021. Always ask your shipper or forwarder for an estimated arrival date.

Approximate Shipping Times	
20 days	USA & Canada (West)
30 days	USA & Canada (East)
25 days	Western Europe
30 days	Northern Europe
27 days	Southern Europe
15 Days	Australia
15 Days	India
9 days	Southeast Asia
Add 5 days at export dock and 5 days at import Port	

SUPERVISED CONTAINER LOADING

Once your product is complete, passed inspection, and ready to be put into a container, you have another opportunity to manage the factory. Most inspection companies will offer container loading supervision services.

	Client Name (abbr.):	XXX	Conclusion
	Inspection Number:	J115194	FAILED
	Report Date:	14 December 2014	

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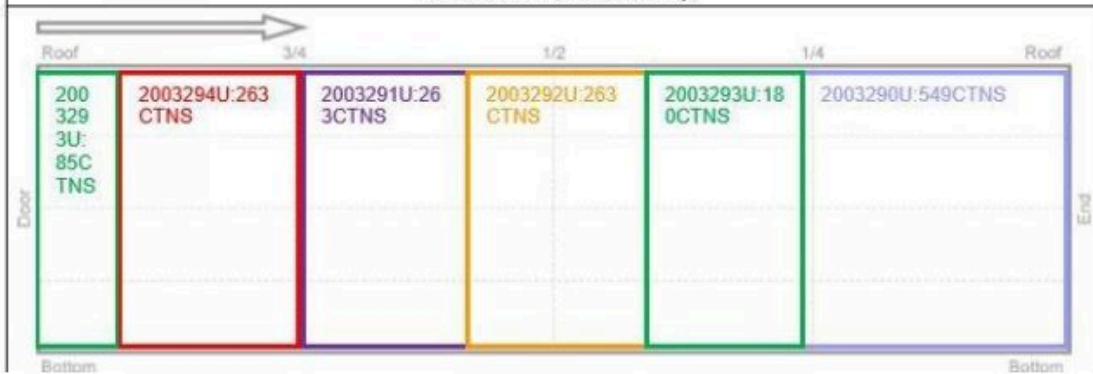
Loading area



Products storage in factory's square

Container 1: MSKU 9797652

Loaded Goods Position Map



	Client Name (abbr.):	XXX	Conclusion FAILED
	Inspection Number:	J115194	
	Report Date:	14 December 2014	

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Container Loading Supervision Report

I. GENERAL INFORMATION

Service Performed:	Container Loading Supervision	
Client Name (abbr.):	XXX	
Supplier:	XXX	
Factory:	XXX	
Product Name:	Glass Bowl	
P.O. No.:	03/190914	
Container Quantity:	1 x 40' HQ	
Total CBM.:	68 m ³	
Date of Loading:	13 December 2014	
Loading Location:	Huyuan Town, Bengbu City, Anhui Province, China	
Destination Country:	Europe	
Country of Origin:	China	

II. INSPECTION SUMMARY

	PASSED	FAILED	PENDING	N/A
A. QUANTITY		✓		
B. PRODUCT CONFORMITY	✓			
C. PACKING & MARKING			✓	
D. LOADING PROCESS	✓			
E. CLIENT SPECIAL REQUIREMENT	✓			

An

inspector will visit your factory while the container is loaded, verify the correct count of units, ensure that everything is loaded safely so nothing should shift or fall during transport, and provide a product map of the container. The map is a nice convenience if you are shipping multiple products in the same container.

106. SHIPPING NOTES FOR 2021

The years 2020 and 2021 have been tumultuous for shipping.

When Covid-19 hit, production in China and then across the world, slowed down. As a result, container ships were sailing with 85% capacity while still paying for fuel, maintenance, and increased crew wages since they couldn't debark in many ports. In addition, their insurance rates increased.

In response the steamship lines (companies that own cargo ships) pulled a large number of ships out of circulation. In some cases, they accelerated planned maintenance in dry docks, and in other cases they simply parked them in ports and stopped their sailings.

By having fewer ships on the water, the steamship companies were able to run boats at 100% capacity or higher and spend less on expenses.

By April Chinese factories were back in production and shipments increased. This created a situation with more cargo than the decreased number of vessels could carry.

Think about a passenger airplane. The airline knows that some passengers will miss their flight. Therefore, instead of routinely flying with empty seats they overbook the plane. If you are unlucky enough to arrive after the plane is full you will be 'bumped' and put onto the next available flight. This is what happened to containers coming out of China. The artificially lowered number of active vessels caused scheduled containers to be 'rolled' or 'rollover' onto other vessels. Rollover is the shipping term for a container being bumped for overbooking.

Rollover delays often caused containers to remain in China for up to four weeks before leaving port.

Many naïve entrepreneurs who shipped DDP were told that the delays occurred with the US due to problems with UPS and FedEx. In truth the cargo had not left China because of container rollovers, but because DDP offers no transparency the shippers could lie with impunity and the entrepreneurs had no awareness of the true issue.

However, just like the airplane metaphor, if you pay for a first-class ticket you don't have to worry about being bumped. Steamship lines started doing the same thing. For higher fees you could ensure on time shipment.

Since every large company wanted their containers to leave on time, this caused prices for shipping to increase across the board.

The problems however were just beginning.

As China returned to normal production, shipping quantities increased and vessels were put back into circulation, but the steamship lines kept the prices high.

At the same time, the rest of the world was suffering a slowdown in manufacturing and in consumer purchasing.

The low levels of consumer purchasing caused inventory backup in warehouses, retailers, and factories which in turn created space shortages for storage. The same was true for non-China manufacturers who were running short shifts and social distancing, and therefore not using parts and components as quickly as they did before. The solution companies and manufacturers came up with was to leave products sitting in containers and leave the containers stacked up outside warehouses and in freight yards. This was occurring not only in the US, but also in Europe, South America, and Africa.

This was cost effective but led to another shipping crisis. So many containers were out of circulation that the global shipping world started suffering a container shortage.

Like dominos falling into each other, the container shortage on top of the high shipping costs created a situation in 2021 with higher prices, but fewer containers.

In Spring 2021 Carriers took multiple vessels out of circulation, effectively lowering supply and keeping prices high.

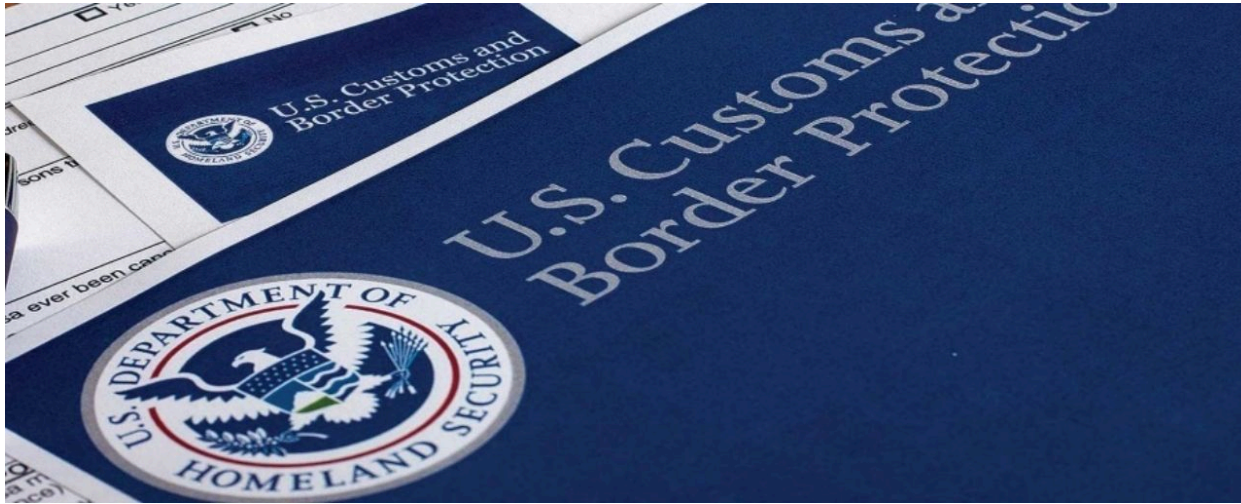
Covid also had an effect at ports where unloading is taking longer than usual, and port congestion is reaching levels similar to the longshoremen's strike 17 years ago.

The best way for you to respond as a manufacturer is to:

- 1) Increase your multiplier to ensure profitability.
- 2) Give your shipper as much advance notice as possible. Six weeks would be best.

It is projected that the container shortage and the high shipping prices should both be better by late Summer 2021, but as last year taught us, anything can happen before then.

107. WARNING ABOUT UNDERVALUATION VIOLATION



Valuation is the amount you pay the supplier for your product. Usually documented by an Invoice, or if you are on terms, a Proforma invoice. The duty you are charged is calculated by multiplying your HTS Percentage (Harmonized Tariff Schedule) by your cargo valuation.

Some YouTube gurus, shady freight forwarders, shady suppliers, or shady sourcing agents, will recommend a falsified invoice that indicates you paid a lower amount than you were charged. The goal is to lower your import duty. **DO NOT DO THIS.**

This used to be common, and often importers got away with it. Not any more. Times have changed.

Falsifying an invoice to avoid import duty is called an undervaluation violation. In the past it was often overlooked. However, during heightened trade tensions with China, U.S. Customs agents have received very specific instructions to seek undervaluation violations. In addition, the U.S. Department of Justice has announced a policy to transition to criminal prosecutions for undervaluation violations.

- Your product could be confiscated.
- Your product could be returned to China.
- Your product could be destroyed.
- You could face civil and criminal prosecution, fines, and imprisonment.

Entry of Goods Falsely Classified – Knowingly effects entry of goods at less than true value (includes weight, measure, classification or quality) – Punishment includes fine and up to two years in prison.

Entry of Goods by Means of False Statements – Knowingly introduces or attempts to introduce by means of fraudulent invoice, declaration, affidavit, letter, paper or any false statement – May Include in some limited circumstances “Willful blindness” – Punishment includes fine and up to two years in prison.

Smuggling Goods into the U.S. – Knowingly and Willfully with intent to defraud the U.S., or – Knowingly import any banned merchandise into the U.S. – Punishment – fine and up to twenty years in prison.

Agents do this every single day. They know the ballpark price of any product you are importing. They will quickly recognize an undervaluation scam. So just submit the correct invoice.

108. LOGISTICS AND WAREHOUSING

A Third-party Logistics provider offers warehousing, fulfillment, distribution, inventory management, and possibly other services. An asset based 3PL owns the assets such as the warehouse, trucks, etc., and a non-asset based 3PL negotiates and leases the assets from larger providers.

Some 3PLs also provide shipping services as a Freight Forwarder or NVOCC.

Warehouse Location:

The busiest port in the United States for products coming from China is Long Beach California, just outside of Los Angeles. It receives more ships from China than any other port, which means more ships leave China for Long Beach than any other destination in the U.S. By choosing the Long Beach region for your 3PL warehouse you will have more choices in departures from China than any other destination in the U.S. Conversely, because of the popularity of Long Beach and the cost of real estate, the rental cost of warehouse space in Long Beach is more expensive than warehouse space in the middle of nowhere.

If you will be sending products all over the United States, it may cost less in trucking to have a 3PL with warehouses on both coasts and let them split your products between both warehouses.

Pick-And-Pack Service:

This is the common name for opening a carton, picking out a single item, repacking it, and sending it directly to a customer. This is an integral service required for ecomm fulfillment. It will also enable you to send samples to buyers.

Note: Although it is possible, I recommend to NEVER fulfill a retailer's orders through Amazon FBA. Always use a pick & pack logistics center. If a small retailer sees that your product arrives in an Amazon box, they may be offended. Why take the chance.

EDI Capability:

Electronic Data Interchange (EDI) is the system of communication between you, your warehouse, and major retail chains. We will discuss EDI in detail later.

Robust Inventory Control:

If the 3PL does not have a good inventory system your products could be lost, miscounted, or misdelivered. Your products could even be lost within the warehouse.

Cleanliness:

Obviously, you want your goods stored in a clean warehouse. Cleanliness also is the mark of efficiency, good processes and discipline.

Personnel:

Be sure that your warehouse has enough personal to handle your needs in a timely way. Missed shipments could cost you both money and opportunities.

Safety:

You want a warehouse that keeps your products secure, and also cares about the safety of its workers. If worker safety is a concern, then you can be more confident that the safety of your goods is also a priority for management.

Responsiveness To A Small Client

You might be in the same warehouses that billion-dollar corporations and retailers use. Make sure that their account management will respond to you, a small businessman, quickly and accurately. You are a business owner and your business is just as important to you as the owner or CEO of a large corporation's business is to them. If you need something rushed out, they should respond and strive to do what you need.



Messy Back End (MBE)

*Sales &
Marketing*

DEFINE YOUR GOALS

In 2019 I took a road trip across the United States. At a rest stop outside Yellowstone National Park a gigantic map was displayed across a wall of logs. Someone had written a simple question that is perfect to think about here. “How will you know if you have arrived if you don’t know where you are going?”

That question applies to your entrepreneurial journey as much as it applies to a road trip.

Developing a brand and launching a product is hard. What has your motivation been? Why are you doing this? Do you love developing products? Do you want to spend time with your children? Do you want to live on a remote beach in some exotic country? Do you want enough money to be able to ignore price tags at your favorite stores? Each of those are different goals and your goals are probably different from these. Every goal, including yours, requires a roadmap and strategy.

Sales through big box stores can lead to a million dollars, but it needs infrastructure and logistics support, patience, and a financial foundation. Sales to independent and specialty stores can be quicker, and be very profitable, but not as hugely profitable as big box stores. Selling through the Amazon platform leads to smaller profits but removes the need for separate logistics support.

Here are a few goals and the potential sales strategies that would lead to each. There is a good chance that your goals fit within one of these frameworks, or a combination of them.

GOAL: Build a self-sustaining stable business. One potential business strategy is to focus on brand growth. Start with a few products and grow horizontally by adding multiple variations within your product family or niche. Back in early 2012 I had the privilege of enjoying lunch with the late Mike Kittredge and his son. When he was young, he fell in love with making candles. According to legend he started making candles because he could not afford to give his mom a Christmas present. He made a candle, sold it, and used the money to make two more. Gave his mom one, sold the other, and so began his business.

That candle business, named Yankee Candle, eventually grew to be in almost 20,000 stores in the U.S., and eventually was bought for \$15 billion dollars. Like Mike Kittredge, you may want to focus on distribution through independent retailers, boutiques, and gift stores, and growth through a network of agency and independent sales reps. (We will discuss sales reps later.)

By the way, Mike retired and sold Yankee Candle in 1998, and years later came out of retirement to help his son start his own candle company called Kringle® Candle. They are fabulous candles and if you see them, I highly recommend buying some. They burn cleanly and smell wonderful. Try them.

GOAL: Get a big payday by selling your company. Selling your company to a large corporation is a very viable and attainable goal. To get the attention of big players

you need broad distribution, and that means big box stores. The larger your distribution and foothold in stores, the bigger your paycheck will be when you are acquired. This will take higher capital to begin, a plan for scaling, and strategic marketing. It is a good fit if you are bringing in investors. This strategy will take a few years to bear fruit so focus on execution and growth and suitors will find their way to you. This strategy may also require you to spend time traveling, meeting with buyers, and at tradeshow.

GOAL: Spend time with your children. Wouldn't it be nice to watch a school play while sales reps sell your products directly to retailers, a consultant or rep sells your products to big box stores, customers buy directly from your site, and Amazon (and all your fulfillment is automated.) This is relatively straightforward to do with a strategy focused on brand scaling and conservative catalog growth, and process automation.

GOAL: Develop a brand, sell it, develop another, and then another. In this scenario you would set the framework for growth, hit key performance indicators and milestones, sell your business, and start anew with a new product and brand. Your strategy would be on aggressive scaling and marketing for awareness rather than brand growth.

109. INTRODUCTION TO RETAILERS

Selling to retailers is easy. Easier than selling on Amazon in my opinion. You have been going to large and small stores your entire life. You are already an expert without even realizing it. Larger store have more processes and infrastructure than smaller ones, but the sale is basically the same. You sell your product to the retailer, who in turn sells it to a customer and everyone makes a profit.

The retailer continues to sell your product to customers when you leave the store. As they sell out, they order more from you. Your profits from each product sold may be small but selling to retailers is all about numbers and volume.

Imagine you sell a hammered copper planter that looks like a dog, and another that looks like a cat. They come 4 units per case pack (inner carton.) you sell one case pack of each version to a local store. Then sell them for \$20 and pay you \$10 each.

The retailer opens the package, puts one dog and one cat planter on the shelf, attaches a price tag, and the other boxed ones behind them.

A customer comes in, sees the planters, picks them up, examines them, feels the weight, and then buys one. After a few weeks, the retailer runs out and re-orders. She has been averaging two sales per week, so she orders two cartons, for a total of eight, which will last her a month.

	Specialty Stores
6	6 Stores
2	* avg Units / Week
4	* 4 weeks
\$10	* Wholesale price
\$480	Monthly total
	Amazon
3	sales per week
4	* 4 weeks
\$15	* Rev / unit
\$180	Monthly total
\$660	Combined monthly sales

Congratulations. You now have proof of sales. This is an important milestone. Nobody likes to be the first at doing anything, including retailers. The next retailer you approach won't be your first. You can mention that the store two towns over is selling them and averaging two per week. Within a 50-mile radius from you there are probably at least six retailers you could find to sell your hammered copper planters. You also

send some to Amazon and sell three per week and receive \$15/unit after fees. At two sales/week in six stores, and three per week on Amazon you are making \$660/month.

SCALING

	Specialty Stores
46	6 + 40 Stores
2	* avg Units / Week
4	* 4 weeks
\$10	* Wholesale price
\$3,680	Monthly total
	Amazon
3	sales per week
4	* 4 weeks
\$15	* Rev / unit
\$180	Monthly total
\$3,860	Combined monthly sales

With six stores selling your planters, you post your products on a wholesale only listing site for small specialty stores. (We will discuss these later.) Only registered retailers can access the site. You send out an email blast to 5,000 gift shops and florists

registered to the wholesale listing site. Forty small specialty stores respond and place orders. If they all sell at the same rate, you are now making \$3,860/month.

You can scale a few different ways from here. You can introduce a second sized hammered copper planter. Double the size at one and a half times the price. If all your stores buy them and sales for the new pots increase by 50%, you will now be making \$6,755/month.

Specialty Stores			
Original Size		New size	
46	6 + 40 Stores	46	6 + 40 Stores
2	* avg Units / Week	1	* avg Units / Week
4	* 4 weeks	4	* 4 weeks
\$10	* Wholesale price	\$15	* Wholesale price
\$3,680	Monthly total	\$2,760	Monthly total
Amazon			
Original Size		New size	
3	sales per week	1.5	sales per week
4	* 4 weeks	4	* 4 weeks
\$15	* Rev / unit	\$23	* Rev / unit
\$180	Monthly total	\$135	Monthly total
\$6,755/month			

You could also scale by adding another animal, in both sizes. Perhaps a llama. Or you can do another email blast and gain more stores. You can also provide some attractive in-store signs to the retailers to help increase in-store sales.

Specialty Stores			
Original Size		New size	
71	6 + 40 + 25 Stores	71	6 + 40 + 25 Stores
2	* avg Units / Week	1	* avg Units / Week
4	* 4 weeks	4	* 4 weeks
\$10	* Wholesale price	\$15	* Wholesale price
\$5,680	Monthly total	\$4,260	Monthly total
Amazon			
Original Size		New size	
3	sales per week	1.5	sales per week
4	* 4 weeks	4	* 4 weeks
\$15	* Rev / unit	\$23	* Rev / unit
\$180	Monthly total	\$135	Monthly total
\$10,225/month			

Assume you did another 5,000-email blast and gained 25 more stores. Your monthly sales would now be: \$10,225/month

If you sourced at a 10X multiplier you would be bringing in approximately \$9,200 not including shipping or logistics. That equates to over \$100,000 profit each year.

By scaling your product line, you increased your Amazon sales from \$180/month to \$315/month. By also scaling your stores, you increased your sales from \$660/month to \$10,225/month.

You can still add a llama design, or add in-store signage, and your sales would increase more. This is the core of scaling through retailers.

If your hammered copper planters got into a big box store, with hundreds of customers per day in each store, you could easily sell ten units per week. If there were 300 stores in the chain, your total sales would skyrocket to \$220,255/month. It takes a while to get into big box stores, and your business has to be strong, but the financial payoff can be extraordinary.

	Big Box store		
Original Size		New size	
300	300 stores	300	300 stores
10	* avg Units / Week	5	* avg Units / Week
4	* 4 weeks	4	* 4 weeks
\$10	* Wholesale price	\$15	* Wholesale price
\$120,000	Monthly total	\$90,000	Monthly total
	Specialty Stores		
Original Size		New size	
71	6 + 40 + 25 Stores	71	6 + 40 + 25 Stores
2	* avg Units / Week	1	* avg Units / Week
4	* 4 weeks	4	* 4 weeks
\$10	* Wholesale price	\$15	* Wholesale price
\$5,680	Monthly total	\$4,260	Monthly total
	Amazon		
Original Size		New size	
3	sales per week	1.5	sales per week
4	* 4 weeks	4	* 4 weeks
\$15	* Rev / unit	\$23	* Rev / unit
\$180	Monthly total	\$135	Monthly total
\$220,255/month			

MYTHS ABOUT RETAILERS

Myth: *You have to visit the retailer every day to set out your products.* **NOT TRUE.** Retailers set up and display the products in their store. You do not have to do this.

Myth: *Retailers will steal your product idea and make it in China.* **NOT TRUE.** Manufacturing a product, particularly one that is not a commodity product listed on Alibaba, is incredibly difficult and time consuming. You know. You just did it. Retailers are much more interested in running their store and making money. They are not going to make your product. They would much rather pay you a little and make money through sales.

Myth: *You have to be in the same town as the retailer in order to sell to them.* **NOT TRUE.** You do not even have to be in the same country. Shipments can be sent from the 3PL you just set up at the end of the Production stage. Sales can be made through wholesale listing sites, and other remote methods.

Myth: *Retailers want to screw you over.* **NOT TRUE.** Quite the opposite. Retailers depend on vendors such as you to get innovative exciting products to sell to customers. They want you to succeed.

Myth: *You need to have tons of available inventory before you can approach large chains and big box stores.* **NOT TRUE.**

Almost Myth: *When you sell to retailers compared to ecomm, you will have lower profits but larger quantity.* **ALMOST NOT TRUE.** You will have larger quantity, but as Amazon has increased its fees over the years, and the reliance on PPC advertising has increased, oftentimes the per unit profit through retailers and through Amazon have turned out to be the same. The truth is that these days, frequently the profit margin of both are almost the same.

110. SPECIALTY STORES & SMALL CHAINS

Independent and Small Chain Retailers, also called Specialty Stores or Mom & Pop stores can be considered your local shop. Examples are a boutique, pet store, home goods store, souvenir shop, florist, baby store, crafts store, bookstore, sweet shop, hobby store, health food store, hospital gift shops, garden stores, home décor, card shops, bodega, religious shops, owners of small franchises, electronics shop, kitchenware, ranch stores, spiritual stores, auto shops, cigar shops, gourmet stores, and so on.

They are small, and the on-site owner or manager can make buying decisions. Some owners may have a small of a few stores, usually all within a 50-mile radius of each other.

Customer purchasing behavior is often based on discovery, so customers wander up and down aisles looking for interesting items. They linger while shopping in small retailers and will frequently buy items on impulse. The way that items are displayed, called merchandising, is an important aspect of selling and contributes to product success.

PRODUCTS

Products that do well in specialty stores are unique, have strong visual appeal, and if possible, are easily displayed. Small retailers have limited space, so products that take up a lot of real estate may not be displayed effectively.

MARGINS

Specialty Retailers typically set the retail selling price by doubling the wholesale price that they pay to you. This is known as keystoneing.

If you sell a product to a retailer for \$15, they will sell it at retail to customers at \$30.

BUYING PROCESS

The decision maker is usually the store owner or manager. Frequently they are intimately involved in the running of the store, the merchandising of their store, and know their customers very well.

Study the store, their product selection and customers before approaching them. If you meet them at their store respect their time. Be aware of customers and be careful not to distract them from giving attention to customers. Their customers are their top priority. Never interrupt a customer or do anything in any way that may jeopardize a sale to a customer. Keep your presentation pleasant and short. Emphasize your product uniques and the product fit within the store mix and match for the customers.

TRADE SHOWS

Trade shows are a great opportunity to meet owners of specialty stores and small chains, as well as buyers from large chains and big box stores. Collect business cards or scan badges of everyone you speak with. Always follow up, but in contrast to larger retailers, specialty stores are willing to write orders on the spot. Their purpose in coming to tradeshow is to find new products that their competitor down the street does not have.

GIFT SHOWS

Gift shows and home décor shows are great opportunities to sell to specialty retailers. The Las Vegas Mart in Las Vegas, and the AmericasMart in Atlanta are the largest gift and home décor shows in the U.S. The shows occur twice a year and draw thousands of independent retailers and specialty stores. Each mart has permanent showrooms and temporary exhibits. The permanent showrooms are open throughout the year on select days and have sales staff to demonstrate your products and take orders. The sales reps work on a commission basis, usually around 15%. If you have a spot in a permanent showroom, you will also have a rental fee for your showroom space, and additional fees during the twice annual shows.

Gift shows are held all over the globe. One of the more reputable companies that holds shows is Reed Exhibitions who hold twice yearly shows in Sydney and Melbourne Australia.

SALES REPS AND AGENCIES

When the biannual shows are not in session, the sales staff in the Las Vegas and Atlanta marts visit stores with a portfolio of products and sell on your behalf. There are also sales reps agencies based out of the Dallas marts, California marts, and other major regions in the U.S. Sales reps can also be independent of agencies. Sales reps and agencies can be found online through a simple Google search.

The sales rep sells on your behalf and collects commission on sales of your product. There are numerous advantages of having sales reps. They can sell to stores in cities and locations thousands of miles from where you are and present a personal touch and sales pitch. They have an existing relationship with most of the store owners they sell to. They regularly visit the store so they can be aware of what the owner is out of stock on, and what is selling slowly. They bring instant credibility to your company if you are new. They can encourage reorders. They can answer questions and make recommendations to store owners. They can introduce new variations of your products. They can be your eyes and ears in stores and suggest ways to merchandise your product. They have their finger on the pulse of the specialty retail and local tastes so they can be a valuable source of information for you about product improvements and trends.

A staff of 100 sales reps should provide an in-person presence across most of the U.S. Most reps have 30 to 80 stores that they visit regularly. That means your product is being presented, in-person, to 3,000 to 8,000 stores.

B2B ONLINE MARKETPLACES

Store owners also look for products on online wholesale B2B sites. Retailers can browse manufacturers like you from the comfort of their home 24 hours a day. Two of the biggest players in this space are Omeganetinc.net, and Shopzio.com. Links to B2B sites can be found at <https://productdevelopmentacademy.com/links>

BUSINESS RULES

When you sell to specialty stores you have the option to set and enforce a set of business rules. Of course, any business rule is up to you, but the most common ones are Multiples, Order Minimums, Shipping, Payment Terms, and Future Orders. Here is a description of each.

Multiples / Case Packs:

As a manufacturer you do not sell in consumer quantities. Retailers buy in multiples. The multiples are the same amount that are in your inner cartons, also called case packs.

For example, you create unique baby blankets. In China, the blankets are packed into their retail ready package. Then six of the packaged blankets are placed into an inner carton, and four inner cartons are placed into a master carton.

The retailer must order in multiples of six blankets. This way the warehouse only has to open a master carton, grab an inner carton, slap label on it and send it off to the retailer. Simple!

Minimum opening order:

This is the minimum amount of a retailer's first order with you.

Minimum reorder amount:

This is the minimum amount of a retailer's reorder with you.

Shipping Terms:

In most cases the retailer will pay shipping, either at rates that you set, under their account, or arranged on their own. At times you may want to offer free shipping to encourage orders during shows, or as a promotion. An example of a promotion is: Free Shipping on Orders over \$1,000.

Payment Terms:

You can set up whatever terms you feel most comfortable with, however in the U.S. it is common that retailers pay upfront for orders by credit card. Most manufacturers who allow payment terms will only offer terms after the third order. Note, some retailers such as hospital gift shops, are not allowed to pay upfront so you may want to make exceptions on a case-by-case basis.

Once you are confident in the credit worthiness of the retailer you can set up terms. Standard terms are 30 days. It is common for a discount to be offered for early payment such as 2% for invoices paid within 10 days. This is shortened as 2/10 net 30. It means that an invoice can either be paid within 10 days for a 2% discount or paid in 30 days for the full net amount.

Future Orders:

The retail year is driven by fourth quarter holiday. Therefore, some retailers may place orders with you early in the year in anticipation of the holiday season. Small retailers have very limited space in their backroom for storage, so it's not uncommon to have orders placed during the January gift shows, with the request that product does not get shipped until August.

SHIPPING TO RETAILERS FROM AMAZON

Do not send orders to retailers through Amazon warehousing and FBA. It may be tempting but some retailers may find it awkward or even offensive. Not all would, but some will, and there is no reason to risk sales by having Amazon send the cartons instead of you or your 3PL.

FINAL WORD ON SPECIALTY RETAILERS

Owners of specialty stores are entrepreneurs like you. Unlike big box stores, buyers who are discouraged from building relationships with manufacturers, specialty store owners face no prohibitions from building relationships with you. Over the years, I have been privileged to enjoy many friendships with store owners. Running a store is a difficult business. I have found every one of them to be wonderful people, caring, and passionate about their stores and their customers. Enjoy the relationships and friendships. It's one of the perks of selling to independents and specialty retailers.

111. LARGE CHAINS, AND BIG BOX STORES

Large Chains and Big Box stores are physically taking up more space than small chains and independent stores, often 120,000 square feet or larger. They enjoy high name recognition such as Walmart, Home Depot, and Costco in the U.S., Canadian Tire in Canada, and Woolworths in Australia. They are owned by corporations and may have anywhere from hundreds to thousands of store locations.

Some chains may specialize in a product niche such as Best Buy for electronics and Bunnings for hardware, and may sell a broad range of products such as the general merchandise stores (hypermarket or superstore) Target and Fred Meyer.

Customers enter a large chain or big box store with a purchase in mind and may have a shopping list with them. Often inside, the store will try to entice them to buy more than they originally intended. That singular purpose drives shelf placement, store layout, merchandise, and signage. Your product should contribute to that with compelling packaging that attracts customer attention and encourages a purchase.

In most locations big box stores and large chain stores are surrounded by parking lots. Customers drive up, use shopping carts (with the expectation that they will buy more than they can easily carry) and fill up their car. Whereas a specialty retailer might expect ten customers a day, the Institute of Transportation Engineers estimates that a typical Walmart supercenter may receive 10,000 car visits per day.

CORPORATE STRUCTURE

Large chains and big box stores have familiar corporate structure similar to many large companies, featuring a tree-and branch organizational chart. Your local store has an on-site manager or director who reports to a regional supervisor, who in turn reports to someone above, and so on.

The person who chooses which dog toys gets sold in the pet section of the big box store isn't in the store watching sales or talking with customers. They are located in corporate headquarters many miles away. That person's title is Category Buyer and is the person you need to contact. They decide whether to carry your product in their stores, which of their stores, how many stores, and how many products at a time.

Like other corporations the buyer will have processes to follow, a lot of paperwork to fill out, annual goals, yearly schedules, responsibilities, performance reviews, and a manager. All of this impacts the ability and choice of a retailer to carry your product.

As we just discussed, a small specialty retailer can make a decision to buy your product, pay you, and have you ship products to them the next day. In contrast, big box retailers and large chains have more complex processes which takes much longer. If a buyer agrees to buy your product and sell it on their store shelves you will still have to follow a series of steps, sign agreements, and transport products. The entire process to get a buyer to see your product, make a decision, and then get products into a store may take 12-18 months, or longer. The first order will be small to test the market and gauge customers response. Based on the customer response the retailer will decide how many products to order and which stores to place them in.

Decision making for some categories and products may be made during certain predetermined times of the year called category reviews. During these times, multiple new products are added at the same time. Shelves are mapped out and on a corporate level, and then reset across all stores at the same time, according to a shelf diagram called a planogram.

VENDOR NUMBER

After the buyer says yes, they will enter you into their proprietary vendor system. This is where the paperwork will come in. You will be given access to their online vendor portal. You will have to provide product details, logistics details, insurance documentation, billing information, and so on. You will also set up electronic data interchange (EDI) systems to communicate orders, shipping information, and billing.

This is an onerous process, but it only needs to be done once. After you are in the vendor system and have a vendor number you can introduce new products and variations without repeating this step.

AGREEMENTS

You will fill out agreements about product cost and numerous allowances and fees such as co-op advertising, volume rebates, growth rebates, defect allowance, shipping allowance, market development funds (MDF), fixture allowance, new store openings promotions, signage allowance, accruals, and others. All of these are deducted from your payouts. **READ THE AGREEMENTS CAREFULLY.** They are often long, often confusing, and extremely important. **If you are confused or overwhelmed hire a retail consultant to explain the terms to you.** Links to consultants can be found at <https://productdevelopmentacademy.com/links>

EDI

Electronic data interchange allows direct computer system to communication between the retailer and you and your logistics provider. This speeds up processes and removes paper purchase orders, invoices and potential human error. As a product entrepreneur, you probably do not have a large corporate ECM system, and fortunately these days you do not need one. There are cloud-based EDI systems. Links to EDI providers can be found at <https://productdevelopmentacademy.com/links>

The EDI system will receive purchase orders, and shipping information from the retailer. Your logistics center will receive the PO, assemble the order, ship it, and notify the retailer. In order to accomplish this, the fields of information in the retailer's system must be mapped to the fields in the EDI system. Since one retailer's system may be different than another retailer's system, each retailer must be onboarded into the EDI system and fields accurately mapped between systems, including testing. Again, you do not need to do any of this yourself. Your EDI service provider will coordinate with the retailer IT team and set this up for you.

PAYMENT AND TERMS

Unlike specialty retailers, most large chains and big box retailers do not pay upfront. They are the big gorilla in negotiations so in most cases you will have to accept their standard payment terms. Some will pay on 30 days, other will pay on 60, or even 90 days from invoice. Invoicing can be sent after confirmation of receipt of goods. One of the wonderful things about EDI is that most of this can be automated.

SHIPPING PRODUCTS TO RETAILERS

Products are sent from your warehouse to either a retailer's warehouse, called a distribution center (DC), or directly to a retailer's store. Retailers receive product shipments from thousands of vendors and coordination of deliveries is a complex choreography of trucks arriving, trucks being unloaded, and new trucks sliding into bays one after each other. Deliveries are scheduled and monitored. The retailer expects your product to arrive where and when it is scheduled.

ASN

An Advanced Shipping Notice (ASN) alerts the retailer that your product has been shipped and it is on the way to them.

There are multiple downstream processes dependent on your product arriving as scheduled and if your products don't show up as scheduled, it can cost the retailer a lot of time and money. Retailers hate losing money, so they will charge you hefty fees for late shipments. Once again, EDI will help you. The shipping instructions are part of the information interchange, and so is transmittal of the ASN.

ROUTING GUIDES

The ASN and other responsibilities of shipping are all described in detail within the vendor routing guide. Read it. Make sure that your logistics center reads it. It includes all the rules for shipping, including invoicing information. How important is it? The following statement is the very first sentence in the routing guide of one of the largest big box stores in the U.S. (Because it is a proprietary document, I masked the retailer's name.)

As you can see, retailers take this very seriously. The good news is that most experienced 3PL logistics know retailer routing guides like the back of their hands. What may appear confusing to you makes perfect sense to them. Therefore, when interviewing 3PLs make sure that they have experience with large retailers and big box stores. If they don't, then change your 3PL when you scale enough to sell to large chains and big box stores.

LABELING

Not only do your products have to be shipped on schedule and the ASN sent, but your cartons must be labelled properly. The label requirements are in the routing guide. The information on the label must be correct, the placement of the information on the label must be accurately positioned, and the label must be printed and placed correctly. I know of someone who was charged almost \$10,000 by a large retailer because their labels were incorrect. I know shelf stockers at a different retailer who get paid bounties for every carton they discover with an error on the label.

Once again, the good news is that the label format and information is transmitted through EDI. As should be apparent by now, a good EDI system and an experienced 3PL can make meeting vendor obligations much easier, and operations run much smoother.

CATEGORY BUYERS

The buyer is the decision maker and the person whose was chosen to sell your product could completely change your life. They are also a normal human being who has a job to do and wants to do the best job they can. Their job is to please their customers through product selection and increase the profitability of their category. Your product can help them achieve that.

By following all the steps of product analysis and evaluation you have confirmed that there is an existing problem or need, and that your product solves that problem or need. You have sought constant customer input on your product design and functionality. Customers have confirmed that they desire your product and will pay for it. You have validated with customers that the packaging communicates what the product is, what are the uniques, and what the benefits are to the consumer. You have

started selling in independents and specialty stores, or perhaps online. You have worked out any kinks in your back-end systems, ensured there are no product issues, and have proof of sales. You have studied the retailer and their customers. You are prepared.

Let's say that you have developed a light-up LED tent stake that repels mosquitos. A few influential camping bloggers have raved about them and your product is starting to gain some attention and sales. The outdoor recreation buyer has agreed to meet with you. Put yourself in his shoes.

- ✓ You have a history that shows growing sales and public awareness.
- ✓ Some of his customers are talking about your tent stakes, so he wants to satisfy their desire for light-up tent stakes that repel mosquitos.
- ✓ You are the only person producing light-up tent stakes that repel mosquitos which means he does not already have a similar product on the shelves.
- ✓ The packaging clearly communicates the product benefits and strengths. However, it is made to hang from a hook. He asks you if you can change the package to stand up on the shelf and you say yes. No problem.

All of this adds up to a product that pleases customers.

- ✓ The growing buzz about your product may bring customers to his part of the store looking for light-up mosquito repelling tent stakes.
- ✓ The uniqueness of the product, and the universal hatred of mosquitos, create a very attractive product for customers to buy even if they were unaware of your product and came to the camping section for something else.
- ✓ Campers still need other mosquito repelling products for other parts of their campsite and for other uses. This is good. It means that your product will not reduce the sales of existing mosquito repellents. That is called cannibalizing other sales and it's not a good thing. For example, if you had a pizza cutter with a blade that magically never went dull customers would love it. But when it went on the shelf, the sales of the traditional pizza cutters would plummet. The increase in sales for the new pizza cutter would be offset by the sales decrease of the old pizza cutters, and the overall sales for the pizza cutter category would remain flat.
- ✓ The buyer doesn't expect your mosquito repelling tent stakes to cause a decrease in other mosquito repelling products. However, he is not sure how your LED light-up tent stakes will impact the sales of the current replacement tent stakes. He makes a note to himself to monitor that carefully during the test market.
- ✓ You are able to provide a 46% margin to the buyer and still have a healthy return. The average margin across all items in the camping category is 41%. If your product is successful it will increase the average overall margin in his category.

Combined, all of these point to increased profitability. He asks some questions about logistics for your company, and product availability. He thinks for a moment. His decision is a simple one. Start a test market.

He may need the approval of his manager, and you leave him with collateral (we will discuss collateral later) but he is confident that his manager will approve.

Congratulations!

You do not have to do this alone. If you would like help, guidance, or someone at your side, visit this link <https://productdevelopmentacademy.com/more>

112. CONTACTING BUYERS

The first challenge you will face when putting your products in front of large retailers is contacting the buyer. Large retailers will have a submission form on their corporate website. It will be relatively simple to fill out and submit.

The unfortunate truth however is that most online submissions have a very slow response time. You are in control of your journey and there are more effective ways of getting your product in front of the buyer. You will have to be part Sherlock Holmes and part military strategist.

TRADESHOWS

Tradeshows are good, but not in the way you may think. They are not a great method of meeting large retail buyers and making deals. It may happen, but do not count on it. Instead, use the following four strategies:

- 1) Collect names
- 2) Set meetings
- 3) Be available
- 4) Follow up

Collect names:

- Set out a raffle, giveaway, candy bowl, or anything that allows you to collect business cards. Experienced buyers will not leave their business card. However new assistant buyers, eager to get free swag, may leave their card. If the assistant is in your category that person becomes your first contact. If they are not, their card will have their email address and from that you can learn the internal email address structure used in the company. For example if the assistant is John Smith and their email is Smith.John@BigRetail.com, then you can assume that the buyer's email will have the same structure: last name (dot) first name (at) Corporate name.com.
- Use the tradeshow badge scanner option. (Lead Generation Software) Most trade shows will rent a scanner to you that you can use to scan attendees badges. This works the same way as the business card strategy, however there is a slightly better chance of getting a buyer's contact information.
- Get the trade show attendee list. The list may have the buyer's name title and email on it.
- Talk to the booths neighboring you. They may have contacts or information they can share with you. They may also have attendee lists from other shows.

Set Meetings:

- Get the attendee list as early as possible before the event and try to set meeting appointments with buyers during, before, or after the show.

Be available:

- Does the show have an official hotel? Stay at the preferred trade show hotel. Mingle and chat before and after the show. Go to all events, talks, and meetings. There is an opportunity you might meet a buyer or recognize someone you met earlier.

Follow Up:

- Always send a follow up email to all contacts, buyers, and anyone else who helped you. Always send out whatever samples, or other items you promised within 7-10 days.

LINKEDIN

You can sometimes get the buyer name from LinkedIn and sometimes from the company website.

BUYERS GUIDES

Chain Store Guide has detailed listings on almost all the large retailers broken down into categories. The guide is expensive, so before you purchase it, see if there is a copy available in the reference section of your local library. Links to Buyers Guides can be found at <https://productdevelopmentacademy.com/links>

The Salesman's Guide has a detailed listings on almost all the large retailers broken down into categories, and locations. The guide is expensive, so before you purchase it, see if there is a copy available in the reference section of your local library. Links to Buyers Guides can be found at <https://productdevelopmentacademy.com/links>

ECRM

ECRM is like a personalized trade show filled with back-to-back critical meetings. Each ECRM event is specific to a single category. They take place in a hotel over a few days. A limited number of vendors attend, along with buyers from major retailers. You are assigned an empty hotel room, which has the bed and furniture removed, and is set up for buyer meetings. That room is only yours. There are no competitors and no distractions. You set up the room as you desire and prepare for pre-scheduled meetings. At the appointed time an ECRM staff member escorts the buyer to your room where you meet, talk, and discuss your products. Just you and the buyers. Depending on the package you purchase, the meeting could last 20 minutes. When that meeting is complete an ECRM staff member escorts another buyer to your room for another meeting. Over three days you could meet 40 major buyers! You also have shared events where you get a chance to socialize with buyers, which is very rare in today's retail business environment.

ECRM is very expensive. However, I think it is an excellent investment in your business and a personal favorite strategy for showing your product to buyers. Link to ECRM can be found at <https://productdevelopmentacademy.com/links>

RANGEME

RangeMe is an online platform that showcases your products for retailers to discover. You create product profiles, and brand profiles, which you can submit directly to retailers. You can also get alerts to notify you when retailers are doing category reviews and looking for new products. Link to RangeMe can be found at <https://productdevelopmentacademy.com/links>

MORE INFORMATION ABOUT BIG BOX STORES

If you would like to delve deeper into specifics about big box chains, learn more about large retailers as a whole, or if you would like to have individual help, please click here <https://productdevelopmentacademy.com/>

ON THE SHELF PODCAST

If you want to learn more about getting into big box stores, I highly recommend listening to the podcast "On The Shelf" By Tim Bush.

It is available on every major podcast platform and is unrivaled for its in-depth and frank discussions about selling to big box retailers.

113. AMAZON

Amazon provides a platform for its own Amazon products, under multiple Amazon owned brands, and allows third party sellers to sell on their platform, called the Amazon Marketplace. Additionally, Amazon provides storage and fulfillment services known as Amazon FBA. Both the open platform and the fulfillment services are great opportunities for entrepreneurs to sell products directly to consumers.

There are two major Amazon selling opportunities. Amazon Vendor and Amazon Marketplace – frequently called Seller Central.

Amazon Vendor is a by-invitation only program that treats product suppliers the same way large retailers do – by issuing purchase orders, paying 60 days after receipt, and setting their own prices. They have some of the same allowances that large retailers do.

They also have carton labeling requirements, have a vendor system, and can be connected to EDI.

Amazon Marketplace (Seller Central) allows third party product suppliers, often referred to as Sellers, to sign up and sell their products on Amazon's platform. By listing products on Amazon, a Seller gets visibility on the world's largest selling platform, gets payment processing, and also gets the credibility that comes with being on the world's most trusted ecommerce site.

When you launch your new product, Amazon is an effective way of building a history of product sales that you can present to a buyer. In the retail industry this is known as traction.

Buyers like seeing consistent or growing sales. I have also heard some buyers from major retailers admit that they keep an eye on what is selling well on Amazon. Another bonus of selling on Amazon is that it exposes your product to customers and regions where you may not be available yet.

Both Amazon Vendor and Amazon Marketplace have some common factors that impact success.

- ✓ Product Title
- ✓ Good Product Images
- ✓ Keywords
- ✓ Compelling Descriptions
- ✓ Product Reviews
- ✓ Product Rating
- ✓ Effective Advertising (PPC)

Seller Central:

The set up to start selling on Amazon is relatively simple.

1. Register on Amazon.com.
2. Create a listing for your product
3. If you want Amazon to do the distribution to customers you must sign up for FBA and make an FBA shipping plan.
4. Send in your product and let Amazon do the rest

Succeeding on Amazon takes more strategy and skill. Primarily you will need to:

1. Optimize your listing.
2. Advertise through Pay Per Click advertising

There are hundreds of people specializing in Amazon listing and PPC. A list of recommended courses and coaches can be found at <https://productdevelopmentacademy.com/links/>.

Pricing Risks On Amazon:

Brick & mortar retailers do not want to lose customers to Amazon due to price. It is very common to see customers find a product in a store, pull out their phone, and check the price on Amazon.

Therefore, if you are selling on Amazon, make sure that your Amazon price is at least two times the wholesale cost to retailers. This way they can keystone (double) the price and charge customers twice what they paid you. You may not have much control over the price of your product if you sell to Amazon Vendor, so take that into consideration if you are invited to join that program.

Another risk of selling on Amazon is that someone may copy your product. There are thousands of highly motivated Amazon Sellers who follow the Amazon FBA method and are looking for hot new products that they can copy or reverse engineer. If an Amazon Seller discovers your product and copies it, they will try to compete by selling at a lower price. They may also try to compete by using 'black hat' tricks such as posting bad reviews about your product. This will impact your sales to retailers as well as your Amazon sales.

114. SELLING FROM YOUR WEBSITE

Your website is a powerful tool to tell your brand story and is also a platform from which you can sell your own products. Obviously, anything you sell from your own site will be very profitable since there is no middleman or markup. However, you **should never compete with your retailers on price.** You might make some sales, but you will also devalue the market price of your product and essentially self-sabotage.

115. PRODUCT CATALOG

Product catalog refers to a list of all your products and the combinations retailers can order, not a printed brochure.

For example, let's assume that you are selling baby blankets in five colors. You sell blue blankets, pink blankets, yellow blankets, white blankets, and green blankets. You sell the blankets in multiples of eight. When you ship your blankets from China, each inner carton holds eight blankets, and when retailers order the blankets, the inner cartons are shipped as-is without ever being opened. This saves time and money and protects your products.

Title	Qty	Description
Pink	8	All pink blankets
Blue	8	All blue blankets
Yellow	8	All yellow blankets
White	8	All white blankets
Green	8	All green blankets

Your catalog might look like this:

Title	Qty	Description
Pink	8	All pink blankets
Blue	8	All blue blankets
Yellow	8	All yellow blankets
White	8	All white blankets
Green	8	All green blankets
Best Sellers	8	3-Pink, 3-Blue, 2-Yellow
Intro Pack	8	2-Pink, 2-Blue, 2-Yellow, 1-White, 1-Green

Specialty retailers love assortments, so you may want to add two more offerings for assortments. One of best sellers, and another as an introductory assortment. At this point your catalog may look like this.

Title	Qty	Description
Display and 16 products	16	5-pink, 5-Blue, 4-Yellow, 1-White, 1-Green

If you decide to offer a countertop display combined with a full set of blankets for specialty retailers, you can add it to your catalog as well.

116. CHANNEL AND SALES STRATEGY

The goal of your channel strategy and your sales strategy is to get your new product into the customer's hands. At the beginning of this journey, you built a customer avatar, and as you progressed you learned more about your customer.

Where does your avatar go shopping? Where would your avatar look for your product?

On a fundamental level, channel strategy is based on the types of stores that your customer visits, and sales strategy narrows that down to specific chains or stores.

Does your avatar shop in health food stores? Do they frequent high end malls? Would they look for your product in an electronics store or a camping store?

Large corporations have the luxury of a dedicated sales staff and a big budget. You however have the luxury of making nimble decisions.

Chart out which stores will bring the most successful sales. Then chart how long it would take to get into those stores.

Online sales are the fastest. Specialty stores are not as fast but can be relatively quick. Big box stores can have a huge impact, but they can take over a year before you are on the shelf.

Online sales do not require high-impact packaging. Large and small retailers require compelling packaging. Some retailers may require special packaging. I once had a bohemian rustic themed retail chain ask that I change not only the package design, but the material and size as well.

Look at your budget. Do you need to make fast sales?

All of these questions lead to a strategy about which types of stores, and then which specific stores within those categories, you will target.

Retail is an interesting industry. If you have success within one store in a category, its competitors will want to carry you too. It's common to hear from other stores after you start selling well in one. No one wants to miss out.

The broad range of type of retailers and the number of stores in each category can be overwhelming. And can lead to analysis paralysis.

Once you know your strategy, you can then build a plan to get in front of the right buyers. Do you want to start with specialty stores? Perhaps a trade show or gift show is the place to invest.

Do you want to get into big box? Consider ECRM.

Your channel strategy and sales strategy will give you the path to follow.

If you are unsure of what channel you should pursue, you can contact experts at <https://productdevelopmentacademy.com/>

117. MARKETING

The goal of marketing is to increase revenue through promoting your product and brand. There are three major buckets of activities: Marketing, Advertising, and PR. Within each of those buckets are smaller buckets, and inside of those are even smaller ones.

People often break marketing apart by methodology, such as social media marketing. To be truly effective however, you should separate activities into buckets based on goals. Then you choose methodologies as tools to accomplish the goals. The selection of which tools to use, and how to use them, becomes your Marketing Strategy. You use them to accomplish Your Marketing Plan.

The first and largest of the buckets is marketing. Marketing encompasses everything from market research to brand awareness to sales. Just like product design and development, the most important person in marketing is your customer.

SELL-TO AND SELL-THROUGH, MARKETING

In retail you have two primary customers. One is the retail decision maker. This is the owner for specialty stores, and the buyer for large chains. The other primary customer is the person who makes a purchase decision in the store.

- Selling to the retailer is called **Sell-To Marketing**.
- Selling to the customer is called **Sell-Through Marketing**.

You built a rough customer avatar during the ideation stage. Now is the time to refine your avatars by answering the following questions.

Avatar of the Retail Decision Maker.

- What is the need your product can fill or the problem it can solve?
- How can your product accomplish that?
- What drives purchasing decisions?
- What are the concerns or fears of your avatar regarding your product?
- Do they need approval from someone else to make the buying decision?
- What other questions do they have, and can you anticipate them?
- What is their day-to-day life like (in regard to their role or store?)
- What can you do to make life easier for them?
- What unexpected aspect of your product would make your avatar happy?
- How does your avatar get information about products?
- How does your avatar get information about life outside of work?
- What influences your avatar?

Your avatar will influence sell-to marketing choices. The avatar you build for a specialty store owner will be different than the avatar you build for a big box buyer. Change, refine, and adapt your avatar as you progress through product growth and scaling.

Avatar of the Customer.

- What is the need your product can fill or the problem it can solve?
- How can your product accomplish that?
- What drives purchasing decisions?
- What are the concerns or fears of your avatar regarding your product?
- Do they need approval from someone else to make the buying decision?
- What are their priorities in their day-to-day life? (Children, school, career, etc.)
- What is their day-to-day life like?
- What are their financial and social demographics?
- What makes your avatar happy?
- How does your avatar get information about products?
- How does your avatar get information about news?
- What social media are they on?
- What influences your avatar? (friends, authorities, celebrities, etc.)
- Where do they shop?
- Where do they spend a lot of their time?
- Who do they shop with?
- What other Golden Hidden Treasures did you collect while gaining customer input?

The sell-to avatar is broad by definition, since there are many different types of individuals making buying choices as retailers but narrow in scope since you are focusing on them only in the retailer role. Your marketing plan will employ just a few strategies aimed at addressing the broad general types of retailers you are targeting.

The sell-through avatar is narrow in definition, but broad in scope. You will build multiple avatars for your multiple types of customers. You want to know as much as possible about each of your end customers. The more personalized and specific your marketing is, the more budget efficient it will be and the more effective it will be in driving sales.

Each time you asked customers for input in your product development you asked open-ended questions. You collected all their comments and insights. These golden hidden treasures can now be used to gain insight into your avatar. What details do you know about your customers that help define them? Is a significant portion of your customer base living far away from their family? Do they love plants but can't keep them alive? Are they always rushed? Are they forgetful? Have you seen certain

characteristics of comments repeated across numerous respondents? You can use these golden hidden nuggets to craft your marketing message to speak to your customers.

For the sell-through marketing, you might employ multiple strategies, each narrow and aimed toward your detailed avatars.

118. LAUNCH

Marketing specialists make a career out of launching new products. One of my mentors has launched some of the most famous brands sold in drugs stores across America.

If you cannot afford a specialist, there are cost effective alternatives you can apply yourself through your marketing strategy.

Here are common new product scenarios with marketing strategies for each. The goal in each is to show proof of sales, and have the sales grow.

Is your product easy to understand, such as a dog bed or water bottle? If so, then focus on product awareness. Use PR driven marketing and social media marketing to let customers, and retailers, know about your product.

Does your product need consumer education, such as Easy Diet Food Labels, or a snowboarding trainer that it helps you learn how to snowboard in the summer? If consumers need to understand how the product functions and what the benefit is, consider focusing on platforms that include a 'how-to' element. Examples are targeted social media marketing with videos, and sales platforms with video such as QVC, and HSN.

Does your product improve an established product? Example would be a wheelbarrow designed so that could never flip over. In this case focus on the benefits and market directly to the buyers already selling traditional wheelbarrows.

Does your product have a specific niche consumer category? Perhaps wearable tech for seniors with dementia that can track them if they get lost. Contact specialists such as doctors. Get their endorsement and leverage that in both your sell-to, and sell-through marketing.

119. SALES COLLATERAL

Sales collateral are documents and leave-behind pieces crafted specifically for sell-to marketing. Collateral provides information about your product and brand.

SELL SHEETS

A Sell Sheet is a single sheet of paper with your product image on it, and a description of your product focusing on unique features, benefits, and contact information. The avatar is a retailer decision maker, so list benefits applicable to the retailer such as “Drives new customers into your store.”

The image should be large, often called a hero image. Choose an image based on the avatar you built. What would they like to see? A lifestyle images? A nicely merchandised image? The product on a clean white background? The deeper you build and refine your avatar, the clearer you will know what hero image to use.

You should not include a retail price on your sell sheet. However, many buyers say that they would like to see an additional image of the product in packaging.

LINE SHEET

A line sheet is an easy to read compilation of your entire product line with critical information all in one place. Usually in a grid form or spreadsheet form. The product photos should be high quality and in color. Information should include product name, description, item #, UPC code, (scannable code optional,) case pack, ingredients or material, and size(s).

The layout should be easy to read and not distracting. In addition to the product information, the line sheet should have your brand name, contact information, and your site.

Should your line sheet include prices? This is a highly debated question. Some people are adamant that it should. Others argue just as passionately that it shouldn't.

My personal feeling is that the line sheet should not have price on it. Instead I have a separate price sheet that I attach to the line sheet if needed.

These are the reasons I do not include price on the line sheet.

- 1) If a buyer is interested in the product, they will ask the price and then you are in a conversation.
- 2) In some situations, such as a trade show, you may have special ‘show only’ pricing.
- 3)



CONTACT INFORMATION
WEBSITE
Date

	Item Name	Description	Item #	Size	UPC	Scannable UPC	Case Pack	Wholesale Price	Suggested Retail Price
	TRUE LOVE	Set of two pillowcases 100% Cotton 300 TC	PC 104	20" x 30" fits S / Q Pillows	887731012341		6	\$15.00	\$30.00
	HE SHE DOG	Set of two pillowcases 100% Cotton 300 TC	PC 105	20" x 30" fits S / Q Pillows	10123454321		6	\$15.00	\$30.00
	CAT STAFF	Set of two pillowcases 100% Cotton 300 TC	PC 106	20" x 30" fits S / Q Pillows	971234567341		6	\$15.00	\$30.00
	DOG IS BETTER	Set of two pillowcases 100% Cotton 300 TC	PC 107	20" x 30" fits S / Q Pillows	102345623985		6	\$15.00	\$30.00
	Bacon	Set of two pillowcases 100% Cotton 300 TC	PC 108	20" x 30" fits S / Q Pillows	102345623714		6	\$15.00	\$30.00

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A buyer may make a decision based on price alone, which removes any chance at a conversation before it ever occurs.

PITCH DECK

A retail pitch deck is used primarily for large chain buyers. It is a PowerPoint deck that introduces your company, brand, and products. It should be short and compelling. There are many articles written about pitch decks.

When it is time to create your pitch deck, I highly advise that you work with a consultant. There is a link to TLB Consulting here:
<https://productdevelopmentacademy.com/links>

PRINTED PRODUCT BROCHURE / CATALOG

Your printed product brochure, also called a product catalog, is a multi-page high quality printed piece showcasing your product. Depending on the number of products under your brand it may be just a few pages, or it may resemble a small magazine. Your catalog is primarily aimed at specialty stores, tradeshow, and for sales reps to leave with store owners. It should have the same information as the line sheet, but presented in a more visually exciting form. Layout, design, and copy all tell your product story on your behalf, so do not skimp. Hire a good graphic artist and pay for professional printing. A product brochure printed on a home ink-jet printer weakens your brand story. A glossy high quality, professionally photographed brochure gives your brand credibility even when just starting out.

A personal tip is to contact store owners and ask them to submit photographs showing creative ways that your product has been merchandised. You can even make it a contest. Merchandising impacts in-store sales. Excellent examples of merchandising can inspire other retailers to display your product in similar ways.

120. ADVERTISING

EMAIL ADVERTISING

I encourage you to send mail directly to large chain buyers. The email should be personalized, concise, informative, and used as an introduction leading to a conversation.

Direct email advertising blasts using retailer lists however are more effective with specialty store owners.

B2B wholesale listing sites often have email lists of independent and specialty retailers who have all opted in for announcements for new products. This is a great, and little-known opportunity to market your product directly to specialty store owners. B2B sites can be found on <https://productdevelopmentacademy.com/links/>

121. SOCIAL MEDIA

SOCIAL MEDIA MARKETING

Social media marketing is using digital platforms to build product and brand awareness and drive sales. This is accomplished by sharing great content and interacting with customers. SSM can produce results quickly and can create incredible customer loyalty. Social media marketing is better suited for sell-through marketing to your end customers.

Example platforms for social media marketing are Facebook, Twitter, Instagram, Pinterest, LinkedIn, YouTube, TikTok, and Snapchat.

Besides increasing sales, an engaged audience of customers provide a base for feedback on your products, which gives you valuable information about improving your products and growing your line.

SOCIAL MEDIA ADVERTISING

Social Media Advertising is a strategy to build product and brand awareness, and drive sales, through paid advertising. SSA is one of the most effective methods of sell-through marketing to customers. The more you know about your customer avatar, the more specific you can place your message in front of them. You can target a customer through their demographics, location, keyword topics, pages they have visited, similarity to other targeted audiences or established customers, interests, behaviors, and more. You can choose how the advertisement is presented, such as a newsfeed or display ad, and on what platforms it appears. You can place video ads on sites and before YouTube videos.

Social media advertising is based on paid placement. As the old maxim says, in marketing, you can pay anyone for anything. You can pay social media influencers to mention you on Instagram, on YouTube, and in blogs. You can hire celebrities to mention your product or use your product in a photo. You can pay to have an ad with your product placed across the top of websites.

The options available for paid social media advertising can be overwhelming, and costly if you do not know what you are doing. I recommend using a professional or invest in learning how to do it yourself. There are many books written about social media and many courses in colleges and online.

122. REMNANT ADVERTISING

Do you need wide product awareness among customers? Consider Remnant Advertising (also called Remainder Advertising) as a method of sell-through advertising. Television shows, radio, magazines, and other media sometimes has unsold slots available at the last minute. They would rather sell that space for a deep discount than to let the slot go unused. The unsold slots are called remnant advertising. An online search will bring up many agencies and brokers selling remnant advertising. For a fraction of the cost you would expect, your product can be in well-known magazines or television shows.

In order to take advantage of remnant advertising opportunities, you need your ad and media already produced since there is often very little time between the announcement of the open slot and the submission deadline.

123. GET IN THE NEWS - PR

Having your product mentioned in the news, on TV, or on the radio can help build a buzz about your product and build awareness. This can help both sell-to and sell-through marketing. A well written press release can be distributed through press release sites, PRNewswire or PRWeb. If you have something newsworthy you can also contact your local news outlets.

Another avenue for press coverage is Help A Reporter Out (HARO.) HelpAReporter.com is a platform reporters and journalists use to connect with subject matter experts. Are you an expert in something? You certainly have expertise in your product. It is free to register for HARO and received alerts from journalists looking for experts, experiences, and opinions. Sign up, and whenever a topic appears that is associated with your product or brand, simply replay to the query. It is free and you might end up with your product in a prominent article.

124. BUILD A COMMUNITY

You started this journey by imagining your customers wants and needs. Solving a customer problem or fulfilling a customer desire. You sought customer input to confirm the desire or problem. You validated that customers wanted your product and were willing to pay for it. You returned to the customer for feedback on the design and functionality, and then again on product changes. You put your packaging in front of the customer to ensure it drove sales. You built an avatar of your sell-to and sell-through customers. Now it is time to bring your customers into your family. Build a customer community.

Inviting customers into a community with products sold on retail shelves is easier than products sold on Amazon. Place an invitation in each product package. Invite them to join you in a public group, whether it be on Facebook, Twitter, Instagram, YouTube, or another platform.

Provide engaging content and interact with your customers. If your brand supports a social cause, this is where you can trumpet your cause and build support.

Your community is a valuable resource. Cultivate it. When you are ready to expand your line, or add new products to your brand, put them in front of your customers first. Get their feedback and advice.

You can use actual customers to drive your design decisions, just like Porsche did.

125. SMART BUSINESS

(Any advice and suggestions made in this section are not meant as legal advice or tax advice.)

BUSINESS FORMATION

Once you have validated a viable product that you choose to develop, you should form a company just for your brand. This should be a legal corporate entity that is separate from you as an individual.

In the U.S. this may be called an LLC or a Corporation. In other countries it may be called a Pty, LLP, LTD, Limited, PLC, GmbH, or something else. Talk to an attorney and accountant to get advice on what legal format is best for you, and to apply.

In most countries you will also have to set up tax or VAT documents, a bank account, and perhaps required business licenses. In the U.S., the tax registration you will need is called an Employer Identification Number and sometimes called a Tax ID number.

Reasons for setting up a legal entity are broad, but the following reasons apply in most countries.

- Shields you personally from corporate liability
- Segregates profits and tax burden
- Facilitates easy purchase and acquisition of your brand
- May be required in some countries for importation
- Allows all intellectual property to be assigned to a single entity

126. INTELLECTUAL PROPERTY PROTECTION

Intellectual Property (IP) is anything you have thought up, conceived of, designed, drew, invented, or in any other way created for commerce. It has value and should be protected from unauthorized use.

There are four categories of intellectual property protection.

- Copyright
- Trademark
- Patents
- Trade Secrets

COPYRIGHT

Copyright grants exclusive publication, distribution, and usage rights to the creator of images (photography,) written work (books, music, poetry,) art (drawings, paintings, fabric design,) and other forms of creative expression including choreography.

Copyright begins with the creator but can be sold or transferred.

As a product developer, copyright most often is an issue in use of images. Make sure that any images that you pay to be created have all rights, including copyright, transferred to your company. If you purchase stock images, make sure that you have commercial rights to use the image. Often large stock companies have different prices for different usage. An image of a duck on a lake might have one price if it is used on a website, another price if it is used on a package, and yet another price if it is used as wallpaper.

Copyright also impacts product developers in fabric design.

PRACTICAL STEPS TO PROTECT YOUR COPYRIGHTED WORK IN CHINA:

File your design for US copyright. Although registration is not requisite, in your situation it gives you benefits. Plus, it's relatively inexpensive and quick.

Notify your supplier that you hold copyright registration for your designs. Unlike trademark and patent, China does recognize foreign copyrights under the Berne convention.

Send the registration notice to the supplier along with an agreement, stipulating that the copyrighted design can only be used one time only for your products under Purchase Order number: [xxx]. Each additional order will require an additional one-time use signed permission from you. Have them sign it and return it.

Then also file copyright in China anyway. Once that is awarded you can add it to the US copyright registration attached to your one-time use agreement.

TRADEMARK

A trademark is a word/phrase, or design/symbol that identifies your brand and separates your brand from others. It is exclusive to you and to the category of product you are selling. There are two types of trademarks. A word mark protects your brand name. A design mark protects your logo.

Although you can file for a U.S. trademark yourself, I highly recommend that you use an attorney. The little bit of money spent upfront may save you a lot of problems later. There is a lot of misinformation about trademarks online, so I also recommend that you watch the USPTO video about trademark basics. <https://www.uspto.gov/trademarks-getting-started/trademark-basics> Link is also available at <https://productdevelopmentacademy.com/links>.

There are 45 product classifications. Your product is designated by a class number. If you are in multiple classifications, you will need to file in multiple classes. For example, if you sell kitchen utensil products and toy products, you should register on classes 21, and 28.

Product Trademark Classes:

- 001 - Chemicals
- 002 - Paints
- 003 - Cleaning Substances
- 004 - Industrial Oils
- 005 - Pharmaceuticals
- 006 - Common Metals
- 007 - Machines
- 008 - Hand Tools
- 009 - Computers and Scientific Devices
- 010 - Medical Supplies
- 011 - Appliances
- 012 - Vehicles
- 013 - Firearms
- 014 - Precious Metals
- 015 - Musical Instruments
- 016 - Paper Goods
- 017 - Rubber Products
- 018 - Leather Goods
- 019 - Building Materials
- 020 - Furniture
- 021 - Household Utensils

- 022 - Ropes and Textile Products
- 023 - Yarns and Threads
- 024 - Textiles
- 025 - Clothing
- 026 - Lace and Embroidery
- 027 - Carpets
- 028 - Games and Sporting Goods
- 029 - Meat, Fish, Poultry
- 030 - Coffee, Flour, Rice
- 031 - Grains, Agriculture
- 032 - Beers and Beverages
- 033 - Alcoholic Beverages
- 034 - Tobacco Products

Service Trademark Classes:

- 035 - Advertising and Business Services
- 036 - Insurance and Finance Services
- 037 - Construction and Repair Services
- 038 - Telecommunications Services
- 039 - Shipping and Travel Services
- 040 - Material Treatment Services
- 041 - Education and Entertainment Services
- 042 - Science and Technology Services
- 043 - Food Services
- 044 - Medical and Vet Services
- 045 - Legal and Security Services

TRADEMARK IN CHINA:

When you file your trademark in your own country, you should file a trademark in China at the same time. Your Chinese attorney can do that relatively easily. Do not use a US attorney for Chinese trademark, because trademark classes (classifications) are different in China than the trademark classes in the US

This will protect you from someone in China seeing the success of your product and ‘squatting’ on the trademark with the intent to cause trouble.

PRACTICAL STEPS TO PROTECT YOUR TRADEMARKED PRODUCTS IN CHINA:

Notify your supplier that you hold trademark registration for your trademark and/or logo. Unlike copyright, China does not recognize foreign trademarks.

Send the trademark registration notice to the supplier along with an agreement, stipulating that the trademarked logo can only be used one time only for your products under Purchase Order number: [xxx]. Each additional order will require an additional one-time use signed permission from you. Have them sign it and return it.

HELP FROM CUSTOMS:

You can register your trademark with Customs and Border Protection under their recordation program to give you further protection against infringers. It costs \$190 for the term of the trademark, which comes out to as low as \$19/year.

This is the statement from their site.

United States Customs and Border Protection (CBP) has the authority to detain, seize, forfeit, and ultimately destroy merchandise seeking entry into the United States if it bears an infringing trademark or copyright that has been registered with the United States Patent and Trademark Office (USPTO) or the United States Copyright Office (USCOP), and has subsequently been recorded with CBP. As an intellectual property right (IPR) owner, you can partner with CBP to receive border enforcement of your registered trademarks and copyrights through CBP's e-Recordation Program.

Recordation can be submitted at <https://iprr.cbp.gov>

China has a similar program which protects you upon export.

127. PATENTS

Patents give you the exclusive right to produce a unique process or improvement. It can be decorative and ornamental, or it can be functional. (A patent can also be applied to a plant, but we are not including that.)

- A Design Patent protects a unique ornamental or decorative feature.
- A Utility Patent protects a unique functionality.
- A Provisional Patent is a filing placeholder for a utility patent.

A patent cannot be issued for an idea. You cannot patent the concept of anti-gravity sneakers that make you fly. You must first invent them in an applicable form. Then you can patent the form that you built.

There are no prohibitions about filing multiple patents on your product or filing both a Design Patent and a Utility Patent.

Think about patents early. A good patent attorney can develop a strategy with you that may start with a Provisional Patent and then transition into permanent patents later.

PATENT MYTHS

If you have a product that you believe can be patented, consult an attorney. **WARNING.** The internet, Reddit, Facebook, and other platforms are filled with self-styled experts giving out incorrect information. Some of that information can be damaging to your business if you follow it.

If you find yourself in a courtroom defending actions you took over a patent, the judge will not take you seriously if you defend yourself by saying that a stranger on in a Facebook group told you it was okay.

Here are some examples of patent ‘rules’ I have seen on Reddit, YouTube, and Facebook. These are not patent rules. Do not depend on these statements. You will risk your product and company.

*If you find a product with a patent, you can copy the product as long as you change four parts on it. **THIS IS BAD ADVICE. Consult an attorney.***

*If a package says ‘Patent Pending’ then you can copy the product and they cannot stop you. **THIS IS BAD ADVICE. Consult an attorney.***

*If a bunch of other people are selling a product that is patented, then you can sell it too. **THIS IS BAD ADVICE. Consult an attorney.***

*If you change 40% of a patented product you can sell it. **THIS IS BAD ADVICE. Consult an attorney.***

*Most patents are fake so you can just ignore them. **THIS IS BAD ADVICE. Consult an attorney.***

There are also people on Facebook, YouTube and reddit that advise you to save money and file for a patent yourself. This is bad advice. Always have a patent attorney prepare and file your patent.

Every patent attorney I have spoken to says the same thing. If they are litigating a patent, the first thing they will do is look for technical errors in the filing. They love battling patents that were self-filed. If you are a first-timer, non-attorney, filing for yourself, then you are almost guaranteed to make errors and put your patent protection at risk.

A patent is an investment in protecting your product. Always hire a professional to do it for you.

PATENTS IN CHINA:

When you file your utility or design patent in your own country, you should file a patent in China at the same time. There is no equivalent to a provisional patent in China.

The reason to have a Chinese attorney file is to ensure it is written in Chinese, and because China has different patent categories than the US, UK, Australia, and Canada.

China has three patent categories, Design, Utility, and Invention. The Western utility patent is closest to the Chinese invention patent. In addition, the Chinese design patent has subtle but important differences from the Western Design patent.

In 2021 the Chinese design patent will get a legal upgrade with the addition of some amendments. The amendments are an indicator that China is taking IP infringement very seriously.

PRACTICAL STEPS TO PROTECT YOUR PATENTED PRODUCTS IN CHINA:

Notify your supplier that you hold a Chinese patent for your product. It must be a Chinese patent. Unlike copyright, China does not recognize foreign patents.

Send the patent registration to the supplier along with an agreement, stipulating that the patented product can only be used one time only, for your products under Purchase Order number: [xxx]. Each additional order will require an additional one-time use signed permission from you. Have them sign it and return it.

128. BUSINESS INSURANCE

Skipping on business insurance may be tempting when money is tight, but if you, or your product, causes any harm to a customer or their property, you could be held financially responsible. Business liability insurance might be the only thing that protects you from financial ruin.

Large chains and big box stores, as well as catalogs, and many retailers, require that you carry business liability insurance. The retailer will probably also require you to add the retailer as an additional insured. They will inform you of the coverage per incident and in the aggregate. Your insurance agent is familiar with these types of requests and should be able to add the retailer easily.

Most retailers and agents are so used to talking about coverages that they speak in shorthand.

When you hear insurance requirements or discuss them with your agent, you may hear a phrase “Two million Four” or something similar.

That phrasing means coverage for \$2 million per occurrence, and \$4 million aggregate.

129. CAPITAL

As your business grows you will need to purchase inventory, which requires capital. Start researching methods of raising funds early in your venture so that when you receive an order for 200,000 units of your product, you are prepared to finance it.

Here are some methods to consider.

PAYMENT TERMS

Build a relationship with your factory that will allow you to pay for product on terms. The frequently repeated payment structure of 30% upfront to your factory, and 70% upon completion is not gospel. Large businesses rely on cash flow. When you sell to large chains and big box stores you are in the major leagues. Cash flow is critical to your success. Chinese factories will have a completely different conversation with you when you are looking to produce 200,000 units, and financially secure factories should be able to work out terms that will help both you and them.

LOANS

A business loan is the most traditional method of raising funds. You can get a small business loan through your bank or private lending. The Small Business Administration in the U.S. has a number of programs to help new businesses including loans. They require that your business is at least two years old. If your business is younger than that, talk to your local bank. If you do not qualify you may want to seek A/R financing.

GRANTS

You may be eligible for a grant. Grants are provided by the government and do not need to be repaid. Look into these early in the growth of your company. Often grants have long approval times. If you pursue a grant, the earlier you apply the better position you will be in when you need funds.

CROWDSOURCING

Crowdsourcing is obtaining financing from a large open group of people. There are multiple types of crowdsourcing platforms to raise capital, and the most well-known one's exchange funds for rewards. Examples of this are Indiegogo and Kickstarter.

There are other forms of crowdsourcing too, including ones that exchange equity. Crowdfunder is the most well-known of these.

Some crowdsourced funding platforms, such as Kickstarter, are all or nothing, so you must meet the goal you set within the allotted time or everyone gets their money back. Success on these platforms is due to marketing as well as an innovative product.

A/R FINANCING

Accounts Receivable Financing, also known as factoring, is a loan that is secured by the value of purchase order provided by the retailer. The cost of the loan is a percentage of the PO, which the factoring company collects when the retailer pays.

	\$500,000 Value of Purchase Order
paid by factoring company	\$165,000 Manufacturing cost
	80% of PO value sent to you upon receipt of goods
paid by factoring company	\$235,000 minus the amount paid for manufacturing
paid by factoring company	\$75,000 15% sent to you upon payment by retailer
	Total amount of money,
	\$475,000 including payments and manufacturing advance
Fee for factoring	\$25,000 5% the factoring company receives

For example, Bigretailer Inc issues a \$500,000 purchase order to you. The cost to produce the inventory for that order is \$165,000. Under the terms of a factoring agreement, the factoring company will pay the factory the cost of production. When Bigretailer Inc receives the products, the factoring company advances you 80% of the purchase order minus the amount paid to the factory. The retailer pays the invoice to the factoring company. When the factoring company receives the payment, they send 15% to you. You have covered the cost of production, received access to your money early, and the total cost was 5% to the factoring company.

In this example, the upfront cost of manufacturing is covered by the factoring company. They charge you 5% of the PO, and you receive the remaining 95% (minus the payment sent to the factory.)

REVENUE BASED LOAN

A revenue-based loan is paid back based on the amount of monthly revenue you receive rather than a fixed payment amount.

FRIENDS & FAMILY

When you first start up, one of the most traditional methods of raising funds is through friends and family. They love you and want to see you succeed. Always have the loan terms drawn up by an attorney, including repayment expectations. This will help everyone understand the repayment obligations and the risk involved in the loan.

INVESTORS

You can seek investors in your company. Early investors are called Angels, and they will put money into your company for shares of your company, or as a convertible note.

When you sell your company, the Angel investors will receive a percentage of the sale based on the percentage they received for their investment.

Opening your company to investors is a complicated process. Always use an attorney, and feel free to ask questions about anything you do not understand. You will be paying your attorneys, and part of that fee goes to having them explain every agreement and obligation in detail.

A great resource for pitching to investors is “The Pitch Deck Book” by Tim Cooley. Available on Amazon.

130. ACCOUNTANT

As you grow, your accountant will become one of the most critical members of your team.

Can you do your own accounting? Yes. Tools and software such as QuickBooks makes accounting easy. So easy that you do not need accounting training. However, you should consider an accountant for the analysis of your finances.

As you grow you will have less and less time to handle the books yourself, so you may eventually want to hand that over to a bookkeeper and accountant.

Your accountant will prepare three critical financial statements. These should be updated quarterly.

- Profit & Loss Statement

- Balance Sheet

- Cash Flow

The P&L (Profit & Loss) statement is a trend over time and shows if your company is making money or losing it.

The BL (Balance Sheet) is a snapshot of your assets, liabilities, and capital at a specific time and shows your assets and liabilities.

The Cash Flow analysis helps you understand where your money has gone, and will go, as well as understanding how much money you will need at any given time. This is most useful in projecting spending for inventory.

Your accountant will also prepare tax forms and documentation.

In my experience, accountants with experience working with retailers, inventory, and EDI make your job much easier.

It is up to you whether you want your accountant or bookkeeper to be able to write checks or pay bills. If you give them that permission, use a certified public accountant (CPA) and always ask for references. Also do a Google search on their background.

You may eventually seek an additional accountant with acquisitions skills. Once you start bringing in more than a million dollars of revenue a year, you may be approached by acquirers seeking to buy your company. When this happens, it would be helpful to have an accountant experienced with exits.

It costs a bit extra to have a second accountant, but at that point you will be making enough revenue to absorb it. Life will be looking good.

131. A SUCCESSFUL EXIT

An Exit is a financial term for selling your company.

Just like a complicated real estate deal, always have an attorney guide you through the steps.

The buyer will study your company and review your records. This is known as Due Diligence. Upon completion they will offer you a price for your company. In most cases the price will also include an agreement for you to remain onboard the company for a set period of time, and an agreement that you will not compete with the new owners.

The more attractive your company is to acquire; the more money will be offered. Of course, that leads to the question, what makes my company attractive to acquirers?

- Consistently growing sales
- Profitability
- Well-kept financial records
- Potential future growth
- Brand recognition
- Solid supply chain
- Customers

The most impactful factor in the value of your company is customers. If you sell only on Amazon, a good purchase price might be 1.5 times your annual sales. If you sell to retailers and have a vendor number and history with a big box retailer, the value may be set at 4 times annual sales or higher.

To make that equation more exciting, look back at the difference in sales between Amazon and Retailers. A good product in retailers can bring in as much as 100 times more sales than selling only on Amazon.

Exits are only speculation, and I have not talked about them until now because speculation is just a fancy word for ‘a wild guess.’

However, a good exit from a brand that sells to retailers can easily, and often, range way above a million dollars. Sometimes quite high above.

Welcome to your new world.



Appendix

BUSINESS CARDS

When you visit China be sure to bring business cards. In China, everyone expects you to have a business card which they call a 'name card.'

On your card, have your company name, your name, title, phone number, email address, and WeChat ID. Optional, though recommended, is to include your business address.

Stand when exchanging business cards. Present your card with both hands, (slight bow if you feel comfortable) and accept their card with both hands. This is a sign of respect. Do not quickly put the card away. Take a moment and study it. This too is a sign of respect. Then place it in front of you, or in a business card holder. Do not place it in your back pocket.

A flower or logo is certainly acceptable. Google the symbol first, so you do not make a mistake and include a chrysanthemum. If you want color, consider using the color red. Red symbolizes luck and happiness. If you have a website, include your website.

WeChat:

Everyone in China uses WeChat. If you do not have a WeChat ID yet, download it and get an ID. In addition to exchanging business cards, you should also exchange WeChat connections. It will indicate to the person you are talking to that you understand the Chinese way of life, and that you are serious about doing business.

EMAIL:

If you are attending the Canton Fair, you may want to use a secondary email address. Many people find themselves inundated in emails from suppliers after the Canton Fair and using a secondary email might help lessen the flood.

Your Title:

List your REAL title: Owner, Founder, President, CEO, or whatever.

As discussed earlier, in China business culture, kings negotiate with kings. Despite advice from YouTube gurus to give yourself the title of a mid-level procurement manager, always list your actual role.

The first step in negotiating in person is to connect with the owner. The owner is your peer. If they pass you on to someone else, make sure they are a decision maker. If you lie and claim to only be a purchasing agent, they will either treat you as a mid-level person, or they will see through your lie and label you as dishonest, naïve, and deceitful.

Chinese Translation:

Today, because of WeChat, there is no need to create a reverse side with a Chinese translation. Instead, I recommend an image of your WeChat QR code.



PRODUCT EVALUATION SCORECARD

Review each product and try to answer YES to as many of these criteria as possible. Then refer to the matrix below the questions.

If you can say YES to at least nine of these questions you are in a good position to succeed.

YES	NO
-----	----

1. Does the product solve a problem?

YES	NO
-----	----

2. Does the product fulfill a customer desire?

YES	NO
-----	----

3. Is the product innovative?

YES	NO
-----	----

4. Is the product trending or in a popular niche?

YES	NO
-----	----

5. Is the product IP protectable?

YES	NO
-----	----

6. Is the product a Consumable?

YES	NO
-----	----

7. Does it have a large addressable market?

YES

NO

8. Is it Instagram worthy?

YES

NO

9. Is it simple to manufacture?

YES

NO

10. Are the product benefits and functionality easily understood?

YES

NO

Does the product have a discrete and marketable customer base?

YES

NO

11. Can it have variations?

YES

NO

12. Is it scalable into a full product line?

YES

NO

13. Is the product small sized and easily transportable?

YES

NO

15. Does it have subscription potential?

Count the number of YES's you have and compare it to the chart below.

SCORE	RESULTS
-------	---------

Less than 6	Consider redesign to increase score
6-8	May need additional marketing
9 -11	Go for It
12 - 15	Pop the champagne

PRODUCT REQUIREMENT DOCUMENT

PRODUCT REQUIREMENTS DOCUMENT	
Product Name:	
Concept / Description:	
Functional Requirements:	
1 -	
2 -	
3 -	
4 -	
5 -	
5 -	
Customer Avatar(S):	
Use Case Scenario:	
Target Retail Price:	
Target Raw Cost:	
Scope:	

TEMPLATE

WORKSHEETS FOR FACTORY VISITS

Are you visiting the factory yourself?

Here are BLANK worksheets that are part of my book: THE CANTON FAIR WORKBOOK. These worksheets can be used to give structure to your visit and guide you towards what to look for and ask.

Worksheet Page 1 focuses on prep, and first impressions. Make sure to tour all four sections listed. The Office/Showroom. The Warehouse. The Factory floor. And the QC area.

Worksheet Page 2 is general review. It includes a SWOT analysis (Strengths, Weaknesses, Opportunities, and Threats/Risks.) There are also checkboxes for forms and documents you should review. If you are not familiar with these terms or documents, such as ISO 9001, they can be researched online.

You should also research the factory prior to arriving. Are the photos that they show on their website the same as the factory that you see in front of you? Have people posted concerns or complaints that you should be aware of?

Worksheet Page 3 is your negotiation checklist. Even though you received preliminary answers at the Canton Fair or online, be prepared to revisit the same questions again. Everything is negotiable, and often prices drop when you are on site at the factory. Until they sign an NNN, this discussion will be about the decoy product.

Worksheet Page 4 is a list of what to include in your final quote. When they submit the quote to you, make sure it is signed by their company stamp/seal in order to make it official.

FACTORY VISIT:

- | |
|--|
| ☐ FACTORY
☐ TRADING COMPANY |
|--|

Factory Name: _____

Date: _____ Time: _____

Contact: _____ WeChat: _____

Factory Address: _____

Prep for Visit:

Has address been received in Chinese (for taxi)? _____

Transportation method to City (train/plane/car)? _____

Has transportation to factory been arranged? _____

Will visit be overnight? _____

Has accommodations been arranged (if applicable)? _____

Expectations:

Product to be reviewed: _____

Who will attend? _____

Will NNN be required? _____

On Site:

- ☐ Tour Office
- ☐ Tour QC

- ☐ Tour Warehouse
- ☐ Tour Factory

Certifications and Awards: _____

How large is their Product Selection? _____

Factory History / Year established: _____

Primary products / niche: _____

Primary export markets / countries: _____

Negotiations:

Title of product you are considering buying:

SKU/Identifier: _____

Product Description: _____

Price per unit: _____ MOQ: _____

Price Breaks For High Quantities: _____

Surcharge if < MOQ: _____

Can surcharge be applied to future order? _____

Milestones / Deadlines: _____

Qty for 40ft container: _____ Lead time: _____

Differentiators: _____

Sizes: _____ Colors: _____ Other Options: _____

Packaging: _____

Can it be White Label? _____

Tech Specs: _____

Mold: _____ Electronics: _____

Printing: _____ Filling: _____

Other details: _____

Product certifications: _____

Production capability per month: _____

☐ Sample Requested

☐ Sample Received

Similar Products / SKUs: _____

Analytics: (If purchasing As Amazon Seller) _____

Additional Notes:

You Provide the Factory:

- ☐ NNN
- ☐ Prototype
- ☐ Specs

SWOT Analysis

Factory Strengths: _____

Factory Weaknesses: _____

Opportunities: (Brand growth, Niche growth, Competitive advantage.) _____

Threats/Risks of using Factory: _____

Risk Mitigations: _____

Overall Impression: _____

Confirm

- | | |
|--|---|
| ☐ Business License | ☐ Google Factory (Prior to visit) |
| ☐ ISO 9001 | ☐ Corp Registry (Prior to visit) |
| ☐ Social Compliance | ☐ ISO 14001 (Environmental - optional) |

Logistics

Port for Export: _____

- ☐ Does Factory have Export license?
- ☐ Does product require special export license? (for restricted items)?

Include in Agreement:

Define Unit:

Which products are in the final package? _____

How many of each product is included in the package? _____

Details:

Quantity of units in order: _____

Price per unit: _____

Payment Terms: _____

Plus:

Additional items: (example, plates, molds) _____

Price per additional item: _____ Terms: _____

Product Ownership: _____

QC

☐ Tech Specs / Product Specs agreed upon

☐ Agree to use 3P Inspection Company

Packaging

Package details: _____

Required labels? (example Law Label)? _____

How many units in Inner carton? _____

How many inner cartons in Master carton? _____

Dates, Docs, and Deadlines

Milestone dates: (example: molds completion date) _____

Deadlines: (including review deadlines) _____

Delivery type / INCOTERM: (example: FOB) _____

Certifications: (if needed) _____

You provide factory:

☐ 12 digit UPC - Printed on Package (or FNSKU)

☐ 14 digit GTIN – optional (Printed on shipping carton)

Other: _____

Payment information:

Future price breaks: _____

Payment methods: _____

How long is quote valid? _____

☐ Quote Received (with Factory Stamp)?

AQL TABLES

AQL (Acceptance Quality Limits)

Table A

SAMPLE SIZE CODE LETTERS							
Lot or batch size	General inspection levels			Special inspection levels			
	I	II	III	S-1	S-2	S-3	S-4
2 to 8	A	A	B	A	A	A	A
9 to 15	A	B	C	A	A	A	A
16 to 25	B	C	D	A	A	B	B
26 to 50	C	D	E	A	B	B	C
51 to 90	C	E	F	B	B	C	C
91 to 150	D	F	G	B	B	C	D
151 to 280	E	G	H	B	C	D	E
281 to 500	F	H	J	B	C	D	E
501 to 1200	G	J	K	C	C	E	F
1201 to 3200	H	K	L	C	D	E	G
3201 to 10000	J	L	M	C	D	F	G
10001 to 35000	K	M	N	C	D	F	H
35001 to 150000	L	N	P	D	E	G	J
150001 to 500000	M	P	Q	D	E	G	J
500001 and over	N	Q	R	D	E	H	K

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AQL (Acceptance Quality Limits)

Table B

SINGLE SAMPLING PLANS FOR NORMAL INSPECTION

Sample size code letter	Sample size	Acceptance Quality Limits (Normal Inspection)											
		0.065	0.10	0.15	0.25	0.40	0.65	1.0	1.5	2.5	4.0	6.5	
		Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re	Ac Re
A	2												
B	3												
C	5												
D	8												
E	13												
F	20												
G	32												
H	50												
J	80												
K	125												
L	200												
M	315												
N	500												
P	800												
Q	1250												
R	2000												

↓ = Use the first sampling plan below the arrow. If sample size equals, or exceeds, lot size, carry out 100% inspection.
 ↑ = Use the first sampling plan above the arrow.
 Ac = Acceptance number.
 Re = Rejection number.

ANSI / ASQ Z1.4 (ISO 2859-1)

SAMPLE FACTORY AUDIT

This report included many pages of detailed photographs. I have removed most of them for sake of space, however as you can see the original report was 33 pages long.

You can contact V-Trust on the links page here:

<https://productdevelopmentacademy.com/links>

	Client Name:	XXX	Final Score
	Inspection Number:	FA9061027-P42231SW	55 / 100
	Report Date:	16 April 2019	

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Factory Audit Report

Audit Type :	☒ Initial Audit	
Report No.:	P42231SW	
Client:	XXX	
Supplier:	XXX	
Audited Factory:	XXX	
Auditor:	Jack Du	
Audit Date:	15 April 2019	

GENERAL OVERVIEW

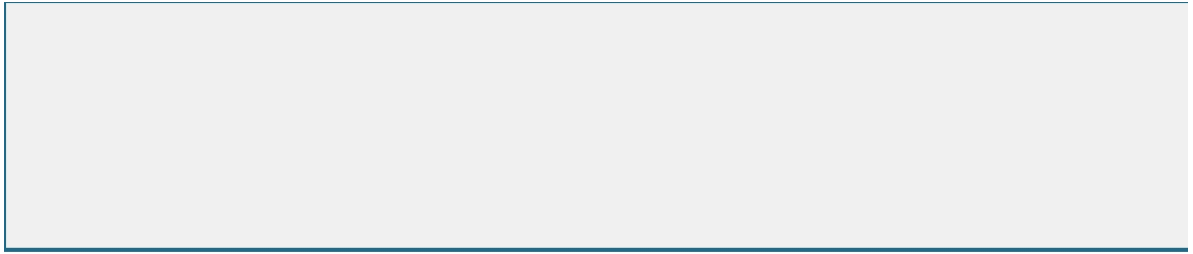
Fields		Score / 10	Weight	Weighted Score
7	Special Requirements from Client	N/A	N/A	N/A
1	Factory Profile	6	10	60
2	Human Resource	5	8	40
3	Foreign Trade Capacity	6	6	36
4	Production Capability	6	10	60
5	Quality Control	5	10	50
6	R & D	5	6	30
Total:		33	50	276
Final Score: [Total weighted score / (10 * Total weight)]			55 / 100	

	Client Name:	XXX	Final Score 55 / 100
	Inspection Number:	FA9061027-P42231SW	
	Report Date:	16 April 2019	

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Remark	
Basic Remarks:	
1.	Foshan XXX Furniture Co., Ltd. (hereinafter referred to as the factory) was founded in 2014. It is located at No.8, XXX Road, XXX Industrial Development Zone, XXX Village, XXX Street, Shunde District, Foshan City, Guangdong Province, China.
2.	The factory is a private enterprise. Its main products are dining table & chairs and sofa etc. Based on the factory management feedback and interviewed workers on site, the production capacity of dining table & chairs and sofa are about 10,875 sets and 815pcs respectively under the standard working days per month.
3.	The total construction area of the factory is about 10,000 square meters (the production area was about 5,550 square meters; the warehouse area was about 3,600 square meters).
4.	There were 150 employees (including 129 workers, 4 foreign trading staff and 3 quality inspectors, etc.) during the audit day.
5.	The factory claimed that products were sold in Europe, Southeast Asia, the America and Mainland of China etc. But they did not provide name of main customers for reference due to confidentiality.
6.	The production processes of product are as follows: foam processing, wood plate processing, cloth/leather processing, metal processing including cutting, bending, drilling, punching, welding, polishing etc., assembly and packing. The production processes of foam processing, wood plate processing, metal cutting by hands and some steps of assembly were idle during the audit day.
7.	The mould making is wholly outsourced; its lead time was about 15-35 days.
8.	The factory did not have sample making room, sample making needed to be finished on site; its lead time was about 10-15 days.
Strength Remarks:	
9.	The factory has Engineering Dept and 3 engineers, they could design the new items.
10.	Client's interested product is the factory's regular product.
Weakness:	
11.	Factory Profile a) The site and warehouse had poor performance on 5S active action. Some incoming materials, semi-product and the finished product were put on the ground without the trays. b) The factory did not establish the back-up plan for power outages. No electric power generator was found during the audit day.
12.	Human Resource a) The factory did not establish the job description for each position. b) The factory did not establish the training plan in 2019, and did not maintain relevant training records & training evaluation records.
13.	Foreign Trade Capacity a) The factory did not obtain the import & export license. b) The factory did not establish the delivery date record of each order.
14.	Production Capability a) The factory did not maintain the order review records. b) Missing SOPs and relevant machine operation instruction in all workshops. c) The factory did not establish the periodical maintenance plans in 2019, and did not maintain the daily/periodical maintenance records for the production machinery. d) Some semi-products were put on the ground without the trays.
15.	Quality Control a) The factory did not obtain the certificate of ISO9001:2015. The factory did not establish quality manual. b) The factory did not establish the training plan in 2019, and did not maintain relevant training records & training evaluation records. c) QC did not obtain the qualified license before working. d) The factory did not establish the IQC/IPQC/OQC inspection standards, and IQC/IPQC/OQC inspection records were not available.

	e) The factory did not maintain the external test reports for all main incoming materials. f) The factory did not establish the complaint handling procedure. For complaint handling record and the internal quality defects, the factory did not maintain the corrective action plan (CAP) records. g) The factory did not provide the approved supplier listing. The factory did not maintain the ongoing performance evaluation records of all existing suppliers in 2018 and 2019.
18.	R & D a) The factory did not maintain the R & D records. b) The factory did not establish the sample making procedure. c) The factory did not have its own laboratory and did not have adequate measuring & testing instruments for the reliability test, such as missing back strength tester, wood moisture tester and impact tester etc. d) The factory did not provide the calibration certificates of all measuring & testing instruments.
Suggestion:	
17.	Factory Profile a) SS active action should be implemented strictly. All incoming materials, semi-product and the finished product should be put on the pallets or shelves. b) The factory should establish the back-up plan for power outages.
18.	Human Resource a) The factory should provide the organizational chart. b) The factory should establish the job description for each position. c) The factory should establish the training plan in 2019, and should maintain relevant training records & training evaluation records.
19.	Foreign Trade Capacity a) The factory should obtain the import & export license. b) The factory should establish the delivery date record of each order.
20.	Production Capability a) The factory should maintain the order review records. b) SOPs and relevant machine operation instruction should be posted all workshops. c) The factory should establish the periodical maintenance plans in 2019, and should maintain the daily/periodical maintenance records for the production machinery. d) All semi-products should be put on the pallets or shelves.
21.	Quality Control a) The factory should obtain the certificate of ISO9001:2015. The factory should establish quality manual. b) The factory should establish the training plan in 2019, and should maintain relevant training records & training evaluation records. c) QC should obtain the qualified license before working. d) The factory should establish the IQC/IPQC/OQC inspection standards, and should maintain the IQC/IPQC/OQC inspection records. e) The factory should maintain the external test reports for all main incoming materials. f) The factory should establish the complaint handling procedure. For complaint handling record and the internal quality defects, the factory should maintain the corrective action plan (CAP) records. g) The factory should provide the approved supplier listing. The factory should maintain the ongoing performance evaluation records of all existing suppliers in 2019.
22.	R & D a) The factory should maintain the R & D records. b) The factory should establish the sample making procedure. c) The factory should have its own laboratory and should have adequate measuring & testing instruments for the reliability test. d) The factory should provide the calibration certificates of all measuring & testing instruments.
23.	According to the factory's management feedback and interviewed workers on site, the common defects include Sharp point, Rough surface, Oil stain, Over electro-plating, Wobble, Burr and Worm hole etc., Client can arrange the Pre-Shipment Inspection service and pay closer attention to checking these defects before the delivery.
Photos:	



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CONCLUSION

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Tony

Approved by: Tony Lee, Manager of Report Reviewing



(V-Trust is accredited by IFIA, AQSIQ and CNAS17020, which are TOP 3 most important accreditations for inspection industry.)

Auditor & Report Reviewer:



Auditor(s): Jack Du



Report Reviewer: Michael Jang

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General audit approach:

Within the scope of the 3rd party audit, the auditors observed processes in the various departments of the company in order to gain an understanding of the overall operation. The auditors verified the processes in the company for conformity with the ISO 9001:2015 and the customer criteria. This verification was performed on a sampling basis, by interview the workers, review of the corresponding documentation, and observation of the individual processes.

*Refer to V-Trust Work Instruction: VTR-WI-C2-9509

V-Trust's Disclaimer:

The report reflects our findings for the particular factory in concern on the date of our service only. This report does not certify, confirm or imply: a) compliance with any government, industry or association regulations or standards, unless stated otherwise; or, b) the quality of any specific products manufactured by the factory/sellers/suppliers; or, c) the shipment of any specific products. This report does not discharge or release the

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Section 1 Factory Profile

1.1 Legal Validity			
Does the company have a valid business license?	☒ Yes ☐ No	Uniform Social Credit Code / Registration No.:	9144*****3F
Year of established:	In 2014	Valid Date:	Long term
Registered address:	Foshan XXX Furniture Co., Ltd. (hereinafter referred to as the factory) was founded in 2014. It is located at No.8, XXX Road, XXX Industrial Development Zone, XXX Village, XXX Street, Shunde District, Foshan City, Guangdong Province, China.		
Actual address:	Foshan XXX Furniture Co., Ltd. (hereinafter referred to as the factory) was founded in 2014. It is located at No.8, XXX Road, XXX Industrial Development Zone, XXX Village, XXX Street, Shunde District, Foshan City, Guangdong Province, China.		
Does the company submit annual report as per legal requirements?	☒ Yes ☐ No ☐ NA	Submission date of latest annual report:	19 February 2019
Name of legal representative:	Zhou XXX		
Business scope:	Item: Production and sales: furniture, hardware products; wholesale and retail business. (Projects subject to approval in accordance with the law may not carry out business activities until approved by relevant departments)		
	Import & export business ☐ Yes ☒ No		

1.2 Basic Information			
Contact Person / Position:	Kiki /Sales Representative	Tel. number:	86-757-2822 ****
E-mail:	kiki@XXX.com.cn	Fax number:	86-757-2822 ****
Homepage:	Http://www.XXX.com.cn		
Domain registered on:	23 May 2017		
Domain expires on:	23 May 2027		
Registered information of the website:	Registrant ID: bizw***** Registrant: 广东 XXX 电子科技有限公司 Registrant Contact Email: zsXXXX@163.com		
Company type:	☐ Manufactory ☐ Foreign Trading ☒ Combined		
Type of ownership:	☒ Private Owner ☐ Public Company ☐ Joint Venture ☐ Stated Owned ☐ Sole Proprietorship ☐ Other		
Supplier & Assessed Company Relationship:	☒ Wholly Owned ☐ Shareholder/Partner ☐ Cooperation		
Products Manufactured:	Dining table & chairs and sofa etc.		

1.3 Background Information	
Registered capital:	RMB500,000

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Paid-up capital:	0		
Shareholders (3 largest holders):	Shareholder	Ratio of investment	Amount of contribution
	Zhou XXX	60%	RMB300,000
	Zhou XXX	40%	RMB200,000
Branch information:	Nil		
Legal proceedings record:	Nil		

1.4 Company Building Information			
According to:	☐ Land Certificate ☐ Real Estate Certificate ☒ Lease Agreement ☒ Factory Officer Claimed + Actually Observed		
Total building size (m ²):	1		
Number of buildings:	10,000	Office area (m ²):	850
Production area (m ²):	5,550	Warehouse area (m ²):	3,600

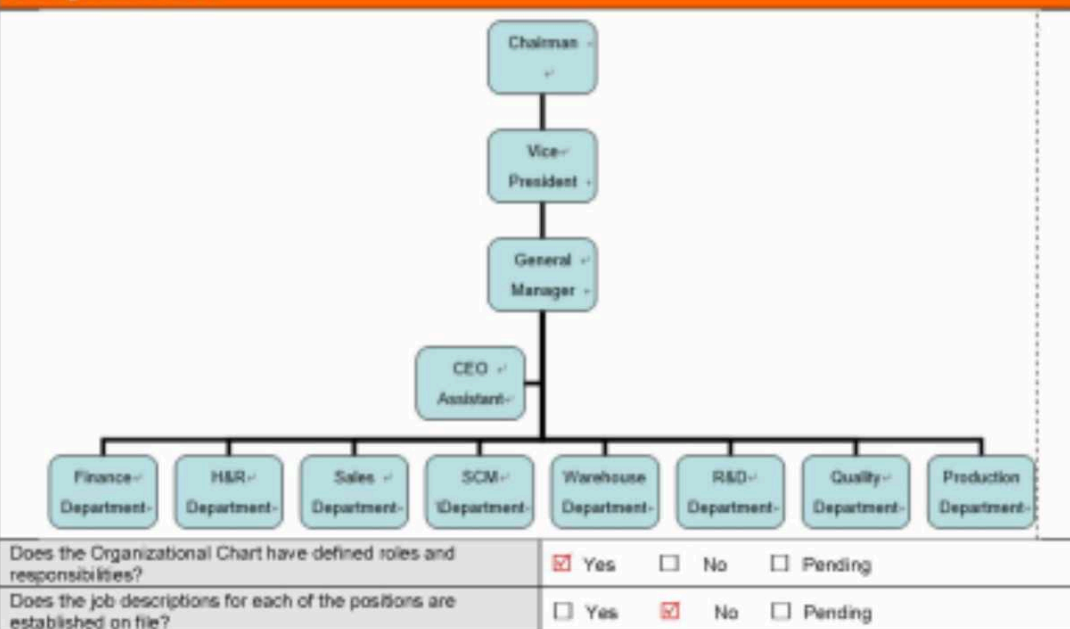
1.5 Transportation				
Vehicle quantity:	☒ Cars: <u>5</u> set(s) ☒ Trucks: <u>2</u> set(s)			
Nearest Sea Port (How many kilometers from factory):	Sea port:	Foshan Leliu Port	Distance (km):	3km
Nearest Airport (How many kilometers from factory):	Airport:	Guangzhou Baiyun International Airport	Distance (km):	120km

1.6 Power Supply		
Public power supply connected?	☒ Yes ☐ No	
Frequent power outage in the area? (How many days per week if power outage?)	☐ Yes: <u>1</u> Days per week ☒ No	
Whether factory have electric power generator? (How many KW if there is electric power generator?)	☐ Yes: <u>1</u> KW ☐ No	
Whether the electric power generator can support production?	☐ Yes ☒ No	

Remark
- Factory Profile a) The site and warehouse had poor performance on 5S active action. Some incoming materials, semi-product and the finished product were put on the ground without the trays. b) The factory did not establish the back-up plan for power outages. No electric power generator was found during the audit day.
Score: 6

Section 2 Human Resource

2.1 Organization Chart



2.2 Employee Details

Department	According to Factory	Actual Finding
HR Dept.	3	3
Sales Dept.	6	6
Financial Dept.	2	2
Production Dept.	129	129
R & D Dept.	3	3
Quality Dept.	3	3
Warehouse Dept.	3	3
Others	1	1
Total:	150	150

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2.3 Main Person in Factory			
Position	Name	Education	Year (s) in current company
Legal Representative /Owner	Zhou XXX	Not provided	More than 4.5 years
General Manager	Zhou XXX	Not provided	More than 4.5 years
Factory Director	Ying XXX	Not provided	More than 4.5 years
Sales Manager	Zhou XXX	Not provided	More than 4.5 years
Production manager	Ying XXX	Not provided	More than 4.5 years
QC manager/supervisor	Ye XXX	Not provided	More than 4.5 years
Does the factory conducts & record on-job training for all personnel or conducts pre-hire testing of skilled workers prior to hiring?		☐ Yes ☒ No ☐ Pending	

Remark:
- There were 150 employees (including 129 workers, 4 foreign trading staff and 3 quality inspectors, etc.) during the audit day. - Human Resource a) The factory did not establish the job description for each position. b) The factory did not establish the training plan in 2019, and did not maintain relevant training records & training evaluation records.
Score 5

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Section 3 Foreign Trade Capacity

3.1 Export Overall Situation			
Does the company have a valid export license?	☐ Yes ☒ No	Customs registration code:	/
When does the company first time get the export license?	/	Export license valid period:	N/A
The number of foreign trading staff with relevant trading experience.	☐ Total 4 staff ☐ 5-10 years staff	☐ within 1 year staff ☐ over 10 years staff	☒ 2-5 years 4 staff ☐ No foreign trading
The language freely used by foreign trade staff:	☒ English	☐ Others:	
Overseas agent:	/		
Acceptable quotation:	☒ FOB ☐ CIF	☐ Others: /	
Acceptable payment type:	☒ LC ☒ T/T	☐ Others: /	

3.2 Products and Markets Distribution			
Annual turnover of last year:	600 000 USD		
Main products	Main customers name	Market location/country	% of Total Business Volume of last year
Dining table & chairs	Not provided	Europe	32%
Dining table & chairs	Not provided	Southeast Asia	8%
Dining table & chairs	Not provided	The America	32%
Dining table & chairs	Not provided	Mainland of China	8%
Sofa etc.	Not provided	Europe	8%
Sofa etc.	Not provided	Southeast Asia	2%
Sofa etc.	Not provided	The America	8%
Sofa etc.	Not provided	Mainland of China	2%

Remark:
- Foreign Trade Capacity a) The factory did not obtain the import & export license. b) The factory did not establish the delivery date record of each order.
Score: 6

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Section 4 Production Capability

4.1 Production Capability			
Operating hours:	8 hours	No. of shifts:	1 shift
Low season:	No obvious low season	Peak season:	No obvious peak season
Name of production line	No. of workers	Monthly QTY (pcs)	Comments
Foam processing	1	40 000 pcs	/
Wood plate processing	1	10 000 pcs	/
Cloth/leather processing	2	30 000 pcs	/
Metal processing including cutting, bending, drilling, punching, welding, polishing etc.	104	(Dining table & chairs) 10,908 sets (Sofa) 820pcs	/
Assembly	13	(Dining table & chairs) 10,908 sets (Sofa) 820pcs	/
Packing	8	(Dining table & chairs) 10,975sets (Sofa) 815pcs	/

4.2 Supplier Management			
Raw materials			
Steel plate and steel tube etc.	Foshan Steel XXX Co.,	30-35 days	Foshan City/China
Cloth and leathers etc.	Foshan Leather XXX Co.,	7-25 days	Foshan City/China
Sponge, tempered glass, packing materials and cartons	Foshan XXX Co.,	7-14 days	Foshan City/China
Sub-contracting			☒ Yes ☐ No
Production step	Supplier name	Lead time	Location / Country of origin
Surface treating including electroplating etc.	Foshan XXX Co.,	3-10 days	Foshan City/China

4.3 Production Process

Production flow chart for general product



1) - Foam processing-idle



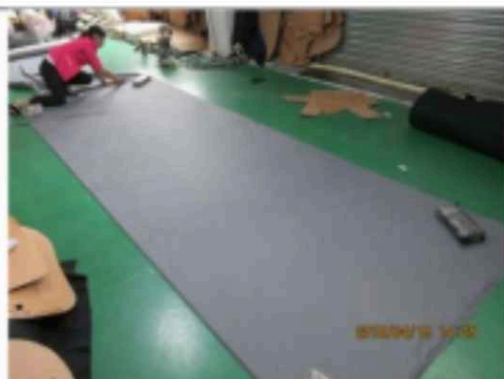
2) - Semi-product related to foam processing



3) - Wood plate processing-idle



4) - Semi-product related to wood plate processing



5) - Cloth/leather processing-cutting



6) - Semi-product related to cutting



7) - Cloth/leather processing-sewing



8) - Semi-product related to sewing



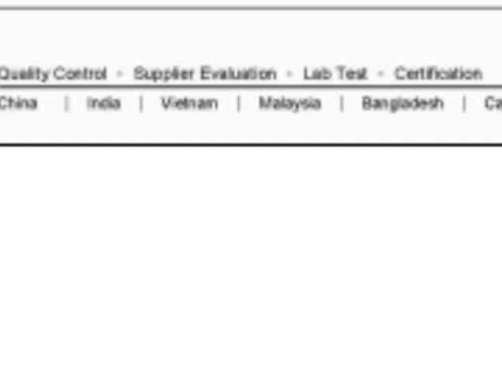
9) - Metal processing-cutting by hands - idle



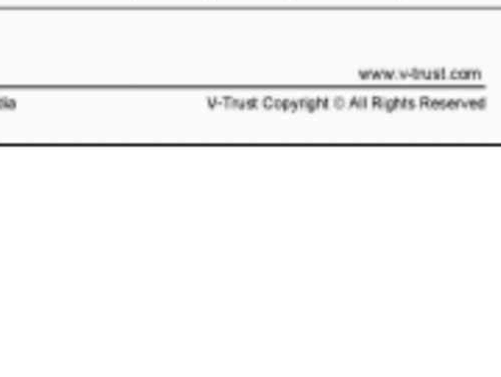
10) - Metal processing-laser cutting



11) - Semi-product related to laser cutting



12) - Metal processing-laser cutting





13) - Semi-product related to laser cutting



14) - Metal processing-auto bending



15) - Semi-product related to auto bending



16) - Metal processing-bending by hands



17) - Semi-product related to bending by hands



18) - Metal processing-punching-idle



25) - Metal processing-polishing



26) - Semi-product related to polishing



27) - Metal processing-polishing



28) - Semi-product related to polishing



29) - Assembly



30) - Semi-product related to assembly

	Wood plate cutting machine	2	☐ In use ☒ Idle ☐ Repairing ☐ Out of control
	Sewing machine	5	☒ In use ☒ Idle ☐ Repairing ☐ Out of control
	Cutting machine by hands	3	☐ In use ☒ Idle ☐ Repairing ☐ Out of control
	Laser cutting machine	2	☒ In use ☐ Idle ☐ Repairing ☐ Out of control

	Tapping machine	3	☐ In use ☒ Idle ☐ Repairing ☐ Out of control
	Welding machine	24	☒ In use ☒ Idle ☐ Repairing ☐ Out of control
	Polishing machine	25	☒ In use ☒ Idle ☐ Repairing ☐ Out of control

4.5 Production Lead Time from Receipt of PO

Item/model	Quantity (pcs)	Lead time	Comments
Dining table & chairs	30	30-45 days	/
Sofa	20	35-45 days	/

Remark

- The production processes of product are as follows: foam processing, wood plate processing, cloth/leather processing, metal processing including cutting, bending, drilling, punching, welding, polishing etc., assembly and packing. The production processes of foam processing, wood plate processing, metal cutting by hands and some steps of assembly were idle during the audit day.
- Production Capability

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Section 5 Quality Control

5.1 Quality Control System				
QC manager/supervisor:	Ye Shuikan		Who does the QC/QA Manager /Supervisor report to?	General Manager
FQC Standard:	MIL-STD-105E		FQC Sample level:	Level II
FQC AQL:	Critical: Not provided	Major: Not provided	Minor: Not provided	Other: Not provided
Is there an independent Quality Department?			☒ Yes ☐ No ☐ Pending	
Is there incoming quality control system?			☐ Yes ☒ No ☐ Pending	
Is there in process quality control system?			☐ Yes ☒ No ☐ Pending	
Is there quality control before shipment?			☐ Yes ☒ No ☐ Pending	

5.2 Certification		
ISO series:	☐ Yes(name):/ ☒ No	
	Certificate no.: /	
	Issued by: /	
	Period: /	
Product certificate:	☐ Yes(name):/ ☒ No	
Others:	☐ Yes(name):/ ☒ No	

5.3 Supplier Management		
Does the company establish and implement an effective suppliers' assessment procedure?	☐ Yes ☒ No ☐ Pending	
Does the company have an updated list of approved suppliers?	☐ Yes ☒ No ☐ Pending	
Does the company keep its Supplier Assessment Reports (evidence)?	☐ Yes ☒ No ☐ Pending	

5.4 Certification		
Position	Supervisor (name)	No. of Inspectors
IQC (Incoming Quality Control)	Ye Shuikan	1
IPQC (In-Process Quality Control)	Ye Shuikan	1
FQC (Final Quality Control)	Ye Shuikan	1

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Section 6 R & D

6.1 Engineering & Sampling		
Design department:	☒ Yes, engineer quantity: 3	☐ No engineering department.
Production design:	☒ Yes, can design new item	☐ No, but according to client's requirement
Own brand:	☒ Yes: <u>ZXXXXXANG</u>	☐ No own brand
Own patent	☐ Yes: <u>/</u> item(s)	☒ No own patent
Is there an adequate and formal system for receiving and applying drawings, procedures, design change, etc. correctly?		☐ Yes ☒ No ☐ Pending

6.2 Sampling		
New mold making:	☐ Yes, lead time: <u>/</u> days	☐ No mold making: ☒ Subcontracted ☐ N/A
Sample making:	☒ Yes, lead time: <u>10-15</u> days	☐ No sample making
Is there any procedure or standard for sample making?		☐ Yes ☒ No ☐ Pending
Do any records or evidence show that approved samples are well labeled and under controlled?		☒ Yes ☐ No ☐ Pending

6.3 Test Equipment			
Own lab/testing room:		☐ Yes	☒ No
Main test equipment list			
Picture	Equipment name	Amount	Use of state
	Electronic balance scale	2	☐ Calibrated ☒ Not calibrated ☐ Out of control

	Digital calipers	5	☐ Calibrated ☒ Not calibrated ☐ Out of control
	Steel ruler	2	☐ Calibrated ☒ Not calibrated ☐ Out of control

Remark:

- The mould making was wholly outsourced; its lead time was about 15-35 days.
- The factory did not have sample making room, sample making needed to be finished on site; its lead time was about 10-15 days.
- R & D
 - a) The factory did not maintain the R & D records.
 - b) The factory did not establish the sample making procedure.
 - c) The factory did not have its own laboratory and did not have adequate measuring & testing instruments for the reliability test, such as missing back strength tester, wood moisture tester and impact tester etc.
 - d) The factory did not provide the calibration certificates of all measuring & testing instruments.

Score: 5

SAMPLE PRE-SHIPMENT INSPECTION

This report included many pages of detailed photographs. I have removed most of them for sake of space, however as you can see the original report was 30 pages long.

You can contact V-Trust on the links page here:

<https://productdevelopmentacademy.com/links>

	Client Name:	XXX	Conclusion FAILED
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Pre-Shipment Inspection Report

I. GENERAL INFORMATION

Service Performed:	Pre-Shipment Inspection	
Client:	XXX	
Supplier:	XXX	
Factory:	XXX	
Product Name:	Power Bank	
P.O. No.:	PI 3075321	
Item No.:	4200mAh, 4000mAh, PB110(silver)_2600mAh	
Destination Country:	Spain	
Inspection Date:	12 July 2017	
Inspection Location:	Shenzhen City, Guangdong Province	
Reference Sample:	No Sample	

II. INSPECTION SUMMARY

	Passed *	Failed	Pending	N/A
A. Quantity	✓			
B. Workmanship		✓		
C. On-Site Tests		✓		
D. Product Specification	✓			
E. Packing	✓			
F. Marking & Labeling		✓		
G. Client Special Requirement		✓		

* The Passed results will be valid only after the client **notes and accepts** the issues in the following remarks.

Workmanship Summary					
Inspection Standard:	-		Critical	Major	Minor
Sampling Plan:	-	AQL:	Not Allowed	1.5	4.0
Inspection Level:	Fixed Sample Size	Accepted:	0	5	10
Order Quantity:	4250	Found:	1	6	6
Available Quantity:	4250 pcs (100%)	Result	FAILED Due to Beyond AQL and Remark		
Sample Size:	125				

III. Remarks

Problem Remarks:	
1.	The inspection result was failed due to the defective rate was beyond AQL. Please refer to section B for details.
2.	For item 4200mAh, the loading voltage was less than 4.75V for 60% inspected samples, due to low power level. For item 2600mAh, the loading voltage was less than 4.75V for 20% inspected samples, due to low power level. Please refer to photos for details.
3.	For internal check of item 4200mAh, the actual capacity marked on battery was only 4000mAh(2000x2) instead of 4200mAh. Please refer to photo for detail.
4.	For item 4000mAh, the indicate light was running from left to right during charging, but "from right to left" was shown on user manual. Please refer to photos for details.
5.	For all items, there was no "Made in China" on power bank, but "Made in China on each item" was required by client.

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6.	For all items, there was no Input and Output Spec or any rating(eg. CE, WEEE) on power bank.																																		
7.	For all items, the CE marking on gift box and user manual was not match the EU standard. Please refer to photos for details.																																		
8.	The factory did not agree to conduct the carton drop test.																																		
9.	For all items, the packing method on the carton was not consistent(big empty space)																																		
General Remarks:																																			
10.	For charging and discharging test, details as below: <table border="1" data-bbox="370 562 1336 703"> <thead> <tr> <th>Item</th> <th>Charging voltage (V)</th> <th>Charging current(mA)</th> <th>Charging time(hour)</th> <th>Discharging voltage(V)</th> <th>Discharging current(A)</th> <th>Discharging time(hour)</th> </tr> </thead> <tbody> <tr> <td>4200mAh</td> <td>5</td> <td>830~430</td> <td>6.75~7.25</td> <td>5~4.3</td> <td>1</td> <td>2.75</td> </tr> <tr> <td>4000mAh</td> <td>5</td> <td>964~940</td> <td>6.5~7</td> <td>5~4.6</td> <td>1</td> <td>2.5</td> </tr> <tr> <td>PB110_2600mAh</td> <td>5</td> <td>510~380</td> <td>6.75~7.5</td> <td>5~4.3</td> <td>1</td> <td>1.75</td> </tr> </tbody> </table>							Item	Charging voltage (V)	Charging current(mA)	Charging time(hour)	Discharging voltage(V)	Discharging current(A)	Discharging time(hour)	4200mAh	5	830~430	6.75~7.25	5~4.3	1	2.75	4000mAh	5	964~940	6.5~7	5~4.6	1	2.5	PB110_2600mAh	5	510~380	6.75~7.5	5~4.3	1	1.75
Item	Charging voltage (V)	Charging current(mA)	Charging time(hour)	Discharging voltage(V)	Discharging current(A)	Discharging time(hour)																													
4200mAh	5	830~430	6.75~7.25	5~4.3	1	2.75																													
4000mAh	5	964~940	6.5~7	5~4.6	1	2.5																													
PB110_2600mAh	5	510~380	6.75~7.5	5~4.3	1	1.75																													
11.	No silica gel was found in package.																																		
12.	The testers provided by factory was not in the period of valid calibration.																																		
13.	Cartons were not arranged according to the carton serial number, therefore the last 10% of cartons could not be identified.																																		
14.	When the inspector left the factory, the factory had not started repacking the inspected samples.																																		
15.	The factory was requested to repair,replace the defective products our inspector found during the inspection.																																		
Factory Information:																																			
16.	Factory cooperation: ☐ Good - Enough manpower to assist, and good cooperation. ☒ Average - Enough manpower to assist. ☐ Poor - Manpower, equipment or document not provided timely.																																		
17.	Number of workers in factory: ☐ Less than 50 people ☒ 50-100 people ☐ 100-500 people ☐ 500-1000 people ☐ More than 1000 people ☐ Unknown																																		
18.	The observed level of production/manufacturing activity at the inspection site was: ☐ Extremely busy ☒ Normal activity ☐ Low activity ☐ N/A (Reasons: Inspection was held at warehouse or port. / Inspector had no access to workshops. / Factory was unwilling to disclose information, etc)																																		
19.	Inspector's opinion on the factory: ☐ Good - The factory was neat and tidy. The testing equipment was well maintained and calibrated. ☒ Average - The factory was tidy, and the testing equipment ran normally. ☐ Poor - The factory was messed, the basic testing equipment was not available / not workable.																																		
Sample Collection Record:																																			
20.	No sample was collected on site.																																		
Photos:																																			

	Client Name:	XXX	Conclusion FAILED
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Remark 2, For item 4200mAh, the loading voltage was less than 4.75V	Remark 2, For item 4200mAh, the loading voltage was less than 4.75V
	
Remark 2, For item 2600mAh, the loading voltage was less than 4.75V	Remark 2, For item 2600mAh, the loading voltage was less than 4.75V
	
Remark 3, For item 4200mAh, the actual capacity marked on battery was only 4000mAh(2000x2)	Remark 4, For item 4000mAh, the indicate light was running from left to right during charging
	
Remark 4, For item 4000mAh, the indicate light was running from left to right during charging	Remark 4, "from right to left" was shown on user manual

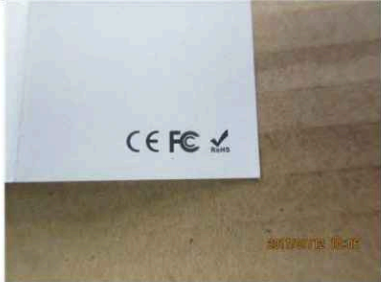
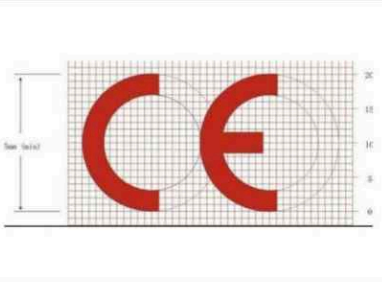
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Remark 7, the CE marking on gift box	Remark 7, the CE marking on gift box
	
Remark 7, the CE marking on user manual	Remark 7, the EU standard CE marking
	Nil
Remark 9: For all items, the packing method on the carton was not consistent	Nil

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IV. CONCLUSION

FAILED




Approved by: Tony Lee, Manager of Report Reviewing

PASSED - Conform to Client's Requirement
PASSED (Conditional) - The Passed results will be valid only after the client notes and accepts the issues in the remarks
PENDING - Subject to Client's Evaluation
FAILED - Not Conform to Client's Requirement

Inspector & Report Reviewer:



Inspector(s): Jacky Nong



Report Reviewer: Second Zeng

Should you have any question, please contact us:



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Note: 1. This report reflects our findings at the time and the place of inspection based on random samples selected. 2. This inspection was carried out to the best of our knowledge and abilities, and our responsibility is limited to the exercise of reasonable one. 3. This report does not relieve the sellers from their contractual obligations nor does it prejudice buyer's right for compensation for any apparent and/or hidden defects not detected during our inspection or occurring thereafter. 4. This report does not evidence shipment. 5. Our services are subject to the General Conditions of Service of V-Trust, which is shown at our website and can be sent to you upon written request. 6. This report's inspection results only relate to the samples as (randomly picked) by our inspector. 7. This report is complete and its content may not be reproduced.

Please find our inspection details from next page.

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A. QUANTITY									
Quantity					Unit: pcs				
P.O.	Item	Order Qty	Qty / Carton	Order Cartons	Quantity Breakdown			Sample Size	
					Packed	Unpacked	Unfinished	Packed	Unpacked
PI 3075321	4200mAh	1500	76	20	1500	0	0	44	0
PI 3075321	4000mAh	750	50	15	750	0	0	22	0
PI 3075321	PB110(silver)_2600mAh	2000	63	32	2000	0	0	59	0
Total:		4250	-	67	4250	0	0	125	0
Selected Cartons :									
11 Cartons were selected randomly on site. No carton number in shipping mark.									
Carton No.:									
/	/	/	/	/	/	/	/	/	/
Result: Passed									
Remark:									

B. WORKMANSHIP							
Inspection Standard:	-	AQL		Accepted	Total Found	Result	
Sampling Plan:	-	Critical:	Not Allowed	0	1	Failed	
Inspection Level:	Fixed Sample Size	Major:	1.5	5	6	Failed	
Sample Size:	125 pcs	Minor:	4.0	10	6	Passed	
Workmanship Defectives / Function Inspection Findings							
Description					Critical	Major	Minor
For Item 4200mAh (PI 3075321)		Sample Size: 44 pcs					
1.	Poor indicate light				4		
2.	Scratch mark on unit					3	
For Item 4000mAh (PI 3075321)		Sample Size: 22 pcs					
1.	Metal flash on unit side(sharp and hurt)			1			
2.	Poor assembly (no glue)				1		
3.	Poor assembly					2	
4.	One dark dot inside plating					1	
For Item PB110(silver)_2600mAh (PI 3075321)		Sample Size: 59 pcs					
1.	The micro USB plug difficult to insert to the jack				1		
Total found:					1	6	6
Accepted:					0	5	10
Sample size:					125	125	125
Result:	Failed (Beyond AQL and Refer to Remark)						
Remark:	- For item 4200mAh, the loading voltage was less than 4.75V for 60% inspected samples, due to low power level. For item 2600mAh, the loading voltage was less than 4.75V for 20% inspected samples, due to low power level.						
Note: Defective is defined as a unit of product that contains one or more defects. A Defect is defined as any non-conformance of the inspected unit of product with specified requirements. A single defect is taken into account per each defective unit; only one most serious defect is taken into account per each defective unit.							

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1	Defect photos of Items: 4200mAh (PI 3075321)		
			
	Poor indicate light	Poor indicate light	
			
	Poor indicate light	Poor indicate light	
			
	Scratch mark on unit	Scratch mark on unit - detail	
			
	Scratch mark on unit	Scratch mark on unit - detail	

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One dark dot inside plating		One dark dot inside plating - detail	
3	Defect photos of Items: PB110(silver)_2600mAh (PI 3075321)		
			
The micro USB plug difficult to insert to the jack		The micro USB plug difficult to insert to the jack - detail	

C. ON-SITE TESTS

	Description	Method	Sample Size	Result / Reading
1.	Accessories check	Based on parts list on instruction sheet or client's requirement, there is no any accessories missing, all the accessories works well Meet requirement	125 pcs	Passed
2.	Function test	-Normal use, no malfunction for all functions check. -Normal charge/discharge function check -Lighting function check -All ports connection well, not too tight or too loosen, the function of the port is passed No failure	125 pcs	Passed
3.	Rub Check	Use cotton dripped with water, rub the marking on rating label and silk-screen printing or electro-plating by hand for 15 seconds. Marking is clear after the rub, no peel off or lite upward on rating label.	2 pcs /item	Passed
4.	Fatigue Test for all buttons	20times, simulate the real using condition No failure	3 pcs /item	Passed
5.	Tape Check	Use the 3M (600) gummed tape to paste total cover the printing or electro-plating, peel the tape at 90°±30° rapidly; Marking is clear after the test, no peel off on plating.	3 pcs /item	Passed
6.	Carton drop test	One corner, three edges, six sides, at height of 30inch (< 9.5kg) 24inch (9.5kg~18.6kg) 18inch (18.6kg~27.7kg)	0pcs	Pending

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		12inch (27.7kg~45.3kg) 8inch (45.3kg~68kg) on the cement floor. No unit drop out, no any damage on unit.		
7.	Internal test	Open unit, visual, check the workmanship, and no damage, rust, residue, bad component, poor gluing, short circuit or other problem on component. There is a protection electric board inside the unit No damage on component	3 pcs /item	Failed
8.	Battery check	Check the battery fitness, marking and rating voltage. The voltage should be more than the rated voltage, rated: 3.7V actual record	3 pcs /item	Passed
9.	Battery charging check	Measure the full charged voltage, record the full charged time & voltage (such as: 5V, 1A charged adaptor) actual record	3 pcs /item	Passed
10.	Battery discharging check	Max setting, measure the full discharged voltage, record the full discharged time & voltage (1A/2A) actual record	3 pcs /item	Passed
11.	Charge current	Use multi-meter or other tester to check the charge current actual record	3 pcs /item	Passed
12.	Overcharging/disc harge test	Test the power bank function which is called protection against the over-charging and over-discharge of the power bank. It works like that: when the power bank is fully charge/discharge, the power bank would shut off automatically etc. Meet requirement	3 pcs /item	Passed
13.	Capacity check	Measure the capacity of the power bank Meet requirement	3 pcs /item	Passed
14.	Output voltage test with/without loading	Measured the output voltage with or without loading Actual record	125 pcs	Failed
15.	High and low temperature working test	Put the unit into 60℃/-20℃ chamber 4H, or as it noted in instruction manual, after test, check the function and appearance. No damage for function or appearance after test.	3 pcs /item	Passed
16.	Short circuit protection function check	Check the unit protection function at short circuit, should have no safety issue or breakdown. No damage for function or appearance after test	125 pcs	Passed
17.	Over loading protection function check	Increase the loading gradually, when the loading over the setting value, the output is cut. Mark down the overload current No damage for function or appearance after test.	3 pcs /item	Passed
18.	Application test	Connect to the phone, tablet PC or specified product, and work well, no flashing or other problem. No failure	3 pcs /item	Passed
19.	Ripple test	Check the ripple on the DC output, no more than 100mV No failure	3 pcs /item	Passed

Result: **Failed**

Remark:	- For item 4200mAh, the loading voltage was less than 4.75V for 60% inspected samples, due to low power level. - For item 2600mAh, the loading voltage was less than 4.75V for 20% inspected samples, due to low power level. - For internal check of item 4200mAh, the actual capacity marked on battery was only 4000mAh(2000x2) instead of 4200mAh. - The factory did not agree to conduct the carton drop test.
---------	--

*Refer to V-Trust Work Instruction: VTR-WI-CZ-1001.

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D. PRODUCT SPECIFICATION					
	Client's Spec.	Ref. Sample	1# Sample	2# Sample	3# Sample
Item No.:	4200mAh (PI 3075321)				
L×W×H (cm)	/	/	11.5x4.5x2.12	11.5x4.5x2.12	11.5x4.5x2.12
Net Weight (g)	/	/	122.4	122.2	121.6
Gift box size (cm)	/	/	12.8x6.8x2.7	12.8x6.8x2.7	12.8x6.8x2.7
Gift box weight (g)	/	/	165	164.5	165
USB cable (cm)	/	/	25	25	25
Item No.:	4000mAh (PI 3075321)				
L×W×H (cm)	11x6.8x1	/	11x6.8x1	11x6.8x1	11x6.8x1
Net Weight (g)	/	/	113	112.7	112.5
Gift box size (cm)	/	/	16.4x10.9x2.3	16.4x10.9x2.3	16.4x10.9x2.3
Gift box weight (g)	/	/	203.5	204	203
USB cable (cm)	/	/	24.5	25	25
Item No.:	PB110(silver)_2600mAh (PI 3075321)				
L×W×H (cm)	9.2x2.2x2.2	/	9.2x2.2x2.2	9.2x2.2x2.2	9.2x2.2x2.2
Net Weight (g)	/	/	70	70.5	70.3
Gift box size (cm)	/	/	7.4x2.5x18	7.4x2.5x18	7.4x2.5x18
Gift box weight (g)	/	/	98.5	97.8	98.2
USB cable (cm)	/	/	25	24.5	25
Result: Passed					
Remark:					

E. PACKING								
Package Details								
								
Item No.	Qty / Carton		Carton Size (L×W×H, cm)		Gross Weight (kgs)		Qty / Inner box	
	Marking / Spec.	Actual	Marking / Spec.	Actual	Marking / Spec.	Actual	Marking / Spec.	Actual
4200mAh (PI 3075321)	76	76	43.5x23.5x23.5	43.5x24x24.5	13	12.95	/	/
4000mAh (PI 3075321)	50	50	43.5x23.5x23.5	43.5x24x24.5	10.5	10.55	/	/
PB110(silver)_2600mAh (PI 3075321)	63	63	43.5x23.5x23.5	43.5x24x24.5	6.6	6.65	/	/
Export Carton Details								
Fastening Metal Staples		No			Nylon Band		No	
Material		Cardboard			Corrugated Paper Plies		5-ply	

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Packing Method	
For 4200mAh, each unit with USB cable and user manual were packed into a crystal box, 76 crystal boxes were packed into a master carton. For 4000mAh, each unit with USB cable and user manual were packed into a gift box, 50 gift boxes were packed into a master carton. For 2600mAh, each unit with USB cable and user manual were packed into a gift box, 63 gift boxes were packed into a master carton.	
Assortment Method	
No assortment	
Result: Failed	
Remark:	- For all items, the packing method on the carton was not consistent(big empty space)

F. MARKING & LABELING		
Barcode/Labeling/Printing		
Name	Location	Result
CE Mark	Gift Box, user manual	Failed
Instruction manual and documentation check Shi	Provided By	
The functionality description in English on the instruction manual is adopted on the actual unit.	Factory	Failed
Shipping Marks		
Shipping Marks (on <u>2</u> Side)		Actual Finding
Side Marks (on <u>2</u> Side)		Actual Finding
Inner Box Marks (on <u>0</u> Side)		N/A
Result: Failed		
Remark:	- For item 4000mAh, the indicate light was running from left to right during charging, but "from right to left" was shown on user manual. - For all items, there was no "Made in China" on power bank, but "Made in China on each item" was required by client. - For all items, there was no Input and Output Spec or any rating(eg. CE, WEEE) on power bank. - For all items, the CE marking on gift box and user manual was not match the EU standard.	

G. CLIENT SPECIAL REQUIREMENT		
	Client Requirements	Result
1.	"Made in China on each item" on the unit.	Failed
Result: Failed		
Remark:	- For all items, there was no "Made in China" on power bank, but "Made in China on each item" was required by client.	

H. PHOTOS	
1	Photos of 4200mAh (PI 3075321)

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Crystal box	Detail
	
Crystal box	Crystal box
	
Crystal box	Detail
	
Detail	Detail

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Indicate light	Indicate light
	
Internal check	Internal check
	
Internal check	Internal check
	
Internal check	Marking on battery

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Internal check		Internal check	
		Nil	
Internal check		Nil	
2	Photos of 4000mAh (PI 3075321)		
			
Master carton		Shipping mark	
			
Side mark		Master carton	

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Open carton	Packing
	
Gift box	Side
	
Detail	Side
	
Open gift box	A set

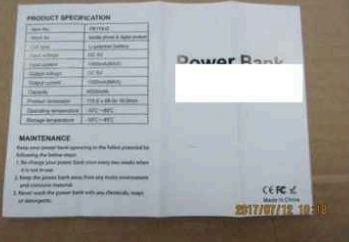
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User manual	USB cable
	
Unit view	Unit view
	
Detail	Side
	
Detail	Indicate light

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Over charging test



Over discharging test



Output voltage test without loading



Output voltage test with loading



Charging current check



Charging current check



Short circuit protection function check



Over loading protection function check: 2.50A

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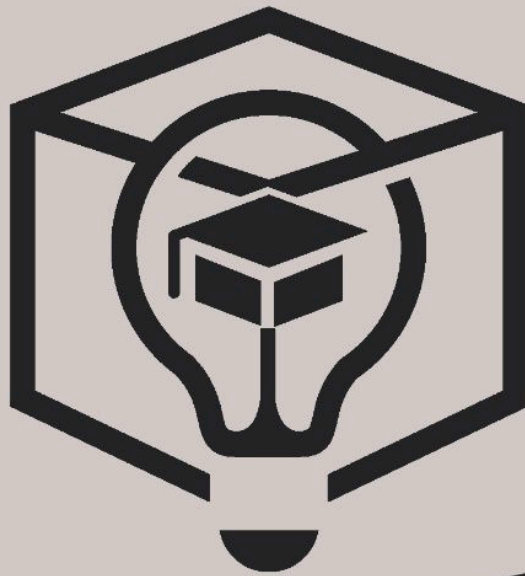
	
Goods	Select cartons
	
Select cartons	Inspection site
	
Inspection site	Inspection site
	Nil
Inspection site	Nil

This is The End of the Report

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